

Indian Energy Exchange Ltd. (IEX)

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Indian Energy Exchange Limited

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The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on July 26, 2022.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on July 26, 2022, at 02:30 pm (IST) to discuss the financial results of the Company for the quarter ended June 2022.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q1 FY 23 Earnings Conference Call "

July 26, 2022

MANAGEMENT : MR. S.N. GOEL - CHAIRMAN AND MANAGING
DIRECTOR , INDIAN ENERGY EXCHANGE LIMITED
MR. VINEET HARLALKA - CHIEF FINANCIAL
OFFICER , INDIAN ENERGY EXCHANGE LIMITED
MR. ROHIT BAJAJ - HEAD BUSINESS
DEVELOPMENT , INDIAN ENERGY EXCHANGE
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MS. APARNA GARG - LEAD INVESTOR RELATIONS ,
INDIAN ENERGY EXCHANGE LIMITED
MODERATOR: MR. SUMIT KISHORE - AXIS CAPITAL LIMITED
Indian Energy Exchange Limited
July 26, 2022

Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Limited Q1 FY '23 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you Mr. Kishore.

Sumit Kishore: Thank you, Michelle. Good afternoon, ladies, and gentlemen. On behalf of Axis Capital, I am pleased to welcome you all for the IEX Q1 FY '23 earnings conference call. We have with us the management team of IEX which is represented by Mr. S.N. Goel, Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Rohit Bajaj, Head Business Development; and Ms. Aparna Garg, Lead Investor Relations. We will begin with opening remarks of Mr. Goel, followed by an interactive Q&A session.

Over to you, sir. Thank you.

Satyanarayan Goel : Hello, good afternoon, everyone, and welcome to the earnings call for Q1 FY '23. Joining me today are Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Rohit Bajaj, Head of the Business Development; Mr. Amit Kumar, Head of Market Operation and New Product Development ; Mr. Sangh Gautam , CTO; Mr. Samir Prakash , CHRO ; Mr. Indranil Chatterjee : Ms. Aparna Garg ; and Mr. Archit Gupta.

The pace of Indian economic activity continues to remain robust. India witnessed a strong start to the year with the Index of Industrial Production growth at 6.7% YoY in Apr'22 which further increased to 19.6% in May'22, highest since Aug'21.

During Q1'FY23, the Manufacturing PMI increased to 54.7 in Apr'22 as compared to 54.0 in Mar'22 driven by faster expansions in both new orders and output. However, it eased down to 53.9 in Jun'22. The Services PMI increased to 57.9 in Apr'22 as compared to 53.6 in Mar' 22 and further increased to 59.2 in Jun'22.

The energy markets during the quarter faced crisis globally. The heat wave in various parts of the world and the war upended the global energy markets. The increase in demand coupled with rising input costs led to high electricity prices. For example: in Australia, wholesale prices rose 2.5 times in the first half of 2022, similarly, in Nord Pool, average wholesale prices for the first half of 2022 were 2.7 times than those of a year earlier, and in Japan average prices doubled year on year in Q2, 2022, caused by increase in prices of imported coal by about 2.5 times and LNG by 2 times.

A similar situation prevailed in India. Electricity consumption in Q1FY23 surged to 401 BU, translating into a 18% YoY growth on account of increased industrial activity and heatwave across the country. However, there were supply side constraints on Exchange Platform. Domestic coal was mainly supplied to PPA based plants to meet demand, availability of e-auction coal reduced increasing e-auction price by 400%. There was a significant increase in both imported coal and gas price. As a result of this generation from imported coal-based plants and gas-based plants also reduced.

The increase in electricity consumption and skyrocketing input costs, led to an increase in the prices on the exchange. The average Day Ahead Market prices increased to Rs 7.7 per unit during the quarter.

As on 30th June 2022, the total installed capacity of power generation in India stood at 404 GW. The renewable capacity at 161 GW, contributes approximately 40% to the installed capacity. The growing contribution of renewable energy is aligned to India's commitment of 500 GW from renewables by 2030 made by Honorable Prime Minister at COP26 Summit held in November'21 at Glasgow.

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highlights are : CERC issued order on 7th June 2022, approving the much-awaited Long Duration Contracts for trading up to a period of 3 months. These contracts are called as Term Ahead Contracts. This will facilitate the DISCOMS to cater their demand for longer duration within the short-term market and optimize their procurement cost. This will increase market share of Exchanges in the overall power market.

CERC issued Connectivity and General Network Access to the inter-State Transmission System Regulations, 2022 on 7th June 2022. This will Streamline transmission charges being paid by the market participants and simplify obtaining transmission access for carrying out transactions. GNA will rationalize transmission charges for exchange transactions and will further promote deepening of markets.

Subsequently on 11th June 2022, CERC issued draft sharing of ISTS charges and losses regulations to ensure avoidance of duplication of transmission charges in collective transactions.

On 6th June 2022, MoP issued Final Electricity Rules 2022 for promoting renewable energy through Green Energy Open Access. As per the rules, consumers with contracted demand of 100 kW and above shall be eligible for green energy

open access except for captive consumers. Certain relaxation on open access related charges have been also provided to the consumers. For green open access consumers, there is no additional surcharge and CSS has been capped at 50% for the year in which OA is granted, for a period of 12 years from Commencement of Operation Date. This move will not only incentivize the consumers to go green but also improve participation of these consumers in the Exchange market.

On 3rd June 2022, MoP notified Late Payment Surcharge and Related Matters Rules 2022. The key highlights include: all distribution licenses to intimate the schedule for power draws on day ahead basis from the generating company with whom they have the PPAs by 10am and thereafter, the generating company will have the option to sell the un-requisitioned power in the Power Exchange. Same has been captured by CERC in the draft grid code.

If the discoms doesn't establish payment security mechanism or continues to default for a period of 30 days from expiry of the notice, then GENCO's can sell 100% of the power through the Power Exchange. These regulations will help increase sell side liquidity on the power exchange and will be hugely beneficial for market development.

On 9th of May 2022, CERC issued terms and conditions for trade of renewable energy certificates. This will create fungibility of RECs issued irrespective of type of renewable technology and will provide flexibility to the RE generators to sell the power in the green markets or in D AM market and get REC.

These initiatives are aimed at creating an efficient power market and will lead to further deepening of the exchange market in the country.

The quarter begun on a challenging note for IEX, and we witnessed high input cost and capacity outages across the country due to shortage of coal. This led to a reduction in sell side liquidity on IEX. In day ahead market we witnessed purchase bids of almost 25.9 BUs while the sell bids were only 17.3 BUs, leading to an increased clearing price of Rs. 7.7 per unit during the quarter and reduction in clearing volume to 11.3 BU in day ahead market.

Despite these challenges, in Q1 of FY '23 the total volume at IEX stood at 23.4 BUs, a 10% year-on-year increase from 21.3 BU a year ago. The conventional power market contributed 20.6 BU consisting of D AM volume of 11.3 BU, which reduced by 21% whereas the RTM market, the volume was 6.2 BU which increased by 34.5% year-on-year basis and the TAM market volume was 3.1 BU, which increased by 127%. Increase in volume was primarily driven by increase in electricity consumption in states like Uttar Pradesh, Andhra Pradesh, Punjab, Haryana, and Telangana.

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lakh certificates, which is equivalent to 1.2 BU.

I'm delighted to share that on 27th June 2022, we have successfully launched the much-awaited longer duration contracts on the exchange platform. We have introduced any day single-sided contracts, daily and monthly contracts up to 90 days. This will help us augment our presence in the short-term market.

With customer centricity at the core, at IEX, our endeavor has always been to advance and strengthen Exchange technology and introduce innovative products and services to provide the best-in-class experience to our customers.

In this regard during the quarter, we launched the web-based bidding platform to provide our customers anytime, anywhere, easy, and secure access to the trading system. Web-based financial reconciliation for our customer, enabling online and easy way of reconciliation for the exchange-based transac

tions, and Application Programming

Interface (API) facilitating automated bidding in the integrated day ahead markets, and renewable energy certificates market.

I will now briefly touch upon development regarding the gas market and IGX. In Q1 FY'23, IGX traded 4.7 million MMBtu in volumes with record number of trades. This is despite a massive increase in gas prices. On an average, during the quarter, the Platts WIM prices per MMBtu Ex Dahej terminal increased to \$32.6 from \$9.40 a year ago. Also, we added 4 new members into IGX including OPAL, HPCL, SHELL, GSPC taking the total number of registered members to 30. IGX achieved a profit of Rs 1.15 Cr during the quarter as compared to a loss of Rs 1.52 Cr in Q1 FY'22.

During the quarter, IGX received PNGRB approval to commence domestic gas trading. This approval will lead to new opportunity for sale of domestic gas and price discovery through exchange market besides increasing the sell side liquidity.

It gives me immense pleasure to announce that recently IGX was conferred with the 'Best Energy Startup of the Year' award in the non-renewable category at the ET Energy Leadership Awards 2022.

I will now come to the financial and business performance for Q1 FY'23. On a consolidated basis, revenue for Q1 FY'23 increased to Rs. 113.4 crore from Rs. 102.9 crore in the first quarter of the last year, witnessing a growth of 10%. The PAT grew from Rs. 62.1 crore to Rs. 69.1 crore with a growth of 11% on year-on-year basis. The key highlights of Q1 FY'23 include: IEX achieved 10% year-on-year volume growth across all segments. The conventional electricity market achieved 2% year-on-year growth with a total volume of 20.6 BUs out of which day ahead market constituted 11.3 BU, term ahead market 3.1 BU and real-time market 6.2 BU.

The green market achieved 62% year-on-year growth with a total volume of 1.5 BU, of which the green term ahead market constituted 0.4 BU and the green day-ahead market constituted 1.1 BU. And we traded 11.97 lakh RECs during the year, which is equivalent to 1.2 BUs.

The quarter gone by has witnessed an unprecedented energy crisis. Going forward, we expect the energy crisis to ease with the initiatives taken by the Government and Regulators, an increase in the coal production by CIL and softening of input costs.

At IEX we are now working to commence other market segment such as ancillary market, capacity market, gross bidding contracts and are optimistic about commencing them shortly. In Q1 FY'23, we witnessed a significant 1.8% year-on-year growth in the overall electricity consumption in the country. If the growth in the electricity consumption continues at a similar pace, we expect IEX to maintain the growth momentum we have seen in the past.

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Page 5 of 17 Our endeavor is to continuously innovate, strengthen technology and introduce new market segments and products to help the market participants meet their dynamic requirements. We are also continuously assessing new opportunities to diversify.

With that, I shall conclude by thanking all of you and we will commence with the Q&A session now. Thank you.

Moderator: Thank you very much. The first question is from the line of Mr. Sumit Kishore from Axis Capital Limited. Please go ahead.

Sumit Kishore: Sir, my first question is that month-to-date electricity volumes on IEX in July are down over 10% YoY. HPX started with TAM volumes on 6th July and PXIL has gained some market share compared to previous years in Q1 FY '23. Could you please speak about the competitive landscape, the likely impact of RTM and DAM launch by HPX in coming days? That's my first question.

Satyanarayan Goel :

Yes, HPX has started operation from 6th of July with only one segment which is Day Ahead Contingency (DAC) market, a place where you have continuous price matching. In this market, the volumes transacted are lower. If you see, DAC market volume is hardly about 1.5-16% of the total electricity volume.

Out of that 1.5-16% they have been able to get almost about 17% of the volume. During the quarter the prices discovered on the exchange platform were very high in the day ahead market, and even with the price cap of at Rs. 12, many of the distribution companies were not able to get power. To avoid that many distribution companies started doing transactions in the TAM market so that they have assurance of getting power on weekly and daily basis, and day ahead basis.

And in the TAM market, as you know, that it is not a price discovery, it is a price matching process, all exchanges are at par and as some of the exchanges had given some promotional scheme, they could get some volume.

But I can tell you one thing that in the first quarter our market share has been almost about 85% and in the month of July, we are maintaining a market share of almost about 89%.

Sumit Kishore: Okay. Just a follow-up on this point, we understand that HPX is also going to launch products equivalent to day-ahead market or real-time market in the coming days and they count among their shareholder entities like Haryana, West Bengal, Manipal etc. Does that mean that, although, you have a dominant market share in DAM and RTM, is it possible that competition can chip away on market share?

Satyanarayan Goel : Let them first launch these products only then we can say anything. PXIL also has both of these products including important market players as their shareholders. Despite that we have been maintaining our market share in these market segments. I would not like to comment anything till we see their performance in this segment. As an exchange platform we must do something that will provide value to our customers, like, innovation, add new products, provide a robust technology platform. And that is what we have been doing. I think in the last two years, the kind of new developments, new products, and new customer centric activities which we have carried out, we should be able to retain our market share.

Sumit Kishore: Fair point. My second question is, what is the pricing discipline that you are seeing by competition? We understand that PXIL has been offering incentives on the RS. 0.04 in term ahead market and REC. Is HPX doing the same? And if at all, is IEX planning to follow suit or are you already providing incentives in RECs?

Satyanarayan Goel : We have no such plan in the electricity market.

Sumit Kishore: Okay. Last question, there has been launch of the longer duration contracts, finally. So what is the initial experience and what is the expectation for the balance fiscal in terms of adoption of the LDCs? Is the financial health of discoms going to be sort of a roadblock
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Page 6 of 17 in getting them onboard for contracts where they are in the habit of not paying up in the normal payment period? How would working capital work out?

Satyanarayan Goel : See, we launched this long duration contract from 27th June '22, and we are seeing a lot of interest in this market segment. We have done couple of reverse auctions also. But the only problem is today in the market coal availability in the auction space is very less. Last year coal auction was about 28 million tonne whereas this year, it was only about 9 million tonne leading to price in the e-auction market increase by 400 times. The rate which is being quoted by the generator in this long

duration contract segment is pretty high at the order of Rs. 6-8. And distribution companies are not willing to enter into a purchase agreement for 2-3 months at this high price because they have apprehensions about the prices coming down.

The day ahead market is the last opportunity for them to buy power at this rate but in the term ahead market, they are not willing to get into contracts at higher rates. Therefore, no transactions have materialized, but we are getting interest.

And as far as the payment is concerned, I don't see any issue. In 2008 when we started our day ahead market at that time also, the financial health of the distribution companies was in fact worse than what it is today and at that time also nobody was comfortable that distribution companies will make advance payment, but they did it because they found value in the exchange transactions. So here also in the long duration contracts if they find competitive price discovery happening, I'm sure payment will not be an issue.

Moderator: Thank you. The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar: Good afternoon, sir, and congratulations on a decent set of numbers. My first question is, in your opinion, the late payment surcharge rule to schedule distribution companies by 10am, is this likely to be a very material event in medium-term for our volumes?

Satyanarayan Goel : Yes, I can tell you one thing that this can be a big booster for the day ahead market because if you look at the power capacity of central generating companies, it is almost about 80,000 MW and out of that, the power which is unrequisioned, even if it is 2-3% then also it can be almost about 20 BU. That's a rough estimate which I made. And if that kind of power comes to Day-ahead market, it can provide a lot of liquidity.

Mohit Kumar: Understood, sir. Secondly on the ancillary market, gross bidding contracts, capacity market, is there any timeline, which you can share with us, when do you think all these three can be implemented? And I understand there is no regulation of capacity market as of now, is that understanding correct?

Satyanarayan Goel : Yes, for ancillary markets CERC has already issued regulations, but that will be implemented after finalization of the grid code, which may take another 2-3 months' time. Gross bidding, we have already filed our petition with CERC and CERC hearing has happened. They wanted us to do the stakeholder consultation which we did, filed our submissions with CERC. So the order is reserved. We are working with CERC for the approval, and we should get approval, I think, in the next couple of months.

And third is capacity market. Capacity market is there in the European market but is a new concept for India. We are working with the Government and the Regulator. As I understand the new electricity policy which is under approval, talks about this capacity market concept and is being discussed to have adequate resource planning in the country. If you want to deepen the short-term market, you need capacity market also in the country. So, this is, you can say, at the concept stage, and it may take some time.

Mohit Kumar: What is the revenue of IGX in Q1 FY '23? Only revenue number?

Satyanarayan Goel : Vineet?

Vineet Harlalka: IGX operating revenue was almost Rs. 4 crore - Rs. 3.9 crore.

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Page 7 of 17 Satyanarayan Goel : RS. 3.9 crore.

Moderator: Thank you. The next question is from the line of Swarnim Maheshwari from Edelweiss.

Please go ahead.

Swarnim Maheshwari: Sir, my first question is, on your Rs. 0.02 transaction fees, CERC had asked you to justify on the transaction

fees, so where are we in terms of that?

Satyanarayan Goel : We have submitted our petition with CERC and hearing was held. We are expecting that order should come in another one month's time.

Swarnim Maheshwari: Okay. So the order is reserved.

Satyanarayan Goel : Order is not reserved. One of the parties had requested time for making their submissions and CERC allowed them to make submissions within the next 15 days . They have made the submission so we must now respond to their submissions and after that CERC may hold one more hearing and then they will issue the order .

Swarnim Maheshwari: All right. And sir, where are we in terms of gross bidding contract . You had launched that new product, which is more of the individual level. So how we are progressing on the gross bidding mechanism?

Satyanarayan Goel : See, for any new product, there are many ifs and buts. We filed with the regulator, regulator is also analyzing all aspects of it and asked us to do stakeholder consultation. We discussed with the stakeholders, and they understand that yes, they can get some value out of it.

But looking at the distribution companies , I think only when we implement this product, we'll get some overall response from them. Otherwise they are quite positive about this product. We have filed our submissions with CERC and let's see when we get the approval. Since it's a new concept , it will take some time.

Swarnim Maheshwari: Okay. Can we expect that in FY '23, sir?

Satyanarayan Goel : Yes. We are ready to launch it.

Swarnim Maheshwari: Okay. Sir, in terms of financial question, we have seen there is a sharp increase in other expenses in this quarter. So any one-off over there?

Vineet Harlalka: Mainly there are two factors . If we look at the consolidated number on a year-on-year basis, the increase is around Rs. 2.7 crore. This is mainly because of CSR . As the CSR expenses increased to almost Rs. 2.5 crore . This is our statutory obligation. Last year, it was spread over 2-3 quarters and this time because we incurred these expenses , all were booked.

And secondly if you can recall during the Q1 FY '22, because of COVID second wave , no activities were being taken like traveling, business development and other activities which are now fully functional. These two are the major impact. CSR was the major impact on the increase in cost this quarter.

Swarnim Maheshwari: Okay, sir then my last question, if you look at your cash and cash equivalents including the liquid investments. It's almost up 80%, almost about Rs. 1,250 crore and that's kind of a drag on the ROE as well. I'm pretty sure that there are some security deposits included in that. Even if you were to adjust that's a very significant amount of your balance sheet size now, how do we plan to deploy this? I mean, are we just going to sit on cash or is there some plan over there?

Vineet Harlalka: These are basically the deposit amount or the float which we received for the pay in and payout obligation . Because of the sudden increase in the pay in , driven by higher prices , this is the float we have to maintain for the payout obligation.

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Page 8 of 17 Whatever surplus amount we have is already invested into the FDs and other things. We are looking and taking care of all the investments .

Satyanarayan Goel : We have almost Rs. 670 crore of shareholders' money and out of that we are going to pay

dividend which will be about Rs. 90 crore. That will leave almost about Rs. 570 crore with us for which we can look for investment options.

We are working on few opportunities, and diversification initiatives. As and when that materialize, we'll use the money for that.

t. We also need, maybe Rs. 150-200 crore for our day-to-day operations.

Moderator: Thank you. The next question is from the line of Nikhil Nigania from Alliance Bernstein. Please go ahead.

Nikhil Nigania: My first question is regarding power supply. As you mentioned, supply has been less than the demand in the exchange in the first quarter, and going forward, if you see most of the power plants coming up are either on the thermal side, - either NTPC state government plants or in the private side, they are renewable power plants, which are typically locked in PPAs. Given that, how do you see the exchange sustaining strong volume growth going forward, given the future supplies being locked in PPAs?

Satyanarayan Goel : On exchange platform there are two types of sellers. One is distribution company themselves selling power because they have surplus on real-time basis depending on the demand and supply position, and there are cases when they have PPA, capacities, in excess of their demand. If the exchange clearing price is reasonable, they sell power on the exchange platform. In fact, last year the sales by distribution company was more than 50%.

And then we have generating companies which sell power. On the generation side also, we have almost about 10,000 MW capacity available through the merchant route.

Earlier, even imported coal-based power plants were participating because the imported coal prices were lower. That is another 10,000 MW capacity. So, capacity wise I don't see any challenge. Only problem is, now the auction rates and imported coal prices have increased that is why generating companies are selling power at higher price leading to higher clearing prices on the Exchange and the clearing volume is also slightly lower.

Nikhil Nigania: Got it. My second question is on the competitive landscape, this question came up earlier regarding transaction charges on the exchange from the competition. On this there was one filing by the Hindustan Power Exchange to CERC requesting for permission to give volume linked discounts in transaction charges. And please excuse my understanding, what I could see is even IEX had filed the request for liberty to charge anything up to Rs. 0.02 on the platform. So how do you see this evolving and going forward if PTC were to give volume linked discount to its customers?

Satyanarayan Goel : You said the PTC starts giving volume discount?

Nikhil Nigania: PTC's exchange, Hindustan Power Exchange, yes.

Satyanarayan Goel : Okay, that is Hindustan Power Exchange. I think you should correct that. That is not PTC Exchange that is an exchange which is promoted by BSE, PTC and ICICI.

Nikhil Nigania: Correct.

Satyanarayan Goel: And PTC is not trading there because PTC cannot trade there as per the regulations. Anyway, so coming back to your question, see they are a new exchange, they are giving promotional discounts. I don't know how long that will continue. As per the market reports I understand they intend to give for the first 21 days and after that for the three months maybe some further discount. We don't want to get into this. We will continue to maintain our transaction fees, what we have been charging. And I think the values, which we provide to the participants, we will continue to work on that and I'm sure that will help us in retaining our market share.

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Moderator: Thank you. The next question is from the line of Ankush Agarwal from Surge Capital. Please go ahead.

Ankush Agarwal: Sir firstly, can you talk about the derivative segments like when should we expect that? Would it be once we get substantial volume on long duration contracts or will it begin with out that?

Satyanarayan Goel : Derivative contracts will be launched by the commodity exchanges.

Ankush Agarwal: Yes, but since we have partners , we would have some expectation as to when it would be launched.

Satyanarayan Goel : There is a joint working group, and they have to approve that contract because we have a spot market in electricity so that contract should not have any adverse impact on the spot market and particularly during this kind of turbulent conditions . I think it will be approved in the next 2-3 months and we may see derivatives in electricity market. That should also help increase volume in the long duration contracts as that will provide some visibility to the market participants.

Ankush Agarwal: Sir secondly, on the overall pricing thing, would it be possible for you to share what kind of transaction fees Hindustan Power Exchange is charging currently?

Satyanarayan Goel : For what?

Ankush Agarwal: My question was, would it be possible for you to share what kind of lower transaction fees Hindustan Power Exchange is charging currently?

Satyanarayan Goel : I understand they have issued a circular and my colleague, Mr. Rohit Bajaj will respond to this.

Rohit Bajaj: So their transaction fee is the same. They have approval to charge Rs. 0.02 on either side , but they have come out with promotional schemes, wherein for the first 21 days, they are giving complete waiver. It is going to end because they started on...

Ankush Agarwal: Complete waiver?

Rohit Bajaj: Yes, 21 days it is complete waiver. And then for next 1-2 months, they are giving some 10-20% sort of a discount on the transaction fees. This is what we understand.

Ankush Agarwal: Okay. So for first 21 days there is no transaction fee and then for next 1-2 months, there will be 20% discount ?

Rohit Bajaj: Something like that. 10 -20% discount over transaction fees.

Ankush Agarwal: Okay. So, sir, historically based on PXIL , what kind of effect we have seen this play out ? Does that attract volumes like historically based on the PXIL would have given such kind of discount , have you seen that attracting volumes?

Rohit Bajaj: No. Other exchange has also adopted this practice in the past and they have restarted their day ahead market multiple times but we have been maintaining very decent market share and we hope that the kind of value that we are providing to our customers, the kind of liquidity we have, kind of participant base we have, kind of robust pricing that we have, these are the elements which are more important than these small discounts that other exchanges are considering.

In the past also, they could not succeed because of this and going forward also we are hopeful that we would be able to maintain our market share and won't have to cut down on the transaction fee.

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Page 10 of 17 Moderator: Thank you. The next question is from the line of Bharani Vijayakumar from Spark Capital. Please go ahead.

Bharani Vijayakumar: My first question is on the market share you had mentioned, 85% in the first quarter and

89% in the month of July. I presume it is in the TAM market. Am I right, sir?

Satyanarayan Goel : Our share is almost about 85% in the first quarter for all products taken together. We have electricity market consisting of DAM, GDAM, RTM, TAM, GTA M, everything to consider.

Bharani Vijayakumar: Okay. And in TAM you had mentioned the new entrant had garnered around 17%.

Satyanarayan Goel : Yes, that is on the DA C. In TAM also there are multiple products like intraday, day ahead contingency, daily contracts, weekly contracts but they have only launched day ahead contingency market and in that they have 1.7% market share.

Bharani Vijayakumar: Okay. Coming to our sell bids in Q1 FY'23, can you share the proportion of sell bids from discoms and generators separately for this quarter and the same quarter last year?

Satyanarayan Goel : Yes, the sell bid from discoms were about 56% and from generator about 44%.

Rohit Bajaj : This was last year.

Satyanarayan Goel : Okay. This year, from discoms it is 46% and from generator it is 54% because there was a high demand with discoms.

Bharani Vijayakumar: Yes, obviously the supply situation was tight so discoms did not have surplus power. Okay. And on the buy side what is the percentage of open access, sir?

Satyanarayan Goel : Open access volumes have reduced significantly and is just about 4% now which is the industrial consumers and then another 6% by the captive industries like Vedanta, Arcelor Mittal, and Balco like that. So you can say total about 10%.

Bharani Vijayakumar: Okay. This obviously because the prices have increased so.

Satyanarayan Goel : Yes.

Moderator: The next question is from the line of Ankur Agarwal from Phillip Capital. Please go ahead.

Ankur Agarwal: Thank you for the opportunity. Just wanted to check, about the sell side liquidity issues that you mentioned during the quarter, if you can share some developments compared to the previous quarters and what was the situation during this quarter and how do we see it evolving? Because coal availability issues were there also earlier and now probably going forward, we could probably see continued availability issues there. So how do you see the situation over the next couple of quarters panning out?

Satyanarayan Goel : This situation is continuing, only thing is because of monsoon, the demand has reduced due to which the clearing price has come down. But on sell side, the price being quoted by the generators is high as the purchase cost for the coal is quite high. So when they buy coal at the auction price, the variable cost is itself about Rs. 5 plus for them. And that is why on the sell side, we are still seeing challenges.

Ankur Agarwal: And sir these are mostly the imported coal-based plants?

Satyanarayan Goel : No, these are all domestic coal-based plants. Imported coal-based plants, variable cost is Rs. 8 plus side.

Ankur Agarwal: Okay. And over the next quarters we do see some volume impact coming because of...

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Page 11 of 17 Satyanarayan Goel : See, the production of coal has increased. So coal stock position also has improved now. Maybe most of the states and generating companies are keeping coal to meet the demand of the month of September, October the two critical months. But thereafter I'm 100% sure that the supply situation will improve, and you will see good liquidity on exchange platform.

Ankur Agarwal: Okay. And Sir, second question was on the employee expenses on a sequential basis, we saw a significant decline. Is there any particular reason for that or is there any dynamic that you would like to share on that? Thank you.

Vineet Harlalka: If you look at it on a year-on-year basis, there are two factors which are declining. Last year numbers included IGX manpower. Now, IGX numbers are not consolidated on the balance sheet basis, being an associate company. So that impact is of around Rs. 1.5 crore.

And secondly, there are some structural changes into the CTC structure, some impact was there during the June quarter last year. And overall, this year because of few attritions, the cost was lower. These are the impacts on year-on-year basis. And if you look at the quarter-to-quarter comparison, the decline was because there's a onetime expense of the variable pay

adjustment during last year which was booked during the March quarter.

Moderator: Thank you. The next question is from the line of Lavanya from UBS. Please go ahead.

Lavanya Tottala: Sir, I just wanted to know your opinion on implementation of market coupling and MBED. Do you see any potential implementation of market coupling without MBED happening?

Satyanarayan Goel: I haven't heard this topic in the market from the last 7-8 months. This story is over. Nobody is talking about it now.

Lavanya Tottala: Okay. Both MBED and market coupling, right?

Satyanarayan Goel: You see market coupling makes sense only when MBED is implemented. And that is how the discussion paper of the Government of India which was issued also mentioned that the first phase of MBED where the generating stations of the CPSUs were covered, that was without market coupling. And based on the experience of Phase I implementation if they want to extend it to the state also, then maybe market coupling can be considered. But even Phase I itself is difficult to implement. Under the kind of situation which took place in the month of March-May, world over energy markets are under review. Australia, they suspended the energy market operations for two weeks. UK, they are relooking at the market design now.

In India, our situation was much better, mainly because we had almost about 85% of the demand through the PPAs. So there was no abnormal increase in the cost. I think our market model from that point of view is working very well. We have to slowly increase the liquidity in the short-term market so that market participants also get used to that.

Lavanya Tottala: Got it. One more thing on long duration contracts, sir. There is a difference in price discovery of long duration contract. So can you just help me understand how is it different from our traditional previous term ahead price discovery?

Satyanarayan Goel: In the term ahead, we had matching contracts also and open auctions also. Now in the term ahead market, the matching option has been discontinued by CERC. So it is going to be only open auction. And another concept is now reverse auction. Reverse auction, the way the prices are discovered on the DEEP platform. The same mechanism is also now being approved for exchange transactions for longer duration contracts.

Lavanya Tottala: Okay. Thank you. If I may squeeze in last question, what is the open access users' volume contribution previously as now it is around 4% is what you highlighted. How was it before when situation was normal?

Satyanarayan Goel: I think it was about 1.2% last year during the first quarter.
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Lavanya Tottala: Okay. And captive?

Satyanarayan Goel: Captive were around 4-5%. See, captive come to the market because if they are not getting coal, then they come to the market. Last year, the coal supply situation was not bad so captive contribution was less.

Moderator: Thank you. The next question is from the line of Sri Karthik V. from Investec. Please go ahead.

Sri Karthik V.: A question, can you tell us, our market share in the DAM and RTM segment for the quarter? Thank you.

Satyanarayan Goel : In the RTM segment, we practically have 100% market share, and in DAM it is 99%

Sri Karthik V.: Also sir, on the stakeholder stance on MBED, if you could help us understand where does NTPC, the Government of India and CERC stand with respect to how they're thinking about the implementation? That's all, thank you.

Satyanarayan Goel : I told you, from last one year I have not been hearing anything about MBED. There are many issues involved in implementation of MBED. And the first thing is the consent of

the states . From what I understand , most of the states are not in favor of MBED because at present it is the state who has to arrange the supply of power to the consumers of the state. Under MBED, it becomes a central dispatch system and states will have no control . Under this kind of situation there will be many states who have supplied power but under MBED maybe they will not be able to supply that kind of reliable power because their share will be taken by somebody else. As of now, there is no discussion on MBED , and I don't think it will get implemented.

Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund. Please go ahead.

Dhruv Muchhal: Sir, on the Slide 35, you have mentioned about the late payment surcharge rules where before 10 a.m. we have to schedule power . So what's holding it back? I mean the rules are already notified. So what steps are required for this to get implemented now?

Satyanarayan Goel : See the scheduling of power happens as per the CERC regulations only. Rules issued by Government of India has been considered by CERC and in the draft grid code they have included this provision that distribution companies shall give their draft schedule by 9 o'clock.

Dhruv Muchhal: Okay. So once the draft code is confirmed only then these rules will be enforceable?

Satyanarayan Goel : Yes. You're right.

Dhruv Muchhal: Okay, got it . And sir this is in the draft stage right now. So after that is the public hearing and then the final regulations will come. Is that correct?

Satyanarayan Goel : Yes.

Dhruv Muchhal: Okay. And sir the second question is on the LDC market design, so you mentioned currently I believe for TAM market you're following the open auction mechanism. And you are also planning to implement a reverse auction as per CERC. And sir currently the DAM market is what design?

Satyanarayan Goel : For the TAM market, we have already implemented the reverse auction. And we have also carried out couple of reverse auctions. For the DAM market, it is a double -sided closed auction.

Dhruv Muchhal: Okay. But sir isn't the regulator allowing double -sided closed auction in LDC market?

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Page 13 of 17 Satyanarayan Goel : Double -sided closed auction is effective in a market where there is a very high liquidity. In case of DAM market , we have almost about 800 participants participating where you have more than 200 generator sell side participants and 600 buy side participant. So there is effective price discovery which can take place. If you adopt this kind of a model in a long duration contracts where the participants are 2-3, then price discovery will not happen. So that is why open auction is normally adapted for that kind of a situation. Open auction or reverse auction .

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

Ramesh Subramanian: Can you share some thoughts on how your gas exchange is performing, and how you see the gas trading volumes pick up effectively given that gas prices have gone up sharply compared to last year, how do you see that impacting volumes and how do you see the prospects for the volumes here over the next, two, three years?

Satyanarayan Goel : See, under these difficult conditions, gas exchange I will say has done very well. Their volume during the last year has increased every quarter and they did almost about 1.20 crore MMBtu and we did a turnaround in the first year of operation itself. So that was a wonderful thing, I must say. And now also, you know the gas market conditions. In spite of very high price of \$30 -35 in spite of the fact that LNG import is not hap

pening in that big way, still they are doing decent volume and in the first quarter, have made a profit of Rs. 1.15 crore, after meeting all the expenses.

July month also, so far they have done good volume. I'm sure there is good opportunity in the gas exchange. And I personally believe that if the gas prices come down to \$6 -7 which used to remain earlier, then the opportunity for the gas exchange is as big as what we are doing in the electricity exchange.

Ramesh Subramanian: That's very interesting. So if you had to extend this to the energy saving certificate and India's progress towards green transition, how do you see your power exchange and gas exchange together playing an active role in terms of helping both the generator as well as the users of LNG use trading to meet their renewable energy requirement also develop and offset mechanism where they are falling short in terms of reducing the carbon emission objective. So is there anything in process on that? Can you give us some thoughts on that?

Satyanarayan Goel : Can you repeat your question and tell me what exactly you want to know about that?

Ramesh Subramanian: Yes, so in terms of your own perspective on the role Indian Energy Exchange can play both in the power trading as well as gas trading. As we move towards green transition, you're talking about energy saving certificates in one of your slide. In terms of the longer-term role you can play in the country's transition towards green energy.

Satyanarayan Goel : Okay. I'll tell you. Number one, Government of India has now a target of almost about adding 500 GW renewable energy by 2030. And lot of work is happening in that area. We are also interacting with many IPPs, many developers for setting up renewable generation capacities through the market mechanism and we are getting a very good response from them. So that is one area.

Second area is even the carbon market is also getting a lot of traction. And renewable energy certificates and the energy saving certificates, which are now being traded, Government is thinking of stopping transactions of RECs and ESCerts and then they will create a carbon market where these certificates will be converted into carbon credits. And there is going to be a mandatory carbon market for that. In fact, Bureau of Energy Efficiency is working on that and we are closely in discussion with BEE on these issues. So as and when opportunity is there to launch the carbon market, we will launch that. We will be the first to start that market.

Moderator: The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

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Page 14 of 17 Mohit Kumar: Yes, sir, one clarification. Do you think in carbon market, IEX or exchanges will have exclusive role to play, or do you think it will be open to the OTC markets also?

Satyanarayan Goel : Can't say. I mean it depends on what kind of market design is Government adopting. So it all depends on that.

Mohit Kumar: Okay. So when do you think the clarity will emerge on this carbon trading market?

Satyanarayan Goel : By this financial year end something should happen because Government is working on formulating rules of the game. And BEE also has appointed a consultant now to work on the market design.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi: Sir, when will exchange have new MD or Chairman as both post held by same person .

Satyanarayan Goel : I couldn't get your question.

Ravi Naredi: Sir exchange has CMD, one person only. I would like to know when the Chairman or MD will be separate as new exchanges are coming and new aggression is needed in IEX?

Satyanarayan Goel : Your suggestion is that we should separate the Chairman and Managing Director position.

Ravi Naredi: Yes. Previously it was separate only. When the MD resigned, you have taken over the Chairman cum MD. That is my point.

Satyanarayan Goel : Yes, see, I'm sure you are aware why it happened because after my first term of the MD, I was continuing as the non-Executive Chairman of the company. And since the MD resigned suddenly, so to ensure continuity of the business I took over as the CMD of the company. We are working on the succession planning and company has a plan for the new MD also.

Ravi Naredi: Okay. Yes. And with this new exchange coming, what strategy we are making to compete with them?

Satyanarayan Goel : See, as I told you as an exchange, we have to provide value to our customers. We have to innovate , launch new products, understand the requirement of the customers and design the products to meet their requirement. We have to continuously interact with them, understand their problems, suggest them, tell them how exchange can provide benefit to them. And that is something which we are doing.

If you look at the developments which have taken place in the last two years, the kind of new products which we have launched on the exchange markets , our customer centric initiatives which we have done , technology platform the new developments which we have done on this platform . My colleague, Mr. Amit is here, and I'll request him to brief about some of the initiatives which we have taken.

Ravi Naredi: Okay .

Amit Kumar: Yes, thank you. So we have launched multiple initiatives to improve the experience that customers get from our platform. Some of the key ones have been automated bidding through application programming interface. Then, with this platform, financial reconciliation through web-based systems, auto carry forward of bids from one segment to another so that it reduces the manual effort to transfer bids from one segment to another. These are some of the important customer-centric initiatives that we have implemented, and many more we are working upon to ensure that customer experience with our platform continuously improves and they get best-in-class experience with our platform.

Moderator : Thank you. The next question is from the line of Ankush Agarwal from Surge Capital. Please go ahead.

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Ankush Agarwal: Sir, can you talk little bit about in terms of the pricing that we're looking for the gross bidding contracts? Will we always maintain that there will be some discounts we will be offering? So can you talk a little bit about that? And also, with this discounted pricing that we will do in the gross bidding, do you think that will open up situations wherein the end clients of IEX would be looking for the same kind of pricing in the other segments as well?

Rohit Bajaj : Yes, we have mentioned in the past that when the gross bidding thing will be introduced we might have a different pricing for that. We have not yet decided because it is still little away from implementation. Approval is awaited from regulator. Once we have the approvals, we will do.

Just to answer your second question where you have raised concern if you are going to give discounting price in gross bidding then in the real electricity segment also there could be pressure on the pricing. I don't think that will happen, because when we are asking anybody, in fact, when we are convincing any distribution company to go for gross bidding, we are asking him to put buy as well as sell on our platform. Today, what they're doing is they're placing their bid on net basis. So how much deficit they

have or how much surplus they have, they place bid only for that.

When we are requesting them for gross bidding, then they are placing their sell also and corresponding buy also they are placing at our platform. So we cannot treat both the things at the same level. We have to differentiate, and we don't think that it can cause any impact on our regular pricing on the different electricity segments where we are trading now.

Ankush Agarwal: Yes. Sir, the thought over here is that I had overheard that this gross bidding is basically volume-based discount. Someone who is taking much more volume and liquidity, so we'll be providing discount. So the thought over here is in the regular market if there is some clients, so something like NTPC or all that, who might have a very large volumes, something like PTC, who brings very decent volumes to our exchange. In that case, maybe they might also be of the thought, since we are also bringing a lot of volume, shouldn't we also qualify for some kind of discount?

Satyanarayan Goel : We are not talking about anything volume-based discount. To give you an example, if today a state has 25,000 MW PPAs. And the demand is 20,000 MW, and out of the 25,000 MW, maybe the 22,000 MW capacity is available, what we are saying is, if your baseload demand is 18,000 MW, for the rest of the 4,000 MW sell you put on the exchange platform and 2,000 MW buy from the exchange platform. Exchange will do the optimization for you.

And out of that in the particular time blocks, so if he has sold 3,000 MW and bought 2,000 MW, that means on net basis, he has sold 1,000 MW. So for this 2,000 MW which has been sold by him and bought by him, the price will be different. But for this 1,000 MW which has been sold by him, the price will be normal price, which we are charging. So it will be basically based on this concept. I don't think this has any linkage with the volume-based discounts.

Moderator: Thank you. The next question is from the line of Ankur Agarwal from Phillip Capital. Please go ahead.

Ankur Agarwal: I just wanted to come back to the sell liquidity issue, I mean, right now we are seeing some structural increase in the electricity demand in India in terms of the peak demand that we have seen jumping over 210 GW. There is no new thermal capacity going to come online, I mean limited thermal capacity going to come online over the next 5-10 years and we are focusing more on renewable. So, are you seeing any structural issues with the sell side liquidity that we foresee going into the future? And how do you see that panning out, I mean, with limited thermal capacity getting installed?

Satyanarayan Goel : Yes, this year, there were a few challenges, partly because of non-availability of coal and very high price of imported coal. But it was felt that whatever coal-based capacity we
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Page 16 of 17 have, that may not be enough to make the peak load demand going forward. What I understand that some of the new projects are being taken up now. Very recently, I read in the newspaper NTPC has awarded 1,320 MW new plants and they are working on couple of more plants.

Rohit Bajaj: See, the PLF that we have recorded in the first quarter is about 59% and this is 10-years high PLF. We have never seen this kind of PLF in the past. And last year this number was only 54%. So still a lot of capacity which is available, which will be utilized going

forward as the demand will increase. And if you refer to any of the system operator report, NL DC report, you will find that any given day more than 50,000 MW capacity is non-operational. It is not available because of various reasons.

We feel that there is some capacity still available,

there is a lot more capacity, which is going to come, more than 30,000 MW capacity will get commissioned. More than 10,000 MW is merchant capacity, which is available in the country where the utilization level is very, very low. These plants are not operating because the prices most of the time are not conducive.

So what we feel that as price pressure will be there, prices will start to rise, more and more of this capacity utilization will start and it will increase. Yes, going forward, 2-3 years down the line, we might see some short fall depending on how our demand will increase. But in the near to medium term we really do not see any major shortfall in the demand. We have sufficient capacity available.

The present crisis that we have seen, it is mostly because of coal. The coal prices were high, imported coal prices were high, many of them were not able to buy at that price. And second thing was, certainty is also not there because when you import coal, it takes about one month by the time you start getting coal and you are not very sure whether after one month also the same price would continue. I think these are some of the factors which has caused this disruption. And with the Government measures, the coal production has increased now, the supply to the IPPs have also increased. We are hopeful that in times to come, the situation would be much better and supply side constraints will be eased out.

Ankush Agarwal: Yes, sir. You're absolutely right about the supply side constraints. But the demand side also we have seen a structural shift, I mean, because earlier there used to be a peak demand of somewhere 180 -185 GW and now that has jumped to over 200 GW. Of course, I mean, the summer heat wave had something to do with that, but we are also seeing some increase in the peak demand. Is that fair way to look at it a Iso?

Satyanarayan Goel : So when the demand was 211 GW, even at that time also, we had some capacity which was not operating.

Ankush Agarwal: Right.

Satyanarayan Goel : So as of now for the next couple of years, I don't see any challenge in that. And as Mr. Rohit mentioned that there is already some capacity, which is under construction, which will get commissioned and maybe some new capacity will be taken up. So government and CEA they're all working on all these things.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sumit Kishore from Axis Capital Limited for closing comments.

Sumit Kishore: Yes, thanks a lot to Goel sir and the whole management team at IEX for patiently answering all questions. Sir, if you have any closing remarks at this point?

Satyanarayan Goel : I would like to thank each one of you for being part of today's call. During the quarter we have witnessed a lot of initiatives announced by the Government and the Regulator towards creating a favorable policy and regulatory environment to transform the energy sector. We remain committed in doing our bit towards facilitating India towards building a sustainable and efficient energy future.

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Page 17 of 17 Thank you, friends, and I look forward to our next interaction with you. Till then, wish you all good health and thank you.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Sumit Kishore: Thank you.

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The Manager The Manager

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Sub: Transcript of Analyst Meet 2022 held on September 07, 2022

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the conference call held with Analysts / Investors.

The above information will also be made available on the website of the Company:

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You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

ANALYST MEET 2022

Aparna Garg: Good evening, everyone and welcome to the analyst meet of Indian Energy Exchange. I Aparna Garg would be anchoring the event today.

With us from Management side we have Mr S N Goel Chairman and MD of IEX, Mr Vineet Harlalka -CFO, Mr Rohit Bajaj - Head Business Development, Mr Amit Kumar - Head Market Operations and New Product Initiatives, Mr Sangh Gautam – CTO, Mr Samir Prakash - CHRO and Mr Rajesh Mediratta - MD and CEO of IGX.

We will begin with the opening remarks from Mr Goel. I now invite Mr Goel for the opening remarks, followed by a presentation by Mr Rohit and other Management from IEX.

Satya narayan Goel : Good evening, everyone. Welcome and thank you for joining us today.

After two years of virtual meetings, it feels good to meet you all in person. Today, I along with the Management Team of IEX, will brief you about the different aspects of our business, strategy, outlook, as well as address all your questions.

The Indian economy is gaining traction, despite the global headwinds. As per the 2022 rank analysis of International Economic Resilience of top 10 countries, India is the best performing among major economies in the world. The pace of economic activity continues to remain strong due to the structural reforms undertaken by the Government of India in the last two years. India is also expected to become one of the top three global economies in the next decade. For the fiscal year 2023, the country is expected to achieve a robust GDP growth of 7.4% as per IMF.

The revival of economic activities has led to a significant increase in electricity consumption during FY 22, which was 1,374 BU, an 8.1% growth on YoY basis. During the 1st quarter of this year, the Indian power sector witnessed a peak demand of 212 GW and a very high consumption growth of 18% YoY. The increasing focus by the Government of India on electrification, from cooking to railway traction, and electric vehicles, will contribute significantly to an increase in power consumption in the country. Currently, India's per -capita electricity consumption is only about one -third of the global average. This presents a huge opportunity for the electricity sector, which is expected to grow at a rate of more than 6% p.a for the next few years.

As we know, India aims to become a carbon neutral economy by 2070 and achieve 50% clean energy share by 2030. This commitment has paved the way for a massive transformation in the energy sector. Our honourable Prime Minister, in his address to the Nation on the eve of

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the Independence Day, announced the

launch of National Hydrogen

Mission to accelerate plans to generate carbon -free fuel from renewables with an aim to achieve self -reliance in energy by 2047. The country is also witnessing faster adoption of electric mobility which will help increase demand for electricity, while addressing the pressing challenge of air pollution. Electric storage is expected to make inroads as well. The increase in the proportion of renewables in the overall energy mix will change the way energy is traded.

Renewable capacity is going to be distributed all over the country and could range from kW to GW.

An individual who is maybe a seller sometimes, when he has the solar power on the rooftop, can maybe a buyer in the evening hours, and for doing transactions with these entities who are scattered throughout the country, it is only possible through a market -based approach.

In India as well, government has taken cognizance of this crucial role played by the energy markets and keeping that in view, Government of India in the draft national electricity policy has made a projection of increasing the spot market to 25% of generation in the next 3 -4 years. The green market will also encourage RE rich states to increase the capacity beyond RPO obligations, because now these states will be able to sell the surplus power in the market.

We also note that many of the IPP's now are considering to set up their green generation capacities partly through PPAs and partly through the market based approach. In fact, some of them are even considering to set up 100% capacity through the market based approach.

Market will serve as a catalyst for accelerating renewable generation capacity addition in the country. We have seen that developed countries with well-developed power markets such as European Union, UK, US have adopted market -based models including contract for difference, and are very successful in doing capacity addition through this model. In such economies, power exchanges have played a crucial role in reducing cost of RE integration.

Recently in UK they did 4th round of e-auction for renewable capacity addition through the market -based model and almost about 11,000 MW capacity is now being added through the market -based model in UK under the 4th round taking the total capacity addition to 30 GW through the market -based model. This shows that market -based routes for large RE capacity addition has been successful and well accepted by the developers. Similar models have been adopted by Germany and many other countries across Europe.

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Recently IEX, along with SECI, had appointed Deloitte to do a study to explore possibility of market -based renewable capacity addition options in India and from the study we note that a developer will be able to generate higher IRR by setting up capacity through the market -based model, compared to the PPA route.

Deloitte did the study based on the marginal cost of power and did the price projections for the next 15 years. They found that IRR for market -based models will be around 20%. I'm sure this kind of study will encourage IPPs to adopt market -based capacity addition route. Indian government and regulatory bodies have been proactively interacting with the key stakeholders of the industry to formulate policies that are favourable for the sector and will help deepen the power market within the country. Some of the recent developments include:

Introduction of Long duration contracts, which was approved after almost about 11 years of jurisdiction issue. They were approved in the month of June. We have already launched the long duration contracts upto 90 days. Ancillary service regulations, these will be done through the market -based approach; National Open Access Registry; Connectivity

and General Network Regulations . Discussion on GNA was started sometime in 2013 I believe

and now in 2022 regulations have been issued and it is expected to be implemented shortly.

Draft sharing regulations and draft grid code have been issued. This also will be finalized shortly. One thing good about all these initiatives is that these are more market friendly and my colleague Mr Rohit Bajaj will be discussing about this in detail in his presentation .

The cumulative effect of these regulatory initiatives is certain to benefit our country, energy markets , and will go a long way in creation of a transparent, efficient, and secure power market in the country.

As an energy market Pioneer IEX, continues to make significant contributions toward helping India build a sustainable, energy efficient economy.

We remain committed to our customers in procuring uninterrupted 24/7 power in the most competitive, flexible, transparent, and efficient manner. With the customer centricity at the heart of our operations, we are continuously working towards enriching the experience of our customers across all touchpoints, including registration, bidding , physical delivery, and financial settlement.

We have introduced value added services for renewable power producers to garner forecasting services and solutions from the top 3

empanelled service providers. We have empanelled couple of service providers which are international service providers.

As a technology led energy marketplace, we are continuously working towards leveraging technology innovations, and automations to provide intuitive, seamless, and best in class solutions to the market participants. With a comprehensive product portfolio to meet the diverse needs of our customers , provision of data Insights , Member API across products, state of the art technology, automation and web portal , will help us in creating true customer delight.

Our technology offerings and customer experience initiatives will be discussed in detail in the upcoming presentations by Mr Amit and Mr Sangh .

IEX continues to constantly innovate and introduce new products to meet the evolving needs of the market. Last year we introduced Green Day ahead market in October 2022 and this market has also seen significant participation from our participants. In 2022, we also started the cross -border trade. With that we have created a South -Asia regional market. In this region Nepal and Bhutan have already started transactions and Bangladesh is expected to join shortly.

I'm sure with this, these countries will be able to utilize the energy resources in most optimal manner.

It gives me immense pleasure to share that our Indian Gas Exchange has achieved financial break even in the first full year of its operation and continues to grow every quarter.

In line with the ambition of Government of India to increase consumption of gas from 6% to 15% by 2030 in the overall energy basket of the country , Government and PNGRB are taking many initiatives to deepen the gas market in the country because they believe that this kind of increase in the gas consumption can be achieved only through a liquid gas market, and they have now initiated the process of rationalization of transportation tariff. The government has proposed to set up a transport system operator which will manage the entire gas infrastructure and they intend to bring gas under GST . I am sure these initiatives will further deepen the gas market in the country. We are closely working with the government at various levels to help India become a market led gas-based economy. My colleague Mr Rajesh Mediratta will talk about gas exchange in detail.

Our honourable Prime Minister has set an ambitious target to make India a developed country by 2047. This aspiration coupled with greater 4

penetration of electricity and focus on renewable provides an enormous opportunity to the exchange markets.

As the electricity consumption is expected to grow

row at a rate of more than 6% in this decade coupled with reluctance of discoms in getting into long term PPAs, we expect power market to deepen further and as the Indian power market matures, we will evolve with it to meet the changing requirement of the customers.

I am delighted to share with you that we are now working on new products such as ancillary market, gross bidding, capacity market etc. Similarly, there is a huge opportunity in the gas market.

The massive transformation in the global and Indian energy sector has created several opportunities for IEX and we are exploring new marketplaces. With the enactment of Energy Conservation Act 2022, which talks about the carbon market in the country, Government of India is considering to create a mandatory carbon obligation which will provide the opportunity for us to set up a carbon exchange in the country.

We have also appointed a consultant to suggest us about the different opportunities which are available in the carbon space.

Further Ministry of Coal is also considering to bring market framework in the coal sector. In fact, they have appointed consultant to suggest framework for setting up a coal exchange in the country and we are actively interacting with the Ministry of Coal and we are looking forward to their regulatory and policy support for setting up first coal exchange in the country.

With the launch of new products, investment in technology and innovation, customer centric activities we expect to achieve a growth rate what we have done in the last 5 years, which is about 20% and I'm sure in the future also we should be able to achieve this.

I would like to conclude by saying that while we have come a long way since we started in 2008, there is still a lot more to be achieved. With this, I would like to conclude and thank you all for your patience. Thank you again.

Rohit Bajaj: Good evening, everyone. Thank you Goel Sir for very detailed overview of the company.

Moving forward, I'll be walking you through the business update as well as policy and regulatory and also new initiatives that IEX is undertaking. Another 30 to 35 minutes I am going to cover these 2 different topics.

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Moving on with the electricity value chain, as we are moving towards sustainable energy economy, energy transition is undergoing, and we are expecting major change to happen in next 7-8 years. If we compare ourselves to what we are doing today vs what we are projected to be doing into 2030, energy mix is going to change in a very big way. Today almost 51% of the total installed base is coal-based and going forward this number would be close to 30% only. Because all future capacity addition that we are going to do, 85% of that energy is going to be coming from renewable or hydro resources. You can see here that today we are 160 GW of installed capacity in the total energy basket of 400 GW. This number is going to increase to 506 GW then the total installed would be 817 GW in 2030. So majority of this addition is going to be on the renewable side. And this is going to give many new opportunities for power sector also.

Talking about transmission, we have seen huge investment in the recent 5-7 years. Today, there is absolutely no congestion in the country. 99.9% of the time we have on a nation, one grid and one price across the country. Area clearing prices has no meaning and has lost its relevance. We are incurring more investment here. We are creating green corridors for the purpose of evacuation of green energy within the states. And we are further developing our interregional corridor. Today we have more than 110 GW of interregional capacity, which is enabling the market framework where customers are confident that whenever they need power there is enough corridor availability, they can be able to buy power from the power market.

On the discom side, the reforms are

underway. We have achieved certain things, lot more things we have to achieve in times to come. Still, the AT&C losses are little on the higher side at 21%. Our target is to bring it down to 15% in next few years. We are also working on increasing

collection efficiency . Till the time we have better collection efficiency , the issue of outstanding dues will continue. We have more than Rs 2,02,50,000 outstanding due as on today.

Government has taken lot many initiatives in this particular area. There is very recent one about one and a half year back when the liquidity infusion scheme was last launched by Government of India where in all the old debts were clubbed and then they were converted into EMIs . All distribution companies are given 4 years time to pay that in the form of EMI. These things are going to yield very good results and we believe that with this , more efficient DISCOMs, the power purchasing capacity of these companies will improve, and power market will eventually gain from these all these aspects.

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The recent development where Electricity Amendment Act is being proposed, the main point of that amendment is to introduce competition in the licensee area on the distribution side. We want multiple licensees in the same area and provide choice to the consumer. This is also one very important step wherein we believe that going forward with this being in place, DISCOMs will be more commercially sensitive. They would be able to take very prudent decision as far as buying of power is concerned. 80% of their total cost is power procurement cost and this will also help our market to evolve further . On the demand side , we believe that electrification today is seen as a number one decarbonization lever. Whether it is about traction , cooking , EV, we have plans in place where we want to increase electricity consumption in the country.

So far in last 5 years, starting FY17 to FY22, we have seen generation growth or demand growth of 3.8% CAGR and as the economy is set to grow at 8 percent in the next few years, and then there are projections that demand is expected to grow more because of growth in the core sector , and transitioning to the newer technologies .

Deloitte has done a study where they have projected demand growth between FY23 – FY30 is going to be 6% CAGR. Till now we have been growing at a 3.8% which is going to accelerate to grow at 6%.

If I talk about the study , Deloitte has projected demand till FY27 based on GDP forecast and there is a strong correlation between electricity demand and GDP forecast. We have considered 90% factor and beyond FY27 CEA projections are available which is about 4.8 - 4.9% YoY, which have been considered. If you include everything, then you will get to this 6% growth number which we are expecting in the next few years .

Now let's also see how the different segments within power markets have been behaving in the past. We have compiled last 5 years data and this table represent last year data where out of the total generation of 1,321 BU, 86% was the contribution of long term PPA and 14% was contributed by short term and within this 14% short term overall market, 7.7% was the contribution of power exchanges.

Now today, Power exchange has emerged as the major segment within the short-term market, earlier it used to be 34-35% of the total short term market which has increased to more than 55% of the overall segment .

There is another segment which is for bilateral where it is direct transaction between DISCOMs and some of these transactions are also through trader . This segment comprises 4.5% and the remaining is DSM

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which is nothing but overdrawal from grids which is contributing close to 2%.

Now if you see growth rate of last 5 years, the generation has been growing at a rate of 3.8 % against this short-term market has registered close to 10%

growth.

So within the overall generation in the country, short term market is gaining more importance. People are shying away from long term PPA. They are relying more on the short-term market that is why this growth is high and if we see within this short term market, exchanges are the one which has been growing at a very fast pace of 20%.

Today exchanges have emerged as the most preferred option among all

the participants. Whether it is Open Access consumer, whether it is distribution company, whether it is IP Ps who are relying on this market to dispatch their surplus power, all of them are dependent on power exchange. They are finding it most appropriate market to dispatch or to buy, and this is the reason why this growth rate has been very significant.

If I compare the last 5-year growth rate of 20%, with overall generation growth, which is 3.8%, it resulted to 20% growth of the exchange market. Talking about the ecosystem, exchanges, as you are aware, we started exchange in 2008, 14 years of operation till now and we got listed in 2017. We are ISO certified in terms of quality environment or security.

The overall market share last year. Our market share in DAM and RTM was 99.9%. For RTM this was 100% and 99.8% in DAM and together it was 99.9% overall.

If I include everything such as DAM, TAM, RTM, green market, everything, then this number was at 94.2% overall electricity market share and we have been growing at a CAGR of 33% since inception, which is 2008.

Last year we did 102 BU out of which 96 BU was electricity 6 BU was certificates and in the peak hours, we have done trading of more than 20 GW in certain blocks.

About our consumer base, we have a very robust consumer base. More than 7000 clients are registered with us. All the distribution company more than 4000 bulk consumer, they are consuming more than 1 MW at any point in time and together they are participating.

Every day, we have huge participation coming from both buyers as well as seller. There are 200 - 300 generators who are participating 700 - 800

buyers who are there for every time block and the result is discovery of competitive price as exchange provides very flexible option for procurement of Power.

Energy mix is changing. Last year in FY22 majority, in fact, if I look back 3 - 4 years back, almost 95% of the electricity was through Day Ahead Market only. Now within last 2 - 3 years as we introduced many products, this number is evolving now. In FY22 64% was DAM and then another significant component is RTM market which contributed about 20%. So together they were 84% and then we had TAM which is about 5% and then Green market doing another 5%. So this is the energy mix, and if I talk about first 5 months in this fiscal, we have seen further change here. Now the dependence on DAM has gone down slightly. The number is at 48%. We have seen another 30 - 35% growth in first 5 months in RTM segment, which we started in June 2020. It is just a little over 2 years old segment that we have seen tremendous growth in this segment. So together they are more than 75% and then TAM 11% and, 7% is coming from green market.

We have various types of auctions which are there. If I talk about DAM or RTM, these are exactly similar in terms of auction mechanism. Both, have closed double sided auction. In TAM, we have DAC and Intraday component. These 2 components have continuous matching. And then the 3rd option that we have is for weekly and daily segments which is open auction.

We have long duration contracts in the monthly and in all weekly contracts, yesterday we launched weekly segment up to 12 weeks in advance. All these segments have open auction mechanism and there is one more segment which is any day single sided contract. This is another way of procuring power which is similar to deep platform where we have reverse au

ction.

Moving on, talking about our market share, last year our total market share in electricity segment was 94.2%, which comprises of DAM a gain 99.9% RTM we did about 20 BU with 100% market share. TAM, we did 10 BU and market share was 56% and then green again, it was 78%.

We have seen drastic increase in TAM Quantum last year and this increase was because of one important factor, which was in the month of November 2020, a new regulation was released. CERC notified Open

Access sharing regulation . Now in this particular regulation , in DAM and in all the collective transaction, which is DAM and RTM , there is a provision of charging of transmission charges from the generator side. So if you are a generator, if you are selling power in this particular segment, you have to pay transmission charge. Average transmission

charge today in the country is in the range of 40 p to 60 p depending on state. Every state has got different number so if you are an IPP situated within a state and you are selling in this particular segment you have to pay these charges . Same regulation provided one more provision wherein they said if you are doing bilateral transaction and the counterparty is a distribution company , then as a IPP , you don't have to pay transmission charge, which is again as I mentioned average is about 50p.

Some discrepancy was created between the 2 segments , suddenly it has become little easier or cost effective for IPPs to transact more in the TAM . Because of this particular provision we have seen there was increase in TAM transaction last year which grew more than 100% and this was the only factor which was responsible for this growth because otherwise all the DISCOMs in the country they prefer DAM because this is the market where there is a real price discovery . In TAM , it is in the DAC segment what I'm explaining to you where this 50 p avoidance is there . There is no discovery, and it is on the basis of continuous matching.

Sometimes participants they use reference price of DAM and then do this transaction. After November 2020, this component started to increase and last year this was major which was about 10 BU in the year. If I talk about this year, April to August, this number has further increased. You can see this last complete year it was 10 BU, this year in the first 5 months, it is 10 BU and the reason is the avoidance of transmission charge number one. And there is one more reason now in between what happened was there was huge scarcity of power supply. There was not enough supply available, there was too much demand. More so in case of peak times, which is in the evening hours .

Peak time every day we were getting so much buy bids. There is so little sell and many of these participants now they wanted to secure energy. So what they started to do, they are doing transaction off the market. These are bilateral transactions where transactions are agreed off the market and then they are coming to the market and settling this on the basis of DAM reference price.

So these 2 aspects have affected this particular segment and we have seen the massive increase in volume in the DAC segment, which is DAC where trading is done today for tomorrow's delivery .

Otherwise, the purpose of DAC market is , you are participating in the DAM and for some reason we have quoted lower price. Now you want to have second option where we want to increase the price and participate again. This was the purpose of DAC market, but now since because of

10 this regulation where there is an avoidance of transmission charge, many participants have started moving to this particular segment and taking advantage of 40 – 50p. So this was the reason where we have seen increase in the value in this particular transaction.

If I talk about this year 5 months ago, our market share is 86%, this is less than

last year and the major culprit here is TAM, particularly DAC segment where the value provided by all the exchanges is same. There is not much differentiation there, do this continuous matching and buy power.

If I talk about July and August because July was the month initial few days when the 3rd exchange was also started operations our market share in these 2 months is 89% and here also if you see DAM and RTM it is close to 100%. TAM is one segment where our market share is 43% and this 43 % is considering that there are 3 different exchanges operational now.

Let's see the market trend . We have captured last 4 years here and if you see FY20 represented in red colour, you will see a straight line and

FY20 was a year before COVID, so this was absolutely normal here. And you can see that as we have huge capacity, our peak demand even today is close to 200 - 215 GW and capacity is more than 400 GW that time also capacity was much more than peak demand.

There was ample coal availability and throughout the year prices were close to Rs. 3. In fact, FY20, average price was Rs. 3.01 and in FY21 it further dropped. You will see in the initial months up to October when there was complete lock down on account of COVID in FY21, prices were below Rs. 2.50 also in certain months. So average price in FY21 was Rs. 2.82 and this was the year when we registered more than 30% growth in our electricity segment. This growth was there because there was no deficit in the country. Everybody had resources enough to meet that small demand which was there after the lockdown.

Some of these active DISCOMs were participating in the market to replace their costlier power. There was a cheap power available in the market, they were optimizing, they were buying and backing down their own generating stations.

Last year also this trend continued because initially if you see April - July, the prices were about Rs. 3 or less than Rs. 3. There was huge opportunity for distribution companies to buy and optimize.

After that, suddenly we started to realize that demand increase was more than expected, number one, because of economic revival. And second thing that we started to witness a coal shortage. Initially it was

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little. After a while it went to be acute because this was a time none of the imported coal-based plants were operational.

In the month of October when government decided that plants like CGPL, Adani Mudra some settlement is to be done because we do not have enough resources available, we are dependent on imported coal. The directions were given to these plants to start generation and then we have seen correction in the prices.

November - February generally are the lean months and during these months' prices came down again to Rs. 4 level. It was around Rs. 3.50.

This year again when the demand started to increase in the month of March, April, these are again the months when the renewable generation is very less.

In fact, wind generation or hydro generation, it starts to pick somewhere in the end of May. These initial months, our dependence on thermal generation is very high.

And this time also we were facing coal shortage. As a result, there was not enough supply available. There was more demand which resulted in very high prices. Average price till now is Rs 6.76, but one trend you can see very clearly here this is we are seeing softening in the prices. First month it was Rs. 10 because the cap was introduced, CERC came out with the regulation that from 1st of April Rs. 12 cap on any given time block was introduced and average price was Rs. 10 and subsequently you can see that there is a lot of correction in the prices.

Price is a function of demand and supply. The purpose of the exchange is to match demand and supply and then discover the price and you can see here the month where the prices are high, red is representing average

purchase which is buy and blue is sell. So there are couple of months when there is so much buy and so little sell and the result is prices were very high otherwise if you see before that when the price is worth Rs. 3 or Rs. 2.83 there was enough sell available and very little buy.

Let's see, what was the reason why this price increased, in fact went up to such a high level? We know that geopolitical activities have affected it. The gas supplies are impacted, they have started buying coal. There is lot of pressure on the coal prices, HBA index you can see here is at \$322 level in the month of August. If I compare it with year before it was just \$131, so more than close to 200% increase in imported coal price.

HBA may not be a true reflection because today there are multiple coals which are available but even if you compare variable cost of those different variety of coal, you will find that none of these imported coal-

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based plants are able to generate at less than Rs. 6 - 8 depending on their location and depending on their time of purchase.

Other thing that has impacted us is our dependence on imported coal is very less, more than 90% of our coal-based requirement is met by domestic coal itself. In domestic coal side, what we have seen is the e-auction quantity was reduced for certain time blocks. Government intervened. In fact they started supplying more power where there was PPA available, Ministry of Power, Ministry of Coal, Railways all of them were working together. Wherever there were pithead plant, they increased those supply and in the process merchant plants were suffering because not enough coal was coming to the auction platform. They were not in a position to buy and generate, which has resulted into less supply on the exchange platform.

3rd important thing is the E-auction price, last year average if you see before sudden increase in the month of October, premium over notified price used to be about 20 to 30% only. This time what we have seen this premium has gone up to 354% in the month of August.

Now we are seeing some correction, in fact last some auction, we have gone, we have seen it is coming down to 200% but All in all, on an average basis if you see, there has been massive increase in the premium because people were comparing it with the imported coal and then they were buying at a very high price.

Same was the trend in case of spot LNG, where 2 years back, many generating station, coal / gas based generating station were sourcing gas and were generating this year, they could not do so because their variable cost is more than Rs. 25 - 30.

These were some of the factors which affected our power supply.

Sell side constraint impacted our sell at exchange platform. So if you see only the demand side this particular year, we have seen growth of 18%. But our cleared volume is not growing on the same proportion because there was not enough sell available.

One graph which I want to explain to you, we can see here green colour is representing sell bid. We have compared 28th July 2021 and 28th July 2022. This left side is July '21 and that side is July '22 same day.

We can see here throughout the day, there was ample supply available. These are 24 hours and all these time blocks, there was more sell available. Green representing sell. Red is representing buy here. You cannot see buy because entire quantum got cleared. The red is overshadowed by brown colour because the entire quantum whatever was there got cleared. And this is price blue colour. You can see this is

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varying between Rs. 2 - 4, so on average the price was Rs. 3.20 and in none of the time block it went beyond Rs. 4.

Same day this year what happened? There was enough sell during the solar hours you can see during the daytime. You can clearly see there is so much quantum available, but some other hour, particularly

in peak

hour, and also morning hours, buy was so much, it was much more than sell and why this sell was not there because IPPs those who were earlier selling or distribution companies, those who are earlier seller, they do not have enough coal availability and hence they were not participating. This has resulted into price going up. Price went in the peak hours up to Rs. 12. Similarly you can see during the day hour also it went up to Rs. 7. So less sell more buy except for the solar hours, this has resulted into sudden increase in price and at this particular price point there is no optimization potential.

All those who are desperate buyer or those who just want to buy to meet their requirement, they are participating.

The point that I shared with you that demand increased by 18%. This 18% increase is only on account of deficit, not on account of optimization, because all those who want to optimize, they have not started participating now because they will see the price, if the price will come down at some point in time they will decide, and then they will start to participate. But now things have started to improve and there are so many trends which are available.

In fact, if you see on the right hand side, we are seeing lot more

improvement in the coal inventory .

So in the month of September 21, when the price peaked, average inventory at power plant level was only 4 days. Today, this number has increased to 11 particularly in the month of August . There is visibility in place , there is certainty in place . Coal production in the first 4 months increased by 27%. Coal dispatched to power plants increased by 21%. Generally, monsoon months are the months where we see the production goes down. This year there is no major impact. In fact in the month of July we have seen 12% increase, in the month of August we have seen 9% increase. So all these factors are pointing only one thing that going forward we can expect more coal availability and plants will start and situation is going to improve.

There are some more initiatives taken by government wherever captive mines are there , they have made certain amendments and now captive mines are allowed to sell up to 50% of their annual production in the market. Commercial mining , we have already allocated 46 blocks, couple 14

of them have already started production. Some more will start to produce in times to come.

These are some short - medium term initiatives which we feel that if we sail through another couple of months then the situation will be much better going forward because all these things will ensure that there is enough supply of coal .

And on the price trend also you can see the prices have come down drastically. We have compared both DAM as well as RTM price starting from Rs. 10, it has come down to Rs. 5. So major correction there as well.

The outlook is looking positive now there is improvement in coal production and higher inventory will result into increase in sell. And once you have increase in sell, prices are expected to soften and once the prices will start to soften , optimization will come into play as round the clock power will be available .

Open Access clearance has come down drastically. In fact, as compared to last year this has come down by 60% . This number will also start to increase as the prices, or the supply will improve .

Implementation of GNA. The point that I discussed which has caused major impact, there has been some shifting away from DAM, GNA Regulation has been finalized. There is one more regulation which is responsible for this particular aspect. Open Access sharing of charges Regulation. This is also in a draft stage. We are expecting this to get finalized and notified in next 1 - 2 months.

Once these are implemented, then we will see the quantum increase which has moved away from DAM and RTM market and gone to D AC market w

ill again come back to DAM.

These are some of the things which we are starting to see now. And with this we are hopeful that the trend that we were witnessing earlier will again be there.

Some other things which we have been doing in the past and we are continuing to do now also to increase the liquidity, because government also wants to increase liquidity as per the draft national electricity policy , they want the spot market to be 25%.

There are certain things which we can do to ensure this to happen .

The CFD mechanism, RE capacity addition, the point explained by Mr Goel , where we have done detailed study, we are hopeful that it is in a very advanced stage. Government is taking it very seriously. The tool is 15

being created once we have tool in place , some capacity addition will surely happen through this particular model.

Merchant RE capacity, there are talks going on, some capacity they will be keeping for merchant. In fact in the recent storage tender they kept 40% of the capacity only for the purpose of merchant capacity, which means that you have to take this capacity to the market and dispatch it as per commercial concentration.

Unallocated power is there with the central Generating station. This should ideally come to the market, and if this comes to the market, this

is also a sizable quantity.

This will increase the liquidity on the sell side and once you have liquidity, there are people who are taking this power. So both buy as well as sell side will come to the exchange platform.

No renewal of existing PPA, the regulation is already there, so these are not perpetual PPAs now. If the tenure is over, you have to come out of that PPA and then you are free to sell this power.

I believe what we are advocating is ideally after the completion of the tenure, everybody should essentially come to the market because your debt return period is over, your fixed charges already gone. It has been settled. You should ideally come to the market and then start trading this power on the basis of your marginal cost.

There would be a time where your recovery would be very high. In fact this advocacy we are doing with all the generating stations, government, and DISCOMs also so that the both side liquidity can be maintained.

Aggregator is another beautiful concept which is available globally. We in India have only traders so today traders are not allowed to take position to aggregate the demand of very small consumer. This is one thing which we have been discussing with various agencies and we are hopeful that in times to come this will also get implemented.

This will be more relevant when we are going to implement Green Open Access because if you are going to have consumer as small as 100 KW, it is always better to have aggregator who can do or take position for 50 - 60 or 5 - 10 consumer in advance and then do that settlement after taking that position.

Generators including renewable can buy from the market for promoting efficiency. Till now what we are doing is we are doing optimization only on the buy side. If you start to allow generator to take the decision of either generate or buy. Ideally generator should be allowed to take decision whether I want to generate or to buy from the market.

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There are times when the variable generation cost of generating station is more and market prices are low. They should be allowed to shut down their unit, buy from the market and start to fulfill their commitment. This is another area where we have been working.

Gross bidding we have discussed in the past also. It is nothing but voluntary market based economic dispatch (MBED). There are lot of issues in implementing MBED, states have their own set of concerns, but you allow this on voluntary basis. So you don't have to go for entire MBED. You can start with 20% of generating station and then start to realize the po

sitive results and then further extended.

Coal allocation for merchant capacity, the entire issue that we have discussed till now, there is no coal availability with merchant power plants. They are dependent on either E auction or imported coal market to buy this. If we start to give some coal to these generating stations, then the supply can be a little better and such situation can be avoided completely in future.

Our capacity market is another thing where lot of discussions are underway. In fact, resource adequacy requirement is being chosen now. Every state will have to adhere to this resource adequacy and for the purpose of having enough resources they have to enter into a contract to secure capacity, now this will provide opportunity for markets to introduce capacity, number one, and that energy will also come to DAM. So this will help us in 2 different ways. One is having capacity contract and second is increasing liquidity in the day ahead market.

Moving on to policy and regulatory update, deepening of the market has been one of the major agenda of the ministry and introduction of suitable mechanism including capacity market, which they have mentioned in the draft national electricity policy, the point that we have already discussed, competition, competitive procurement for distribution company through exchange, which is again one of the major agenda.

The electricity Amendment Bill, 2022, where they want to introduce competition. This is going to be one development which is going to be very favorable for the markets.

Energy Conservation Act, Amendment Bill 2022, which has recently come has given road map for establishment of carbon markets. This is another area where we are very positive. We are working very aggressively and we see there is a need of number one, there is a compliance market which should be there, the current REC and ESCerts market which is not completely representing carbon, but going forward

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we can have one market where this can also get subsumed and then on top of it, there could be many more things which can be part of compliance carbon market.

Then there could be various other opportunity in carbon ecosystem, different financial schemes within that and then there could also be a voluntary carbon market. All these things are there across in Europe in US, many other geographies, and we are hopeful that in India also there is a huge case and we will have very dynamic market.

Draft electricity amendment rules where the concept of central pool mechanism is introduced and also resource adequacy guideline, again the same thing in all the new developments resource adequacy is coming very prominently, which means that capacity market is not very far away.

Electricity derivatives, we have discussed multiple times in the past, but this is also in very advanced stage now. Both SEBI as well as CERC, the joint working group, they are working and almost the contracts are already there. In case we expect that another 2 - 3 quarters this will also get introduced.

Some other positive regulatory updates like late payment surcharge related matter. Now this is very important. You cannot have sustainable system in place if you stop paying. You have to pay and in this particular thing, what they're saying is today they are only paying when they are buying power from exchange, but there are so many other contacts where they don't have to pay.

So sometimes when we discuss with distribution company, they say we prefer short term bilateral contract or long-term contract because there is no payment obligation. We can always defer this payment. So we are very positive if this gets implemented then all the contracts are at same level. You have to pay wherever you are buying power. You cannot do deferment of payment beyond a certain time and in that case as an exchange, we gain more importance.

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exchange will get more preference because if I have to pay then also then I would go to a platform which is most competitive where the cost of procurement is less so, that way we see this as a very powerful thing. And then GNA regulation, which I mentioned that duplication of charges the issue that we are facing today will get sorted out. With the implementation of sharing of Interstate transmission charges and losses regulation, which we are expecting in another 2 -3 months.

Green energy Open Access will open doors, in fact, this will create a new market. Today, when we talk about 4500 registered customers, these

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are all bulk consumers. Their contract demand is 1 MW and above. If I reduce 1 MW to 100 kW, there would be lakhs of more customer who would become eligible to participate in the market.

So we are seeing this as one major development and the concept of aggregator will also come and then everybody who is consuming significant amount of electricity, he should come to the market platform. New ideas. We have covered some of these. In fact RE capacity addition through markets, it has 2 components, one is pool based, second is merchant RE. The point that we have already discussed one thing coming out very clearly on the basis of study realization can be much more than the present competitive tariff that is being discovered Rs. 2 – 2.20.

Here it would be much more than that. Why it could be much more than that? The demand is set to grow and then you can have hybrid model also going forward. You can have wind, solar, or supported by energy storage and the very detailed study has been done by that. If anybody is interested, we are more than keen to share this study with you.

Carbon markets we have discussed it has various components in it. Coal exchange is one area where we are hopeful that the kind of thing we have done in case of gas. Similar initiative we can take in coal and we could be the front runner in this particular new initiative.

There are other many other opportunities, including the virtual PPA. This particular model is very common in many other places, including Europe, US, where corporates are taking position and are entering into a bilateral contract but they are only taking green attribute. So between A & B there is a contract for 5 MW or 10 MW renewable power B will be giving this green attribute of 10 MW to A and rest he will be selling in the market.

Which means electricity will be sold in the market. Similarly, A will be meeting his power requirement by buying from the market or DISCOM or anywhere. So all these entities which is buyer and seller will utilize market or other areas to meet there or discharge their power requirement and they will be doing settlement on the basis of green attribute being getting transferred.

In India also this has started, and we are expecting this will also enhance liquidity in the exchange market.

P2P trading is also being done in various places. Many pilots have been done and in India also there are 2 - 3 pilots. One done in Delhi by Tata Power and one done in UP. We have partnered with Power Ledger, and

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ISGF and together with these partners, we have bidded for one such pilot in Greater Noida. We are working in this area also and we are very positive going forward this will also create new market based mechanisms.

Green hydrogen battery, energy storage system, these are again new things where we are watching these developments very closely and trying to figure out where market plays very important role.

Green hydrogen is again something like gas where you can always trade on exchange platform number one and then if you have to generate RE or Green hydrogen. Then you need RE power. So exchange could be one place where you can source this power and then convert it into hydrogen.

These are another new and then auto bidder solutions are there.

Globally it is very popular where you have a battery storage you want to buy from the market when the prices are lowest and you want to sell in the market, when the prices are highest. In our case, if you say during the daytime solar hours prices are lowest, in the peak hour it is high. There is so much delta available and if you have a storage plant, you can always utilize this delta and then your realization can be much better than this.

Just to summarize last 2 slides. The thing that we have discussed already whereas both potentials from the existing market, the new product that we introduced starting 2020, 1st thing that we introduced in June '20 was real time market which has been doing exceptionally well year on year we are seeing 30 - 40% sort of growth and it has tremendous potential.

Moving forward, as the renewable proportion in the country, as the energy mix will change, this segment is set to grow. This will see the greater heights.

Green segment, in fact we launched G DAM, we started very recently in October 21. This also has got immense potential. Till now, the participation is only from DISCOMs. Some of these DISCOMs like Karnataka, AP, Telangana, they have surplus renewable power. They are meeting their purchase obligations still they have surplus.

So they are selling this power in the market. Going forward we see lot more participation coming from merchant generators.

There are couple of merchant generators those who have participated and they have realized the value of it. They have been selling power at Rs. 7 – 9 and have had got very good realization. This is another

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segment. We consider this at a very nascent stage this has a lot more potential going forward. This is going to be the one major segment that we have.

Cross border has started really well. Nepal initially started only buying . Subsequently , today we have got 365 MW of capacity registered with us from Nepal and on daily basis they are selling 7 – 8 MU .

This is very big support to us because this is the time when we need round the clock power and all these hydro generation generators are selling RTC power supporting us in a big way.

This has to go further. In fact, Bhutan, Nepal already registered. Going forward, we will have Bangladesh also and Bangladesh has got tremendous potential, much more than Nepal and Bhutan .

Longer duration contract, we in fact have introduced all the different segment whether it is monthly, whether it is weekly transaction has started to happen . Forward monthly transactions have happened recently , there are 4 - 5 contracts which got executed. There are many contracts which got executed for next week or next to next week .

Reverse Auction, we have done 24 reverse auction in last two and a half months there we have not seen many LOI get signed because the price discovered today is very high. And why price discovered is high because many of these generating companies, they don't have certainty of coal supply, so they are quoting Rs 9 - 11 and distribution companies are not willing to buy at that price .

But as far as acceptability of the market is concerned, it is immense. There is a lot of participation 24 reverse auction in 2 and a half month is an achievement itself .

Ancillary market , gross bidding we have discussed. Launch of derivatives will also provide hedging opportunity which will increase liquidity in the market.

Capacity market is another area which we are very positive about. RE capacity addition through exchange contract for differences, again not something which has been discussed.

IGX it is again at an initial stage . Robust volume growth is expected over next 5 year . Coal exchange , carbon market being explored. We are open to any other opportunity in energy market.

Spot market share is to increase significantly as per the regulation and all these regulations they talk about market

et, new segment, rationalizing of the transmission charge, the point we discussed .

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GNA means you are given certain quantity , now you are free to buy from anywhere. Today the system is you have taken LT A against some contracts, so you cannot go out of that contract and start procuring from elsewhere. So if you have GNA in place, as a state you are entitled to draw 10,000 MW. It is for you to decide , you can easily go to exchange market and buy power. You don't have to pay transmission charges at all. So this is one thing which is going to help market in a very big way. Coal supply is expected to increase. In fact, there are very decent targets taken by government and we are hopeful that if half of these targets are met, then we will have enough coal in the country and the problem that we faced last year and this year would not be there. And finally, we always maintain one thing. Our growth is dependent on incremental demand of the country if you are getting incremental BU, then large part of that BU will get captured by exchange because no new long term PPAs are being signed.

Earlier, PPAs were signed on the RE side. Today , in fact that has stopped. We are not seeing too much momentum there where states are entering into too many contracts, even for RE, so the incremental demand , the growth which we are expecting , for last 5 years , this number was only 3.8% where we saw growth of 20% . Going forward , this number is going to be 6%, so we are optimistic that this will give us even better growth . Thank you so much. That's all from my side.

Amit Kumar: Good evening, everyone.

Thanks a lot, Rohit for sharing details regarding the current business landscape, the future opportunities , and the way forward. The next topic is a good extension because eventually customer centricity will play a key role .

If customers get the most value from our platform with all the future

opportunities and the policy developments that are favoring the short term market and power exchanges , this in general would ensure that we get the maximum benefit out of that.

So in this section, we'll talk about how we look at customer centricity and what are some of the key areas that we have been working on. Our vision is, creating a customer centric energy marketplace through efficient state of art technology solution. This is the key theme around which we work and we do deep customer engagements to try and understand what are the various products and solutions and services that if we offer to customers , it will help them get more value from our

platform. And then we look at using technology to build those products and solutions because eventually technology led products and solutions are more scalable in providing benefits to the customers. So this is the central theme on which we work around offering experience and solutions to our customers.

If you look at the customers that come and trade on our platform, essentially, they are having these 4 different interactions with our platform. If there is a customer who wants to trade on our platform, the first activity is they have to go through the entire registration experience.

Then once the customers are registered , then there is the bidding activity that happens. So there's a bidding experience that the customers have and for the transactions that get cleared on our platform, eventually the physical delivery which is the scheduling aspect has to happen and the financial settlement needs to happen.

These are the 4 touchpoints which customers have day in day out with our platform and our view has always been , how do we keep on innovating to provide more experience solutions and how do we improve the experience for each touch points?

The idea is that on the registration front, we keep on focusing on digital solutions, frictionless and making it very quick so that customers can have

a very fast turn around time in getting registered on our platform .

On the bidding activity front, our focus is how do we make bidding activity easy for the customers with very less manual effort and they can place bids on our platform.

Then we offer multiple product options to the customers and that is very important because during the different times of the year, different customers will have different needs and those needs can be well met through different bouquet of products. So if we have a large set of contracts to offer to our customers , it helps them utilize our exchange more effectively for their power procurement needs.

Efficient price discovery that is very important and that is one of the reasons why you see in this presentation , we have seen our DAM and RTM segment is almost 100% . DAM is 99.9% because efficient price discovery is very important value addition that customers get from our platform .

Data insights - for customers to be able to bid effectively on our platform, there are lot of data inputs that will enable them to come up with an effective bidding strategy. We have built a data insights solution

through our web -based platform and we provide those details to our customers on click of a button.

On scheduling front, there is a lot of activity that we do , to completely automate the entire scheduling process . Real time communication is important because at times there will be scheduled reviews that will happen. So how we can build a very efficient real time communication process? That is something that we work upon and with the launch of RTM and National Open Access Registry, the need to have a very tight integration with NLDC systems is very important to ensure that all the activities around scheduling can be done efficiently. That is something that we focus on the scheduling area .

And on financial settlement , on time payments, our track record has been in the last 14 plus years of our operations , we've always done on time payment and something that we have maintained, and we are

proud of that.

Robust risk management , we have a very robust risk management in place, not only just for near term contracts , but also for the contracts like long duration contracts that we have recently launched which gives confidence to market participants that if they come and trade on our platform, there is a very robust risk management in place to take care of the transactions .

And easy reconciliation because eventually when customers are doing lot of transactions, they have to do reconciliation activities eventually. So how do we build solutions which can really provide easy reconciliation ? The focus area is how do we continuously improve the experience on all the touch points ?

Rohit talked about in the way forward slide some of the new products which are one of the growth drivers for our platform . If you see starting from 2020, every year we are launching multiple new products to provide a very extensive product portfolio to our customers.

In 2020 we launched real time market and green term market. Last year we launched Cross Border Trade and Green Day ahead market. This year we have launched the reverse auction with the LDC approval that we got and then we have extended the weekly contracts which was earlier for nearly a week. Now it is available for delivery up to 12 weeks for customers to trade.

We also launched the monthly contracts, which was again something that was approved as part of the LDC approval .

And daily contracts which was earlier available to just 9 days. Now it is available to 14 and from this Friday onwards it will be for 90 days.

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These are some activities that we keep on doing , we keep on adding bouquet of products and if you see that these products are really helping drive volume growth. If you see in the last section, what we have mentioned is that

these new products are contributing to almost 39% of the total volume on our platform. These are really helping customers utilize our platform in a more effective manner.

And like I talked about the customer interaction touchpoints, here I'd like to give examples some of the key activities that we have done for our customers.

On ease of bidding, we have built the API based automated bidding solutions for our customers and there are multiple customers who have integrated the entire bidding process through our API and they are taking advantage of this automated bidding solution .

Just to give some data points , like in our real time market, almost 40% of the cleared volume on the sell side is from members who are integrated to the API process and on the buy side almost 30%. This is something which is really giving a lot of benefit to our customers, and we are constantly seeing new customers integrating their bidding solution using our API. And with the advantage that customers have got through RTM API solutions, we are now extending the API based solution for other product segments also so that customers can take advantage of automated bidding across all product segments.

We've also built bid creation tool , so there are customers who may not have sufficient technology infrastructure in place to do the API integration. For them, how do we do Ease of bidding ? We have built a bulk creation utility which we give to our customers which they can use to upload bids onto our platform with very minimal effort.

Integration with national open access registry of POSOCO . This is something which has really made the whole bidding process very seamless, specially from scheduling and reporting and the NOC perspective. This is something which gives good experience .

Auto carry forward of uncleared bids is something which helps customers, that is if they have placed their bid within one product segment and if it is getting uncleared , they don't have to manually place that bid in another product segment . If they want to take advantage of automatically carrying forward of those bids , that is something that our platform offers for some of the product segments, and we will extend it to all the product segments in near future .

Seamless DC - DR transition , because we are 24/7 exchange, it is very important that our exchange is available no matter what and for that a

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seamless DC - DR transition is very important to ensure our business continuity. Even if something happens on the DC side, then the DR can ensure bidding continuity for our customers.

We also built web-based platforms to enable customers get many value-added services from that. There are data insights as I talked about which gives them insights on multiple data points around the volume trend , price trend, uncleared volume, how it is distributed from the clearing price, demand trend under drawal trends or comparison around price across product segments. Comparison around DSM frequency , DSM rate with RTM. There are multiple valuable insights that customer get from this which help them come up with effective bidding strategy.

Digital onboarding experience which is linked to the entire registration experience for the customers, easy access to trade and operations report which is linked to the whole scheduling related experience for our customers, financial reconciliation, very easy, one click reconciliation through the web based platform and web-based bidding is something which we already have for the long duration contracts, reverse auction and monthly contracts .

And very recently we have also made it for DAM and G DAM segments and subsequently we are going to make it available for all product segments .

Easy user management access , the web platform provides ability to our members to provide access to various features and controlled access for their own

organisation , and also to help their clients on their own and in a very secured manner, so this is something again that gives a lot of flexibility and helps them gain lot of value from our platform.

These are some of the customer centric activities that we have done and in the process of doing to ensure customers get the maximum value from our platform and we are going to completely focus on doing more innovations around this.

With that I would like to thank you for patiently hearing customer centric initiatives and now I request Sangh to come and talk about the technology solutions, some of the focus areas that we are working on. Thank you.

Sangh Gautam: Thank you, Amit for giving a background on the customer centric initiatives that we are taking.

As Amit was talking about the technology statement that we had by creating our customer centric efficient in state-of-the-art marketplace , on the customer centric activities , a lot of the things I think Amit has already covered .

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I would like to say that in order to achieve all of these we have in-house team and we are continuously working in order to make sure that they are using the state of the art technologies like angular, all the open source technologies to give a digital experience to our customers. Even the ease of bidding part which Amit talked about , there also we are using the right kind of architecture . Whether it is service oriented architecture or any redundancies that are needed, we are able to provide to our customers.

We focus a lot on security . Being an exchange it is of utmost importance to us and we are going to soon launch internally a kind of a 24/7 security operating center (SOC) which will monitor the security aspect 24/7 for us. And I think we will be one of the few companies which will have this kind of a setup .

We also have worked with various agencies in order to create a cyber security framework within our company and all our policies that we have and all the developments that we are doing , we are following a very robust cybersecurity framework . In order to make sure that our platform is very secure.

In terms of efficiency , we did talk about all the product segments. We are not going to go in details, but I want to ensure that in order to build such a comprehensive product portfolio, we had taken up a kind of a re-

architecture in some manner so that we can launch all these product in a very quick way .

Right now whenever we get any of the compliance requirements we are able to fulfil those requirements very quickly because we have such an architecture available so that we can launch contracts in a very seamless manner.

We've taken automation very seriously inside. We have now started using robotic process automation (RPA). We are using UI path for that which is again one of the state of the art automation and that product is helping us in our uptime. It is also helping us in alerts and notifications. All the integration that we have done internally using APIs , for example with our SAP system, we have been able to achieve that using that automation solution. We are ensuring that you know in our entire process that we have, and Amit talked about the back office, the financial reconciliation, etc. all those processes , we want to eliminate any manual intervention and we have been able to achieve that by using automation inside.

Scalable - The way the architecture is, we have no problem reaching out or adding more customers. We have no issues even if the number of bids

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increase , we have been able to manage 99.9% uptime in RTM segment and we are moving towards 100% uptime as well.

And both on the hardware and software aspect also wherever needed we have used the state -of-the-art hardware and also any virtualization layer that is needed and this entire hardware and also the software as I said earlier, this is all an inter

nal team so we are able to use the best of the technologies and also train our team according to the architecture and the needs that we have.

State of the art - NOAR is something which has really helped us in automation and also being able to provide the data in a very seamless manner to our external agencies like N LDC or POSOCO for that matter. MILP which is a globally recognized algorithm for giving the best social welfare in optimization , that has been used.

Data for achieving the kind of data insight products that Amit talked about , we have a data warehouse internally. We are using power BI insight and we have also provided a lot of visualization charts and a kind of experience for our senior management where they can slice and dice and get access to real time data in a very seamless manner.

We are following this vision for around at least 2 years now and I think we will continue to deliver on these.

This is a framework that we had created around 2 - 3 years back where we had recognized, where our system was around 2 - 3 years back and where we want to reach, you know, within let's say next 3 - 4 years.

Earlier we had manual workflows. It was a monolithic architecture that we had , very desktop -based system, disparate systems, limited products , and all the developments that we were doing were in house. Now I can say that we have created an automated digital mesh within the entire product offering that we have.

There is a seamless data exchange that happens within all the different systems. We have created a kind of a digital twins by using service -oriented architecture and also being able to do any bank related integration in a very automated manner using that architecture.

We are now on all the platforms, not just desktop. We are focusing a lot on the web -based system. We are transitioning towards that and we are hoping that within a very short period of time all are offering, all our product segments will be available on web -based systems.

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Earlier as I said, we had very disparate systems. Now we have very intuitive , and secure systems. I talked about the the 24/7 SOC center that we are building.

We are also making sure that any UX that we have on our system , we take kind of a survey driven approach where we go to our customer we first discuss the kind of designs or the kind of the interface that they

need and we give them all the options and we actually innovate, design the system with them so that really helps us to bring the most optimized solution to them.

Risk management is also which we are soon going to launch. A lot of it we are already taken care of, but now we want to have a kind of a unified risk management system as well.

Our products are all very configurable. You know, as I talked about, we have a, we have a scalable architecture now. We have been able to launch LDC, green contracts and also RTM using that scalable architecture.

At least a couple of years now we have been able to create very strong partnerships across industry and are working very closely with G MEX which is providing us the technology for our IGX platform and also you know companies like Nagarro, Capgemini, and TCIL, we work very closely with them. Any solution that we need to build, we are able to get the best expert advice and build our new technology.

I would say we have a very reliable, scalable and a secure system and we are ensuring that we are bringing the best value to our customers.

Thanks. And with that, I will ask our CFO to cover the next points.

Thank you.

Vineet Harlalka: Hello and welcome everyone. We heard Rohit, Amit, Goel sir, and Sangh, but ultimately it is all about numbers. What are the final numbers which are coming which drives the value for the shareholders?

Whatever we do if it's not reflecting in the numbers, somewhere it's mission missed.

I will look at what we had achieved

in the last 4-5 years. You must be aware of the numbers because we had been presenting our results on the quarterly basis.

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The company achieved the CAGR of 16% on the volume for the last 4 years.

The volume increased from 57 BUs to 102 BUs during FY22 and corresponding revenue with CAGR of 17% increased from 256 to 478 crores, and EBITDA margin has increased significantly from 82% to 87% and PAT is grown by almost 23% CAGR from 132 crores to almost now 303 crores. This is the value that IEX has created.

Overall, if you look into the financial expenses side, the majority of the cost is manpower cost and other operating expenses and despite increasing the revenue by almost 16%, the cost has only increased by 7%.

And on the corresponding side, you can see the operating expenses, the percentage of total income has been coming down. That's the reason our EBITDA margin increased from 82% to 87%.

We also want to highlight the technology cost as technology has been the focus for IEX management. Over the last 5 years since we setup the inhouse tech team in IEX in FY18, the company is regularly upgrading the systems, processes to have a more robust system which has been explained by both Sangh and Amit.

Overall, this is just the highlight of what the company has been delivering over the last 4-5 years and what is the thought process of the management and commitment to create value for its shareholders.

And this reflects the value which has been created by the company.

IEX has been regularly paying as per the dividend policy more than 50% of its profit as dividend. The value of the shareholders, if you look at the growth has been at a CAGR of 25% which is a quite a good value which we have been creating for the shareholders.

This also reflects the faith shown by the shareholders in the company. I remember post IPO in 2018 when we used to see, the company had a shareholding of around 50,000 to 60,000 shareholders, now we have more than 17,00,000 shareholders and the company has a paid-up capital of almost 90 crores reflecting enough liquidity in the market. Now I request Mr Mediratta to give you insight on IGX. Welcome Sir.

Rajesh Mediratta: Very good evening to everyone. Seeing many of you after long time, it's

a real pleasure. I would be brief on the initiative which we started in 2020. You know that we have been operating spot markets in electricity.

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We were also closely monitoring from 2008 onwards that should we also run a spot market for gas and looking for opportunity.

We were waiting for a few enablers to happen and expecting the government to issue a regulation on gas exchange and then we will launch. But in 2019, we decided, why not start a market as a trading platform and then seek government's acceptance and then they may issue more regulation and then we will apply under regulation and get the approval and then start the authorized gas exchange. We were very, very fortunate, what we thought and the same thing happened like we started as a trading platform in June. And then the government supported us, our initiative. They saw the market reaction. They were convinced that this is the right thing to do. They issued a regulation in something like September 2020 and then we applied under regulation, got the approval. Within 3 months by December and we launched as an authorized gas Exchange.

It was very good of us that we took that risk of starting a gas trading platform and then we got in as an authorized gas exchange. So that was the beginning of a new initiative which we were waiting and we are the only one running 2 spot markets in the country and it has been good operating this way.

In IGX we had to create regional hubs which in case of electricity was not there. We started with 3 hubs and then later in one year's time we required some more hubs to create, overall we now have 6 regional hubs. Then we had started from day one, all

the 6 contracts. So starting

from there to going up to a month, going up to a quarter. For every time frame people should be able to buy. There is no issue of long term as what we had faced in case of electricity. So we started with forward as well. We expanded from up to 3 months later contracts to 6 months. So today we are providing this platform for trading up to 6 months.

The price discovery models are similar. The contracts are rupees denominated. This was something different in case of gas sector because most of the contracts in gas are designated in dollars. So we changed that practice and we also provided option to industry to start with, to do a trade in small quantities also.

In last one and half years, we've gathered a good ecosystem about 31 members and 75 plus active clients and almost all major entities are now part of our ecosystem. Most of the big players like IOC, Petronet, etc all of these are members. There are few members who are trading as clearing member who can facilitate trade on behalf of others and then industries are part of the client ecosystem now.

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So far we have traded about 203 lakh Mmbtu. And we achieved the break even in the first year of operation, that I think is the first time for any gas exchange to achieve breaking even so soon. And then we in last year, the first year of full year of operation, we traded about 1.21 crore MMBTU and we got all the major investors on board. NSE, GAIL, ONGC, IOCL, ATGL, Torrent Gas and this year we achieved one more milestone of facilitating trade for domestic gas. So far domestic gas is not being traded on any market platform. We did advocacy for allowing sell of Domestic Gas having M&P freedom. Trading commenced for domestic ceiling price gas on 23 May'22 and total domestic gas traded till date is 8.5 lakh MMBtu.

There are few things which we were looking for from the government like, one is of course gas to be coming under GST.

Then unified tariff, access code because there are lot of reforms to be done on the access regulation. So whatever we call as Open Access in case of gas, this access code which was framed in 2008. Now they are due for revision.

We can facilitate trading with a very short notice. But since the access code does not support that, so we are not able to do much trade on the near-term delivery like Intra-Day, Day-Ahead.

The pipeline operators can take up to 3 days for capacity booking.

So that is, there are similar issues of stream.

There are many things to be improved at the pipeline operators level.

For that we are looking for change or access code review reforms and

then this CGD exclusivity which is equivalent to Open Access in state.

That is also actually yet to happen.

And then Transmission System Operator (TSO), today there is no system

operator in gas. We are looking for creating a system operator because

there are multiple pipeline operators, but everyone has got their own

processes for capacity booking and confirmation and other issues

relating to scheduling, nomination, actual allocation.

So all of that we need to streamline and for that we feel that there

should be a system operator and we have been working with the

government that we should have a TSO also in place. So these are few

areas where we are working closely with the government and the

regulator.

Currently the prices of gas have gone up and then we see there is

resistance because spot market need lower prices and when we want to

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increase spot market there is some constraint coming because of higher gas prices.

Over next one year and beyond, there will be much better conditions for

gas sector because one is that already CGD bidding rounds have

happened and now more than 95% population is covered in the CGD and

these networks would be put in place in 2 to 3 years time. And then

there will be a lot of demand coming from CGD sector.

LNG terminal capacity

is expected to grow from current 42.5 MMTA to

around 72 MMTA in 3 years and then we can import much more

energy.

Today, transmission pipeline network is also expected to grow from

20,000 kilometer to about 35,000. That will create a countrywide

network.

Declaration of Open Access, this can happen in this financial year.

Today, the total spot market is about 13% of total consumption in the

country. We expect that to go to almost 20% because government is

putting a lot of emphasis on creating a gas based economy.

And we know that lot of things are happening, supply conditions are

improving, demand is also going to improve. So we see that overall

demand which is about 160 MMSCMD can grow up to 500.

If we have 20% of that on the spot market or short-term market and out

of that we can take a pie of something like 20%. So we can actually do

almost trade volume of something like 20 MMSCMD which is also about

30 Crore MMBtu. That is the potential we see in the market.

So everything is aligned to the demand. Lot of things are happening.

Of course, there was less investment coming in the gas sector all over

the world due to Covid, so that actually created a pressure on supply

side. Now lot of investment is coming to the gas sector, terminal

capacities, pipelines, gas production, there's lot of focus. So we expect

that all of this will help us to grow.

I can leave if and any questions or there will be able to take it later so I

will pass it on to Aparna. Thanks.

Aparna Garg: We will now begin with the Q&A session. Allow us a couple of minutes to

set the stage.

Aparna Garg: I now invite the Management team of Indian Energy Exchange to kindly

be seated on the stage and we can commence the session.

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Speaker 1: I wanted to understand what kind of a problem does a long duration

contract really solve for our customers now with RTM, there was a real

need to get rid of DSM charges being levied on them. But from a

customer point of view, why should he tie up power for 90 days in

advance when there's clearly like you've mentioned that there is no

visibility on coal supply and essentially price of the power, so what's the

real value add for a customer there?

Satyanarayan Goel: Yeah, there are few customers who have seasonal demand in state like

Punjab. They need power from the month of June to September for

meeting the requirement of agricultural load during the paddy season.

Similarly, it is seen in case of Madhya Pradesh also.

Himachal Pradesh in the winter season, they need power. So seasonal demand normally is for a duration of 2 - 3 months and they would like to tie up that power because instead of buying power on every -day basis, they would like to tie up on monthly basis.

That is why we have bilateral market where almost about 50 – 60 BUs of contracts are traded and that is the opportunity for this long duration contracts also. There is a need in the market, and we expect that good part of that need will be served by the exchanges in future.

Speaker 1: So this is mostly replacing bilateral trades.

Satyanarayan Goel: Yes

Speaker 1: Makes sense. And the second question was on the day ahead market, why do we want to separate day ahead market and green day ahead market? Wouldn't it make more sense to keep liquidity higher in a single platform, which enables higher price discovery and more efficient power purchasing needs?

Satyanarayan Goel: I agree with you. But then you know when we have green day ahead market by purchasing power in the Green Day ahead market they can meet the RPO obligation whereas the day ahead market is the conventional power and there is no RPO obligation under that. So most of the states are buying green power in the Green Day ahead market and that is why there is a separate market.

Speaker 2: There is this new exchange, like PXIL and HPX coming in as competitors

to you and some of them are backed by NTC, PTC and all. So in light of these new competitors even your PPT was showing that your market share is dropping, so is it just a matter of time that you will have to take market share drop? What's the thought?

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Satyanarayan Goel: I think it was very well explained by Mr Rohit Bajaj in the presentation that the drop in market share is not because of the competition. The drop in market share was mainly because the volume shifted from that day ahead market to the DAC market. DAC market is the market where the price matching happens and in the day ahead market the price discovery happens. Our USP is in the day ahead market and the RTM market.

And why this shift happened? Because in the month of March, when power was not available, many distribution companies to secure power to ensure availability of power at any price moved to the DAC market and they also saw that there was an arbitrage available because of the anomaly in the transmission charge sharing regulation. So some transaction started happening in the DAC market.

And in the DAC market, whether there are 2 exchanges or 3 exchanges, because there is no additional USP by any particular exchange, these are one to one transactions, kind of bilateral transactions. So transactions are happening in other exchanges also.

With the implementation of GNA, this anomaly will be corrected. In fact, collective transactions will have more preference in the transmission pricing and I am very sure that that shifting which has happened from DAM market to DAC market, the volumes will move back to DAM.

And in DAM, our share is 99.99% plus and in the RTM market it is 100%.

So I don't see any issue in retaining that share in the DAM and RTM market. And I don't see any challenge because of competition.

Speaker 2: Sir, but in future with NTPC kind of organization backing these exchanges ..

Satyanarayan Goel: Well in that case, we are already working in a competitive environment from the last 14 years and other exchange also had investors who are from the power sector and most of their investors are trading on IEX platform and I'm sure in case of the third exchange also similar situation will happen because for a buyer or seller it is more important for him to ensure that his volumes are cleared. That's important for him, not that what is going to happen to the investment which he has made for him. If he's not able to sell power, the opportunity is lost for him. I don't think investment in exchange will be a consideration and in any case, you mentioned about NTPC, it has capacity which is 100% tied up under PPAs, so they have no power at their disposal. So I don't think that

should create any problem.

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Speaker 2: COVID time was one of the best times , we had the best tailwinds and now that the best of the times are being behind , from here the headwinds have already started to hit us . So how do you see the next 2 years? Because it's a low hanging fruit during the COVID time. So, what's your thought in terms of going forward ?

Satyanarayan Goel: During COVID time, the demand was less , coal availability was better, the prices discovered were lower and because that offered lot of opportunity to the distribution companies for optimization and industrial consumers to buy power from the market.

March onwards this year, because of the coal shortage, the prices have increased. It is not only domestic coal shortage, but also in the international market , the imported coal prices have increased significantly higher and many of the imported coal -based power plants are not working in the country. LNG prices have increased . Because of that, the prices have increased in DAM and RTM market, and it is not providing any optimization opportunity.

But I'm sure the kind of initiatives which have been taken by the Government

of India to increase the coal production, coal production in the first 5 months have increased by almost more than 20% and that's a record production . I'm sure this trend is going to be continued . Invariably in the month of July, August, the coal production goes down . This year , there was increase in production with respect to last year . From mid of October, the demand also will slightly go down and after rainy season , coal production starts improving. That is the trend for all years and I'm sure you will see dip in the price also and that will offer optimization opportunity to distribution companies and the volume should also start improving thereafter.

Mohit Kumar: First question is on the fact that we have a direct market and UI market which is still substantial you know. Do you think this direct market will go down with the exchanges and also the direct market have a high number you know you see 20 BU UI market is 25 BU. Do you think the regulators will ensure that these direct markets happen through Exchanges or some you know, transparent price discovery certainly on the UI market, which is a spike or you know, RTM market which is doing quite well but still this 20 BU is still very high number which is ...

Rohit Bajaj: Direct market is a part of bilateral. In fact within bilateral we have 2 different component. One is direct market which is one place where both side distribution companies are participating. They are selling, they are buying, and they are exchanging also. This could be banking also and

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this could be Real bilateral transaction also where commercial consideration is involved.

We have seen a lot of correction in the past, in fact, if you remember , 2 - 3 years back , bilateral was the major component within the short -term market . Exchanges were doing only 34% of the short term and bilateral put together used to do more than 50% of the transaction. We have seen a lot of correction there. It has gone down because of the requirement of the distribution companies are changing.

Sometime back many of these distribution company they had perpetual deficit throughout the year they used to have deficit and then they were dependent on different distribution company or bilateral contract for longer duration to do that procurement. Now as some capacity has come, they have some seasonal deficit or round the clock or daytime deficit TOD type of deficit which is there.

Now they are preferring exchange platform because this is one platform which provides flexibility. When do you want to buy for those few hours , or a few blocks, you can do that. So this is one reason why we have seen correction .

But as explained by Mr Goel , seasonal demand is going to be there for sure in times to come. Agriculture demand which is there in case of Punjab or some other state in the times to come. So this market will not go away for sure and will stay. But will not increase at the rate at which

exchanges are increasing, and this is going to stay for some more time. And precisely for this reason, our play is there, and the LDC that we have launched is going to address this potential also. So direct transaction will also start to happen at our platform. In fact some of these transactions have happened where Discom is buying and discom is seller and they are doing transaction on monthly, weekly and all those basis .

Mohit Kumar: Small clarification. Isn't the barter going to be looked down upon by the regulator going forward?

Rohit Bajaj: Generally, what you are saying is right. Barter is required when there is no proper mechanism or market in place. Today we have a robust market in place. Barter has no place because when you are doing bilateral barter transaction and then you are comparing it with the reference price , you will always find somebody gaining, somebody losing, right?

Generally you will find

winter prices are always on the lower side and summer are always on the higher side. So Himachal Pradesh, who is buying during winter, they're loser in a way because when they are supplying prices are more . This is precisely the reason why it has gone

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down and the point I was explaining it has gone down drastically in past many years. But still some of these transactions are continuing and one of the reason it is continuing is the financial position . Many of these distribution company, they are dependent on barter because they find it a little difficult to buy because that involves immediate cash.

Here in this case you are taking energy and returning it back. The point that you mentioned is very right. Ideally it should not be there but because of so much inefficiencies in the system, because of the problem that we have with distribution company, it is continued.

Mohit Kumar: Still on this UI market , do you think this is sizable ?

Rohit Bajaj: In UI market we are seeing major change. In fact, I shared with you, last 5 years we have seen growth of only 1.8% CAGR and couple of these years, we have seen negative numbers also and one more major change is going to happen in fact , as per the new DSM regulation now we are de-linking overdrawal price with the frequency , earlier there was a linkage . When the frequency is down and you are a generator, if you are over injecting , you were incentivized. Now going forward, whether the frequency is up or down, you ideally should be following your schedule. You don't have to support the grid, you do your work and be happy with that.

Going forward they are going to increase penalties, the regulation is already out. Only the date is to be notified when this will get implemented . As per the new regulation , the blockwise price will be applicable for the calculation of DSM penalty. Today it is on the basis of average Day ahead price that day.

Going forward it would be let's say in the evening at 7:00 PM if you are overdrawing but the price of exchange, which is between 7 :00 – 7:15 PM will be applicable, which is probably Rs. 10 - 12. On top of that there would be penalty of 140% and 1.2 – 1.4 times . So it is going to be even more stringent and we expect that there would be a lot more reduction going forward will happen on the DSM side.

Mohit Kumar: On the Open Access, you know the numbers have dwindled down since we listed. It used to be 60% of the entire volume, right? That has been disappointment for us. Do you think this market will come back in the future ? Are we seeing the signs of encouragement ? What makes you slightly more bullish and is the green Open Access going to open some opportunity for us, given that the threshold is going to be bowed down and despite the NOAR being implemented, we don't see the volume going up.

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Rohit Bajaj: On the open access side , this is not the first time we are seeing this sort of a drop . In the past also we have seen wherever there has been a sudden increase in the price . This time it is little longer. We have seen there are many months where we have seen so much price increase. There has been many instances in the past where for a month price was very high and similar correction we have seen in the Open Access

volume. Open Access participants, they have a natural hedge available with them. whenever there is increase in price, they will always go back to that distribution company and start to draw power.

Whenever there is this opportunity in the market, they will come in the market, participate and then make some saving in that . So that way it is purely dependent on the market prices. There is one more thing which plays very important role , is the state regulation. In last couple of years or in fact little over one year we have not seen any negative regulation. In between we have seen couple of negative regulation

s for the market

where there was increase in additional surcharge, the breakeven of one state has gone down. But in last one or one and a half year, the drop that has happened, it is purely on account of prices and as the price will reverse, we expect their participation will increase.

All of them are registered with us. They are placing their bid also. If you are seeing our daily demand supply pattern, you will find there is so much buy and clearance is so less . Some part of that buy is coming from Open Access consumer. Every day they are placing bid for 50 – 60 MU but only 5 – 10 MU is getting cleared and only been those where the prices are very low . As the price will go down all this will start to increase.

Mohit Kumar: Are we seeing these states following this plus minus 20% of the average price as cross subsidy surcharge across the country ?

The band where they know cross subsidy surcharge has to fluctuate plus minus 20% of the average price . Is that being followed across the country, or do you think there is some exception ?

Rohit Bajaj: Now except for 1 - 2 states like Calcutta , apart from that, a cross the country, it is now within the band of 20%. There were many states where it was much more. They have reduced it to that level.

Sumit Kishore: Sir, you mentioned in your opening remarks that developed markets like UK are planning to add 30 GW and large capacities in the market -based model. In the Indian context where discoms are in weak health running 22% AT&C losses and RE utilities have a 6 - 7 month plus receivables from DISCOMs. How would renewable projects , 25 year PPAs where they are only tied up , how would they achieve financial closure under a

market based model ? And so how will the market basically except renewable projects in the market-based mode?

Satyanarayan Goel: My first question is, do we make highways based on the PPAs, do we make airports based on the PPAs? do we make steel plants and cement plants based on the PPAs? No, then why are we talking about PPAs in the power sector?

See it mainly started because coal allocation was a big issue for the coal -based power plants. If you have a PPA then you will get coal. In the case of renewables, there are no fuel issues. The lender will have to take a call based on the fixed cost, which is going to be incurred, is it going to be market, I mean can it be served through the market or not? Now if the price for renewable has come down to Rs. 2.50 or Rs. 2.60, which is the price discovered for the bidding route which is in fact lower than this and the exchange clearing price, the marginal cost of the coal -based power plants is more than that. So, they should have the comfort that yes, they will be able to get a better price through the market than the PPA route and then no issues about the signing of the PPAs or curtailment of the schedules or payment defaults, which is 6 - 8 months, what you said.

On the exchange platform, you get paid on daily basis, so in fact, financing agencies should get additional comfort from this. But the only thing is because of the coal -based power plants, many of the lenders have burned their fingers, so they are very cautious, but I'm sure a couple of IPPs who are setting up capacities based on the market model, when they see their earnings and kind of revenue realization they are doing many more, IPPs will follow and banks also will get comfort out of that.

We are also interacting with a couple of lenders. We are interacting with SECI also and they are in touch with a couple of lenders to provide that kind of comfort to the IPP, so that the financial project happens. In any

case, what we are talking now is instead of 100% market-based capacity maybe IPPs can start working with the 20 -25% capacity through the market-based models and 70% -75% through the PPAs, so tha

t lenders

have comfort because lending is done for almost about 70% of the total capital cost. I mean all these kinds of options are being discussed. Let's see. I'm sure if country is intending to add 500 GW of their renewable capacity, that cannot be done through the PPA route. The Government also will have to find out new ways and means of capacity addition.

Sumit Kishore: Second question, Rohit showed us a slide where you compared one day of August last year and this year. So, the incidence of your high tariffs during the morning hours and late evening isn't it likely to be more 40

recurring phenomena because coal-based capacities are not getting added, the bulk of renewable capacity additions is through the solar route, so you will have the time when the sun is not shining and you will have these peaks where the tariffs will surge and which could possibly see the incidence of a shift away from the day-ahead market to term ahead market, which has happened temporarily during this phase because the tariffs have been hitting Rs. 20 in the late evening hours. So do you think that simply the composition of power capacity addition the country is going ahead with in the evening hours.

Satya narayan Goel: In evening hours, the prices are Rs. 12 even now, mainly because, many of the generators are not able to participate in the evening hours because of the coal shortage. If you look at the PLF of many of these IPPs like Jindal, who has got almost about 3500 MW of capacity, DB Power etc, the operating PLF for this year also, when the clearing price is plus Rs. 7, it is still only about 50% because they don't have coal. If they have coal, they would definitely like to sell power in the evening peak hours when the rate is Rs. 12 and I'm sure when the coal availability improves, this rate will come down.

See, if a distribution company is not able to get power in the evening peak hours, the most crucial hours, so to meet that demand many times they have to run their own units, which are costly units, and they have to keep these units running even during the daytime also at the technical minimum. So their purchase during the daytime also when the rate is lower that also goes down. So, evening peak hours has a cascading effect. And I am very sure that after the 15th of October you will see evening rates coming down and liquidity improving in evening hours. Government of India has already started looking at coal-based capacities, because they are aware that only renewable will not be able to meet the demand, so we may have to supplement this with the other conventional power also.

Sumit Kishore: Just one clarification on the time frame over which the GNA will get implemented because that seems to be an important factor to resolve the abnormality around transmission charges.

Satyanarayan Goel: Yeah, GNA was notified in the month of June and the only thing is they have to notify the grid code and transmission charge sharing regulation. I believe the way things are happening, this would get notified then maybe another 2 – 3 months' time and then after this should be implemented maybe in this calendar year only.

Sumit Kishore: Just one final question. You know the overall potential that you see with Nepal, Bhutan, and Bangladesh, all coming into the frame of cross 41

border. We just started scraping the surface there. But in billion-unit terms. Can you please tell me, 3 years down the line, what could be the potential in CBET?

Satyanarayan Goel: So, the potential in these countries is dependent on the transmission capacity which is there with these countries, and a good part of the transmission capacity is tied up through long-term contracts. I feel that this year we should be able to do almost about 2 billion units of transactions through the cross border and because Bangladesh as of now has not joined. Maybe if they join in the next one or 2 mo

nths we

should be able to do 2 BU this year.

See when these countries start seeing merit in exchange transactions, I am sure they will go ahead with augmenting the transmission capacity with India and the volume in this market should increase. Very difficult to say about that. It all depends on the initiatives taken by the neighbouring countries.

If you look at the European market, there also the integration of the market with the different countries started and then the volume slowly started increasing and today you look at the market size. So here also I am very sure that, it may take another 3 -4 years' time to have significant volume from Cross border trade.

Sumit Kishore: Thank you so much. My final question to Vineet is that in your presentation you mentioned that EBITDA margins have improved like 300 basis points in FY22, and almost 100 basis points in the first quarter. Now if I project 3 -4 years forward, because volumes are going to grow inevitably as the Exchange volumes will grow as IEX maintains its market share. Because your CapEx requirements are not as high, so theoretically can your margins go towards 94% -95%? what is holding back the operating leverage, what is operating leverage?

Vineet Harlalka: Exchanges have the operating leverage because when we started it was around 70%, then 72% and then moved to 87% and if you maintain the same fee and same structure then the volume will definitely increase with a greater margin. but looking at the overall market structure, we also have to seek how their structures are going to form. I think 87% leverage, what we are working now is quite a decent one. Definitely we have to work upon to create some more value, do some work for the sector and try to see what is the best value proposition we can create so that people accept us more. If we look, it sounds very good to listen to 90% EBITDA but should be practical also, it is very hard to say how it will be done, but we are looking at it and we are concerned and mindful of those numbers also and we keep on evaluating the situation as the volume moves.

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Devesh: There was draft regulation which talked about you having a different tariff structure for different products.

Also building up on the same question, some of the competitors have been giving some discount on the exchange tariff. Do you think there can be a case where we can have a separate tariff for separate products, probably to compete in TAM, we can give some discounts on the tariff, can that be the strategy for us?

Satyanarayan Goel: As of now, we are not considering that. Maybe in the long duration contracts, where we are doing significant volume in one contract. We may think about that, but as far as the DAM, RTM and the short -duration contracts are concerned, we intend to continue to charge what we are charging. And of course, this is subject to regulatory approval.

Devesh: And any clarity on that tariff for clarification?

Satyanarayan Goel: See, as per the regulations they have mentioned that exchanges can charge up to 2 paisa, we have to now take the approval of the regulator product -wise for which we have filed the petition. We are yet to have the order from the regulator. But our petition is well within the power market regulations.

Anirudh: How was the performance of Long Duration Contracts in last 2 months?

Satyanarayan Goel: Long Duration Contracts, as we mentioned, the market size is about 50 - 60 BUs based on the transactions which happened last year and that is the addressable market. In the last 2 months, transactions in this market have not been significant because of the high clearing price. Since generators are not sure about the whole availability, they are not willing to take any call for the future day coal availability, they are not talking any call. So the price which were discovered in the reverse auctions for their monthly co

ntracts was on the higher side and that is why distribution companies have not placed order for the purchase of power under those contracts. A couple of contracts have happened. I mean one contract between Andhra Pradesh and Karnataka, Shri Cement. So there are a couple of small volume contracts also happened. But I'm sure from October when the prices start coming down transactions in the long - duration contracts also will happen.

Anirudh: We talk about gross bidding and when do you see it coming?

Satyanarayan Goel: Let me make it clear that gross bidding is a new concept. So, CERC and Government of India were talking about the MBED and we found that there was resistance from many of the states and that is the time when we started looking at other exchanges world over as what kind of concepts are they opting. We found that a couple of Exchanges world over are adopting this gross bidding concept.

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The Gross bidding concept is basically a voluntary MBED kind of a concept where the distribution company can take a call on how much of capacity at their disposal they want to self-schedule and how much of capacity they want to schedule through the market on the sell side and buy also. These concepts are there, and we found that maybe this can act as a voluntary MBED.

We saw, there was a lot of resistance from the states, and as this is a voluntary concept, states should agree to this. We started interacting with the states also and found that yes, there is merit in this concept, but then you know adoption of this needs time, particularly we are also waiting for the regulatory approval.

We filed application with the regulator for approval of this contract. That has not happened yet. They have heard our petition order is reserved, so as and when the regulatory approval is there, then we will work with the states. It is difficult to commit when the transactions will happen under this.

We have in fact appointed one consultant also to interact with one of the states who is very active and do a case study for them that if you do transactions through the gross bidding mechanism, how much of cost saving you can do. Make a detailed analysis for them, present it to them and then help them in bidding also. And if that is successful, then maybe we can replicate that with other states. I think this is a slow process and gradually it will happen.

Swarnim: To attain that critical mass we need to have gas under GST as well. When do you expect this to happen?

Rajesh Mediratta: Yeah, what you said is one of the important enabler for the market overall, GST that will help to boost the short-term market itself.

But it's not a dampener like, it's not like, showstopper. So, we still can achieve critical mass without having GST in place because even the tariff part is to be done, Access Regulation is to be done. But since there is a substantial part of gas market like 21 MMCMD in spot, we have a lot of room to play. So we are today only 1 MMCMD and we can definitely grow in these constraints also. The way we ramped up our volume last year, that gives us confidence that we can grow even within these constraints. Of course, once these enablers will be in place, that will help us ramp up better.

Swarnim: On the IGX stake sale which needs to be done in next 2 – 3 years to reduce it to 25%. Is there any near term price discovery that can happen?

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Satyanarayan Goel: I think this is IEX investment, so I'll prefer to answer your question. IEX started IGX with the intent of creating an institution in the sector and we have sold 52% of the equity to the market participants who are the key stakeholders in the sector because we wanted their support to create this institution. And as per the regulatory provisions, we will have to bring it down to 25% within 5 years of the license, which was issued on December 2020, so by December 2025 we will have to bring it down to 25

% and I'm sure, that we should be able to do by that time and if the market conditions are not conducive, maybe we may have to apply to a regulator for giving us an extension. We will see at that time.

Swarnim: On RE capacities, whatever volume we have been witnessing in green market so far we are broadly dependent on the SMEs. Till the time we do not have any merchant capacities, what, according to you, is the potential for us on the green side? And you mentioned about the model you are starting. In the next 2 – 3 years, where do you see these green markets?

Satyanarayan Goel: So the green Market Volume will depend based on the market-based

capacity addition in the renewable sector. I think we will have to wait for that to happen. It is something like, you know when we started in 2008 power exchange for the conventional power, our volumes initially were very low, in fact every day looking at a couple of megawatt hours and today we are doing 300 MU every day.

I think same thing in the green market. We started these products, we are creating market enablers, we are doing policy advocacy and the government is also keen to develop this market. So, there is an aggregator in place now. Market will have to respond to these things and I'm sure in the next 2 to 3 years there will be increased liquidity in this market and Green market, I believe in the next 5 -6 years should be as big as the conventional market. Because I'm sure in the next 5 -6 years even the storage will be commercially viable, so green with storage that will be an excellent combination for the market.

Most of the corporates are under the ESG policy and want to go green, they want to buy clean power and definitely, through open access the Government also wants to promote green open access. The green Open Access regulations are more favorable. So that will promote Open Access also.

Speaker 3: Government has notified the late payment surcharge rules and the PSUs or central government generating station was supposed to start trading on the exchanges if they don't get their schedule by 10:00 AM. What is the status of that? Is there some guidelines or regulation or some notification pending from the POSOCO?

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Satyanarayan Goel: As far as government is concerned, they have already issued these rules and these rules are implemented. So as in if the payment is not made by any distribution company, that distribution company is barred from participating in the exchange platform and also their bilateral transactions are not scheduled.

Speaker 3: My question was are the generating station scheduling power on the exchanges that are not getting scheduled by 10:00 AM?

Rohit Bajaj: This is also very clear in that if you are not being paid then you don't have to obtain consent from distribution company. You can directly go and participate at exchange platform.

We have seen certain instances where some other RE generators they started to participate, but in most other cases where there are big defaults in case of big IPPs, normally what happens in the morning they bar them and in 1 - 2 hours The thing is settled between both the parties. They continue to supply and the restriction which is imposed on distribution company, those restrictions are also removed and their participation on the exchange also starts. Till now what you are saying, we have not seen. We have seen this in case of few renewable generating stations who are not being paid and they decided to participate at exchange platform.

Satyanarayan Goel: But one thing is definite that payment position to the IPPs has definitely improved. Because of this so that is one good part of this. The late payment surcharge scheme is that earlier distribution companies were buying power under the bilateral transactions because they knew as far as payment is concerned, there is no compulsion for that. They can defer the payment for 2 - 6 months. But

now since they will have to make payment in time. They may not prefer to buy power under the bilateral, may opt for the exchange option because on the exchange platform you can buy what you want and in whatever quantum you want and whenever you want. You don't have to contract a fixed quantum for 3 - 4 months.

Whereas your demand may not be there in future. So I think this is a positive step for us. I am sure this will support exchange transactions in future.

Speaker 3: Do you think opening of the new market, high price, DAM market beyond Rs. 12 will add a significant amount to the volume.

Satyanarayan Goel: I don't think so, because appetite for distribution companies to buy high cost power may be very less, maybe only in the evening peak hours, maybe there may be some requirement, we will have to see that. Government is thinking about this market. We have no issue in

implementing this product, but once we implement it then we will see about appetite of distribution companies.

Rohit Bajaj: This is going to be an extension of present integrated market that we have. There would be 3 different price formations. This is what they have proposed. We welcome this idea. Today we have a price cap of Rs. 12. There could be possibly some power, some fuel type where the generation costs are more. And if that has to dispatch, we should have a marketplace that at least should be available. Whether it will happen or not happen time will tell, but it is definitely a positive thing.

Anshuman: As you mentioned there is a change in stance of Government towards energy security now and many CPSUs or SPSUs are tying up capacity in long -term PPAs. What will be the impact on the growth of short -term market?

Satyanarayan Goel: I think what is required is addition of capacity. As long as there is capacity addition happening in the country, it will help the development of market because what we are seeing even in case of long -term PPAs distribution companies do not have uniform demand throughout the day and throughout the year. So distribution companies are also big sellers on the exchange platform.

In fact more than 50% of the sell is coming from distribution companies.

So if there is additional generation capacity coming in the market even through PPA, maybe a good part of that will come to the market also.

Anshuman: What is the update on derivatives and when will this be launched?

Satyanarayan Goel: Let me tell you one thing that there are many derivatives for different commodities in the commodity market, but electricity is one area where we have spot market also.

In other commodities, there is no spot market. So regulator is very cautious in going ahead with the derivatives of electricity because they want to see that these do not have any adverse impact on the spot market. They are studying the contract proposals which have been submitted by the commodity exchanges and what we understand that shortly some of their products are going to be approved and these derivatives will be launched. These will be launched by the commodity exchanges because this will be regulated by SEBI and we are regulated by CERC. These derivatives will provide liquidity in the market. They should also provide some reduced volatility in the price and also hedging options to the buyers. Only when these products are introduced we will see how this opportunity is developing in the market and what kind of benefit we as a spot exchange are able to take out of it?

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Anshuman: How will price discovery happen?

Satyanarayan Goel: No, in the derivative market, like any other commodity you have today, I mean on the MCX platform, coal derivatives and gas derivatives, similarly you will have electricity derivatives.

Vineet Harlalka: Price will depend on spot prices.

Satyanarayan Goel: As I told you. This will be launched by the commodity exchanges, not by us.

Anshuman: What is the

revenue model for us?

Satyanarayan Goel: MCX will be using our price for the purpose of settlement and since they will be using our price we have agreement with them and there is some revenue sharing with us.

Rohit Bajaj: But the larger game that we are expecting is from the hedgers. Today there are people who are not taking position in the market. They are not fully dependent on the spot market because they want some sort of future certainty.

So this particular market will provide them that certainty they can hedge their position and then be dependent totally on the spot market going forward on both buy as well as sell side and we expect this will increase liquidity in the spot market.

Speaker 4: So derivatives generally are multifold of the spot market. I mean we have seen in other commodity or equity or currency and all that. So when we plan to start this derivatives by MCX, what is the timeline and what is the exact revenue share model with MCX?

Satyanarayan Goel: See, these derivatives will be started by commodity exchanges. After the

joint working group clears the product. We understand that approval is expected very shortly, maybe in a month or 2 months time. So you may start seeing electricity derivatives on the MCX or NSE platforms also. And as far as revenue sharing is concerned, let the derivative market starts operating, then we will come to know about what kind of sharing it is.

Speaker 4: What are our charges for the gas exchange? How much per MMBtu we charge?

Satyanarayan Goel: We charge Rs. 4 from the buyer and Rs. 4 from the seller per MMBtu of gas.

Speaker 4: Is there any cap or floor price?

Satyanarayan Goel: No, this is a fixed price. Invariably regulators do not seek to interfere with their transaction fees.

Rajesh Mediratta: Regulator has no cap on the transaction fee

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Speaker 4: So now this ₹4 will remain irrespective of the gas price, right?

Satyanarayan Goel: Yes. See in case of electricity also our transaction fees is based on the volume, not on the price of electricity. When the clearing price was Rs. 3 we were charging 2 paise. When the price is Rs. 12 then also we charge 2 paise only. Similarly in case of Gas exchange also it is based on the volume.

Aparna Garg: Thank you everyone. Please note that the presentation and the audio recording will be available as well. It will be available on the website before 9:00 AM tomorrow.

Thank you. Thank you everyone for joining us.

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Call: Oct 2022

Indian Energy Exchange Ltd

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Dated: October 31, 2022

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

Phiroze Jeejeebhoy Towers Exchange Plaza, 5thFloor, Plot no. C/1

Dalal Street G Block, Bandra Kurla Complex

Mumbai- 400001 Bandra (E), Mumbai-400 051

Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on October 21, 2022.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on October 21, 2022, at 02:30 pm (IST) to discuss the financial results of the Company for the quarter and half year ended September 30, 2022.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q2 FY '23 Earnings Conference Call "
October 21, 2022

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR – INDIAN ENERGY EXCHANGE
MR. VINEET HARLALKA – CHIEF FINANCIAL
OFFICER – INDIAN ENERGY EXCHANGE
MR. ROHIT BAJAJ – HEAD BUSINESS
DEVELOPMENT – INDIAN ENERGY EXCHANGE
MS. APARNA GARG – HEAD INVESTOR RELATIONS ,
AND CORPORATE COMMUNICATIONS – INDIAN
ENERGY EXCHANGE

MODERATOR : MR. SUMIT KISHORE – AXIS CAPITAL LIMITED

Indian Energy Exchange Limited

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Moderator: Good day, ladies, and gentlemen, and welcome to the Q2 FY '23 Earnings Conference Call of Indian Energy Exchange hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Michel le. On behalf of Axis Capital, I'm pleased to welcome you all for the Indian Energy Exchange Q2 FY '23 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S .N. Goel, Chairman and Managing Director , Mr. Vineet Harlalka, CFO , Mr. Rohit Bajaj, Head Business Development , Ms. Aparna Garg, Head Investor Relations, and Corporate Communications

We will begin with the opening remarks from Mr. Goel, followed by an interactive Q&A session. Over to you, sir.

Satyanarayan Goel: Good afternoon, friends, and welcome to the Earnings Call for Quarter 2 of Financial Year 2023. Joining me today are Mr. Vineet Harlalka, our CFO and Company Secretary , Mr. Amit Kumar, Head of Market Operations and Product Development; Mr. Sangh Gautam, CTO; Mr. Samir Prakash, CHRO , Ms. Aparna Garg , Head of Investor Relations and Communications and Mr. Archit Gupta.

India recently surpassed UK to become the world's fifth largest economy and is now steadily heading towards becoming a 5 trillion -dollar economy. Further, the Indian economy continues to gain traction and is expected to become the third largest by the end of this decade.

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On the quarterly economic update, despite the global headwinds, the Manufacturing PMI stood at 55.1 in September 2022 and 56.2 in August 2022. The Services PMI was 54.3 in September 2022, and 57.2 in August 2022. Services PMI indicated a 13th straight month of expansion in the month of August 2022. We witnessed a mild reduction in PMI in September as compared to August due to subdued increase in new orders and an increase in input costs. For FY'23, the Indian economy is expected to grow by 6.8% as per IMF.

During the quarter , the electricity consumption at 385BU registered a growth of 6% YoY. The peak demand at 200GW declined marginally by 1% YoY. The surge in overall consumption was driven by the increase in economic activities.

The total installed capacity as on September 30th stood at 408GW registering a growth of 5% YoY. The renewable energy capacity is steadily growing, and its contribution today stands at 165GW, which is 40% of the total capacity. It is evident that the nation is advancing towards a carbon neutral economy by 2070 and achieve 50% clean energy share by 2030.

Unfortunately, led by geo-political disruptions, the global energy crisis continued in this quarter resulting in high prices of e - auction coal, imported coal and gas. During the quarter, while the prices of e -auction coal witnessed a lower increase of 293% on YoY basis as compared to an increase of 376% YoY in Q1FY23, it was still a significant rise. This led to high cost of power generation for IPP's. Similarly, during the quarter, the imported coal prices (HBA Index) and the gas prices also continued to increase by 145% YoY and 168% YoY respectively, a lower increase as compared to Q1FY'23, but a significant increase on YoY basis. To manage the power crisis Government of India reduced supply of coal through e -auction and increased supply of coal to Gencos with long term PPAs. The e -auction coal quantity declined by 63% YoY

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to 17MT in the first five months of FY23. As a result, there was increase in the e-auction prices, and decline in the availability of e-auction coal. Therefore, the input cost for Gencos increased significantly and forced some of them to shut their operations temporarily, leading to increase in prices on the exchange. The average Day Ahead Market price increased to Rs 5.40 per unit during the quarter as against Rs 4.14 in Q2 of FY'22. A large part of the sell volumes, i.e around 65% were contributed by discoms, which sold the additional power only after meeting their own demand.

We are now witnessing a gradual improvement in the coal situation in India as the Government is proactively taking various initiatives to curb the increasing input costs. During the quarter, the domestic coal production increased by 10% YoY and the dispatch to the energy sector grew by 11% YoY. Further, to cater the increasing demand and reduce dependency on imported coal, the Government envisions to further increase the domestic coal production.

The improving coal situation is leading to an increase in power generation thereby increase sell liquidity and reduce the electricity prices on the exchange from Rs 5.40/unit during the quarter to Rs 3.85/unit in the first 10 days of Oct 2022. However, despite the substantial reduction in prices, these prices still do not provide replacement opportunity for discoms, and are not encouraging open access purchases. Going forward, we expect further correction in prices on the Exchange which will result in an increase in volumes on the Exchanges.

As part of the government's thrust towards transforming the power sector in the country, several regulatory and policy reforms were implemented. Some of the noteworthy initiatives for this quarter are :
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Late Payment Surcharge and Related Matters Rules 2022 – These rules have the provisions for rationalization of late payment surcharge. Further, generating companies are free to sell un-requisitioned power through Power Exchanges without obtaining any consent which will improve sell liquidity, whereas timely payments will ensure financial discipline in the sector.

Electricity (Amendment) Bill, 2022 – The Bill proposes to introduce multiple Discoms in a supply area which will promote private participation, better service, and improvement in financial health of distribution sector.

The MoP issued proposal on High Price Day Ahead Market (HP -DAM) segment which will facilitate generators with a high variable cost exceeding Rs. 12 per unit to participate in the exchange market. This will ensure availability of power during high demand period even at slightly higher cost. This market is expected to be launched by early next month.

Draft Electricity Amendment Rules 2005 – The proposal seeks procurement of renewable energy through a central pool mechanism. The proposal also includes the framing of the Resource Adequacy Guidelines by the central government to create opportunities for the introduction of capacity markets.

Energy Conservation Act Amendment Bill 2022 – This amendment aims to establish a carbon market in the country and has already been passed in the Lok Sabha.

CERC also notified GNA regulations during the quarter and issued draft sharing regulations and grid code. In this regard, hearings have already taken place. GNA is expected to be implemented by 1st Jan 2023. Implementation of GNA will be more conducive towards market development within the country.

All these initiatives will go a long way in the creation of a conducive environment for the power market in general and will contribute significantly towards deepening of the exchange market in the country. Coming to IEX up

dates, during quarter 2 FY'23, IEX achieved 23,121MU of volume, of which 19,731MU and 1,476 MU were contributed by the conventional power market and the Green Market segments, respectively. The REC Market traded 19.14 lakh certificates, which equals to a volume of 1,914MU.

During the quarter total volumes declined by 11% YoY. However, during H1FY23 declined marginally by 2% with respect to 1H FY'22.

The volumes declined on account of supply side disruptions.

On a standalone basis, due to a decline in traded volumes, revenue for Q2FY23 declined to Rs. 113.8 Cr. witnessing a decline of 6% YoY. The PAT declined by 10.3% YoY to Rs. 70.1 Cr. with a margin of 61.6%. However, revenue is flat and PAT increased by 2.1% on QoQ basis.

The timely interventions of the Indian government to raise the domestic production of coal has drastically improved the coal inventory. With a rationalization of power prices on the Exchange, the volumes are expected to improve, and we expect to end the fiscal year on a stronger note.

With customer centricity at the core of our operations, we continue to improve the customer experience on our platform, in addition to enabling flexibility, transparency and a competitive price discovery, we are constantly working towards designing innovative products and services to meet the varied requirements of our participants. In this regard, we continue to append our bouquet of products and I'm delighted to share with you all that we have successfully added daily contracts upto 90 days, weekly contracts for upto 12 weeks and monthly contracts

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for upto a period of 3 months to our existing Longer Duration Contracts portfolio. Our members have shown significant interest in this segment, and once prices normalize, we expect to witness similar growth in LDC as we have seen in case of RTM and Green markets. With the interest shown by the participants, our new products now constitute nearly 40% of the total traded volume of electricity on the exchange.

Now, I will enumerate some of the developments at IGX during Q2 FY23.

During the quarter, despite a massive increase in LNG prices, from \$13.6 a year ago to \$36.5, IGX achieved a total volume of 59.38 lakh MMBtu, that is a volume growth of 501% YoY and 44% on QoQ basis. The profit after tax was recorded at Rs 2.42 Cr. witnessing a growth of 111% on QoQ basis.

I am pleased to share that all important stakeholders of the Gas sector are now clients or members of IGX.

IEX is well positioned to leverage the opportunities arising from massive transformation in the global and Indian energy sector and will continue to pursue opportunities in the present Power Markets and evaluate foray into adjacencies.

We will continue to fortify our position in existing products and launch new products such as Ancillary Market, and Capacity Markets.

Indian Gas Exchange, our first diversification initiative is growing strength to strength backed by the Government of India's ambition to increase the share of Gas from 6% to 15% by 2030 in the overall energy basket, thereby creating a huge potential for IGX in the years to come.

As we continue to explore other opportunities in the energy marketplace,

we are inspired by the Government's idea of establishing a Coal
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Exchange within the country. Similarly, enactment of the Energy Conservation Act 2022, which talks about creating a carbon market, provides us the opportunity to set up India's first Carbon Exchange. We have already appointed a consultant to study the feasibility of Carbon market.

As India moves towards carbon neutrality and harnesses vast amounts of renewable power to meet its growing appetite for energy, IEX will continue to make use of technology and innovation to facilitate the nation's energy transition.

Now, we shall commence the Q&A session. Thank you.

Moderator: Thank you, very much. We will now begin for the question-and-answer session. Anyone who wishes to ask a question, may please press star and one on your touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar : I wanted to understand, sir, our electricity volumes have fallen around 8 - 9% in the H1. Where do you see we might end up in FY '23? And also at the start of the year, you had guided for 8 - 9 billion units for REC . Do you think we can still achieve it?

Satyanarayan Goel: See, as far as electricity is concerned, you are aware that in the first quarter, the situation was quite challenging and it was not only in India, but world over . In fact, in India, the government comparatively managed the disruptions in an efficient manner. There was shortage of coal , both imported coal prices and e -auction prices were higher so the government decided to supply more coal to the GENCOs tied up under long-term PPAs, so there is no hue and cry by the states.

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And as a result, the generation improved by the GENCOs under the PPA plant, but the supply in the market remained less. Because of this, the volumes in H1FY23 were lower. Now, coal supply has already improved. Inventory at the power plant is better than what it was last year. And as you are aware, in the second half of the year, coal production is almost 60% of the total year production , and power generation is comparatively lower in the second quarter. I'm sure availability of the coal in the e -auction market will improve.

As I told you, this year, the e -auction was only about 17 metric tonnes, which was 63% lower than last year. In the second half this position will improve and there will be more e -auction coal in the market. Rates also should come down, and we should see good volume growth in the second half of the fiscal year 2023 .

It will be difficult to say anything about the numbers because numbers are dependent on the demand growth and participation of distribution companies , but looking at our first half year performance , I'm sure we should be able to at least achieve the numbers which we achieved in the second half of the last year or better than that even.

Mohit Kumar : Understood, sir. And also, can you give us a brief update on the timeline for new product launches and also the new business initiatives ? Can you also share some details about the derivatives market as to when are we looking to launch it? And also, are we looking to launch it on our own or are we tying up with some other exchange for it?

Satyanarayan Goel: See, we have already launched the long -duration contracts for delivery of power up to three months. In these contracts, we are seeing a lot of interest from the buy side. But since generating companies are still not

very sure about availability of coal, so the price quoted by them is slightly higher in the market and only one transaction has been accepted by the buyer at a price of about INR 5.70. I'm sure when the prices soften

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in the market, the reverse auction transactions for delivery up to three months also will improve.

You also asked about the REC certificate markets. In this market also, we are seeing active participation now. Distribution companies particularly, they participate mostly in the last quarter to comply with RPO obligations. So, we expect a much better participation in the REC market.

Other

new products we are going to launch include the HP-DAM market, which has been directed by the Government of India. Maybe by December, we will launch that market, and ancillary market, regulator has issued the regulations, but that market will be functional only after GNA and Grid codes are notified and implemented. So, maybe from 1st January '23, the ancillary markets should also be available through the exchange platform.

Mohit Kumar: And sir specifically for the derivatives contract, what is the timeline for it?

Satyanarayan Goel: Derivative contracts, earlier also I have mentioned about it. Derivatives will be regulated by SEBI and will be launched only on the SEBI regulated exchanges, such as MCX or NSE or BSE. We are actively working with them because we strongly believe that when derivatives are launched in the market, it will bring a lot of liquidity. The volatility in the price will also smoothen, and we have seen wherever there are derivatives, the volumes in the spot market increase because the participants have an option to hedge their position in the derivative market.

There is a joint working group consisting of members from CERC and SEBI. They are working on this and as we understand, this should start sometime in the month of December or January.

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Moderator: Thank you, very much. The next question is from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: A few questions. Firstly, in your presentation, you have highlighted that there's been some shift in volume from the Day Ahead Market to Day Ahead Contingency Market. Just wanted to understand the reason for that? And what is the type of shift that has happened? And what would be our share in the Day Ahead Contingency Market right now?

Satyanarayan Goel: See, the reason for some volume shifting from DAM market to the Day - Ahead Contingency market is that in the Day-Ahead Market, buyers, and sellers both have to pay their transmission charges. Whereas in the Day-Ahead Contingency market, it is only either buyer or seller paying the transmission charges. So there is double charging of transmission charges in the Day -Ahead Market and there is arbitrage of almost about 30 – 40p available in the Day -Ahead Contingency Market. So some of the participants do transactions in the Day -Ahead Contingency Market to take advantage of that.

And our share in the Day-Ahead Contingency Market in the second quarter was almost about more than 50%. But as I told you in the past also that GNA is going to get implemented from 1st of January. And under the GNA, all these anomalies will be corrected and there will be a single charge where only buyers will have to pay the transmission charges. There is no transmission charges applicable for sellers. In fact, for the Day -Ahead Market and the RTM market, the provisions are more favorable for these markets. I'm sure whatever transactions are

presently happening in the Day -Ahead Contingency Market, they all will shift to the DAM market and this anomaly will get corrected.

Aniket Mittal : Just a clarification, apart from the transaction charges, has something in the market also changed? Because this quarter our DAC volumes have
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also gone up very significantly. Is there some market condition that is also facilitating, let's say, to DAC from DAM?

Satyanarayan Goel: No. Except for this arbitrage, I don't think that there is any other reason.

Aniket Mittal : The other question that I had was on the RTM market. And I'm fairly surprised by the growth that you're seeing in the RTM market despite the higher prices. I think we're now doing close to almost 70 million to 75 million units per day. I just wanted to understand how do you see the potential for the RTM market? And despite the higher prices, why is the growth fundamentally coming over here? Is there just some sort of cannibalization that you think is happening from DAM or are there any other factors at play?

Satyanarayan Goel: Definitely, some cannibalization is also happening, because earlier participants were placing bid in the DAM market at a slightly higher price, and now they have the option to buy power in the RTM market also. So many of the participants are placing price sensitive bids. As a result, if their bid is not cleared then they participate in the RTM market. So some cannibalization has happened.

But RTM market is mainly improving because of the higher share of the renewable generation taking place in the country. And because of the high variability in the renewable generation, participation has increased. When we find that the renewable is highest, many of the state discoms start selling power and when wind generation starts going down, they start buying power.

RTM market, when a GENCO unit trips, earlier they had no option and had to do load shedding. But now they have option to buy power in the RTM market. So volume in the RTM market, I expect will continue to increase, may not be at this rate what has happened in the last two years, but definitely at a rate of 10 - 15%.

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Aniket Mittal : Okay. That's very helpful. Just one last question, and this is, to understand more fundamentally, when I compare the average prices on the RTM versus DAM, the average prices on RTM are still lower than DAM market. Just wanted to understand the reasons behind that.

Satyanarayan Goel: Yes. See, seller is placing a bid at a slightly higher price in the DAM market. But if it is not cleared, then in RTM market, he has no other choice. So in the RTM market he is placing the bid at marginal cost. It is like a real-time market, seller has no other option and he will try to sell power at the minimum viable rate for him.

Aniket Mittal : Okay. So the seller is actually being more dominant than the buyer in the RTM in determining the price

Satyanarayan Goel: Earlier also if you see the trend, Exchange Day -Ahead Market rates always used to be lower than the bilateral market because Day -Ahead Market was nearer to the delivery. The transactions were happening in the Day -Ahead Market at a marginal cost. Now RTM market is further near to the actual delivery, so I think this is a natural phenomenon.

Aniket Mittal : Got it. If I can add one more question. In the RTM market, as per you on the sell side, how much of the sell side is coming from URS power?

Satyanarayan Goel: See in the first half of this year, because of the high demand and less supply, there was hardly any URS power. And most of the sell was by the distribution companies. Whatever surplus power they had under the PPA and beyond after meeting their own demand, they were selling power on the exchange platform. Also, Nepal imported about 400

megawatts through the RTM market.

Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
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Sumit Kishore : My first question is that in the first 20 -odd days of October, the liquidity situation seems to have improved because sell bids were almost we see close to 70% higher than the purchase bids. And the prices on DAM and RTM have also come up quite sharply even on a year -on-year basis, they're down almost by 60%. Still, we see the October volumes so far down close to 20%, so far on a year -on-year basis ? So at what price level do we really see industrial demand on exchanges coming back or volumes coming back , because I thought prices have come off quite significantly even on a year -on-year basis ?

Satyanarayan Goel: See, if you look at last year, month of October, if you are comparing with that. Last year, month of October was a very high demand period and less availability of power. Distribution companies were very active on the exchange platform. Every day, we were getting buy bid far in excess of the sell bid. So the volumes were higher. This year, as I told you, the coal inventory and the power availability at the power station under the PPA is very good. So the distribution companies buy on the exchange platform, it's not a desperate buy. Some of the distribution companies are buying power to optimize their costs , or maybe during the evening hours , when the demand is higher. October, as of now in comparison to last year, the volumes are lower, mainly because the participation of distribution companies is slightly lower.

But looking forward, I am sure when the availability of coal improves and prices go down further to maybe about INR 3.25 paisa to INR 3.40 paisa , there are three things which happen. One is that distribution companies, they meet their demand. Second is, they optimize their cost, and shut down their costly plants . And third is, it is viable even for the industrial consumers to buy power from the exchanges.

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Sumit Kishore : Because coal inventory at power plants is actually better than what it was same time last year. It's almost nine days. But from IEX perspective, we should be tracking e -auction coal availability and e -auction premium to notified price?

Satyanarayan Goel: Actually, this 9 -day inventory is for the PPA based power plant. If you look at the inventory of the IPPs, which are merchant plants, that situation is still not comfortable. As Coal India has already started increasing the quantum in the e -auction , I'm sure in the next 15 - 20 days, that situation should also improve.

Sumit Kishore : Okay. Another question, which is actually a follow -up from the last one. The shift to DAC from DAM and the arbitrage that you mentioned around transmission charge of 40 -odd paisa, will that arbitrage completely go after GNA is implemented from 1st of January? Will it reduce significantly for that shift back to happen?

Satyanarayan Goel: Actually, in December 2020, the transmission charge sharing regulations, which were implemented, there was some anomaly in that. This issue was discussed with the regulator, and they have corrected this thing. So going forward , this anomaly is not going to be there and in fact, the regulations are more in favor of the Day-Ahead and RTM collective transactions.

In most of the occasions, distribution companies will not have to pay any transmission charges for purchase of power through the exchange. Because if the GNA plus TGNA is more than the total power purchased by them including the exchange, then there is no further charges to be

paid. So these regulations are, in fact, more favorable to the exchange transactions.

Sumit Kishore : But this arbitrage will go once the GNA is implemented?

Satyanarayan Goel: 100%, this will go.

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Sumit Kishore : Post 1st of January.

Satyanarayan Goel: What we're expecting is that it will get implemented from 1st of January, based on our present discussions with NLDC and CERC. But then, we are now doing all transactions through the National Open Access Registry, which is a software-based solution. There are some changes to be done in that. NLDC is already working on it. Hopefully, from 1st of January, it will get implemented.

Sumit Kishore : Okay. Otherwise, because of these operational issues, there will be some more delays before that can be implemented, is my understanding right?

Satyanarayan Goel: No. We are reasonably sure that it will get implemented from 1st

of

January because there is a lot of monitoring from CERC end also, and NLDC, I think, they have done a very significant progress as of now.

Sumit Kishore : And on a previous question, so INR 3.85 is the current exchange price for the Day-Ahead Market, you think that about INR 3.30 will be a reasonable level for the demand to come back on exchanges? Or so what price would really be attractive?

Satyanarayan Goel: What we have seen in the past, around INR 3.25 to INR 3.50. In this price range, there are many high-cost power plants and distribution companies when they shut down those high-cost power plants and start buying from the market.

Even in many of the states the open access consumers also, there is a breakeven at a price, which is around this. So their purchase also increases on the market. And for distribution companies, in any case, this is a lucrative price.

Sumit Kishore : Got it. Just one last question to clarify on quarterly results. If you look at the volume decline on a year-on-year basis in Q2 was about 11%, but revenue declined slightly higher, closer to 13%. So is that explained by

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any rebates, which have been given by IEX or what explains that? And the other income is slightly on the higher side? Is that mainly because of treasury income? Or is there any clarification on this?

Satyanarayan Goel: Yes. Number one is, last year, there were no REC certificates. This year, there is some quantum of REC certificates in the volume. And in the REC certificate, we give rebates to the customers based on the volume. That is one reason. Second is, in the membership and client fees also, we've made some concessions this time because of the high price. Many of the trading companies were open access consumers and for open access consumers, the high prices were not viable, and they were not doing a good volume. So we allowed these incentives to many of the traders for a couple of months. I think primarily because of these two reasons, in percentage wise, there is a difference.

Sumit Kishore : And on other income, sir, is this mainly treasury income? Or is there any...

Satyanarayan Goel: Yes, mainly treasury income because the interest rates have gone up.

Moderator: Thank you. The next question is from the line of Devansh Nigotia from SIMPL. Please go ahead.

Devansh Nigotia : Just a follow-up to the temporary shift in volume from DAM to DAC. I just want to understand the change in transmission charges and then the arbitrage of INR 0.3 to INR 0.4, we mentioned that it was from December 2020, but the shift we are largely seeing is in last three months to four months or probably six months. So, I'm not able to understand why this change happened in only the last six months? And secondly,

also, the uncertainty of availability that I mentioned in peak hours , but both DAM and DAC, both the trades happen a day before. So the uncertainty should be there in both of them, then why that is causing the shift to happen? If you can just share some perspective on this?

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Satyanarayan Goel: Let me tell you one thing, if you look at the volume in the DAM, RTM and the DAC market, prior to December 2020, the DAC market was hardly 1% or 2% of the total market size. From December 2020, it started increasing. It increased to almost about 4%. In March this year , when we had shortage of power the distribution companies, they wanted to ensure availability of power , and that is the time when they shifted to the DAC market.

In many of the cases, they did off-market agreements and verbal understandings and then participated on the exchange platform in the DAC market and did those transactions. So from March, DAC volumes have started increasing. But then again, from the month of

September,

if you see, when our prices have started coming down, DAC volumes came down. And in October also, these are hardly about 7 - 8%.

Devansh Nigotia: Okay, but in Day Ahead Contingency also the trade happens just a day before the power is purchased , is that understanding correct?

Satyanarayan Goel: No, the point is that in Day Ahead Contingency , they are doing verbal understanding before the market hours and the generator is keeping power for him and then does transactions in the Day Ahead Contingency Market.

Devansh Nigotia: Okay. And sir, as you mentioned that REC, there is ESCerts and then, there will be the carbon market where carbon credits will be traded, so what will be the market platform for that to happen? Is that decided yet?

And will IEX be the only one who will be able to trade it or there will be other players as well? Can you share some perspective here?

Satyanarayan Goel: See, Bureau of Energy Efficiency is a nodal agency for this, and they have issued a discussion paper also on this for creating a carbon market in the country. And the first step of that market is that they will create fungibility between REC and ESCerts and whatever spare volume of

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this REC and ESCerts is available, which is unsold, maybe those will be converted into carbon credits and then participants can buy that.

Going forward in the next 2 - 3 years, they will create a mandatory carbon market, and they will create obligation for the business and different users who are generating CO2 for the purpose of compliance that they have to reduce their carbon footprint or obtain these carbon credits from the market. That is going to be a market something like the REC or the ESCerts market.

The market model may be different, but then all exchanges will have the option to introduce those contracts. Since CERC is going to be the regulator, CERC regulated exchanges, which are three at present. All three of them will have the option to introduce those contracts.

And we are also talking about the voluntary carbon market. India has large options to trade carbon credits and a lot of buyers from the European countries, multinational, they want to buy carbon credits on a voluntary basis to comply with the ESG requirements to do their brand building. We see a lot of demand in that market also. And we are also exploring that option. That is going to be a different market. That is going to be a voluntary market whereas the mandatory market is basically what is going to be done by the government.

Devansh Nigotia: Okay. And sir, based on your discussion with SEBI and MCX regarding the launch of derivatives, what is the constraint, which is postponing the launch of these contracts? Because CERC has launched LDC. So what

do you think what are the constraints for the derivatives to be launched?

Satyanarayan Goel: If you look at the different derivatives, which are there, derivatives for the different commodities on the MCX platform or the N CDEX platform, you don't have a spot market for any of those commodities. In case of electricity, we have a very vibrant electricity market. Regulator is concerned about the effect of the derivatives in the spot market. They
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want to analyze from all angles, that there is no adverse impact of this on the spot market. And that is why there is some delay.

Moderator: The next question is from the line of Milind Karmarkar from Dalal & Broacha Stock Broking Private Limited. Please go ahead.

Milind Karmarkar: I have a couple of basic questions. So we have been talking about 4 to 5x volume growth because of PPAs moving away and trading volumes increasing in the coming years, let me put it that way. But if I see this year's volumes actually don't support them about it. So I just wanted

to

understand, has our thought process changed or we are reasonably confident that this type of volume growth will come in going forward?

Satyanarayan Goel: See you can't have that kind of volume growth, which we had seen in the last two years, every year. And we definitely get a year in between where the consolidation will happen.

Milind Karmarkar: No. Fair enough.

Satyanarayan Goel: This year was a very challenging year for all countries. And this was mainly because of the significant increase in the input costs. If you look at the generation last year from the imported coal-based power plants, and even many of the IPPs were importing coal and blending with the domestic coal and selling power in the exchange platform, but it is no more viable for them. I think situation has changed this year. And despite that, if we are able to maintain our volume at par with the last year on first half basis, I must say that it is a good job done. And in the coming second half, we definitely expect a better growth.

Milind Karmarkar: Okay. That's fine, but the basic thought process that over a longer period of time, PPAs will be abolished and most of the volumes will happen on the exchanges. What's your thought process on that? Has it changed? Or it still remains?

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Satyanarayan Goel: That is a stated rule of the government, that distribution companies have the option to exit PPA's after 25 years. They can do that, but there are not many projects where the PPAs are 25 years old. Mostly the IPP stations started from 2007 - 2008. So, in many of the cases, the PPAs are still only about 14 - 15 years old and have another 10 more years to go. Some of the NTPC stations, yes, their PPA is over in one or two cases. In one of the cases, I think distribution companies have exercised the option to exit.

But in any case, there is growth in demand happening in the country at a rate of 6 - 7%. I think draft national electricity plan projection is around 7% growth in the demand for the next five years which is a very high number. If the demand increase continues to happen, I'm sure good part of the demand increase will come in the market.

Milind Karmarkar: And what about the new generating capacities which are coming in, let's say, renewables. In your opinion, they would directly come to the market or they would prefer to go the PPA route?

Satyanarayan Goel: See, as of now, most of the renewable capacity is under the PPA. But the distribution companies who have the PPA, we have seen that their participation on the exchange platform has started increasing now.

Whenever they have more renewable power, above their requirement they participate in the market. So that is one.

Second is that at the price which they are able to get in the Day Ahead

Market during the solar hours, many of that price is definitely more than INR 3.50 paisa for the last year and this year. So many of the I PPs are also now considering to set up merchant capacity. Maybe part merchant maybe 20 - 25% merchant and the balance PPA to comfort the lenders. So many of them are considering this option also.

Milind Karmarkar: Okay. My second question was that we have already seen two exchanges being set up, and I think one of them has already started business. So

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with this, are you expecting some reduction in the share which we hold currently or a lower growth than what we have seen in the past few years?

Satyanarayan Goel: See, last two years in the electricity segment, we saw a growth of almost about 35%. So yes, this year, definitely is the year of consolidation and next year, it is difficult to talk about the growth number. But if the generation and demand growth happens at a rate of 7% to 8%, then I am sure exchange volumes should also

grow at least at the rate of 20%.

Milind Karmarkar: Okay. But what about the competition from the new exchanges?

Satyanarayan Goel: I'm sure you all must be having the numbers. I need not talk about it.

Milind Karmarkar: One has not yet started. The second is just started. What's your take on that? That's what I'm asking.

Satyanarayan Goel: One exchange is already operational for the last 14 years. They started operations in November, we started our operations on 7th of July. I think you have the numbers ; you can compare with that. I don't think it has made any impact on our business.

Milind Karmarkar: Okay. My last question was that this government has also talked about privatization of distribution companies across India. So just wanted to understand in which way would this impact the traded volumes on the exchanges?

Satyanarayan Goel: The distribution sector is financially inviable. It will bring viability in the power sectors. Today, the distribution company is losing money for every unit they supply and there is no incentive to supply more power .

But if privatization happens and there is an improvement in the distribution sector, the loss reduction happens and if the companies start making some money out of the sale of power, then they will have incentives to supply more power.

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I mean, in a country like India, maybe we're talking about 7%, 8% kind of GDP growth and our per capita consumption is only about 1,300, 1,400 units per year. World average is more than 3,500, which is huge . There is a very high potential for power demand growth which is not happening because there's no incentive for distribution companies to supply more power.

Moderator: Ladies and gentlemen, this would be the last question for today, which is from the line of Abhishek from Daydream Entertainment. Please go ahead.

Abhishek : I just had one question. Like we always talk about India's growth. We always talk about future is good. We are expanding in other countries and also a lot of other prospects. But I want to know if you can give us some guidelines and some detailed picture about what's going to happen and what's your plan and what is going right and what's not going right from your perspective?

Satyanarayan Goel: What is not going right is, I told you already. Presently, the fuel availability is not right. Less coal available in the market under the e - auction route. E-auction rates are higher. Exchange clearing price is higher, which is not good. For any market when the prices are higher means market is not doing well. And the same is the condition with us. In our case, distribution companies not only purchase power to meet

their demand , but they also purchase power to optimize their cost. In fact, in last 2 years, Andhra Pradesh state has reduced their power procurement cost by more than INR 1,000 crores, just by purchasing more power through the exchange because our rates were very competitive. This year, that kind of opportunity was not there for the distribution companies to optimize their costs. Open access consumers, industrial consumers, large industries, earlier they were also active on the exchange platform, but when the rate is Indian Energy Exchange Limited
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high, which is more than their breakeven rate , they have no incentive to buy from the market. So I think because of all these things, this was a challenging year for us and volumes were less because of that. Abhishek : Yes. I love the explanation. So one more question. Like there's a lot of negativities right now in terms of competition. I know you just explained that there's no competition in literal way, but a lot of negativity and especially FII's, we see they're selling and share price also, we see a lot of negativity. Do you have any plan to account

for that?

Satyanarayan Goel: See, I can't say anything about what FII's are doing and what is happening in the share market. I can only talk about my business and how we are doing and what we hope to do in future.

Abhishek : Do you want to say anything about the competition because a lot of negativity about the competition but you said that the volume is dry, but it's not well communicated?

Satyanarayan Goel: I told you about the competition four months have passed, the third exchange also is in operation. And you can see the volume of the other two exchanges. And I'm sure these numbers will speak in the market.

Moderator: As that was the last question for today, I would now like to hand the conference back to Mr. Sumit Kishore for closing comments.

Sumit Kishore: Thanks a lot for giving us this opportunity to host the call. I wish team IEX and the audience on this call a very happy Diwali. So over to you for any closing comments.

Satyanarayan Goel: I would like to thank all of you for being part of this call today. Q2 has been a challenging quarter for all of us. Going forward, we expect reduction in input prices, lower prices on IEX, and optimization by discoms and Open Access consumers, thereby better volumes on IEX. Indian Energy Exchange Limited
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IEX, as always, remains committed to positively contributing towards the growth and sustainability of the Indian energy sector. Thank you for being part of this call. I look forward to our interaction in the next earnings call. Thank You!

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Jan 2023

Indian Energy Exchange Ltd

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Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 23, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 23, 2023, at 02:30 pm (IST) to discuss the financial results of the Company for the quarter ended December 31, 2022.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited

Q3 FY '23 Results Conference Call"

January 23, 2023

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR – INDIAN ENERGY EXCHANGE
LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
& COMPANY SECRETARY – INDIAN ENERGY
EXCHANGE LIMITED

MR. ROHIT BAJAJ – HEAD, BUSINESS DEVELOPMENT –
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MS. APARNA GARG – HEAD, INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS – INDIAN
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MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS
AND PRODUCT DEVELOPMENT – INDIAN ENERGY
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MR. SANGH GAUTAM – CHIEF TECHNOLOGY OFFICER
– INDIAN ENERGY EXCHANGE LIMITED

MR. SAMIR PRAKASH – CHIEF HUMAN RESOURCES
OFFICER – INDIAN ENERGY EXCHANGE LIMITED

MR. ADITYA WALI – INDIAN ENERGY EXCHANGE
LIMITED

MODERATOR : MR. SUMIT KISHORE – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q3 FY '23 Results Conference Call, hosted by Axis Capital Limited. As a reminder all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Darwin. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q3 FY '23 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, Chairman and Managing Director, Mr. Vineet Harlalka, CFO, Mr. Rohit Bajaj, Head of Development, Ms. Aparna Garg, Head of Investor Relations and Corporate Communications.

We will begin with the opening remarks from Mr. Goel, followed by an interactive Q&A session. Over to you, sir.

Satyanarayan Goel: Good afternoon, friends, and welcome to the Earnings Call for Quarter Three of Financial Year 2023. Let me begin by wishing all of you a Happy New Year. With me today on this call are Mr. Rohit Bajaj, Head Business Development, Mr. Vineet Harlalka, our CFO and Company Secretary, Mr. Amit Kumar, Head of Market Operations and Product Development; Mr. Sangh Gautam, CTO; Mr. Samir Prakash, CHRO, Ms. Aparna Garg, Head of Investor Relations and Communications and Mr. Aditya Wali.

At the outset, India's commencement of the G-20 presidency on December 1 marks a significant milestone towards undertaking a leadership role on the global stage. It also brings an opportunity for India to showcase its sustainability roadmap.

On the economic front, India's post-covid economic recovery continued with a strong H1 2022 - 23. The country registered a broad-based economic expansion of 9.7% during this period and was placed among the fastest growing economies of the world. Recently, India's manufacturing Purchasing Manager's Index (PMI) rose to 57.8 in December 2022 from 55.7 in the previous month, the highest it has been since October 2020. Similarly, the services sector in India did better than it has in the last 6 months, with the Services PMI rising to 58.5 in December 2022 from 56.4 in November.

With increased economic activity within the country, electricity consumption in India for Q3 FY23 stood at 343 BU, which is a YoY growth of 6.8%. Key contributors to this demand increase were states like Rajasthan (16.4% YoY), Karnataka (12.5% YoY), Gujarat (8.1% YoY), Telangana (7.6% YoY), and Andhra Pradesh (6.9% YoY). Installed capacity in India achieved 410 GW as on 31st December 2022. In line with the country's commitments towards arresting climate change and evolving into a net-zero emitter by 2070, the installed capacity for renewables grew to 168 GW. This growth of green energy is expected to help India attain its vision of achieving 50% of its entire energy consumption from non-fossil fuel sources by 2030.

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In the quarter ended December 2022, the price of e-auction coal continued to be high. While the quarterly average price premium declined from 293% in Q2 FY 23 to 242% in Q3 FY 23, it was considerably higher as compared to 35% for the special forward e-auction price for the power sector in FY 22. As a result of this, input cost for Gencos continued to be high. Continuing high spot e-auction coal prices led to the average clearing price in the Day-ahead market at Rs 4.56 in Q3 FY 23, while lower from Rs.5.40 in the previous

quarter, but still high to provide optimization potential for Discoms and Open Access consumers. During the quarter, coal production increased by 8.7% YoY to 225mt, while coal dispatch to the power sector remained almost similar at 184 mt compared with the same period FY22. Inventories at power plants now stand 13 days. Improving coal inventory and further reduction in e-auction coal prices is expected to result in a decline in power prices on the Exchange and provide further cost optimisation opportunities to Discoms and Open Access consumers. This will result in higher volumes on the Exchange.

On the regulatory and policy front several developments took place. A few highlights were:

A) In early December the new REC regulations for RE generators were implemented. The new REC mechanism of no floor price and fungibility between REC is likely to increase liquidity in the market.

B) The trading of ESCerts is expected to start this month. Recently, CERC made amendments

to define a Floor Price for trading Energy Savings Certificates, fixed at 10% of price of one metric tonne of oil equivalent of energy consumed as notified by Central Government.

C) The GNA regulations were notified in October 2022 and were partially implemented as the Grid Code is in the draft stage. The regulations are expected to be implemented before the end of FY23. Implementation of GNA will remove regulatory arbitrage which has led to the temporary shift in Volume from DAM to DAC and will be more conducive towards further market development within the country.

D) Further, CERC issued the Deviation Settlement Mechanism and Related Matters Regulations, 2022 linking the DSM charges to the time block wise price discovered on the Exchanges. This will discourage discoms to over-draw under DSM and will lead to increase in RTM volumes on the Exchange.

All these initiatives will help further deepen power markets in India.

Coming to IEX updates, during Q3 FY23, electricity volumes at 23 BU, grew 9% QoQ. However, electricity volumes declined 2% on YoY basis as compared to Q3 FY22. Volumes were impacted largely due to supply side constraints, led by high prices of e-auction coal. REC volumes at 1.2BU during Q3 FY23 witnessed a de-growth of 68% on YoY basis as compared to Q3 FY22 as Q3 FY22 had exceptionally high REC volumes of 38.3 lacs to fulfil the pent-up demand caused by a stay on REC trading by APTEL for almost a period of 16-months.

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Overall volumes at 24.2 BU recorded 5% QoQ growth across all market segments. However, on a YoY basis, overall volumes declined by 12% because of power supply side constraints, high prices discovered during Q3 FY 23 and high REC traded volumes during Q3 FY22.

In November 2022, IEX filed a petition for introducing the High-Price Day Ahead (HP-DAM) market to enable generators which have high variable cost more than Rs. 12/ unit to participate in the market. We are expecting to start this market by February 2023.

We continue to sustainably transition India's energy market through efficient and asset-light businesses. In Q3 this year, we incorporated a wholly owned subsidiary - International Carbon Exchange (ICX). ICX is aimed to leverage opportunities that exist in the voluntary carbon market. The exchange mechanism will facilitate market participants to trade in voluntary carbon credits allowing for transparency and optimal price discovery. We are confident that ICX will go a long way in helping achieve India's target of reducing the emissions intensity of its GDP by 45 percent by 2030 to limit global warming to 1.5 degrees Celsius.

The quarter also saw IEX become India's first carbon-neutral Power Exchange, using market based tradable instruments to offset its carbon emissions. This will help IEX members and participants to reduce their Scope 3 emissions by building a greener value chain.

I shall now talk about developments at IGX. In Q3 FY23, there have been several noteworthy developments at IGX. IGX traded a total volume of 24.42 million MMBtu during Q3 FY23, which was a 568% YoY increase. This growth was largely on the back of participation from major domestic gas producers and an increase in the number of participants. During this quarter, 7 members including RIL, BP Exploration (Alpha), and Vedanta Limited, joined IGX.

Recently, IGX launched GIXI – the first ever nation-wide price index to reflect benchmark natural gas price for India. The IGX Price Index is developed with the purpose to derive a single price for the country in line with international benchmarks such as JKM, HH, WIM, TTF, which are currently representative of the prices in their respective coverage regions.

Now, I will enumerate some of the IGX financials during Q3 FY23. During the quarter, profit after tax at Rs 12.76 Cr. witnessed a growth of 427% on QoQ basis and 1,437% on YoY basis.

Efforts undertaken by IGX in the country's Gas sector were also recognised at the Enertia Awards 2022 where IGX won the 'Best & Pioneering Gas Exchange initiative for Gas Economy' award.

It is now time for me to summarise the financial performance of the company in this quarter.

On a consolidated basis, revenue for Q3 FY23 increased 3.1% on QoQ basis, from Rs 113.8cr in Q2 FY23 to Rs 117.4 cr in this quarter. However, due to a decline in traded volumes, revenue for Q3 FY23 witnessed a decline -growth of 10.3% on YoY basis. Consolidated PAT at Rs 77.2 Cr grew 8.4% on QoQ basis as compared to Rs 71.2 Cr in Q2 FY23.

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With gradual improvement in domestic production of coal and an improvement in coal inventory, we expect a rationalization of power prices on the Exchange, and the volumes to improve.

Since its inception, IEX has grown with a focus on customer-centricity, innovation, and technology. We continue to work towards building a sustainable and efficient energy future for India. In addition to developing new products such as HP DAM and Ancillary markets, we are exploring business opportunities in voluntary carbon credits space with the launch of ICX, and also doing policy advocacy to create a framework for setting up a Coal Exchange. We believe in the government's vision for a sustainable future for India's energy sector and are committed to help the country achieve it.

With that, we shall commence the Q&A session now. Thank you.

Moderator: The first question is from the line of Mohit Kumar from DAM Capital.

Mohit Kumar: My first question is how has been the traction in long term duration market? I think we have started two contracts monthly and any day single sided. Can you please comment on that?

Satyanarayan Goel: Yes, we introduced long duration contracts in the month of July. And there is very good response from the market. I think by now we have conducted more than 50 auctions. But since the price discovery in this auction is on the higher side because of supply side constraints as you are aware, many of these auctions have not resulted into a contract. Still, we have done more than 1-billion-unit transaction during the six months in this segment.

Mohit Kumar: Are we seeing any green shoots in this particular segment? Given that we are entering into the summer season?

Satyanarayan Goel: See, invariably in the long duration contracts transactions happen when the prices are competitive and then distribution companies, they get into a contract for three months, six months to meet the seasonal power requirement. But, at the moment, because of the uncertainty in the availability of coal and very high e-auction price, since the prices are higher it is difficult to say about the volume growth in this. But I can give you a broad picture about this market.

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Almost 50 billion unit of transactions are happening in less than one year contract for the trading companies. And this is the potential for this market.

And with the kind of flexibility which we have provided for the Long Duration Contract, I am sure we should be able to get a good large share out of that. So going forward, we will see how the growth happens in this market. And next year particularly, Government of India has fixed a very high target for coal production which is 1 billion ton for the country as a whole and if that happens, I'm sure e-auction coal prices also will cool down and our clearing price will also come down and then you will see good traction in this market.

Mohit Kumar: Secondly on IGX, how much was the revenue, EBITDA and PAT for nine months? For Q3 you mentioned INR 12 crores, is that number right?

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Satyanarayan Goel: Yes.

Vineet Harlalka: During Q3, the total operating revenue was around INR 18.5 crores for IGX, in comparison to around INR 5 crores revenues in Q2.

Mohit Kumar: And the nine-month number, sir?

Vineet Harlalka: Yes, for nine months the operating revenue was INR 27 crores versus INR 5 crores for the previous year.

Mohit Kumar: Is that profit number, Sir, for the nine months?

Vineet Harlalka: Number for nine months is INR 16 crores.

Mohit Kumar: So most of the profit has come in this quarter?

Vineet Harlalka: Yes.

Moderator: The next question is from the line of Mr. Sumit Kishore from Axis Capital Limited.

Sumit Kishore: My first question is, there has been a slight easing of supply-side constraints, but we have not seen a meaningful improvement in liquidity on the exchanges so far. October was better in that respect, but then November and December sequentially saw a worsening of liquidity and high exchange prices. January also the exchange prices so far are north of INR 6.0. So, what do you expect over the next few months on the liquidity aspect and how do you expect exchange prices to pan out over the next six months?

Satyanarayan Goel: Yes. There has been significant improvement in coal production in the country. But you know, when a crisis happens, always rationing is done. And this time, Government of India, what they have done is, they have increased supply of coal under the PPA. So those states are able to get coal for running their own power plants. So, a good part of the demand is met by PPAs. PLF of the coal-based power plants increased almost by 6% -7% as a result of that.

Availability of coal in the market, which is the e-auction market, is still low and the e-auction price is still very high. It is still about 240% -250% of the administered price and at these prices the variable cost is INR 5-plus, so generators cannot sell power at a rate lower than INR 5.25, INR 5.50 and that is why our clearing price is still high. But I'm sure going forward, when coal production improves, availability in the e-auction market where e-auction price was only 35% premium in FY '22, it should come down to that level. And when that happens, you will see our clearing price coming down to INR 3.5 to 4.0 and the volume should also increase with that.

Sumit Kishore: So would that be a reasonable expectation to have over the next three, four months or based on how things are going right now, you expect that liquidity will be tight for some more time?

Satyanarayan Goel: Maybe after August, September, this will come down because March, April, May are high demand periods. And during this time even hydro and wind support is also not available. So

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there is going to be a lot of pressure on the coal-based power plants. But after that, I think the situation should improve.

Sumit Kishore: And would it be reasonable to say that when

exchange prices are high, State DISCOM

requirement to optimize their power procurement or C&I customers wanting to buy cheaper power gets impacted and that could weigh on volume growth on exchanges like we have seen over the last fiscal and so far?

Satyanarayan Goel: Yes. Whenever clearing price is high, definitely it impacts our business, because our cleared volume normally consists of three components. One is purchase by DISCOMs to meet the demand. Second is the States which are located far away from the coal mines, their variable costs are high and they used to back down those costly stations and purchase power from the market. And third is purchase of power by the open access consumers, i.e industrial consumers to optimize their cost.

Now with high clearing price, it is only the demand of the distribution company which is coming to the market. And optimization opportunities reduced to significant extent. And that is why there is slight dip in the volume. But I'm telling you, in spite of that our volumes are still very high. And on quarter-on-quarter basis, we have seen growth with respect to Q2. Q3, volume growth is almost about 8.6% in electricity. So with that, I'm sure Q4 should be better than Q3.

Sumit Kishore: Also, it was expected that the volume would shift back to DAM from DAC with the bringing out of GNA regulations, the issue around double charging of transmission charges. Why has it still not been addressed? Can you please explain that?

Satyanarayan Goel: No. Issue has been appreciated by the regulators. They have already issued the GNA regulations where they have addressed this issue and there will be no double charging. Only thing is that GNA regulations will be implemented after finalization of the grid code and transmission charge sharing regulations.

Hearing has been held for all these regulations. So they are under finalization of the documents. And once these regulations are issued, then this will be implemented together. Because all these three regulations are interlinked. So we are expecting maybe from 1st of April this will get implemented.

Sumit Kishore: My last question is on ICX. In your presentation you mentioned that by 2030 India will sell almost 200 million carbon credits. But over the next two, three years, how do you see the opportunity shaping? What are the investments that you will do in ICX? And could you give us a more detailed view on the next couple of years what will be the development here?

Satyanarayan Goel: See, the carbon market is a different kind of market. And we have just incorporated this company. What we understand is that the opportunity size is quite big. But first one or two years could be difficult for us. We are in the process of developing the technology platform for this and understanding the market, approaching the buyers and sellers, getting them registered. So maybe by middle of this year, we intend to launch this exchange.

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And thereafter, because many corporate s, many industrial houses, they have made their commitment under ESG to be carbon neutral. And these targets are quite challenging. So all of them to achieve these targets will have to buy carbon credits . India is a large producer of carbon also. And since it's an international exchange, we intend to interact with the international participants also. So opportunity is good, but let us see how much share we are able to get out of that.

Moderator: We have the next question from the line of Sandeep Agarwal from Naredi Investments Private Limited.

Sandeep Agarwal: Sir, my question is currently 85.9% is our long-term PPA. And after 25 years of completion, there will be no renewal. So what is the other option for a company to buy power other than exchanges?

Satyanarayan Goel: The present companies who have long -term PPAs , after 25 years, they

are free to sell their power

in the market. And then they have the option to sell the power under the bilateral contracts, maybe on a medium -term basis or short -term basis, but the Exchange is the most flexible option where they can depend -- because after 25 years, the plant also gets aged and their performance also deteriorate slightly.

So, depending on the availability of the plant, they can utilize the capacity on the exchange platform because we have both the Day Ahead market and RTM market, and we also have long -duration contracts. So I'm sure this participation would be more through the exchanges.

Sandeep Agarwal: And sir, do you have any data that after 3 to 5 years, what will be the percentage reduction from 85.9% to what percentage?

Satyanarayan Goel: See, as of now, from the last 5, 6 years, long -term contracts are not happening and demand is increasing every year at a rate of 5% to 6%. So definitely, the share of the long -term contracts in due course of time will decrease and purchase from the market will increase.

Sandeep Agarwal: My next question is regarding the gas exchange, about 50% of gas is imported via short -term. So, what is our exact market size in this? And what is the main trigger you think, other than the price to increase the volume ?

Satyanarayan Goel: See, in any market platform, the volume increases when the prices are competitive. And same thing holds true for the gas exchange also. This year, the volumes in the gas exchange increased because for the first time, Government of India allowed trading of domestic gas with the ceiling price also on the exchange. And that brought us good volume, but LNG trading was hardly any quantity because LNG rate is very, very high in the international market. So, import was less and the trading to the exchange was very less.

It was mostly domestic gas with the ceiling price and domestic gas from other sources. Going forward, as and when the LNG prices moderate, they come down to the level of \$5, \$6, which used to be the price earlier also , I'm sure when that price comes, the LNG purchase will increase, and we will see larger volumes through IGX.

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Moderator: The next question is from the line of Yash Nerurkar from PPFAS Asset Management.

Yash Nerurkar: So I had two questions. One is from a business perspective. You have introduced many new products in the past, say, few quarters. So going forward, what would be the revenue composition like, say, from a year or two from now ?

Satyanarayan Goel: There was a time when DAM constituted almost about 90% of our volume -- 90% of our revenue. Today, DAM is only about 50% of our volume and RTM has become 26%. So taken together is about 78% DAM plus RTM. And in fact, DAM plus RTM is the most competitive market as far as the Exchange is concerned. So volume in these two segments will continue to lead other market segments. But we also expect long -duration contract volume to pick up in future.

As I told you, whenever the coal price will come down in the international market and in our domestic e-auction market , in the LDC market also, there will be significant volume growth. So, it will be very difficult to say how will be the distribution of volume under the different segments. That depends on the clearing price, where the clearing price comes down, then you will see large volume in the energy market also.

Yash Nerurkar: Okay.

Satyanarayan Goel: Green market is another area with large renewable capacity addition which we'll see good volume growth.

Yash Nerurkar: So, would renewables also be like a major component going forward in the DAM segment, the

green DAM segment?

Satyanarayana Goel: Yes, just green market, it was only 2%, 3% 2 years back. Now last year, it was 5%, and this year, it is already 6%. So I'm sure next year you will see the green market

is going to be almost about 10% of the total volume.

Yash Nerurkar: And secondly, I wanted to know about the transaction charges which were under review. You had submitted your proposal about the transaction charges, and it was under regulatory approval. So does that risk still remain that the transaction charges would drop or would be half?

Satyanarayana Goel: See, hearing was held in the month of December. And order is reserved by the Commission. Order has not been issued. So, until order is issued, it is very difficult to say what is going to be the final order. But looking at what happened during the hearing, we made our case and we convinced the Commission that INR 2 paise is the right number which they have also fixed in the regulations. And probably that should happen.

Yash Nerurkar: So basically, from your point of view, you think that it would work in your favour?

Satyanarayana Goel: Yes.

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Yash Nerurkar: And just one last question. I wanted to understand about the gross bidding mechanism, like what implementation stage it is or is that too under regulatory approvals, and it's under review?

Satyanarayana Goel: See, gross bidding is basically voluntary participation of the State to the market. States can sell their capacity, which is at the margin and if exchange trading price is INR 3, then they can sell power from the power plants, which are less than INR 3, I mean, maybe from INR 2.75 and above. They sell in the market and buy power, whatever is required from the market.

So you are selling in the market and buying from the market. In turn, you are optimizing. Because your demand during the day is not uniform, so you optimize your power procurement costs in the market. But these kinds of things happen normally when that clearing price is competitive. Since this year, the clearing price has been very high, there was no opportunity for distribution companies to utilize this gross bidding concept.

Moderator: The next question is from the line of Nikhil from Alliance Bernstein.

Nikhil: I have two questions. First question was regarding power derivatives. While we understand it's going to come on another exchange, but it has implications for IEX as well. So I wanted to understand if there are any updates on that front?

Satyanarayana Goel: Power derivatives have not been introduced yet, because this will be introduced in the SEBI regulated exchanges. I think NSE and MCX are working on this. There is a joint working group, the joint working group has to approve the contract for the derivatives because in electricity, we have a spot market also and the regulator wants to be sure that there is no adverse impact of those derivatives on the spot market. It is in an advanced phase and maybe in the next one or two months, we will have derivative contracts in the market.

Nikhil: The second question I had was regarding RECs. You mentioned the new regulations coming into play in December. I wanted to understand that the regulation allows power traders also to participate in RECs. Did that have an impact on December volumes? And could it have an impact on future volumes for RECs?

Satyanarayana Goel: I don't think because all distribution companies, particularly, they would like to do trading of RECs only through a competitive platform so that there are no questions asked. And exchanges have been well accepted over the last 12 years that this is the competitive platform for price discovery.

And RECs have been happening through this platform. So I'm sure distribution companies will continue to buy RECs through this exchange platform only. And other industrial consumers, their requirement is in very, very small quantities and they buy it on an as and when required basis.

So they will also like to prefer an exchange platform because there's no fixed day on when the transaction

is going to happen. So I don't see allowing trading companies will have any adverse impact as far as REC volume is concerned. But let us see, so far, I don't think any transactions

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have happened through the trading companies because it has almost been about 1.5 months and nothing has happened.

Moderator: The next question is from the line of Bevam Modi from Ardeko.

Bevam Modi: Yes. Sir, what would be the IGX share in the total gas volumes of the country?

Satyanarayan Goel: So as of now, IGX share is only about 1%, 1.5% only.

Bevam Modi: This would be based on the third quarter, 24 million MMBTU would be 1%, 1.5%?

Satyanarayan Goel: Yes.

Bevam Modi: And what would be the Q3 profit from IGX, would it be around INR 12 crores,

Satyanarayan Goel: Yes. You're right.

Bevam Modi: So would there be any one-offs in this current number? Also would we be posting this kind of numbers? And if the volumes expand further, what kind of profitability can be expected over a year? Are there any one-offs in this current number on the profitability side?

Satyanarayan Goel: No. This quarter, volume is mostly driven by domestic ceiling price gas sold by Reliance and ONGC and they have regular supply of gas. So I'm sure their requirement will be to sell-off this gas on a monthly basis. And they have seen that the exchange platform, again, is more flexible and efficient platform. Again, the transactions have been very smooth. So the transactions from these companies would continue and in addition, as and when the LNG prices come down, the volume will further increase.

Bevam Modi: So you are saying current base would remain around these levels and then volume increase will depend on further narrowing down of LNG prices? Would that be the right impression?

Satyanarayan Goel: See, in fact, in the gas market, there are many fields which have been given to the private sector and there are many fields in fact, presently, which were auctioned in the recent past. In those fields, there is no auction and there is no ceiling in their prices. So as and when gas production from those will start, I'm sure participation also will increase on the exchange platform. There are many marginal fields which are coming up now. So we may expect good participation. And this year, already gas exchange has done more than three times of what they did last year in nine months. So by the end of the year, it should be almost about four times of what we did last year. So for next year, it will be difficult to give a number, but certainly, it should be in the range of 50 million MMBTU.

Bevam Modi: What would be the quarterly overheads at IGX level?

Vineet Harlalka: Quarterly overhead is around INR 5.5 crores.

Bevam Modi: This would mean all admin expenses and salaries?

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Vineet Harlalka: Yes.

Bevam Modi: And sir, what will be the volume share in the core business of IEX, that is the energy exchange? What would be the volume of SEBs on the buy side and the sell side in this quarter?

Rohit Bajaj: Buy side, it is about 88% to 90%, and on the sell side it is 65%. So distribution companies today are the major buyers and sellers. Mostly it is the distribution companies due to reasons explained by Mr. Goel. Sell side also, we are seeing very good participation from DISCOMs because they are the ones who are getting more coal under long-term supplies that they have and they are operating their plants at higher PLF. Wherever they have surplus, they come to the exchange market and sell that.

Bevam Modi: Correct. Sir, so I was just trying to understand what you were saying with regards to the fact that when the prices are higher, typically, you would expect the volumes to be slightly hit because of the lower SEB participation. So what would

be the non-SEB component of the demand and supply will be much more inelastic to price movement, would that be the right understanding?

Rohit Bajaj: No, what we were trying to explain was from the DISCOM or SEB side, we get two types of buy. One buy is there to meet the deficit, which is price insensitive whatever is the price, they want to buy this power and supply to the end consumer. Now second part of buy is actually optimization buying. In first nine months, the growth in the overall electricity demand grew by 10%.

Now growth was so robust that there was so much deficit buy, which led to prices being on the higher side coupled with the higher input costs and hence, optimization buy was not happening. So the number that we have registered till now, it is purely on deficit buy. The point we were trying to explain was as the supply will improve and as the input cost will go down, we expect more buy to come from same SEBs. Now this additional buy would be on account of optimization or replacement.

Bevam Modi: Sure, what I was trying to ask was the non-SEB volume that is the volume from industries and other private entities, would that be growing in a normal trend. I mean irrespective of the fluctuations in power cost?

Rohit Bajaj: No. That has gone down drastically. In fact, non-SEB volume today is only 10% because our prices are very high. As the prices will start to come down, you will see this number going up to as high as 30%, 35%. There is so much demand which is there, which is waiting on the sidelines, waiting for price to come down.

Every day, these industries are placing their buy bids. But their bids remain unclear because the prices are high. So, this is additional over and above SEB buy. It is highly price sensitive buy which we get from industries.

Moderator: We have the next question from Anshuman Ashit from ICICI Securities.

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Anshuman Ashit: Sir, over the past few days, we have seen the INR 12 price cap being hit during the morning and evening hours during many time blocks. So, sir, what is generally the view on this price cap, will it continue? Will it be changed because it is hurting the DISCOMS a lot and hurting our volumes as well? And do you see the international coal price moderating a bit, do you see supplies from imported coal-based plants increasing and there being some near-term relief on prices?

Satyanarayan Goel: Yes. Price cap of INR 12 is expected to continue for some more time. CERC has already issued that this will continue till further orders. So which means that they don't expect revision of this upward in the near future. But let me tell you one thing, with INR 12 price cap, we don't see any impact on the volume because whatever sale is available in the country, the marginal cost of that is much lower.

Even domestic coal-based power plants, there also the cost despite high e-auction price is about INR 5, INR 5.5. Imported coal plant, the cost is about INR 6.5, INR 7. So INR 12 is much higher than that. So all of them have incentive to participate in this market. So I don't see any impact on the volume because of the price gap.

Anshuman Ashit: Okay. Understood. And Sir, for the nine months, what has been the total exchange volumes? And how has been our market share? So could you give some details on that?

Satyanarayan Goel: Exchange volumes has been 70.7 billion units in the first nine months. And our market share is in this quarter, it is almost 92%. And if you take the full year, it is 89% in electricity.

Anshuman Ashit: Sir, is it fair to assume because the other two exchanges mostly have term ahead contracts and because volumes there have increased and for DAM, it has reduced. So once DAM volumes pick up, our market share may revert to the earlier levels?

Satyanarayan Goel: Let us first understand one thing w

hy the TAM volume picked-up. If you analyze the volume trend on the exchange platform for the last 13, 14 years, the TAM volume used to be hardly 1% or 2% of total volume cleared on the exchange platform because there is enough liquidity in DAM and RTM, so they prefer to buy in DAM and because that provides a lot of flexibility. In this year, when there were supply side constraints, demand was more, many distribution companies preferred to get into the DAC market to ensure availability of power. So that is why the TAM volume increased.

In future with the increase in coal supplies, price moderating on exchange platform, I am 100% sure that TAM volume will rather go down. We have seen in these nine months or so, the month in which the clearing price was lower, the TAM volume were lower in that month. So I don't see any reason for TAM volumes to go up.

Anshuman Ashit: Okay. Understood, sir. And sir, for FY '24, what is the growth that you are looking forward to in terms of exchange volumes overall?

Satyanarayan Goel: Yes. Our growth is dependent on the market conditions. If GDP grows, electricity demand is going to grow. If electricity demand increases by 5%, 6%, which means that almost about 60

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billion to 90 billion units of extra demand in the country. And I'm sure a good part of that will come to the market. But for bidding that demand, there should be enough supply also. And supply can happen only if there is adequate coal supply.

So I mean, it is all dependent on these things. So it will be difficult to make any guess on that. But I can tell you one thing. If you take our average for the last five years, six years, our growth rate has been almost about 20% on CAGR basis. So it should be possible to achieve that kind of a number if market conditions are conducive.

Anshuman Ashit: And sir, one final question, you had mentioned in your initial remarks that ESCerts trading will start in this month, is it? So sir, what kind of volumes are you expecting in that?

Satyanarayan Goel: Total volume of ESCerts sale is about 50 lakhs. But then the purchase obligation is for only 35 lakhs. So the size is very less in this.

Anshuman Ashit: Okay. And similar for the REC for FY '23?

Satyanarayan Goel: We have already done INR 43 lakh REC trading, and we should close the year with, I think, almost about INR 60 lakh REC closing.

Rohit Bajaj : Yes. So we are expecting another INR 20 lakhs in the next three months because these are the closing months and majority of the buy is in these ending months only.

Moderator: The next question is from the line of Lavanya T from UBS.

Lavanya T: I wanted to understand if once we get approval order from CERC on the transaction charge, do we have any idea on the frequency of the approval, which is needed or is it only whenever a new product is launched?

Satyanarayan Goel: Invariably, these kinds of approvals are one time approvals. And thereafter, if conditions change, if regulator feels that there should be a re-examination of that then we can do. In fact, the next best example is the trading margin. CERC had notified trading margin in 2010. And in 2020, they reviewed that and issued an order wherein they revised the trading margin upwards after 10 years. So it is not on a yearly basis. Once this approval is there, I'm sure it is going to be there for a pretty long time.

Lavanya T: Okay. So I was checking because for trading, there was a cap and explicit approval for each of the trading licensee was not required. But here with exchanges, along with the cap, approval was required for each of the exchanges.

Satyanarayan Goel: Here also, they are going to approve the transaction fees as a cap, that exchanges cannot charge more than so much of paisa as transaction fees in the DAM market so much paisa in the RTM market. Because if you

fix the number, then between the different exchanges, they will not be able to promote competition. Also, they're able to put the cap and they have already put that cap in the regulation, cap on INR 0.02. So, I'm sure that number is going to come.

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Lavanya T : Got it. And I want to understand your view on the overall market. Usually, during winter, overall electricity demand comes down and supply is relatively better during this period. But despite that, exchange prices are quite high. So coal prices is the only reason or any other change in the market that you are seeing as to why there are so high market prices even in January?

Satyanarayan Goel: One is, the demand of power in the country has increased. It has increased by almost 10% this year, which is again unprecedented. In the last 20 years, this is the first year, where the electricity demand in the country has increased by 10%. Otherwise, it used to be at a rate of 4%, 5%, 6%. So that is one factor. And second factor coupled with this, the coal prices have increased in the international market. Because we have almost 20 GW of imported coal-based capacity that coal-based capacity is operating hardly at 30%, 40% PLF. So the pressure is on the domestic coal-based power plants, and that is why all these problems are happening.

Lavanya T : Okay. So with some moderation in international coal prices, do you see this improving in the coming months or how do you see this moving?

Satyanarayan Goel: I'm sure because the prices have already started coming down. Every month, we are seeing 4%, 5% reduction in the imported coal prices and domestic e-auction price is also reducing every month. So in the near future that should come down to the normal range.

Lavanya T: Got it. So last question from my side. We have seen sell-side from State Boards, these are 65% now. So what this used to be earlier? Like what is their share on the sell side in the normal year like 2020?

Satyanarayan Goel: Distribution companies sell used to be 30%, 40%. And the generating company used to be 60%, 70%. But this year, since the State distribution companies got more coal under the PPA, they had more power at their disposal. And there are many states where the demand is in the morning and evening hours, but then they have very less demand in the night hours and daytime. So to keep the plant running, they sell power during the night time and the day time. Then there are States where, they have contracted capacities keeping their demand growth for the next 10 years, and they have today surplus capacity at their disposal. So they sell power from those plants. And since the clearing price on the exchange platform is lucrative, these states also make some reasonable profit out of that.

Moderator: We have the next question from Ankush Agrawal from Surge Capital.

Ankush Agrawal: Sir, firstly, on IGX what will be the overall traded natural gas in India?

Satyanarayan Goel: So far, the natural gas traded is almost about 36 million MMBtu and a very large part of which is domestic.

Ankush Agrawal: What is the total Indian consumption, not what IGX is doing.

Satyanarayan Goel: Total gas consumption in India is almost about 160 MMSCMD, which is million cubic meter per day, 160 million cubic meter per day. And out of that, 50% is produced domestically.

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Ankush Agrawal: Okay. So out of this, what would be the addressable opportunity for IGX in the short-term traded gas, which is traded from traders or, something like that?

Satyanarayan Goel: IGX this year is doing almost about 1.5% of the total gas consumed in the country.

Ankush Agrawal: Okay. But what would be the short-term market size?

Satyanarayan Goel: And looking at the plan of the Government of India, Governme

nt's plan is to increase

consumption of gas from 6.3% to 15% of energy basket in the next seven, eight years. And they have created large infrastructure in the gas sector like LNG terminals, gas pipelines are being constructed. So, if gas growth happens like that, I'm sure opportunity for the gas exchange is very, very high and I always say that opportunity for the gas exchange is as big as what we are doing in the power sector.

Ankush Agrawal: What is the short-term market for Gas like for electricity we have about 12-13% which is traded on the short-term side, so on the gas side?

Satyanarayan Goel: In case of power sector long-term contracts are almost 88% of the demand. In the gas sector, long-term contracts are hardly for about 70%, 75% of the demand. Rest of the gas is under the short-term, getting imported or in the short-term market.

Ankush Agrawal: Right. Okay. Got it. On carbon exchange that we are looking to start, I believe this would be a global opportunity for IEX because for carbon credits the issuing agencies are global in nature, so this would be fungible globally? Are we targeting the global opportunity? Or no, we would be restricting to carbon credits that would be issued and domiciled largely in Indian markets?

Satyanarayan Goel: No, this is going to be a global opportunity. That is why the name of this company is International Carbon Exchange. Because as of now, many European and American companies to comply with their ESG commitment, are buying these carbon credits. So buyers are more active in the international market and we have in India on the sell side, we are also producing many carbon credits. In fact, there is a good opportunity for sale from India, Southeast Asia countries and African countries. So we intend to tap all these sources for carbon credits and buyers in the European and American markets.

Ankush Agrawal: The idea would be to firstly act as a supplier of Indian carbon credits to the global market?

Satyanarayan Goel: You are right.

Moderator: The next question is from the line of Arul Selvan from Independent Advisors Private Limited.

Arul Selvan From a long duration perspective, you said that the current market it is about 50 billion units.

Am I right in what I heard?

Satyanarayan Goel: You're right.

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Arul Selvan So my basic question here is that how exactly the current market players are trading in this segment, if it's not really through the exchange platform. Is there some other platform or is it just a traditional bilateral contract way?

Satyanarayan Goel: Most of the trading in this market is happening through the DEEP platform. Where the reverse auction happens for price discovery and most of the trading happens through the trading companies or directly through generator companies.

Arul Selvan Okay. So now when long-duration contracts are introduced for, let's say, progressively longer duration than right now, we have if I'm not mistaken, six months, right? That's the longest duration that we have right now, right?

Satyanarayan Goel: Right now, we have contracts for delivery up to three months.

Arul Selvan Three months, sorry.

Satyanarayan Goel: Yes, we're talking to regulators for approving delivery of contracts up to 11 months.

Arul Selvan Yes. So now my question here is, suppose, let's say, in the future, we get the regulatory approval for launching contracts for, let's say, up to 6 months or 1 year or 2 years, do you expect players to automatically shift to our platform? or do you think that the existing DEEP platform provides certain other advantages that are not available on our platform?

Satyanarayan Goel: See, shifting of the participants on our platform will depend based on the value which we provide. If we are trying to create more value at the exchange, they will definitely change.

So,

we are trying to create value for them to the Exchange platform. Number one value is that these exchange platforms are flexible. You can give your requirement for doing the auction any day and also within two three days' time. And we have very efficient system of power scheduling, so we, in fact, ensure that there's a match to the scheduling of power also and also with the complete financial transaction.

We pay to the generators on a daily basis. So that is a big USP of the Exchange. Generators are willing to sell power on the Exchange at a price lower also because they are assured of the payment. In case of DEEP contracts, they are not assured of the payment. They in fact get

payment one month after they have supplied power in many cases. So looking at these kind of values, I'm sure participants will be more active on the Exchange platform .

Arul Selvan Right . And just a couple of more questions. The first one is that , are there any competitors who are offering these long-duration contracts for up to three months as of now?

Satyanarayan Goel: All the three exchanges are offering this.

Arul Selvan Okay. And you said that the traction is lower. Is that also across the other exchanges -- or is it only on our platform?

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Satyanarayan Goel: No. I mean, volumes are happening in other exchanges also, but I can definitely say that our share is more than their share .

Arul Selvan Would you have a number for that in terms of what our market share would be on just the longer contracts that have been recently introduced?

Satyanarayan Goel: No. Because as I told you that the volume in this segment at the moment is not significant because of the high clearing price. So this percentage market share will be meaningful when the volumes increase.

Moderator: Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Satyanarayan Goel: I would like to thank all of you for being part of this call today. Friends , higher input costs continue to impact our volumes. Going forward, with the increased coal production target for which has been fixed at 1 billion tonne for the FY'24, we expect reduction in input price, lower clearing price on exchange and increasing optimization potential for DISCOMs and Open Access users . And I'm sure this will support better volumes on IEX platform. IEX has always remained committed to positively contribute towards a sustainable Indian energy sector. Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

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Dated: June 01, 2023

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Mumbai- 400001 Bandra (E), Mumbai-400 051

Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on May 26, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on May 26, 2023, at 02:30 P.M. (IST) to discuss the financial results of the Company for the quarter and year ended March 31, 2023.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q4 FY2023 Earnings Conference Call"

May 26, 2023

ANALYST /MODERATOR : MR. SUMIT KISHORE - AXIS CAPITAL LIMITED

MANAGEMENT – INDIAN ENERGY EXCHANGE :

MR. SATYANARAYAN GOEL – CHAIRMAN AND MANAGING DIRECTOR

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER &
COMPANY SECRETARY

MR. ROHIT BAJAJ – HEAD, BUSINESS DEVELOPMENT

MS. APARNA GARG – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS AND
PRODUCT DEVELOPMENT

MR. SANGH GAUTAM – CHIEF TECHNOLOGY OFFICER

MR. ADITYA WALI

Indian Energy Exchange Limited

May 26, 2023

Moderator : Ladies and gentlemen, Good afternoon, and welcome to the Indian Energy Exchange Q4 FY2023 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only mode.

There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited.

Thank you and over to you Sir!

Sumit Kishore : Thank you Tanvi. Good afternoon, ladies and gentlemen, on behalf of Axis Capital I am pleased to welcome you all for the IEX Q4 FY2023 earnings conference call. We have with us the management team of IEX, which is represented by Mr. SN Goel, Chairman and Managing Director, Mr Vineet Harlalka, Chief Financial Officer, Mr. Rohit Bajaj Head Business Development, and Ms. Aparna Garg Head Investor Relations and Corporate Communication. We will begin with the opening remarks from Mr. Goel followed by an interactive Q&A session. Over to you Goel Sir!

Satyanarayan Goel : Good afternoon, friends. I welcome you all to our Q4 and annual earnings call for FY2023. With me today on this call are Mr. Rohit Bajaj, Head Business Development; Mr. Vineet Harlalka, our CFO & Company Secretary, Mr. Amit Kumar Head of Market Operations and Product Development, Mr. Sangh Gautam CTO, Ms. Aparna Garg Head of Investor Relations and Communication and Mr. Aditya Wali. Friends last year was a turbulent year and particularly for the global economy due to geopolitical disruptions and a forecast baseline global growth falling from 3.4% in 2022 to 2.8% in 2023. In comparison, the Indian economy has fared much better due to several proactive policy enablers by the Indian government. Economic growth sustained its momentum during the year led by a strong rebound in the industrial activities backed by strong private consumption, higher capital expenditure and a robust financial sector. India is expected to register a strong growth of 7% for fiscal 2023 as per the economic survey 2022 -2023 and has been identified as the fastest growing major economy in the world. India's manufacturing PMI in Q4 2023 stood at 55.7 compared with 54.4 in Q4 of 2022. While the services PMI was higher for Q4 2023 at 58.1 compared with 52.3 in Q4 of 2022. The country's index of industrial production for 2023 grew 5.1% year -on-year basis. India's G20 presidency this year provides a significant opportunity for the country to lead the global narrative in sustainable energy transition. For the year 2023 -2024 , the Government of India has presented a Saptarishi budget with green growth being one of the seven focus areas thus clearly laying out the positive priorities for the energy sector in the country. During the year fuel supply constraints due to Russia Ukraine war led to several countries facing a severe liquidity crunch. Heat waves in various parts of the world increased power demand which coupled with rising input fuel costs and led to high electricity prices in almost all major economies. As per IEA during the second half of 2022, electricity prices increased fourfold in France to cross €320 per megawatt hour and reached almost €330 per megawatt hour in Germany. In the US average household electricity prices in the second half of 2022 were US\$91 per megawatt hour which is 65% higher than the second half of 2021. In Australia, prices averaged A\$170 per megawatt hour which is more than twice of the second half of 2021. A similar situation prevailed in India as electricity consumption in FY23 increased to 1,504 billion units, a 9.4% increase on a year -on-year basis. This was due to increased industrial activity, the hottest summer months in

our 120 years which

coupled with supply -side constraints led to high power prices being discovered on the power exchanges. While coal

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production increased by 14.7% on a year -on-year basis in FY23 to 892 million tonnes the coal dispatch to the power sector during FY23 increased by 9.1% , however, this coal was mainly supplied to PPA -based power plants to meet the increased demand. This led to a reduction in the availability of e -auction coal by over 50% to 53 million tonnes in FY23 in comparison to 108 million tonnes in FY22 leading to a higher premium of nearly 260% over notified price in fiscal year 2023. The average market clearing price for DAM for the fiscal increased by nearly 36% to Rs.5.96 per unit while the Q4 average price of the exchange was Rs.6.1 per unit nearly a 13% increase with respect to Q4 of FY22. However , recently the prices of e -auction coal have reduced to a premium of nearly 137% over the notified price in April 2023. The price of 5000 GCV imported coal has also reduced to about \$95 per tonne a 33% drop over May 2022 price. For gas also the prices have reduced to almost about \$10 per MMBTU in the month of May which is drop of more than 100% on a year -on-year basis. This year the country was prepared to meet the summer power surge on the back of several productive initiatives taken by the Government of India. The unexpected cooler weather conditions in April which continued till mid of May helped mitigate the expected demand surge. Measures were taken during the year to increase coal production and prioritize supply to the power sector. Coal blocks were auctioned to private companies, PSUs for commercial mining, and captive mines were allowed to sell up to 50% of the annual production after meeting end -use plant requirements. Coal allocation for the power sector was increased and its transportation prioritized through the railways. Further, the Power Ministry mandated states and Gencos to import at least 6% of their coal needed to blend with the domestic coal. Section 11 of the Electricity Act was invoked thereby all imported coal -based power plants were asked to operate at full capacity with the option of selling unsold power on the power exchange. Strict monitoring was done for plant maintenance to minimize downtime. NTVN was appointed as the nodal agency to facilitate the supply of 4000 megawatts of NTPC gas-based power and 1050 megawatt of Torrent gas -based power during peak months to be sold on the exchanges. Additionally, a decisive focus on renewable energy by the Government has helped the energy sector diversify its fuel sources. India has received a renewable capacity of 172 gigawatts as on March 31, 2023, which is 41% of the total capacity of 416 gigawatts. The country added about 15 gigawatts of RE capacity in the last fiscal , the

fastest rate of growth among major economies. This makes the country well poised to meet its vision of achieving 500 gigawatts of non-fossil fuel-based electricity installed capacity by 2030. With the improving supply-side liquidity due to the above policy and regulatory enablers and cooler weather conditions, more competitive prices are being discovered on the exchange now. Going forward, we expect more competitive prices on the exchange in the coming months. IEX commenced the recent proposal of the Group constituted by the Ministry of Power for the Development of the Electricity market in India. The country's electricity market is undergoing transformational changes led by the Government's decision to focus on sustainable energy transition and energy security. Power markets will have an instrumental role to play in accelerating India's energy transition by enabling the smooth integration of renewables into the grid. Some key recommendations of the group such as mandating renewable energy sources to participate in the market and additional

RE capacity to be developed through the contract for difference mechanism will facilitate faster addition of RE capacity and spur investment in the sector thus helping attain India's 2030 RE targets. To increase RE target vision in the market a pilot mechanism has been proposed for implementation within a year and an initial capacity of 1000 megawatts will be generated by the nodal agency under the single price option with 15 years or 10 years. The

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significant benefit of the CfD model is that it deepens the market by providing certainty to both generators and buyers by guaranteeing a fixed price for the defined period. The mechanism ensures a stable revenue stream for the renewable generator. Countries such as UK, USA, Germany, etc., were able to increase their renewable generation capacity by more than 30% by implementing market-based reforms such as CfD to facilitate renewable energy integration into the grid. Now the Government of India has also decided to explore this option. Further, the proposal to introduce financial products for electricity to help against price volatility in the spot market will lead to capacity addition, increased private investment, and ultimately result in lower prices for consumers. The group has also recognized the inefficiency and inflexibility of long-term PPAs and a stronger role for power exchanges to deepen the market and enable efficiency in electricity procurement. Improving the efficacy of the day ahead market will lead to market-based merit order dispatch of electricity which will result in effective cost optimization. Higher renewable energy integration will necessitate detailed resource adequacy planning by the utilities to ensure optimum resource mix and introduce capacity contracting through power exchange. Similarly, a market-based mechanism through the exchange for secondary reserve will lead to RRAS at competitive prices. We are confident that the implementation of this roadmap will fast-track India's energy transition goals through an efficient, optimal and reliable market framework.

Looking at the last fiscal we saw several important developments on the policy and regulatory front. A few highlights are the draft National Electricity Policy which aims to increase the share of the competitive power market to 25% of the total electricity supply by FY2030. The policy highlights resource adequacy for better planning of resources, it also allows fungibility among various buckets of renewable purchase obligations to provide flexibility to distribution licensees. The policy encourages market based RE development and execution of small capacity for RE development. General Network Access was notified during the year. The notification to implement all provisions of GNA will go a long way in streamlining network access and network user charges. GNA will strengthen the exchange-based power market in the country. Further, it will remove regulatory arbitrage which has led to a temporary shift of volume from DAM to DAC and will be more conducive towards further market development in the country. The Electricity Amendment Rules 2022 are expected to promote renewable energy through Green Energy Open Access. This will deepen the electricity markets and efficiently integrate RE resources into the grid. The Green Open Access 2022 has reduced the open access limit from 1 megawatt to 100 kilowatts while there is no limit for captive consumers. This will also allow smaller consumers to buy or sell RE power and increase access to renewable capacity. The Electricity Amendment Bill 2022 proposes several reforms to the distribution sector, promotes private participation, better services and improves financial health. Further the Energy Conservation Amendment Act 2022 allows for the development of the national carbon market in the country. Deviation Settlement Mechanism and

Related Matters Regulations 2022 is likely to increase RTM volume in the exchange. CERC Ancillary Services Regulation 2022 for the development of Tertiary Reserve Ancillary Services will be effective June 1, 2023 and this will operationalize procurement of ancillary services through the exchange. Further, several enabling interventions were made towards increasing the generation and adoption of RE resources. A new trajectory of RPO mandates States to procure 27% of their electricity needs from renewable sources to be scaled up to 43% by the fiscal year 2030. Industry transmission charges have been waived off for RE to reduce the cost of integration of renewables while new transmission infrastructure is being set up to improve access to RE power. Renewable generation

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obligation mandates new coal or lignite-based thermal plants to establish RE capacity of a minimum 40% of the plant capacity. IEX will remain at the forefront of this transition by constantly innovating new products and segments to meet the evolving needs of the market.

Now I will come to the IEX update. During the year IEX launched the much-awaited Term-Ahead market contracts with

delivery up to 90 days. This contract enables customers to help risk against volatility in the spot market. We also launched green monthly contracts and introduced green hydro contracts. Last year due to the surge of electricity prices in the spot market, CERC imposed a price cap of Rs.12 per unit across market segments. While this move rationalized prices for buyers, high-cost generators were left with standard capacity. To bridge the demand-supply gap during the high demand period the Ministry proposed a High Price Day -Ahead market and following a petition by IEX CERC has granted approval to this product. This segment enables high variable cost generators such as gas-based power plants, imported coal-based power plants, and battery energy storage systems to participate in the market in the price range of 0 to Rs.20 per unit. IEX commenced trade of High Price Day -Ahead market after it was launched by the Honorable Minister Shri RK Singh Ji on March 9, 2023. This segment will bring more capacity to the spot market during high-demand period. We have made a humble beginning in this segment with the first trade executed on April 15, 2023. During the year IEX maintained a near 100% market share in collective transactions, that is, D AM and RTM, together these two markets constitute about 80% of the power exchange business.

Moving on to IEX updates, an overall volume of 26 billion units was achieved across all segments during Q4 FY23, a 7.9% quarter-on-quarter growth. Total certificates traded during Q4 amounted to 1.8 billion units, an impressive 50% quarter-on-quarter growth. However, the total volume declined by 3.3% in Q4FY23 as compared to Q4FY22 due to supply-side constraints. The average Day -Ahead market price during Q4 was Rs.6.07 higher by 13% on year-on-year basis. For the fiscal year 2023, IEX traded 96.8 BUs, a decline of 5% year-on-year due to sell-side liquidity constraints. For the fiscal year, the day-ahead market price was Rs.5.96 per unit which was higher by 36% on a year-on-year basis. Liquidity was affected due to supply constraints that led to higher prices of e-auction coal, imported coal and LNG gas. The average day-ahead market price for April 2023 came down to Rs.5.41 per unit which is a decline of 46% on a year-on-year basis with respect to April 2022. Going forward with gradual improvement in domestic production of coal and improvement in coal inventory which is at 14 days compared to 11 days of last year and reduction in imported coal and gas prices, we expect rationalization of power prices on the exchange platform. This will enable cost optimization by DISCOMs and Open Access consumers and should result in higher volume on t

he exchange platform. In line with its commitment to facilitate India's decarbonization target IEX has been certified as India's first carbon-neutral power exchange by using market-based tradable instruments to offset its carbon emissions. This certification will also help our members and participants to reduce their Scope 3 emissions. An employee focus approach built on the foundation of trust and respect has made IEX the first power exchange in India to be certified as a Great Place to Work. IEX continued to leverage technology to launch market friendly products and increase efficiency for our customers. We launched web-based bidding for G-DAM, DAM, monthly and any-day single-sided reverse auction products to provide anytime, anywhere easy and secure bidding access to our customers. Web-based financial reconciliation to enable easy

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reconciliation of the bidding transactions done through our platform. Web-based data insights to enable effective bidding decision making, automated financial limit allocation across product segments, utility for easy integration with RTM market, API, market data API to enable automated access to price and volume, market data across product segments. Further, we undertaken process automation which is leading to benefits such as better system availability and ease of operations. We continue to invest to create a robust and secure IT infrastructure at IEX. During the year we also integrated with the National Open Access Registry (NOAR) of GRID India.

I shall now talk about developments at IGX. In April 2023 there have been several notable achievements at our Indian Gas Exchange. IGX generated a total volume of 50.9 million MMBTU during FY23, a 319% year-on-year increase. This growth was largely on the back of the participation of major domestic gas producers and an increased number of participants. A total of 2,355 trades were executed during this year, an increase of 400% on a year-on-year basis. The profitability of IGX for FY23 has increased to Rs.28 Crores from 1.75 Crores in FY22.

I will now talk about the financial performance of IEX. On a consolidated basis, revenue for Q4 FY23 increased 10.5% on a quarter-on-quarter basis from 107.4 Crores in Q3 FY23 to 129.6 Crores in this quarter. Total revenue of Q4 FY23 witnessed a growth of 1% on a year-on-year basis. Consolidated PAT at Rs.88.3 Crores grew 14% on quarter-on-quarter basis as compared to 77.2 Crores in Q3 of FY23. For the full fiscal year 2023 on a consolidated basis, the revenue declined by 2.1% on a year-on-year basis from 484.4 Crores in FY22 to 474.1 Crores in FY23. Consolidated PAT at 305.9 Crores was lower by 0.9% on a year-on-year basis as compared to 308.6 Crores in FY22. Please note that Indian Gas Exchange was a subsidiary of IEX till January 16, 2022 and IGX became an associate company with effect from January 17, 2022 and was consolidated based on the equity method in the above numbers. For fiscal year 2023, the Board of Directors of the company announced a final dividend of Rs.1 equivalent to 100% of the face value of equity shares. During the year the Board of Directors of the company also approved the buyback of the equity shares from the open market amounting to Rs.98 Crores and this was completed successfully from January to March. For the past 15 years, IEX has continuously pioneered the market with its keen focus on customer centricity, innovation and technology. IEX will remain at the forefront of accelerating India's energy transition towards net zero. We will continue to explore business opportunities in new products and markets such as ancillary market, capacity market and gross bidding. Through our diversification initiatives, IEX will continue to deepen the energy markets of the country. In addition, IEX will help build a vibrant gas market in India enabling the Government

's aim of doubling their share of natural gas in the energy mix of the country.

IEX will continue to work with the Ministry, regulators, our partners and clients and all our stakeholders to build a sustainable energy-efficient future for India. Thank you and now we can have questions and answers.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Thanks for the opportunity, Sir. My first question is when do we expect the GNA regulations to be effective which will remove basically the arbitrage between DAM and DAC?

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Satyanarayan Goel : We understand that this will be effective from August 1, 2023. They will be issuing the Grid Code maybe this month itself and after that NLDC will need maybe two months to develop the procedure and do the necessary changes in the system to implement the grid code and the Transmission Charge Sharing Regulation.

Nikhil Abhyankar : Understood sir, by Q2 it will already be implemented and how do you expect all the volumes which were shifted to DAC will be transferred back to DAM?

Satyanarayan Goel : That should happen because if you look at the volume in the DAC market two years back there was nothing particularly happening in this and in fact, at that time even RTM market was not there. Now with the RTM market there is no place for the DAC market, without this arbitrage.

Nikhil Abhyankar : How do you expect the long-term duration volumes to pick up Sir, because till now it has not picked up substantially so what are the measures that we are taking towards it?

Satyanarayan Goel : Yes, I think in the long duration contracts also there is lot of interest which has been shown by the distribution companies and many auctions were conducted but since the price discovered in these auctions was quite high this year they have not resulted into contracts and now with improvement in the coal supply and reduction in the e-auction rate I am sure the price discovered in the long duration contracts will also be very competitive and the conversion should happen. We expect good volume growth in this market also. Last year we did 1.6 BU in 8 months so this year we are planning at least 5 BU in this segment. We have already done 1 BU in two months, so at this rate it should be more than 6 BU.

Nikhil Abhyankar : Understood and Sir final question what is the product launch pipeline for FY2024?

Satyanarayan Goel : Ancillary market is going to start from June 1, 2023. In the last two years we have launched so many products, so it is time that we bring liquidity to these products and bring awareness about these products so that participants do participate in these things.

Nikhil Abhyankar : That is all from my side. Thank you.

Moderator : Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : Thanks, I have a few questions. The first one is that you seem to have exercised some cost control, your employee cost is down year-on-year, and even other expenses are down year-on-year because of which the Q4 EBITDA margin has improved so could you speak about the cost control and is the margin improvement sustainable?

Satyanarayan Goel : In case of employee I think the cost is almost same what it was last year.

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Sumit Kishore : Sir it is down from ...

Satyanarayan Goel : I will request my CFO, Mr. Vineet Harlalka to respond to this question.

Vineet Harlalka : On year-to-year basis if you look at the employee cost it came down almost from 41 Crores to 34.5 Crores it was mainly because some portion of the IGX cost was in the IEX cost for the nine months for the last year that was one significant portion and secondly because

of the higher profit last year so there was a provision there for the

variable scheme so those two impact was there which is not there so that is why you see the gap in the cost.

Sumit Kishore : Got it and as far as other income is concerned, I see on your balance sheet that cash and bank balance and investments have reduced, there was a buyback also of 98 crores but the reduction is higher, but your other income has gone up on a year-on-year basis in Q4 quite substantially it has gone up even quarter-on-quarter. What is resulting in lower...

Vineet Harlalka : Can you repeat what you asked? Last line I didn't get it.

Sumit Kishore : I am saying basically the movement of cash and bank balance and investments there is a reduction year-on-year even after adjusting for the buyback but the other income in Q4 has gone up quite sharply on year-on-year basis?

Vineet Harlalka : If you look at the total investments, investments has not gone down significantly. Actually, there was shifting of the investment into the long-term products so if you look the investment reduced in the short term, the current investments to the long term from current to noncurrent so that is the case and secondly because of the few initiatives and the parking of the fund in to the good yielding products so that was the impact. So last year, if you see there is a significant increase in the interest rate and during the last quarter because quite liquidity crunch and also, we get the good opportunities in MLDs and other products so we take the advantage of that. That is why we got the better return on our overall investment portfolio.

Sumit Kishore : So, what is the nature of noncurrent investments which you are saying you have increased?

Vineet Harlalka : Noncurrent are basically we put the money on the target maturity funds or the long-term MLDs, FDs

so that is why those are the noncurrent assets.

Sumit Kishore : On the business front a few questions one is we find that in May as you pointed out the imported coal prices have come off, e-auction coal prices have come off, availability has also seem to be improving, we had weak demand growth in March and April but May also seems to be soft on volume growth on a year -on-year basis so far so when is the acceleration going to happen?

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Satyanarayan Goel : Volume growth for the first two months so far has been almost 6% in electricity. Growth has already started but I think in the coming months when we see better supply of coal in the market at lower e-auction price because e-auction conducted in the month of April quantum was also significantly higher and the price was also reasonable so the supply of this coal will start maybe in the month of June, July and we should see competitive price, further reduced price and higher volume on the exchange platform. Further wind generation also will improve, hydro generation will also improve, so all that should provide good liquidity on the sell side.

Sumit Kishore : Sure, and finally on the Contract for Differences seems to be a very promising move so what is possible in the next one year in terms of volumes coming to exchanges what is possible over a three year timeframe in terms of CfD leading to higher penetration of renewables in the merchant market?

Satyanarayan Goel : I would like to say one thing that we have been working on this product contract for differences from the last three years and I am very happy to say that Government has finally accepted this concept . So that is one thing which is a big achievement . One thing they have accepted is that they will tender out 1 ,000 megawatt of renewable capacity under the CfD which will be sold through the market. Second thing they did this year is that 4 ,000 megawatt of NTPC gas stations and 1 ,050 megawatt of Torrent gas stations will operate and sell power in the day -ahead market

and

the difference between the market clearing price and the cost of gas based generation will be paid by Government of India . Again, it is a contract for differences. They had also approved procurement of 1 ,500 megawatt of imported coal-based power under Contract for Differences for selling in the exchange platform to meet the demand during the crunch period, so of course in that particular contract there was no response from the generator so that did not materialize. So, what I am saying is that there is now acceptance of this concept and in the coming years I am sure the standard capacity, gas based capacity in particular will be utilized during the high demand period to meet the peak hour demand . And that should provide good liquidity on the exchange platform.

Sumit Kishore : What was the volume in HP -DAM since launch?

Satyanarayan Goel : HP-DAM the volume has not been significant because April and May months were comparatively much cooler months. The demand has not increased. In fact , the demand in these months was lower by 1% with respect to last year and our clearing price was 40% lower than last year , so that is why volume has not happened in the HP -DAM market.

Sumit Kishore : Those were my questions. Thank you.

Moderator : Thank you. The next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

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Apoorva Bahadur : Hi Sir thank you for the opportunity. Sir, continuing on this Contract for Differences product now I understand it is a derivative product so will IEX be allowed to transact once the volume picks up and also for approvals will you need to approach CERC or SEBI?

Satyanarayan Goel : I think this product has been already approved by Government of India now. If you look at delivery transactions beyond 11 days that is also considered as a forward contract but now these contracts are allowed on the exchange platform. Similarly , this contract also, since it is going to result in actual delivery of power this will be allowed. This in fact Government of India has already contracted 1,050 -megawatt gas-based capacity from Torrent and 4 ,000 from NTPC for selling through the market under this concept.

Apoorva Bahadur : Since it is delivery based there would not be any issue on the regulatory side.

Satyanarayan Goel: Yes

Apoorva Bahadur : Okay understood. Second is on one of the suggestions, recommendations which the Ministry panel had suggested for deepening the market and that is for 15 years renewable contracts so just wanted to know what sort of appetite the lenders have in funding this type of product?

Satyanarayan Goel : See, if you look at the contracts in most of the contracts the debt obligation is serviced within 10 to 12 years . So as far as lenders are concerned this will be comfortable with 15 years.

Apoorva Bahadur : With the short lending period will they be really be viable on a cost competitiveness basis?

Satyanarayan Goel : Today one of the big problems is integration of renewable with the conventional power and most of the renewable is happening through PPA and if it is PPA then it is a must run and it will operate as and when the power generation happens. I think to integrate with the market they need this kind of market instrument and that is why Government is now saying that we should have 15 years PPA so that after 15 years this power is sold through the market mechanism . And I am sure 15 years is a long period even from the funding point of view , this should be able to get

funding at a reasonable cost even for this period.

Apoorva Bahadur : Understood, so essentially the new capacity might start coming in on our platform after 15 years?

Satyanarayan Goel : Yes, you are right.

Apoorva Bahadur : Got it. Sir I think last question is probably on the demand side so we are seeing that the prices have corrected sharply and that

is something to do with the softness in demand maybe due to weather factor so do you think that structurally has the supply situation improved or going ahead if the demand picks up again, we will again be in a supply crunch?

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Satyanarayan Goel : I think there is significant improvement in the supply side but it is definitely not as it was two years back. But I think in the next two to three months with the increased coal supply to the IPPs there should be further improvement in the supply side.

Apoorva Bahadur : Sure Sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Damodaran from Acuitas Capital. Please go ahead.

Damodaran : Thank you Sir for the opportunity. Just two questions from my side on the day-ahead contingency market. The first one was while we have a day-ahead market, what purpose does the day-ahead contingency market serve and why is its market share in that so low at 45% odd?

Satyanarayan Goel : Yes. In fact, the day-ahead contingency market was introduced in the beginning because if somebody has not been able to purchase power, and if the volume bids are not cleared in the day-ahead market then there was another opportunity in the day-ahead contingency market for him to do the transaction. But in 2022 the RTM market was introduced and in this market there is a lot of liquidity available. So, I think the purpose of the day-ahead contingency market is over and that is why no significant volume is happening on this market. Volume started happening only in 2021 when the transmission pricing regulation was issued and there was an arbitrage available in the DAC market, volume started shifting in this market. In this market is a price matching it is not a price discovery so I think all three exchanges are in the same footing and it all depends on the interactions with the customers, connectivity with the customers so that is why we have a better share in this market in comparison to other two exchanges but I think all of them have the opportunity to get market share and I understand some of the other exchanges were also giving some incentives on the transaction fees.

Damodaran : Sure Sir. Got it thanks.

Moderator : Thank you. The next question is from the line of Ankit Kanodia from Smart Sync Services. Please go ahead.

Ankit Kanodia : Thank you for taking my question. I just wanted to understand in relation to this GNA regulation, if I remember correctly it was first supposed to be implemented from October 2022 from there the date changed to January then in the last call we discussed about April 1, 2023 and now we are guiding for August 1, 2023 why this delay is happening for so long and do we have any sort of certainty that August 1, 2023 is a clarity or we can further have delay from August 1, 2023 as well? That is my first question.

Satyanarayan Goel : The point is, the implementation of this will depend on the regulatory orders and this is linked with issuance of grid code of regulation that has not been issued so far. After grid code is issued, thereafter NLDC will align its processes and systems in line with the new grid code and transmission charges regulation. They will also need some time to implement that. Based on the discussions and based on the developments which have taken place we expect

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that it should get implemented from August 1, 2023. But I cannot guarantee that. It all depends on issuance of order by CERC and thereafter revision of processes and systems by NLDC.

Ankit Kanodia : Thank you so much Sir that really helped, and my next question would be, if I understand correctly when the price of electricity in exchange is higher then probably the demand suffers. So that is what we witnessed last year. So what gives us an idea that this year sustainably

ably the price will be lower or can we have any guidance in terms of how we look at the prices and do we have any forecast for the prices or it is completely demand supply driven and we have no control we are seeing that?

Satyanarayan Goel : Our price discovered is purely based on the demand and supply and we have seen years in which the supply is more the prices are competitive. Last year we had more demand than supply that is why the prices were higher. This year we are expecting a much better situation because coal production targets are very, very high targets. The target is for 1 billion tonne of coal production which is 12% more than last year. Whereas the electricity demand increase is expected to be only 5-6%, so increased coal availability in the market that should lead to better liquidity on the sell side and lower price on the exchange platform and what also happens if the imported coal prices are higher. Last year the 5000 GCV coal price was about \$130. It has come down to about \$90 now and it is expected to go down further. E-auction prices are invariably linked to the imported coal price, so e-auction prices also have started coming down now. Quantum of coal offered in the e-auction has also started increasing. So, all these things should result in availability of

coal at a lower price and lower clearing price on the exchange platform.

Ankit Kanodia : Thank you so much Sir. If I can squeeze in one last question, as you rightly mentioned that the GNA regulation is not in your control, but it is all in the regulatory hand, do we see any threat or risk in terms of our market share getting further eroded if we are unable to get the market share from DAC back to DM? Do you see that as a long-term problem if this issue persists?

Satyanarayan Goel : One thing I want to make clear is that in the day-ahead market and RTM market, our share is practically 100% . We are quite confident we will be able to retain this market share. The transactions happening in the DAC market are mainly because of the arbitrage available in the DAC market. Once that arbitrage is over there is no reason for the transaction to happen in the DAC market.

Ankit Kanodia : My question is related to that only. If the arbitrage persists for a longer period of time, do you think that could be a threat to us or not?

Satyanarayan Goel : I mean this is a market distortion , shifting volume from the DAM market and in DAC market as I told you all three exchanges are equally active so that will definitely lead to loss of share . But looking at the developments which have taken place , and which are happening , I am sure within a day or two , we will see CERC issuing a grid code and implementation of GNA should happen on August 1, 2023 as discussed with the other stakeholders.

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Ankit Kanodia : Thank you so much Sir and all the best.

Moderator : Thank you. The next question is from the line of Drashti from Thinkwise Wealth Managers. Please go ahead.

Drashti : Thanks for the opportunity, Sir. In a recent interview of one of the competitor exchange s' MD, he had mentioned that the initial steps towards market coupling is being implemented by CERC , which is introducing ancillary services market . So, if you could help us understand what exactly are these steps and how could it impact our existing products?

Satyanarayan Goel : Yes see ancillary market if you look at the market design, ancillary market is exchanges are only taking bids from the participants, these bids are forwarded to NLDC because NLDC is deciding how much of power they have to procure on real time basis and based on that requirement then they will stack these bids and purchase the power or take that power based on least cost option basis . So, in this case because the requirement is by NLDC it has to happen only in this manner. Each of the exchanges cannot do pri

ce discovery and disclose these prices and volumes to the NLDC .

NLDC must decide how much power they want to buy and based on that they will exercise the least cost option and there is no price discovery in this case. The demand is fixed and based on the bid for the supply they will find out what is the least cost option.

Drashti : Sir, that is what I wanted to understand. Since these are the initial steps for market coupling, how can it impact us in the future and which all products would be impacted?

Satyanarayan Goel : This (Ancillary Services) is a different kind of product. This is a product which meets the requirement of NLDC . This is again not price coupling . This is just exchanges are inviting bids and forwarding the bids. It is NLDC who must basically then select how much power they want out of that which we supply to them. I do not think this will have any impact on the other products in the market. Line of other products exchanges will invite the bids they will do the price discovery and settle financial and physical settlement. In this case we are not even doing the physical and financial settlement, it is just we are collecting the bids and sending them to NLDC.

Drashti : Thank you Sir.

Moderator : Thank you. The next question is from the line of Lavanya from UBS. Please go ahead.

Lavanya: Thank you for the opportunity. Sir just going on with the earlier question of ancillary market. If I understand it you will be taking only supply side bids and forward to the NLDC who will take based on the merit order. Is that understanding right Sir?

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Satyanarayan Goel : Yes, you are right.

Lavanya: So, what will the transaction fees be on this product ?

Satyanarayan Goel : Based on the bids received by us selected by NLDC and scheduled for supply. The quantum which is scheduled for supply on that we can charge transaction fees. Let us see how much volume happens in this market and then we will decide about it.

Lavanya: The charges will be only Rs.0.02 only to the supply side then?

Satyanarayan Goel : We can charge up to Rs 0.02, but then in this case we do not intend to charge that because in this case the scope of work is much less for the exchanges. It is only collection of bids and sending them to NLDC.

Lavanya: So, on the overall market, I just wanted to understand in terms of the power market so last year whatever we have seen was just only because of coal availability or we are seeing any difficulties in terms of capacity as well like supply side it was largely due to only coal availability or in terms of capacity also?

Satyanarayan Goel : It was more because of the coal availability. We have capacity. Even now also when the demand of

221 gigawatt was met, I think in the month of May we still had surplus capacity available in the system and in any case for meeting this kind of demand, 25 gigawatt of gas capacity is also available . And based on the current gas prices which are likely to go down further I am sure even the cost of generation with the gas also will come down to less than Rs.10.

Lavanya: So, before 2019 the supply from gas stations was happening or was that not happening?

Satyanarayan Goel : In 2019 the demand in the country itself in comparison to what it is today was much lower so there was no need for gas-based generation to be in the market because that is a costly generation . But now since the demand has increased and if there is a shortage of capacity , maybe for 15 days, 1 month in a year, the gas-based generation can also be utilized.

Lavanya: Got it. Thank you so much Sir.

Moderator : Thank you. The next question is from the line of Nikhil Nigania from Alliance Bernstein. Please go ahead.

Nikhil Nigania : Thanks for the opportunity. My first question is regarding a portal which the Government had launched PUSH portal any traction which has happened

ed on that or not really till now?

Satyanarayan Goel : Not to my knowledge. I think after the Muhurat transaction nothing happened after that.

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Nikhil Nigania : Understood. The second question I had was regarding the CfD, which was proposed. I think it is a great move from a renewable generator or even an exchange perspective, but I would think of it from a DISCOM perspective. What is the incentive for them to sign a CfD contract versus signing a PPA for example especially if renewable prices are falling every year?

Satyanarayan Goel : The Discoms have not signed the CfD contract, they may not sign the CfD contract but normally these kinds of contracts are signed by the nodal agency of the Government. In this case it might be SECI or any other public sector company that the Government can ask them to get into this kind of contract. But even in case distribution companies also , see what happens, you know the distribution company who has to meet the R PO obligation , if they get into a RE capacity through the PPA then they will have to purchase that power and they will have to manage the variability of that power with respect to their demand and supply. Other options for them is that they get into contract, pay the money contracted by you to the generator, take the green attribute for your R PO obligation and let the generator sell the power in the conventional market . And the difference between the conventional market rate and the strike price can be borne by the distribution company which is basically towards the green attribute . What we find is that for such kind of contracts also there is a very strong case because rate in the conventional market is definitely higher than the strike price. In fact , we got a study done from Deloitte doing the price forecast for the next 15 years based on the marginal cost basis and what we have come to note is that the price for the next 15 years if somebody gets into this CfD model , no funding will be required in fact there will be a surplus in the pool.

Nikhil Nigania : Got it Mr. Goel. One more question not related point but regarding another notification from the Ministry on fair allocation of coal where they have said that if states are found using domestic coal to sell excess power on the exchanges their rates will be curtailed and given to other states . Has that been implanted in practice or any impact of that you are not seeing till now?

Satyanarayan Goel : I think that notification was applicable up to May 31, 2023, and nothing has happened in the last two months.

Nikhil Nigania : Got it Mr. Goel. Perfect. Those are the questions that I have.

Moderator : Thank you . The next question is from the line of Bharani Vijay Kumar from Spark Capital. Please go ahead.

Bharani Vijay Kumar : Good afternoon, Sir, so in this development of power market report by the government there is also a lot of mention on MBED . It looks like MBED is seriously being thought about by the Government at least in the long term so how is this positive or negative for IEX?

Satyanarayan Goel : First of all in the report they have very clearly mentioned that implementation of MBED is a complicated issue and will require a lot of consultation with the stakeholders . So having realized that the Government

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has already said that this is a part of the long -term plan and in future for renewable integration they may consider it at an appropriate time. I do not think they have mentioned any timeframe about that . It is in long term time frame .

Bharani Vijay Kumar : So, is it possible to expect that in the next 5 or 10 years any such anticipation from your side?

Satyanarayan Goel : Very difficult to say what is going to happen in the next 5, 10 years. I think things are changing very fast these days, but I am very sure

re that not in the next 5 years.

Bharani Vijay Kumar : Got it . So also , we had this clarity on our margins recently with the CERC order; however, even in that order there have been indications that in the future there could be margins that could come under the scanner of the regulator . Essentially say being lower even IEX has submitted lower margins for longer duration products so what is your view on long term nature of our margins . Is it likely to come down anytime in the next say 5 years?

Satyanarayan Goel : See, CERC had mentioned a cap of Rs.0.02 on the transaction fees in the regulation and based on

the regulation requirement, we filed our application with CERC, which also they have given approval for charging transaction fees up to Rs.0.02. So, we do not see any further challenge in this though it is mentioned in the order that staff will work out details after studying the other exchanges. But looking at the market size, which is just about 6-7% of the total generation in the country, I think looking at what has happened in the last two to three years regulatory is more concerned about development of the market. And looking at the roadmap of the expert group also, the Government is concerned about deepening this market. So, more efforts are required for deepening the market than for regulating the transaction fees because if you do that then you are going to create entry barriers for the market, and I am sure other exchanges will not be financially viable if the transaction fees increase.

Bharani Vijay Kumar : What is the potential in million units where the GNA regulations are implemented there will be a shift from DA C to DAM market?

Satyanarayan Goel : Last year DAC volume was 40 BU and now this year we are expecting from August 1, 2023 so four months you can say two third of the 40 BU which is about 9, 10 BU should shift back to day-ahead market.

Bharani Vijay Kumar : 9 to 10 billion units should be incremental for us on an annual basis?

Satyanarayan Goel : No, for this year. Next year we are expecting that out of this 40 by at least 12 BU will shift to the day-ahead market.

Bharani Vijay Kumar : Second on the ancillary services you mentioned the demand is kind of fixed so in megawatt terms or in million-unit terms per year what is the overall demand in the country for this kind of power?

Satyanarayan Goel : Demand is very high, but again we are expecting, the sell side is going to be constraint.

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Bharani Vijay Kumar : I am talking about ancillary market which is arranged by NLDC so any number per year for capacity that is met through an ancillary market?

Satyanarayan Goel : Requirement of the ancillary market ranges in the range of 2 to 3000 megawatt but then again that depends on the time of the day. It is not throughout the day and throughout the year.

Bharani Vijay Kumar : But it will be 2 to 3000 megawatt if it is on average for every day for the full year it will be 2 to 3000 megawatt?

Satyanarayan Goel : No, it is 2 to 3000 megawatt whenever they want it but if you look at average for a full year the quantum is going to be much, much lower.

Bharani Vijay Kumar : Understood. Those were my questions. All the best.

Moderator : Thank you. Due to time constraint, we will take one last question from the line of Ankit Kanodia from Smart Sync Services. Please go ahead. As there is no response, I will hand it over to the management for closing comments.

Satyanarayan Goel : I would like to thank all of you for being part of this call today.

While higher input costs impacted our volumes last year, going forward, with increased coal production and cooling down of input prices, we expect lower clearing prices on IEX, and increasing optimization potential for Discoms and Open Access consumers, thereby supporting better volumes on IEX. As always, we remain committed to positively

contribute towards a sustainable Indian energy sector.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us.

You may now disconnect your lines.

Call: Aug 2023

Indian Energy Exchange Ltd

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The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Mumbai- 400001 Bandra (E), Mumbai-400 051

Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on July 28, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on July 28, 2023, to discuss the financial results of the Company for the quarter ended June 30, 2023.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited

Q1 FY '24 Results Call "

July 28, 2023

MANAGEMENT : MR. S.N. GOEL – CHAIRMAN AND MANAGING
DIRECTOR –INDIAN ENERGY EXCHANGE

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR (NON -
BOARD) , BUSINESS DEVELOPMENT AND STRATEGY –
INDIAN ENERGY EXCHANGE

MR. VINEET HARLALKA - CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY –INDIAN ENERGY
EXCHANGE

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS
AND PRODUCT DEVELOPMENT –INDIAN ENERGY
EXCHANGE

MS. APARNA GARG – HEAD OF INVESTOR RELATIONS
AND COMMUNICATIONS –INDIAN ENERGY EXCHANGE

MODERATOR : MR. SUMIT KISHORE – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q1 FY '24 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -

only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kishore from Axis Capital. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Yusuf. So good evening, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all to the IEX Q1 FY '24 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, Chairman and Managing Director and the rest of his team members.

We will begin with the opening remarks from Goel sir, followed by an interactive Q&A session.

Over to you, sir.

S.N. Goel: Good evening, friends. I welcome you all to the IEX earning call for quarter 1 of FY '24. With me today on this call are Mr. Rohit Bajaj, our Executive Director (Non -Board) , Business Development and Strategy; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, our Head of Market Operations and Product Development; Ms Aparna Garg, Head of Investor Relations and Communications and Mr. Aditya Wali.

Friends, the Indian economy has sustained its growth momentum gathered over the past 2 years. According to the Economic Survey '22 -'23, India's baseline GDP growth is projected to be 6.5% in real terms for the fiscal year '24, strengthening its position as the fastest -growing major economy in world. This sustained momentum can be attributed to improved private consumption, revival of rural demand and increased manufacturing as input cost price has eased . India's average manufacturing purchase PMI was 57.9% in Q1 '24, higher by 6.8% compared with the same quarter last fiscal. The RBI expects investment activity to further improve, drawing strength from the thrust on capital expenditures in public spending and further moderation in commodity prices.

Backed by strong demand, India's average services PMI was at robust 60.6% during the quarter compared with 56.9 in Q1 of '22. The Index has remained above 50%, for nearly 2 years; the longest since August 20, 2011. India's G20 Presidency has highlighted the significant sustainable energy imperative. The country today is 4th largest renewable energy generator in the world. Further, according to a recent statement released by the government, an additional 120 gigawatt of fresh renewable energy capacity is at the various stages of implementation.

With its commitment to accelerate India's sustainable energy transition, IEX is well positioned to leverage opportunities in the power sector through its green market products , certificate , and other businesses.

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On the power sector update, electricity consumption in India for quarter 1 FY '24 stood at 408 BU, a marginal growth of 1.8% year -on-year basis. Ambient temperatures kept the demand for power lower than the anticipated highs. Peak demand nevertheless reached 223 gigawatts in June 2023, lower than projected value of 229 gigawatts for the summer months. But higher than the maximum peak of 207 gigawatts which was recorded in April 2022.

Installed capacity in India reached 422 gigawatts as on 30th June, 2023, while installed capacity for renewables grew to 177 gigawatts. India is on track to attain its target of achieving 50% of energy consumption from non -fossil fuel sources by 2030. The proactive measures undertaken by the government of India along with cooler -than-expected weather conditions

ensured

adequate power supply and lower prices during the summer season.

On the fuel side, India's coal production increased by robust 8.6% year -on-year and reached 223.4 million tonnes in quarter 1 of FY '24. E -auction coal premium has witnessed a declining trend since Q1 FY '24. The premium declined to 78% in May '23 from 137% in April '23 and 425% in May '22. And premium in the recent auction has been down to almost about 50% now. The average imported coal price for 4200 GRR coal during June was USD 54 per tonne, lower by 37% over June '22.

The LNG price has come down to almost about \$12.1 per MMBTU, a drop of 46% over quarter 1 of 2022. Average coal inventory at present is almost at 14 days now during quarter 1 of FY '24, which is higher over the 9 days which was there in quarter 1 of FY '23. This improved supply side scenario coupled with consistently declining imported coal and gas prices resulted in increased sell liquidity and falling price on the Exchange platform. The average market clearing price in the DAM market during quarter 1 was INR5.17 per unit, a decline of nearly 34% on year-on-year basis.

Recently, in the month of July, with the monsoon rains, DAM prices eased further to INR4.69, which is 33% lower over July of 2022. With supply side constraints expected to ease further and

cooler weather conditions, volume on the Exchange are expected to increase.

Now, we have regulatory and policy updates. In May 2023, a group constituted by Ministry of Power has submitted the report and proposed key recommendations for development of electricity market in India. Power markets have been identified to play an institutional role in accelerating India's energy transition by enabling smooth integration of renewable energy into the grid.

Some key recommendations of the Group include ; mandating renewable energy resources to participate in the market and additional RE capacity to be developed through the Contract for Difference mechanism. This will facilitate faster addition of RE capacity and spur investment in the sector, thus helping attain India's 2030 RE targets. To increase RE participation in the market, a pilot mechanism has been proposed for implementation within a year and an initial capacity of 1,000 megawatt will be tendered by nodal agency under the CfD model with a 15 year PPA tenure.

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Further, almost about 5,000 megawatt of RE capacity is also being targeted for development under this concept. The CfD model will help further deepen the market by providing certainty to generator by guaranteeing the fixed price over that PPA periods. We are confident that implementation of this roadmap will fast track India's energy transition goals through an efficient, optimal and reliable market framework

Some important regulatory initiatives undertaken by the power sector during this quarter are as follows : the CERC has issued the Indian Grid Code Regulations 2023. It proposes to bring about many changes. Generators would now be allowed to meet their commitment in case of unit shutdown or forced outage by securing power through the exchanges. Generator would also be able to sell URS power in the Day Ahead Market of power exchanges without consent of buyers. This regulation is likely to be implemented from October 2023.

Along with Grid Code, new transmission charge sharing regulation also will get implemented which will remove anomaly in transmission charge between collective and bilateral transactions and will facilitate movement of volumes in the DAM market.

The Ministry of Power has notified much awaited carbon credits markets scheme, approving the formation of India's first domestic regulated carbon market. It also necessitates the formation of National Steering Committee to Govern and oversee the functioning of the Indian carbon market. According to guidelines, trading of carbon credits

will take place shortly through the exchanges.

This notification does not include voluntary carbon trading. Through our wholly -owned subsidiary ICX, we will be able to leverage the opportunities in the voluntary carbon space.

In April 2023, CERC issued an order to align the DSM rates with other segments to avoid any possible arbitrage among them. The Tertiary Reserve Ancillary Services market and the DSM are now market -linked. Participants will now be incentivized to utilize power markets before any unscheduled interchange with the grid.

Final guidelines for Resource Adequacy Planning were issued by the CEA to enable adequate generation capacity to meet the projected demand while maintaining necessary results. Resource adequacy creates the basis for capacity contracting and can lead to capacity market for optimal contracting - long term as well as short term. It will also help ensure security of supply and increase liquidity in the market.

Amendments were made in Electricity rules 2020 to introduce time -of-the-day tariff and simplify smart metering rules. These are expected to help in demand management by shifting demand when supply is available.

The long -pending order of CERC retaining the transaction fee up to INR0.02 per kilowatt -hour on either side , which came in April 20, 2023, this is a positive development for IEX.

In May, the Ministry of Power shared a letter with CERC to look into market coupling for the Indian power sector. We are confident that all aspects such as objective of coupling needs in the current market framework , will be examined by the honorable regulator before undertaking the next step. The current market operations of IEX will continue uninterrupted.

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This year, we achieved another significant milestone for our company. IEX, India's premier energy exchange completed 15 years of operation in June. IEX was incepted with an aim to provide a platform to access electricity in India in the most competitive, transparent, flexible and reliable manner. From trading 2 billion units of electricity volume in FY 2009 to about 100

billion units annually at present, IEX has indeed come a long way.

We have cumulatively traded about 700 billion units across all market segments with a 30% CAGR since inception. With technology and innovation at its core, IEX has been at the forefront of introducing new products and market segments aligned to India's economic and decarbonization targets.

Now, update on IEX. Coming back to the highlights of this quarter, IEX added new products and offerings in its continued endeavor to deepen the power market of the country. In June, we launched the IEX Academy to create a pool of skilled professionals for capacity building in the power market. Customized certification courses will be offered to develop skills and expertise in electricity markets across aspects of power sector policies, regulatory framework and power exchange operations. The courses are designed based on the in-house experience of IEX, and in collaboration with academic institutions and think tanks.

Further, we have also launched IEX Power Price Index, PowerX, to provide competitive benchmark signals and enable market participants to make more effective decisions. PowerX, which is India's first electricity price index is calculated based on weighted average price of Day Ahead Market and Real Time Market.

In line with our aim to provide seamless experience to our customers, we launched the web-based platform EnergyX. This platform will now provide web-based bidding for all IEX electricity segment and will provide easy and secure anytime, anywhere access, automated bidding through API, Market Data Insights, and easy financial reconciliations.

IEX also commenced Tertiary Reserve Ancillary Services, TRAS market segments from 1st of June, 2023 for the Day Ahead Market Ancillary

Services and Real Time Market Ancillary Services.

In terms of business performance, IEX achieved 25.1 billion units across all segments during quarter 1 of FY '24, growing almost 8% on a year-on-year basis. During the quarter, DAM segment registered 12.5 BU volume 11% increase on year-on-year basis due to lower prices. The RTM segment registered volume of 7.3 BU during quarter 1, increasing 16% over quarter 1 of last year, underscoring its relevance and acceptance among distribution utilities and industries to efficiently balance their power demand-supply.

IGX generated total volume of 42.6 lakhs MMBtu during quarter 1 of FY '24, a decline of 9% over the same quarter last fiscal. This was largely due to higher gas availability under the long-term contracts and increased domestic gas supply sold on medium-term basis. The profitability of IGX for quarter 1 FY '24 increased to INR3.43 crores from INR1.15 crores in quarter 1 of FY '23.

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Let us now summarize the financial performance of the company in this quarter. On a consolidated basis, revenue for quarter 1 FY '24 increased 12.3% on a year-on-year basis to INR127.4 crores from INR113.4 crores in quarter 1 of FY '23. Consolidated PAT during the quarter 1 at INR75.8 crores, grew 9.7% on a year-on-year basis from INR69.1 crores in quarter 1 of FY '23.

With gradual improvement in domestic production of coal and improvement in coal inventory, we expect rationalization of power prices on the Exchange and volumes to improve from there. The CEA's draft plan projects electricity demand in India to grow at an average rate of almost about 6% up to FY '2030. This is expected to result in an annual increase in power consumption of more than 100 billion units. Such a scenario presents us with major opportunities to contribute to the ongoing transition in India's energy sector.

IEX will continue to introduce innovative products and market segments to strengthen its existing product portfolio. We are exploring options to extend the term-ahead market contract from 90 days to 1 year to provide better optimization opportunity for discoms. We will continue to work restlessly with the Ministry, Regulators, System Operators, our partners and clients, and all other stakeholders to accelerate India's sustainable energy transition.

Thank you. And now we can have question-and-answers.

Moderator: Our first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Thanks for the opportunity. My first question is, sir, how does the Grid Code help us in increasing our volumes? And secondly, you said that the arbitrage between DAC and DAM will go away. Is that regulation finalized or when do we expect this to go away?

S.N. Goel: So, Grid Code is expected to be implemented from 1st of October. That is what we hear, but the date is yet to be notified. See, as per the new Grid Code, there are certain changes in the scheduling mechanism. Now, generator will have to give the schedule on day ahead basis and based on that, all beneficiaries will have to give the schedule on a day ahead basis.

And whatever URS power is left, that power now can be sold by generator in the Day Ahead

Market without taking consent of the beneficiary. This is a very, very important new change which has been introduced. Earlier, the consent of the beneficiaries were required. Now, it is no more required. And if the power is sold in the Day Ahead Market, then beneficiary cannot revise the schedule to that extent. This is one.

Second is, in case generator has given schedule and generator has given DC (declared capacity) and that has been scheduled by the beneficiary and during the day if there is some problem in the generating unit and generation is lower, then generator can make good that generation by purchasing power through the market. This is another

important provision, which has been made

now. Earlier generators were allowed to purchase power only in the event of outage. Now they can purchase power even in the event when generation is low on account of some technical reason. And these are 2 important provisions which will, I'm sure help exchanges to improve their volumes.

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And as far as arbitrage is concerned, the transmission charge sharing regulations were notified last year, but they also will get implemented along with the Grid Code. And as per the new transmission charge sharing regulation, sellers are not required to pay any transmission charges. So, it is only buyer and in case of buyer also, if the purchase is within the GNA, no additional charges are to be paid. And if the purchase is beyond the GNA, then only the charges are applicable.

And in fact, in case of the Day Ahead Market and RTM market - the collective transactions, the charges will be calculated on post-facto basis after considering the GNA, T-GNA and all transactions scheduled during the day. And thereafter, if there is some T-GNA required, that will have to be taken for the beneficiary. So this is a very positive development for the exchanges, at least, for the collective transactions.

Mohit Kumar : Understood, Sir. My second question is, what is the timeline for launching voluntary carbon credit markets and when we expect the mandatory carbon credit market to be functional?

S.N. Goel : The voluntary carbon market, we are planning to do it within this financial year. We are working on that, in the process of developing the software and also analyzing the market opportunities. Hopefully within this financial year, we'll launch that.

Mandatory carbon market, that is something which BEE is working on that. They have now notified their regulations that they will be -- I mean, how this will be done. But I think detailed procedures, everything is yet to be notified. In fact for the mandatory market, they will have to identify the sectors where it will be first applied and also the parameters for compliance of the carbon emissions and if there is a non-compliance, and what is the treatment of that, who will get certificates and who will have to buy certificates.

So, all those things are yet to be notified. The only thing is that these carbon credits for the mandatory market will be traded in the existing exchanges and CERC will be the regulator for that.

Mohit Kumar: Understood, Sir. Thank You Mr.Goel. Thank You.

Moderator: The next question is from the line of Vikash Jain from Financial Quotient.

Vikash Jain: Hi! Good evening Mr. Goel. Thank you for letting me ask this question. The recent development that happened about the market coupling and I got an update from IEX Management that in the current scenario the market coupling may not be something which government should be considering due to the market dynamics which operate in 1 given country, it is something which should be considered between 2 countries or between multiple countries.

So I just wanted to hear your insights furthermore that how IEX's future looks like if the market coupling and all is implemented and what are the chances that the market coupling gets implemented along with MBED, and what are the pros and cons for IEX? I just wanted to hear some insights from you, sir. Thank you.

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S.N. Goel : As I told earlier also, market design is something which the regulator has to decide about.

Government via their 2nd June letter has requested CERC to consider market coupling and initiate the process of discussions with the stakeholders. Now, I'm sure CERC will do detailed analysis about the market coupling, whether market coupling in the present market framework is relevant, is it required, what kind of benefits it will bring to

the market, to the consumers, and

based on that they will initiate the process, if it all it is required.

So, it is too early to say for me whether market coupling will be implemented or not implemented. But I'm sure after examining all these things, if it is something which is good for the market, good for the consumers, yes, that would be done. But based on our understanding, in the current scenario where in India we have voluntary market and the transactions through the Exchange is just about 6%, 7%, there is no case for the market coupling.

And we have seen in the other part of the world, I mean market coupling happening in Europe .

And there, they have done coupling of different markets, different countries, geographical different markets. They have coupled 27 different countries and made one market. And in that market, they are transacting almost about 1,600 billion units of power. They have taken advantage of diversity in the demand and supply of different countries. So, there was a reason for doing the market coupling there.

In U.K., there are 2 exchanges operating. And in both exchanges, there is no market coupling.

So, we haven't come across a situation where market coupling of exchanges was done -- just for exchanges was done, when the exchanges were operating in the same geography. So I'm sure regulator will look into all these things. So, it is too early to say anything beyond that.

Vikash Jain: Thank you so much. Another thing that I just wanted to understand from you, sir, about our business in IGX and ICX. Any tentative timelines by when our businesses would have a meaningful revenue contribution to overall top line and bottom line, sir?

S.N. Goel : IGX, last year the business was good. IGX made almost a profit of almost about INR28 crores last year. And this year, the first quarter was not that good, but I'm sure the things will pick up in the subsequent quarters, month of July has been definitely much better than the first quarter.

But again in the gas market, it is very high volatility at present. World over, with the way gas supply positions and the prices are, there is a lot of volatility and because of that, we are also seeing on the Exchange platform, it is very difficult to make any assessment for the next 4, 5 years . But I am sure about one thing that gas exchanges, as I have always mentioned, that will definitely do as good as IEX. And if you look at the profit of IEX for the second year and what IGX has done, they are almost similar. So, in future also I am expecting IGX to do much better.

Vikash Jain: And we expect a similar kind of EBITDA and margins coming from these businesses?

S.N. Goel : Yes, yes. IGX, yes. ICX, International Carbon Exchange, we are yet to launch that and when we launch that and get into the market, then we will see what kind of opportunities are there in that.

Vikash Jain: Thank you so much for answering my questions, sir. I've been a shareholder with IEX since IPO, and I'm a happy shareholder and having vision for next 10 years.

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Moderator: Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Just two questions. First, you did mention multiple drivers which could improve the overall volume growth on the power side. Any target that you have in terms of what could be the full - year volume growth in FY '24 for us? That is one.

And secondly, you talked about Ancillary Services starting from June both DAM and RTM.

Some more information about them and the likely revenue potential from those new products?

S.N. Goel : Yes. See, our first quarter volume growth has been almost about 8%. Month of July so far has been very good. I think it's almost about 20% volume growth so far. So I'm expecting that by the end of the year we should have a volume growth of at least about 15%, but then in exchange

market, it is very difficult to estimate these things. It all depends on the demand and supply and availability of the coal.

So if everything goes well, because you know first quarter you have seen the demand increase only by 1.8% whereas we were expecting demand increase of almost about 8%, 9%. So, it all depends on these external factors, but we are quite optimistic about the volume growth.

And second is, volume opportunity because of ancillary market . Ancillary market is basically - in an energy deficient country, volume in ancillary market is not expected to be very high. So, the market has been introduced as per the direction of the Regulatory Commission, but so far there is absolutely no volume in this. No transactions in this market because whatever power is available, generators are scheduling it in the energy market only.

Devesh Agarwal: Understood Sir. Thank You.

Moderator: Next question is from the line of Nikhil from Bernstein. Please go ahead.

Nikhil: Thank you for the opportunity. The first question I had, Mr. Goel, was on the Grid Code. I think the URS power sale, if allowed, will be a good move for the market. Just wanted to understand; A, timelines of this. I think I've missed it, if it was discussed on the call earlier; and B, whether it'll require any changes to existing PPAs or even without that it can be done?

S.N. Goel : Timeline for implementation of Grid Code as I've told you, we are hearing that it may get implemented from 1st of October, but no timeline has been notified so far because NLDC has

to finalize some procedures and they have to do some software tweaking. They are working on that. So based on that, our expectation is 1st of October.

And for selling URS power through the Exchange, no change in the PPA is required. Grid Code supersedes all PPAs. The scheduling mechanism indicated in the Grid Code supersedes the PPA. And as per that, the generators will be now free to sell URS power on the Exchange platform.

Nikhil: Got it. That's helpful Mr. Goel. The second question I had was then on the other point you made after GNA, the contingency market volume will move to collective bids. Just wanted to understand from a competitor standpoint, the competitor Exchanges largely operate in the Indian Energy Exchange Limited

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contingency market. So, for them, will they will not be able to sustain, do you think, without something like coupling coming in, if even Day Ahead volume moves to DAM/RTM?

S.N. Goel : See, the point is, today, if you look at 5 years back, Day Ahead Market was constituting just 95% of the volume transactions through the Exchange. Today, Day Ahead Market is constituting only 50%. So, there are lot many new products which have been introduced in the market in the last 2, 3 years. We have Day Ahead Market, we have RTM market, we have Day Ahead Contingency, we have Term Ahead Market, we have Long Duration Contracts, Contracts for Delivery up to 90 days now. That also can get extended to delivery up to 1 year.

So, I think there are many opportunities for the other exchanges to also pick up their volume.

So, it is up to them. And if you look at the long duration contracts for delivery up to 1 year, the volume transactions happening in the market is something about 40 billion, 50 billion units. And that's the market size, which is available.

Nikhil: Understood, Sir. Thank you for answering my questions and good to see the good volumes in July.

Moderator: The next question is from the line of Mr. Sumit Kishore from Axis Capital Limited.

Sumit Kishore: The first one is assuming that market coupling happens and the exchanges don't discover prices directly, what will the exchanges do? So, what is the incentive for individual exchanges to invest in coming out with new products if everyone is discovering the same price for a given time slot?

S.N. Goel : You asked a very relevant question

on, but I have no answer to that. The point is, the role of the

Exchange has been defined in the PMR. And as per the PMR, Exchanges are associated with a price discovery. And if they're not doing price discovery, will they be called as Exchange or something else? I don't know that. So I'm sure all these aspects will be examined by the regulators before taking the next step.

Sumit Kishore: The Contract for Difference are a very promising step forward for deepening the exchange markets, what is the expectation, how many gigawatts can happen over the next 1 year and next 2 years?

S.N. Goel : See, Contract for Difference is now being considered by the government. One is for the renewable generation capacity addition. If you recall, in the earlier earnings call also we have been always saying that other countries, they have very efficiently used CfD model for renewable capacity addition. U.K. has added almost about 30 gigawatt of capacity through this. Similar cases in case of Germany and other European countries.

So, in India also, because otherwise there is lot of delay in signing the PPAs, thereafter scheduling the power and then getting the payments. So, if you do through the market, then all these problems are over. So, government is first now considering 1,000 megawatt capacity addition through the CfD model where one of the nodal agency will issue the tender and contract that capacity at a fixed price.

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Generator will get the fixed price and that capacity will be sold in the market. And whatever is the difference in the price between the market price and the strike price under the PPAs, that will have to be taken care by the nodal agency. Expectation is that nodal agency will be able to in fact make money out of the process.

Based on the results of the first 1,000 megawatt, maybe they will contract additional 4, -5,000 megawatts in the next subsequent years. And this is basically pilot projects, showcasing a project for the market, so that other developers can also setup capacity for this model.

And in fact the CfD model is also now being considered for ensuring additional generation capacity during the peak hours. If you recall, this year, Government of India, they had invited bids for purchasing imported coal-based power during the summer peak -- for meeting demand in the summer peak time.

And they said that whatever rates are achieved by them, the generators will be selling the power in the Day Ahead Market and difference in the price between the Day Ahead Market and the price quoted by them will be borne by the government. Similarly, they also contracted gas-based capacities for meeting the peak hour demand. They also in fact identified 5,000 megawatt of NTPC and Ratnagiri capacity to be utilized under the peak hours under the CfD model.

So, CfD model is now being used extensively for bringing more liquidity in the market. And this is a welcome step. We have been working on this from the last couple of years and finally, we see that, yes it is happening. This year we could not see any benefit of that because, by grace of God, month of April and May were very, very cool months and there was no crisis of power. So, this gas-based capacities and imported coal-based capacities under the CfD model were not put to use.

Sumit Kishore: Sure. Just one last question. IGX, would it be right to think that LNG prices have come off, should there be any correlation in ramp-up of local gas consumption and a pickup in IGX volumes in FY '24 versus FY '23?

S.N. Goel : See, the immediate effect of cooling of gas prices has been, number 1, this year domestic gas production has increased. Second is, because of the lower gas prices, GAIL had some long-term contracts and under those contracts because of the high gas price, they were not getting the full gas supplies.

And in fact, maybe some

of those suppliers were selling that gas in the European markets at high price. But now they have started supplying the gas. In fact, the backlog quantity is also getting supplied. So there is enough of gas available under the long-term and medium-term contracts. And that is why the demand in the market is comparatively lower. But, going forward, when the gas prices are lower, I'm sure the import will increase and transactions to the market will also happen. So, that should be a good thing for the market.

Sumit Kishore: Thank you and wish you all the best.

Moderator: Next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

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Apoorva Bahadur: Hi Sir! Thank you for the opportunity. Wanted to understand what's our right to win in the carbon credit exchange. I believe NSE is also looking to enter this?

S.N. Goel : See, IEX, we have the experience of running a spot exchange for last 15 years. We incorporated gas exchange that is also working satisfactorily efficiently from the last 3 years. So, we understand this market, we have good connect with the market participants. We have today more than 7,000 market participants who are registered with us in the power exchange, and large number in the gas exchange also. So, we have reach with this market participants and that is our strength. I'm sure with this and our expertise of the operating exchange, we should be able to get good market share in the carbon market.

Apoorva Bahadur: And sir, you expect the margins to be as lucrative as the current business?

S.N. Goel : Carbon market, I think let us first launch it, let us see what the market is and maybe after 1 or 2 years of that, we will be able to say something about the margin and profits. At the moment, we are in the process of creating a platform and launching the exchange and then maybe initially for a couple of months we will have to do all promotional activities and see the response of the market thereafter.

Apoorva Bahadur: Sure Sir. Secondly, I believe you are expecting like 15% type of volume growth year-on-year. It would be very helpful if you can sort of provide a breakup, product wise, for this 15% growth.

So which segments do you expect to grow?

S.N. Goel : No, see, I just told you 15% growth is our expectation based on the projected demand and supply position. And again, product wise, giving breakup is going to be difficult, because it depends on the market conditions. But our Day Ahead Market and RTM market, definitely these are flagship products and the large volume growth is going to come from these 2 segments.

And thereafter, even long duration contract volumes are also picking up. So that will be the next.

Green market, volume is increasing but not in a significant -- definitely, the increase is going to be more than 15%, but not significant volume growth.

Apoorva Bahadur: Sir, why hasn't really the long duration product really picked up? We are still seeing lot of bilateral transactions which ideally, I think, should have shifted to this product? What's holding it back?

S.N. Goel : Whatever volume we did in last year, we have done the same amount of volume in the first quarter. So the volumes are increasing in the long-duration contract in that segment. And we are expecting this year, more than 5 billion units in the long-duration contract segment.

And the shift from the bilateral to the exchange transactions will need some time. For every new product, market participants they normally try that, see what kind of benefit they're getting from that, is the price more competitive here or that payment terms are more competitive in other

markets. So, they will have to assess all these things and then decide. I think in every market, the shifting happens gradually.

Apoorva Bahadur: Fair enough Sir. Thank You so much. All the best
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Moderator: Thank you. Next question is from the line of Bharani Vijay Kumar from Spark Capital.
Bharani Vijay Kumar : I just want to know what would be the approximate number of participants on a daily basis transacting in the important Day Ahead and the Real Time market. Though we would have many registered participants, what is the, like the average number of participants transacting through Day Ahead and Real Time markets?

S.N. Goel : Earlier, number of participants used to be very high . As far as distribution companies and generators are concerned, their participation is limited. Distribution companies, we have almost about 50 distribution companies and generators maybe 400, 500. But earlier open access consumers, industrial consumers and commercial consumers, they were participating in a big way when the clearing price used to be low.

But from the last 2 years, the clearing prices have increased and the viability for the open access has slightly reduced. That is why the participations have reduced now. And average number these days is something around 600 and 700.

Rohit Bajaj : So, total registered participants are close to 1,500. So it is dependent on price. As the price will come down, we will see this number going further up. So these 1,500 are active participants.

S.N. Goel: So, overall registered is more than 7,000, out of that active are 1,500.

Moderator: Seems that we have lost the connection from the current participant. We'll move to our next question from the line of Saaksha Mantoo from Old Bridge Capital.

Saaksha Mantoo: So, most of my questions have been answered, just one on account. There is a spike in the other expenses that we see this time around of around INR12.6 crores in total. Could you just explain like, is there any one-off that we are seeing here or this is a regular run rate?

Vineet Harlalka : If you look at the quarter 1 numbers, normally what happens, we book the CSR expenses during the quarter 1, which is tune of around INR7 crores . So this is the one-time expenses of CSR mainly which impacted the number. Going forward, we look at in the range of INR5 crores, INR7.5 crores during the quarter.

Saaksha Mantoo :Okay. So, you mentioned INR7 crores is CSR out of this INR12.6 crores?

Vineet Harlalka :- About it. It's rounded off . That is the number, and few other one-time expenses. So going forward...

S.N. Goel : We did 15 years' celebration this year, as we completed 15 years on 28th of June, we had celebration for that. We had organized an event for the special participants. And then the CSR, entire obligation for the full year has been already booked in the first quarter itself. So the total amount is about INR7.5 crores. This amount will not appear in the subsequent quarters.

Saaksha Mantoo: Got it. Thank you so much. That's all from my side.

Moderator: Next question is from the line of Nikhil Abhyankar from ICICI Securities.

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Nikhil Abhyankar: Just a follow-up on the earlier question, Sir. Should we expect similar levels of other income as well going forward. Quarter-on-quarter it is flat, but y-o-y, it is 40% jump?

Vineet Harlalka : Yes, it is in -- hopefully, it will remain same, but it's mainly dependent upon how the RBI look at it. If there is a significant cut from the interest rate by the RBI, it will definitely going to come down. But looking at the current scenario, we hope for this year that this will maintain the same.

Nikhil Abhyankar: Sure. Sir, and earlier you mentioned about 1,000 megawatt of RE CfD contracts. So, what should be the expected timeline for it?

S.N. Goel : I think there are activities happening on that. So, nodal agency will have to come out with the tender for purchase of the power. Maybe this year, at least all these

activities should be over.

That is what we understand.

Nikhil Abhyankar: So, the additional 4 to 5 gigawatt will be from next year?

S.N. Goel : Yes, this year 1,000 megawatt and next year maybe another 4, -5,000 megawatts.

Nikhil Abhyankar: Okay. And sir, any progress on other product additions like capacity market and derivatives?

S.N. Goel : Capacity market, I mean CEA has come out with the paper for capacity building in this sector and adequate resource planning. I think it is too early to talk about the capacity market because capacity market is going to be mandatory market, the framework will have to be developed for

that. So, we are also working on that.

And derivative market is, again, that market will be introduced on the SEBI regulated exchanges.

So -- but once that is introduced that will also help the spot market . So, we are also actively working with the regulator to ensure early start of this derivative market. But difficult to say any date on that.

Nikhil Abhyankar: Okay Sir. That's all from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, this was the la st question for the day. I would now like to hand over the conference over to the management for the closing comments.

S.N. Goel : Thank you, friends. I would like to thank each one of you for being part of today's call. During the quarter, we have witnesse d a lot of initiatives announced by government and the regulators towards creating a favorable policy and regulatory environment to transform the energy sector.

We remain committed in doing our bit towards building a sustainable and efficient energy future .

Thank you all.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

Indian Energy Exchange Ltd

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The Manager The Manager

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Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on November 03, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on November 03, 2023, to discuss the financial results of the Company for the quarter ended September 30, 2023.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited

Q2 FY2024 Earnings Conference Call "

November 03, 2023

ANALYST : MR. SUMIT KISHORE - AXIS CAPITAL LIMITED

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN & MANAGING
DIRECTOR – INDIA ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
& COMPANY SECRETARY – INDIA ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR (NON -
BOARD) - BUSINESS DEVELOPMENT , STRATEGY &
REGULATORY AFFAIRS – INDIA ENERGY EXCHANGE
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MS. APARNA GARG – HEAD, INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS – INDIA ENERGY
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MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS
AND PRODUCT DEVELOPMENT – INDIA ENERGY
EXCHANGE LIMITED

MR. ADITYA WALI – INDIA ENERGY EXCHANGE
LIMITED

Indian Energy Exchange Limited

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Page 2 of 21 Moderator : Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q2 FY2024 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore. Thank you and over to you Sir!

Sumit Kishore : Good Afternoon everyone. On behalf of Axis Capital I am pleased to welcome you all for the IEX Q2 FY 2024 earnings conference call. We have with us the management team of IEX represented by Mr. SN Goel, Chairman and Managing Director, Mr. Vineet Harlalka, Chief Financial Officer, Mr. Rohit Bajaj, Executive Director Business Development, Strategy and Regulatory Affairs; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communication. We will begin with the opening remarks from Mr. Goel followed by an interactive Q&A session. Over to you Sir!

Satyanarayan Goel : Good Afternoon, friends. I welcome you all to the IEX earnings call for quarter two of FY2024. With me today on this call are Mr. Rohit Bajaj, our Executive Director, Business Development, Strategy and Regulatory Affairs; Mr. Vineet Harlalka, our CFO & Company Secretary, Mr. Amit Kumar, Head of Market Operations and New Product Development, Ms. Aparna Garg Head of Investor Relations and Com

munication and Mr. Aditya Wali.

Friends, the Indian economy continues to be the world's fastest growing major economy. The recent success of India's G20 presidency, and the G20 New Delhi leader's declaration has further raised India's standing as a global leader. Further, achievements during the India G20 presidency included the creation of a Global Biofuels Alliance, which aims to share knowledge, technology, and finance to develop and introduce cleaner fuels and the finalization of India, Middle East, Europe Economic Corridor Agreement. The summit demonstrated to the world that India is not only emerging as a world leader, but also becoming a voice of the global South to achieve the goal of inclusive development and tackle challenges of climate change through global cooperation.

Moving on, the Indian economy is sustaining its growth momentum over the past two years in the face of global headwinds. India's GDP for first quarter FY2024 grew at a rate of 7.8% the highest among major economies. This growth momentum has been on the back of an expanding service sector, private consumption, and increased capital expenditure. At 57.5 in September 2023, India's manufacturing PMI remained expansionary for the 27th straight month. The quarter two FY2024 print came in at 57.9 compared with 55.9 in Indian Energy Exchange Limited

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Page 3 of 21 quarter two of last fiscal reflecting the country's healthy demand environment. The service PMI pulled off slightly from a 13-year high of 62.3 in July to 61.0 in September, printing a quarter 2 FY2024 number of 61.1 compared with 55.7 same period last year. In this backdrop the World Bank estimate of India's economic activity for the current financial year is on track to grow at a rate of 6.3%.

Coming to power sector update : On the power sector front electricity consumption in India for quarter 2 FY2024 stood at 435.8 BU a growth of 13% on a year-on-year basis. Power demand was higher than anticipated for the monsoon months with peak power demand touching nearly 240 gigawatt in September first week. States like Maharashtra, Uttar Pradesh, Gujarat, Madhya Pradesh, Karnataka, and Tamil Nadu, witnessed soaring demand this quarter. In the previous quarter cooler ambient temperatures had kept demand for power sector lower than anticipated. By the end of quarter 2 of FY 2024 India's total installed capacity stood at 425 gigawatt out of which 179 gigawatt was contributed by renewables. India remains on track to attain its target of achieving 50% of energy consumption from non-fossil fuel sources by 2030.

On the fuel side, India's coal production increased by a robust 16.2% on year-on-year basis to reach 205 million tons in quarter 2 of FY2024. For the period April to September coal production was up by 12% on year-on-year basis to 428 million tons. Coal dispatches to the power sector increased by nearly 11% on year-on-year basis during quarter 2 FY2024 to 181 million tons. E-auction coal premium has also continued to decline since the beginning of this financial year. The premium declined to about 100% in September 2023 from 276% in September 2022 and a peak of 425% in May 2022. The average imported coal price of 4200 GAR coal also continued to ease at \$56 per ton lower by 35% over the same quarter of last fiscal.

Imported gas price has reduced by nearly 60% year-on-year basis to \$16 per MMBTU. Average coal inventory stood at nearly 13 days during quarter 2 FY2024 higher than 11 days which was there in quarter two of last fiscal. The improved supply side scenario

resulted in increased sell liquidity, but an unexpected surge in power demand has kept the prices higher on the exchange. The average market clearing price in the DAM market during quarter two of this year was Rs.5.88 per unit compared with 5.4 per unit in the same quarter last year, higher by

nearly 9% over the first quarter of this year. With supply side volumes continuing to improve and robust power demand, volumes at the exchange are expected to grow going forward.

Let us now talk about the noteworthy regulatory updates and policy initiatives introduced by the government in quarter 2 FY2024. The CERC has notified the Indian Electricity Grid Indian Energy Exchange Limited

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Page 4 of 21 Code, the Sharing of Interstate Transmission Charges Regulations and the long awaited GNA Regulations. The salient feature of these regulations are:

- i. The long-standing anomaly in transmission charge between collective and bilateral transactions has been corrected, which will facilitate movement of volume from DAC market back to DAM market since sellers will no longer be required to pay interstate transmission charges.
 - ii. Under IGC, generators with long-term PPA's would also be able to sell their surplus power which is not requisitioned by the DISCOMS in the day-ahead market without consent of buyers. To improve availability of sell in the market, on 5th September 2023, Government has directed generators with PPAs to offer on exchange the URS power on day ahead market also.
 - iii. Generators would now be allowed to meet their commitment in case of unit shut down or forced outage by purchasing power through the exchanges.
 - iv. Buyers will be able to use their GNA optimally as transmission charges in collective transactions will be applicable only for the buy quantum in excess of their GNA, which will facilitate buy on the exchange, as the working capital requirement will be reduced for participation in DAM and DAC.
 - v. Interstate transmission charges and losses will only be applicable on buyers. This will provide level playing field for all generators irrespective of their locations and will facilitate competition on the exchange platform.
 - vi. The overall philosophy of transmission planning has changed. Efforts are made to enable adequate transmission capacity addition, which will secure a congestion free transmission system and reduce volume loss due to congestions.
 - vii. These regulations will also facilitate energy transition in a big way by providing flexibility to thermal generators to replace their brown power with green power, introduction of RE aggregators, and connectivity to aggregate 50 megawatt RE capacity. All this will deepen green market on the exchange platform in future.
- In other updates, CEA has issued the first amendment to the procedure for cross border trade in electricity. The amendment allows for cross border trade of power through the real-time market operated by the power exchanges. This is expected to increase cross border volume from the exchange.

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Page 5 of 21 In addition, final guidelines for Resource Adequacy Planning were issued by Ministry of Power in consultation with Central Electricity Authority to enable adequate generation capacity to meet projected demand in the country. Resource adequacy creates the basis for capacity contracting and can lead to opportunity for IEX to introduce capacity contracts. Such a market will also help in increasing sell side liquidity.

The Ministry of Power issued guidelines for Tariff Based Competitive Bidding Process for procurement of RE power wherein developers have been provided flexibility to supply up to 5% of the contracted power by purchasing from the exchange.

Guidelines on dispatchable RE power through energy storage, these guidelines now allow generators to supply excess power from the RE plant to any third party or a power exchange without requirement of NOC from the buyer.

In June this financial year the Ministry of Power shared a letter with CERC directing it to look into market coupling for the Indian power sector. The CERC subsequently released

a

staff paper on market coupling in August. A detailed reading of the staff paper explains the advantages, disadvantages and execution challenges of market coupling. The Commission is yet to take a view on implementation of market coupling. We have also submitted our suggestions explaining why market coupling should not be implemented. We do believe that current market operations of IEX will continue uninterrupted.

In a strategic move to promote a circular economy and one that aligns with IEX commitment to sustainability and decarbonization and in harmony with India's Net Zero commitments, IEX acquired a 10% stake in Enviro Enablers India Private Limited. This deal will augment the value offerings of EEIPL's material waste platform (MW P), which brings together all stakeholders in the waste sector. Material waste platform holds significant potential to enhance the scientific processing of waste across India and establish a circular economy for a wide range of waste materials.

I am happy to inform that we had launched the IEX Academy this year in June to create a pool of skilled professionals for capacity building in the power market. In a span of less than three months we have seen nearly 250 enrollments across programs.

In line with our aim to provide seamless experience to our customers, the last quarter witnessed onboarding of members to the web-based bidding platform and to the automated bidding API for DAM and RTM. Recently, we also launched the high price Term-Ahead market. With this we will be able to facilitate imported coal based and gas-based power plants to be able to offer high-cost power for up to 90 days. This will ensure there is enough

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Page 6 of 21 sell side liquidity available during crisis period. The product would also provide sell avenues to battery energy storage system power plants on the exchange.

In terms of business performance, IEX achieved 26.5 billion units of traded volume across all segments during quarter 2 of FY2024 registering 15% year-on-year basis growth. In the electricity segment particularly, the growth was about 17%. IEX generated a total volume of 195 lakh MMB TU during quarter 2 of FY2024, a jump of 262% over the same quarter last fiscal. The volume jump was largely on the back of increased domestic gas volume and decreased gas prices compared with spot prices. The profitability of IEX for quarter 2 FY2024 increased to Rs.7.85 Crores from 2.42 Crores in the same period last fiscal, an increase of about 224%.

Let me now summarize the financial performance of the company. In this quarter on a consolidated basis revenue for quarter two of FY2024 increased 16.9% on year-on-year basis to Rs.133 Crores from Rs.113.8 Crores in last year. Consolidated PAT during the quarter came at 86.5 Crores higher by 21.5% on year-on-year basis from Rs.71.2 Crores in quarter 2 of FY2023. With improving coal production, inventory and easing coal prices we expect rationalization of our prices on the exchange and volumes to improve in the coming months. Based on CEA's draft plan, power consumption in the country should increase by more than 100 billion units annually till 2030 and this presents an opportunity for IEX to tap into incremental volume. IEX will continue to introduce innovative products and market segments to strengthen its existing product portfolio. We have been exploring options to extend the Term-Ahead market contracts from 90 days to one year to provide better optimization opportunities for DISCOMS. We will continue to work with the ministry, regulator, system operators and our partners and clients and all of the stakeholders to accelerate India's sustainable energy transition. Thank-you friends, and now we can have question-and-answers.

Moderator: Thank you very much. We will now begin the question-and-answer

session. The first

question is from the line of Damodaran from Acuitas Capital Advisors. Please go ahead.

Damodaran: Thank you for the opportunity. Three questions from my side. So one is you spoke about, GNA getting implemented in October, but if I look at the share of the Day-Ahead Contingency market, that has already come down sharply in September. So what is the reason for that, I mean, given that GNA is being implemented now, where do you see the share stabilizing on a sustainable basis. So that was one, then if you look at the mix of volumes, Term-Ahead market has seen a very sharp growth, so what is the reason for that in the last quarter. That was one question, and if you look at CERC, I think given a deadline for October 16th to give all the comments and suggestions by all market participants. So

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Page 7 of 21 now what are the next steps that the CERC will take to arrive at a decision on market coupling. That is one question and the last one was, if I look at the share of bilateral trades in overall volumes, that has also gone up over the last three or four months. I mean, the data is there through July on the CERC website. So if you can throw some light as to what is the reason behind that. These are my questions. Thanks.

Satyanarayan Goel: Yes, first thing you asked about GNA. Yes, GNA has been implemented from 1st of October and in the first two, three days we saw very positive development after implementation of GNA. The DAC volume had reduced but subsequently in the month of October you can say right from 5th of October to 15th of October the demand was very high

in the country and exchange clearing price was almost Rs.10 throughout the day . And when you have this kind of price , then buyers they try to get into bilateral market to ensure availability of power, so they contract in the bilateral market or Day-Ahead market. So that shifting of , I mean, the impact of GNA was not really positive during those days . But then subsequently when the prices started going down the supply side scenario improved, we are again now seeing that good volume is happening in the Day-Ahead market of exchange and our overall volume growth for the month of October because of GNA implications in electricity has been almost about 20% now. So that is a positive development and I am sure in the coming months the growth will be better. Your second question was that our market share in the second quarter was lower. See the reason was basically the second quarter , as I told you , the demand increased by almost 13% and because of the high demand increase many of the distribution companies they contracted power through the bilateral contracts and in fact bilateral contracts volume increased by almost about 25% during this quarter. So substantial volume shifted to the bilateral contracts because of which the DAM volumes reduced and our market share was lower . But I am sure in the coming quarter you will see good increase in the market share. Coupling , yes CERC had issued a discussion paper , it was issued on 21st of August and I am sure you must have gone through the discussion paper and the reading of the discussion paper indicates that CERC has not taken any view, they are neutral in the paper, they have listed out the advantages whatever they can achieve, but the disadvantages and the challenges in implementation of coupling are more and they have highlighted all those things. What we understand is that participants have submitted the comments on that and CERC is just compiling the comments . They have not taken any view on that. Bilateral volumes, yes, they have increased as I told you because demand for power was very high and many distribution companies got into bilateral contracts. So, now I think demand has reduced slightly . It is not 5,200 million units per day. Now it has come

down

to almost about 4,300/4,400 million units per day. So our clearing price is also down to almost about Rs.5/unit. So we should see good volume in Day-Ahead and RTM market.

Damodaran : Any update on how long will it take , I mean, this process of CERC compiling comments .

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Page 8 of 21 Satyanarayan Goel : See I can tell you the process part of it. They will have to compile the comments, take a decision, Commission will have to take a decision based on the comments. They also do consultations . There is a Central Advisory Committee of the Commission , they do consultation in that also, and based on all the inputs Commission will take a view on that. If the view of the Commission is that, we should go ahead with the coupling then draft regulations will have to be prepared, and when they prepare the draft regulations they will also indicate why they intend to go ahead with coupling. The statement of reasons also will be there, and then they will invite comment for that. After receipt of comment from that they will then again see whether they want to go ahead with the coupling or not , if they want to go ahead with the coupling, they will issue the final regulations and then the activity for implementation of coupling will start. So, this process of finalization of regulation itself may take one year time and after that implementation of coupling is getting a software , customizing the software for Indian conditions, and putting in place the clearing and settlement mechanism. So all those things, I mean, it may take anything between one and a half to two years' time for implementing coupling after that.

Damodaran : Sure, but that is very helpful. Thanks, that is all from my side.

Moderator : Thank you so much. The next question is from the line of Mr. Sumit Kishore from Axis Capital Limited. Please go ahead, sir.

Sumit Kishore : Thank you, Sir. My first question is in relation to the long duration contracts. What is the total volume handled by IEX in LDC in the second quarter , in the first half of the year and what is the market share composition in LDC and how much does IEX have ?

Rohit Bajaj : In the first half , total volume done in LDC is 3.6 billion units, but if we talk about specific months it was more in September where we did more than 1 billion units and October it is about 1.7 billion unit. So, it started on a smaller note and if you look back last year , total volume done in LDC was 1.4. So as compared to 1.4 we have done in the first half itself 3.6 and a lot of traction is there , distribution companies are finding it very attractive to source power through LDC contract and we are seeing a lot of transactions are happening. There we have organized more than 300 reverse auctions in this particular segment, and wherever rates were suitable , distribution company went ahead and sourced this power. So started on a little slower note, but now picking up very fast.

Sumit Kishore : So, what would be the IEX share ? So in first half you have done 3.6 billion units how much was the total LDC traded ?

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Page 9 of 21 Rohit Bajaj : Total number is not readily handy with me, but our share was close to 60% in case of LDC contract. We can say close to 7 billion units was all done in the LDC contract.

Sumit Kishore : My next question is that we have been seeing high demand environment although there has been easing of supply side constraints, exchange price discovery has been in the vicinity of Rs.6 and exchanges have not been able to gain market share. Market share has moved towards bilateral. So would you like to comment on how the medium-term situation will evolve because India seems to be headed into a situation where we could have tight liquidity or is that a wrong assessment?

Rohit Bajaj: See our reading is that

is situation that we are seeing where there is a huge supply side constraint, this is temporary. What we have seen is, in last three, four months there is lot of softening in the prices particularly coal as well as gas and because of that there is some improvement in the liquidity. Demand increase in some parts was more than expected. So that has taken away whatever additional supply was brought in the market, but going forward we expect that some more capacity is going to get commissioned. There are projections which say that 9,000 megawatt capacity will come in next five to six months. So this will give us lot of support and renewable capacity as we all know is continuously getting added in the system. So, whatever shortages we are seeing now, deficit we are seeing now will get covered eventually in coming months and with that situation will only improve and we expect prices to be in a decent level. So this is our reading of the situation and as this will happen we expect more liquidity or more buy will start to come on Day-Ahead and RTM market which is the most preferred option for any State because there, the price discovery is more efficient. These are the most competitive market segments that are available, and we have seen historically prices are lowest in these particular segments. Sumit Kishore : Finally, how do you see the share of overall short-term markets moving over the past couple of years and has it been as per your original assessment? Exchanges within the mix have been falling short because of bilateral markets growing faster, how do you think that the next couple of years are likely to evolve? So the short-term markets overall and exchanges within the short-term market.

Rohit Bajaj: If you see last five years data, you will find that short-term market is growing very fast, exchanges are the ones which are growing at the fastest pace. So, this has been the historical trend. There are some aberrations. The point Mr. Goel explained, the point that I was sharing because of some uncertainty in availability, some sudden increase in the prices, there was a small shift that happened within, from exchange to bilateral market. We have seen that in quarter one this shift was there, but as the stability will come, as the situation will stabilize which it has already started with increase in coal production, with increase in Indian Energy Exchange Limited

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Page 10 of 21 more generation getting on board, we expect again the things would be aligned and exchange would be the fastest growing segment within the short-term market. But one more point here is, since no long-term PPAs are being signed today, earlier distribution companies were not taking, now many generators are also not interested to lock their power under long-term PPAs. So, which means that going forward there would be this merchant capacity which is present, will not go away and more capacity will come in terms of distribution companies getting more power under the long-term PPAs, the plants which are going to get commissioned. Together, this will create more liquidity on the sell side which will help exchange market to grow.

Sumit Kishore : Thank you. Those were my questions.

Moderator : Thank you so much. The next question is from the line of Vikas Jain from Financial Quotient. Please go ahead.

Vikas Jain : Hi, Good Afternoon everyone on the call and many thanks for the detailed summarization of what we have done at IEX. My first question was on market coupling, but I think that has been answered very fairly by the management team. So, just wanted to know about the PAT level figures for IGX and ICX for Q2 if any.

Satyanarayan Goel : Yes, for IGX our profit has been about Rs.7.8 crore in second quarter. The volume growth in case of IGX in the second quarter was significant. ICX, we have not launched

yet. So

ICX we are only doing the development activities at the moment. As of now there is no revenue except for the treasury income, which is very small.

Vikas Jain : When ICX operations might be expected to get commenced.

Satyanarayan Goel : ICX, I think will need some more time because Government is also coming out with their CCTS which is the Carbon Credit Trading Scheme and there are some changes, what we are expecting with respect to the mandatory and compliance market. So, we are analyzing all

that and then we will launch it after analyzing all these things.

Vikas Jain: Just one more clarification Sir, so this ICX would have voluntary and involuntary both the credit markets right.

Satyanarayan Goel: Compliance market will be operated by IEX, basically that will be regulated market, regulated by CERC. So, all CERC regulated exchanges will be able to offer the compliance market of carbon credit. As far as voluntary market is concerned, there is no clarity about that. Our intention is to launch ICX, international carbon exchange, for the voluntary Indian Energy Exchange Limited

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Page 11 of 21 market, so that we are able to get the voluntary market share but whether that market also will be regulated or not, still the clarity is yet to come on that.

Vikas Jain: All right thank you so much I wish you all, all the best for the coming quarters. Thank you and have a good day.

Moderator: Thank you. The next question is from the line of Arul Selvan from Independent Advisor Private Limited. Please go ahead.

Arul Selvan: Hi, Good Afternoon. I just have a few questions. The first question here is regarding the market share of IEX in the different segments. I believe, the slide in the PowerPoint presentation which had all these market shares was not given this time. So, could you please help with that?

Satyanarayan Goel: Okay what else.

Arul Selvan: The next question here is just one question about this relationship between the high-priced power and bilateral trades. So could you please help me understand what is the incentive for the parties to transact in the bilateral markets when prices go to double digits on the exchange? Those are my two questions.

Satyanarayan Goel: Let me tell you about the market share. In the collective transactions which is our Day-Ahead market and the RTM market our market share continues to be almost about 99.9%.

Long duration contracts which are daily, weekly and monthly contracts our market share is almost about 55% and in Day-Ahead Contingency market, the market share is close to 40%.

And with the implementation of this GN A, the DAC volumes are expected to go down. So overall market share will improve.

Arul Selvan: Have they gone down in the month of October, the total volumes of electricity created on the DAC versus ...

Satyanarayan Goel: You are right that volumes traded in the month of October have significantly gone down with respect to September. I believe in the month of September the average daily volume was close to 50 and it was close to 25 in the month of October. In the month of November, I am sure what is happening is hardly in the single digit DAC volumes are happening now.

Your second question was about bilateral transactions at HP-DAM market.

Arul Selvan: Right.

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Page 12 of 21 Satyanarayan Goel: This HP-DAM market transactions will happen mainly when the crisis is there and the coal-

based power plants are not able to meet the demand. So, if you have to get the power from the gas-based power plants where the cost of generation is something around Rs.13, Rs.14, Rs.15. So, we are not seeing much transactions in that market because distribution companies are not willing to buy power at that high price. But when there is a crisis, very high demand, there is a tendency

on the part of distribution companies to purchase power in the bilateral market even by paying slightly more premium, so that they are assured of power supply, because on the exchange platform if they are purchasing power in the Day-Ahead, in the RTM market then they are not very sure whether on that particular day will they be get the power or not. So that is why we have seen in the past also, whenever the demand is very high, the bilateral transactions increase. And now for the month of November, December, January, February when the volumes of demand is slightly lower with respect to the summer months, the bilateral transactions will go down.

Arul Selvan: I am a little bit surprised you are saying that when the prices are high the DISCOMS are not willing to purchase on the exchange because there is no certainty that they will receive the electricity is that the case.

Satyanarayan Goel: Yes, see when the price is high, it means that the demand is high, and supply is not commensurate with the demand. That is a high demand period and during the high demand period some of the DISCOMS who want to ensure 24x7 power supply and who want to purchase power at any cost they pay premium over the market price and purchase power in the bilateral transaction.

Arul Selvan: No, the only question I am wondering here is, is there a material difference between the

high price segment which we have launched recently and the bilateral market ? Is there a difference in terms of the availability of power or the ease of convenience or on the transaction charges ? I am just trying to understand in what way is the bilateral market better than the exchange market ?

Satyanarayan Goel : See the point is , let me first clarify one thing that on the exchange platform we have also bilateral contracts. These contracts are for weekly, fortnightly, monthly basis for delivery of power up to three months . But in all these contracts the ceiling price is Rs.10 . If somebody wants to buy power if he is not able to get power within that, if he wants to buy gas -based power then he will have to go to the HP-DAM market . Whereas in the bilateral transactions even the coal-based power plant , domestic coal -based power plants also supply power and the rate should be Rs.7, Rs.8, Rs.9 . So bilateral transactions there is no segregation of HP - DAM market, high price market or the normal market.

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Page 13 of 21 Arul Selvan : Right , I understand. Ok. That is it for now. Thank you.

Moderator : Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani : Good Afternoon Sir. I have three questions. My first question is on carbon exchange. When you talk about this international trading on the carbon exchange , what would be the benchmark we would be using , would it be a Paris based benchmark or the US based any thoughts on that ? And can you give more color in terms of the volumes we can attract in days to come since we have signed this 2030 Paris Accord and world is going green that is my first question ? My second question , is suppose if the coupling is implemented then what are our plans to mitigate that and how are we getting prepared for that ? And my third question is how are we placed against the competition ? That is it from my side. Thank you and all the best.

Amit Kumar : On the international carbon exchange , as you mentioned that we intend to operate it in the voluntary carbon market and the way in the voluntary carbon market the trade happens is that there are global registries which are available , like Verra, Gold Standard which basically register projects and they certify projects for issuance of carbon credits . And those carbon credits which get issued by these global registries Verra and Gold Standard and there are a few other regi-

tries as well. They are basically then eligible for trading in the voluntary carbon market. So, basically once we commence our operations , we will have integration with these registries so that the project developers whose projects are registered for credit issuance they will be able to list those credits for sale on our platform and the buyers who want to buy these carbon credits to do offsets , they will come and buy these credits from our exchange platform. So that is how , basically the voluntary carbon market operates , and that is what we intend to tap in from an international perspective.

Viraj Mithani : What will be the benchmark like , would it be based on certain benchmark right , either by the Paris or the US or India or something?

Amit Kumar : The registries for different projects they have the methodologies defined. So, like for forest projects, Verra will have a methodology defined. The projects , let us say , there is a forestry project that meets the requirements of the methodologies that are defined within Verra, those projects once they apply for registration , Verra will approve those projects. So each registry for different types of project . Because carbon credit is a heterogeneous commodity , there are different types of like you have nature -based carbon credit, cook stove , then you have carbon credit from renewable . So for cook stove there is a set of methodologies that each registry will define. Now project , for it to be accepted for approval for credit issuers ,

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Page 14 of 21 they have to be aligned to the methodology that registry defines. So that is how basically the credit issuance , and the project approval works in the voluntary carbon market.

Viraj Mithani : The other two questions.

Satyanarayan Goel : Can you repeat the question please.

Viraj Mithani : My next question was if the coupling is implemented how are we prepared to mitigate that issue ?

Satyanarayan Goel : First of all implementation of coupling itself is doubtful , no view has been taken by the CERC so far . And we do not think based on our interactions that coupling is going to get implemented. In any case, I mean, I respect your question, if coupling is implemented , we are already working on different strategies to create a strong customer connect and you must have seen that in the last two, three years we have done lot of development in our technology platform also . We have a strong integration with our customers to the API system and we are also providing value added services to our customers , the data analytics

which we are providing . I think all these things are giving lot of value to the customers and the relationships which we have built with the customers over the last 15 years I am sure with all that we should be able to maintain our market share.

Viraj Mithani : How are we placed against the competition ? I guess we are the largest exchange so far right.

Satyanarayan Goel : Yes.

Viraj Mithani : How are we placed ? Are the competitors gaining more grounds against us. So, we are still performing better than them, if you can give some light on that, color on that.

Satyanarayan Goel : As far as the collective transactions are concerned, which are the flagship transactions in any exchange platform which is Day-Ahead market and Real Time market in these two segments our market share is 99.9% . And if you look at the volume in these two segments it is almost about 75% of the total volume happening on the exchange platforms. So, in this 75% volume our market share is 100% you can say. So rest of the 25% which is consisting of DAC market, TAM market, Certificate market, all these things our market share is close to 40 %-45% so you can say as of now our market share is about 85% -86% but going forward it should improve further.

Viraj Mithani : Thank you sir and all the

best to you.

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Page 15 of 21 Moderator : Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal : Good Afternoon Sir and thank you for the opportunity. My question is around the supply side. You did mention that supply is likely to improve going ahead, but I just wanted to understand better in terms of what is giving you that comfort ? And secondly given that we would be entering into State elections and then Union election would not SEBs be wanting to sign short-term bilateral contracts to ensure that the supply is intact during this election period ?

Satyanarayan Goel : Yes, I mean, liquidity as of now in the market is very good . We are getting every day close to 300 plus MU on the sell side whereas demand is only for about 200 MU, 225 MU and so there is more sell available than the buy requirement and I am sure this situation is going to continue for the next 3 -4 months. From March onwards when the election fever will catch up some of the DISCOMS may get into a bilateral mode because this is a very politically sensitive issue. So, it is very difficult to make any comment on that, but yes some of the DISCOMS may get into bilateral contracts also.

Rohit Bajaj: We have more offerings , they can tap them to buy power for up to three months now and going forward we will launch up to 11 months also since the GN A has been implemented and short -term contracts are allowed and can be done up to 11 months. So we will get approval and we will launch 11 month contract also. So we are also gearing up for this , we also understand there would be some tendency among some of the distribution company to source power under bilateral and since we have an offering now , earlier days we had only TAM which was up to 11 days so situation is a little different and we are gearing up to compete with other bilateral contracts.

Devesh Agarwal : Just to understand better you did mention that in the LDC market in the first half we did 3.6 billion units. So if you were to divide this in one month or 3 month contract where are we seeing most of the volumes coming , where is the concentration of volume ? Is it in like 10 day, 15 day contracts or one month or three months ?

Rohit Bajaj: So, today the concentration is up to one month, but recently or lately I would say we have started seeing some activity in the second month also. So, if I talk about H1 it was majorly first month, but now some transactions are happening for December, January also which means that it has extended to second also and going forward we will add some more months, it would be third, fourth and hence... .

Devesh Agarwal : By when do we intend to increase the tenure ?

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Page 16 of 21 Satyanarayan Goel : We will be filing our petition with CERC in the next 10 -15 days for offering long duration contracts for delivery up to 11 months and CERC normally takes about 2 months' time to approve that. So hopefully by end of December we should have approval and from 1st of January we should be able to launch this contract for delivery up to 11 months.

Devesh Agarwal : Understood. Sir, any recent bilateral agreements that have been signed if you can give some sense of what is the price that is being discovered in the bilateral market versus the price that we see on the exchange platform ?

Satyanarayan Goel : See one thing is prices in the bilateral contracts are definitely more than the prices on our DAM market, DAM or RTM market. So that is why people only go to the bilateral contracts when there is a crisis , and they want to just ensure availability of power at any

cost. There are many instances where distribution company purchase power in the bilateral market at a higher price and on the real time basis . Because of sea

sonal variations demand

in that particular case was lower and they ended up in selling power on the exchange platform at a lower price bought at a high price in the bilateral and sold at a lower price in the Day-Ahead market or RTM market. So distribution companies are also realizing it now, that too much of reliance on the bilateral market is not desirable and they are contracting maybe certain minimum contract based on their demand and supply projections.

Devesh Agarwal : The final question from my side. This Government has extended the Section 11 until June 2024. So does this scenario in any way help or hurt us in terms of volume ?

Satyanarayan Goel : See Section 11 extension up to June 2024 will definitely ensure increased availability of power in the market and if there is increased availability of power in the market , then desperate situation will not be there.

Rohit Bajaj : It is good for the sector, it is good for exchanges because overall liquidity on the sell side will improve and we would be able to, or together all of us would be able to meet the demand.

Devesh Agarwal : Understood, thank you so much. Those are my questions .

Moderator : Thank you so much. The next question is from the line of Mr. Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Good Afternoon Sir, thanks for the opportunity. Sir, can you just brief us on what product additions are we looking at in the next 6 to 12 months ?

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Page 17 of 21 Satyanarayan Goel : See in the last two years we have added many products and we did RTM market then we launched green market, Green Term -Ahead, Green DAM, now HP -DAM, HP-TAM . HP-TAM also was introduced in the month of October . So and now we are going for the long duration contracts for delivery up to 11 months that is also expected in the next two, three months' time . So, I do not think you can add new products every two months . There is a limit to that . Only thing is whatever new products were introduced we have to bring more liquidity in those products. Green products, Green DAM and Green TAM market , there the volumes are still not significant . I mean, I think combined volume in a year is almost about 8 to 9 BU. So we have to bring more liquidity in the green market . Lot of activities are happening in that. So we are working with the generators, we are working with the States also, how to bring more liquidity in this. With Government also we are doing the policy advocacy with the Government . Government has allowed that you can purchase up to 5% of the power in a contract to meet commitment from the green market . All this and they are also working on the CFD contracts for the green market , virtual power purchase agreements are also now becoming popular . So all these initiatives are being taken to bring more liquidity in these markets.

Nikhil Abhyankar : Is there anything around power derivatives, electricity derivatives ?

Satyanarayan Goel : Power derivatives should be launched on the exchanges which are regulated by SEBI that means MCX or NSE or BSE. So, there is a Committee which is working on this and I think they have still not come to a conclusion of launching derivatives at this stage because volatility in the market is too high at the moment.

Nikhil Abhyankar : You mentioned that LDC volumes are high in the past three, four months and once we get the approval of LDC for 11 months can we expect a large part of the bilateral contracts will shift to us.

Satyanarayan Goel : Should shift, yes, that is our effort . That is the intent with which we are going to offer this contract . And we will start interacting with the distribution companies and generating companies to ensure their participation in those contracts.

Nikhil Abhyankar : Final question we have around 1,400 Crores of cash on our balance sheet, investments

and

cash. So, can we expect more buybacks going ahead ?

Satyanarayan Goel : We will take a call on that - whether buyback or dividend . We have a policy of rewarding our shareholders and we give almost more than 50% of the profit in the form of dividend or buyback. So, we will continue to do that.

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Page 18 of 21 Nikhil Abhyankar : Okay thank you that is all from me.

Moderator : Thank you so much. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi : Good Afternoon Sir, thank you for taking my question. My first question is on e - certificates. So the cycle two is over in October , we have seen volumes coming off

significant ly. So we expect the cycle over for this year and when can we expect the next cycle to begin ?

Satyan arayan Goel : Yes, cycle 2 is over now and we have to now wait for cycle 3.

Jiten Rushi : That will be in next three years right.

Satyanarayan Goel : It depends on when BEE notifies that . Yes, we are expecting next year.

Jiten Rushi : On the L DC just want to reiterate you said volumes in LDC in October is almost 1.7 BU.

Satyanarayan Goel : Yes.

Jiten Rushi : Okay that is from my side sir. Thank you and all the best. Wish you happy Diwali. Thank you.

Moderator : Thank you so much. The next ques tion is from the line of Amey Kulka rni from Candor Investing . Please go ahead.

Amey Kulk arni: Hi, Good Afternoon . I had a couple of questions. We had this proposal for Gross Bidding and we had also submitted a petition to CERC sometime in 2021. Is there any rethinking /update on this issue and what is the progress with the Transmission System Operator for the gas sector ? Just one or two more questions, is there any update on the renewable contract by using the strike pric e which we call a contract for difference ? Thank you.

Satyanarayan Goel : First one is on th e Gross Biding . See Gross Bidding is basically optimization by distribution company . And this concept is more relevant when the prices are competitive in the range of maybe Rs.3.5 to Rs.4 but since the last two years our prices have been around Rs.5, so there is not significant opportunity from Gross Bidding at the moment. In any case , the new GNA regulations and Sharing of Transmission Charge s Regulations which have been iss ued by the C ERC, under those regulations , now Gross Bidding it can be impleme nted. You do not need any separate approval for the Gross Bidding . It can be implemented by the distribution Indian Energy Exchange Limited
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Page 19 of 21 company very effectively and many of the distribution companies are already doing it. See there is no extra payment to be made by a distribution company for sale of pow er on the exchange platform now. Suppose , a distribution company has got a PPA with a generating company and under that PPA they have p ower available and they d o not need that power , they can schedule that power in the morni ng ho urs, submit bid on the exchan ge platform based on the variable cost of that, if that power is cleared they can continue with the schedule and if the power is not clear ed they can revise the schedule of the generator on the lower side. So, all these flexibilities are there, there are no transmission charges to be paid for sale of power and n o losses are accounted for that. So that flexibility what we were looking for under the Gross Bidding petition that has been already provided by C ERC in the GNA and Grid Code - all these new r egulations which have been implemented now . And we fi nd there are states like Punjab, MP, Haryana, Maharashtra, many of these states are submitting bid s there for purchase of power and sale of power both and that is basically with the intent of doing optimization in their power procurement cost. So, we are working with the States now that how they can use the GN A pr

ovisions to effectively implement, I

mean, not Gross Bidding , but you c an optimize your cost now, which was the intent of the Gross Bidding . Second questi on was on the gas system operator, yes, I mean, Government in fact had mentioned in many of the forums that they are going to create gas system operator but as of now nothing has happened much on that and y our third question was about ?

Amey Kulkarni : CFD.

Satyanarayan Goel : Yes, CFD contracts . Yes I mean this issue is under discussion . What I will s ay that final stage of approval but only they are looking at taking a view that if at all there is a gap in the contracted price and the market cl earing pric e, how to fund that , so once they decide about that they will approve that contract . Otherwise , all other modalities are already discussed and finalized.

Amey Kulkarni : So just one last point, the distribution companies when they buy under the LDC contract , the long duration contract. Suppose we ext ended to say 11 months , do the distribution company need approval from the regulator for the prices discovered in these contracts or because they are traded on the exchange regulatory approv al is not required?

Satyanarayan Goel : Yes, for the LDC contracts they normally take approval from their respective State Regulatory Commissions .

Amey Kulkarni : Before bidding itself.

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Page 20 of 21 Satyanarayan Goel : In many of the States they have given certain limit up to this price they can i.e. distribution company can purchase the power, but if the price is more than that they can take the

approval and such approvals do not take much time because the regulators are also aware about the market condition.

Amey Kulkarni : Okay thank you so much.

Moderator : Thank you. The next question is from the line of Dhruv Muchhal from HDFC Asset Management Company. Please go ahead.

Dhruv Muchhal : Thank you so much. I had just one question. Somebody who is a buyer who is buying from the exchange, green products, does he have to pay transmission charges or that is also waived for the buyer?

Satyanarayan Goel : As per the new GNA regulations sellers whether they are from green plant or whether they are from the coal-based power plant, no seller is required to pay any transmission charges.

Dhruv Muchhal : And Sir, buyer?

Satyanarayan Goel : Transmission charges are to be paid by the buyer only. In case of green power, for the projects commission up to 20-25 even the transmission for the buyer also is waived off.

Dhruv Muchhal : But the buyer is generally, say, for example some third party or somebody see if I am trying to understand if somebody selling in the merchant market then? So green market would be merchant market that way.

Satyanarayan Goel : No, I think it is for the projects which are under the PPA note.

Dhruv Muchhal : For the green products that we have, the buyer has to pay transmission for that? Is the transmission charge exempted for the volumes that you do on exchanges?

Rohit Bajaj : So for exchanges also it is exempted but the problem is it is not yet implemented we expect going forward very soon this will be implemented and then it will be waived off to begin with. It is easier to implement that for bilateral contracts, but through exchanges it is a little difficult for collective, but eventually in months to come it should get implemented.

Dhruv Muchhal : So it is a clarification which probably or some modification that we will be seeking and once that happens it will be helpful.

Rohit Bajaj : Absolutely. Yes.

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Page 21 of 21 Dhruv Muchhal : Thanks so much and all the best Sir.

Moderator : Thank you so much. We would take that as our last question, I would now like to hand the conference over to the management for closing comments.

Satyanarayan Goel

: Thank you friends. I would like to thank each one of you for being part of today's call.

During the quarter we have witnessed a lot of initiatives announced by the Government and the regulators towards creating a favorable policy and regulatory environment to transform the energy sector. We remain committed in doing our bit towards building a sustainable and efficient energy future. Have a great evening. Thank you very much and a Happy Diwali.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Indian Energy Exchange Limited

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Dated: February 01, 2024

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 25, 2024.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 25, 2024, to discuss the financial results of the Company for the quarter ended December 31, 2023.

The above information will also be made available on the website of the Company:
www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS -16264

Encl: as above

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“ Indian Energy Exchange
Q3 FY2024 Results Call ”

January 25, 2024

ANALYST : MR. SUMIT KISHORE – AXIS CAPITAL LIMITED

MANAGEMENT : MR. S. N. GOEL – CHAIRMAN & MANAGING DIRECTOR
– INDIA ENERGY EXCHANGE

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR – BUSINESS
& DEVELOPMENT & STRATEGY – INDIA ENERGY
EXCHANGE

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
& COMPANY SECRETARY – INDIA ENERGY EXCHANGE

MR. AMIT KUMAR – HEAD OF OPERATIONS &
TECHNOLOGY – INDIA ENERGY EXCHANGE

MS. APARNA GARG – HEAD – INVESTOR RELATIONS &
COMMUNICATIONS – INDIA ENERGY EXCHANGE

MR. ADITYA WALI – INDIA ENERGY EXCHANGE

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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to the Indian Energy Exchange Q3 FY2024 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited . Thank you and over to you Sir!

Sumit Kishore : Thank you Manoj. Good evening ladies and gentleman. On behalf of Axis Capital I am pleased to welcome you all for the IEX Q3 FY2024 earnings conference call. We have with us the management team of IEX led by Mr. S . N. Goel, Chairman and Managing Director . We will begin with the opening remarks from Mr. Go el followed by an interactive Q&A session. Over to you Sir.

S. N. Goel: Good evening friends. I welcome you all to the IEX earning call for Q3 FY2024 . With me today on this call are Mr. Rohit Bajaj, Executive Director, Business Development and Strategy, Mr. Vineet Harlalka our CFO and Company Secretary , Mr. Amit Kumar, Head of Operations and Technology, Ms. Aparna Garg, Head of Investor Relations and Communications and Mr. Aditya Wali . Friends the Indian economy continues to be the world 's fastest growing major economy with aspirations to become the third largest with in this decade. According to the first advanced es

timate released by the National Statistical

Office the economy is expected to grow at 7.3% in the current fiscal year which is helped by government spending and a pickup in manufacturing. This is slightly faster than 7.2% growth which was recorded in the last year 2022 – 2023 .

Coming to economic indicators, India's manufacturing PMI for Q3 FY24 came in at 55.5.

Manufacturing has remained expansionary on the back of increased private consumption and capital expenditure. Services activity also continued to expand with the services PMI for Q3 FY 24 coming at 56.8. The services index has remained above 50 for nearly 30 months at a stretch, the longest such trend since August 2011.

On the power sector front, peak power demand remained at high of 221 gigawatt in October before declining towards the end of the quarter. This was after a record high of 240 gigawatt in September recorded this year. Electricity consumption during Q3 FY24 recorded at around 380 billion units saw an increase of 10 % on year-on-year basis. States like Uttar Pradesh, Maharashtra , Gujarat, Madhya Pradesh, Karnataka and Tamil Nadu remain drivers of the surge in demand in power . According to the CEA estimates, electricity consumption is expected to continue to increase at a CAGR of 6% to 7% over the next eight to 10 years.

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Page 3 of 17 Looking at trends in demand and its expectation in the coming years , recently in November Honorable Minister of Power Shri. R. K. Singh ji spoke about the need for thermal capacity addition to meet the increasing peak load in the country . The minister was of the view that due to increasing electricity demand in the country and the prevailing demand supply situation , the required thermal capacity required will be about 283 gigawatt by 2032 and against this today we have installed capacity of 214 gigawatt. A ready 27 gigawatt of thermal capacity is under construction and Government has decided to add another 50 gigawatt of new thermal capacity that will help in meeting the growing demand of power . It has been also proposed to add good part of this capacity for sale to the market as seller will

be able to get adequate return by selling to the exchanges and capacity addition can be done faster without the need of PPA. The minister also mentioned that huge amount of funds will be necessary to create such capacity and it is believed that REC and PFC will finance a large part of this. Additionally, the minister noted that country's requirement for 24x7 availability of power requires a double engine that is renewable as well as thermal capacity. With 180 gigawatt of renewable installed capacity India remains on track at its target to achieve 50% of the capacity from non fossil fuel sources by 2030. In addition to this, 140 gigawatt of green energy capacity is under tendering and implementation and this is all above the Government target of 50 gigawatt of capacity that government is planning to add every year till 2030. To enable power integration the NEP has projected a storage capacity requirement of 74 gigawatt by 2032 consisting of pump storage of 27 gigawatt capacity and battery based storage of 47 gigawatt. Recently under the government's viability gap funding plan, the SECI has awarded India's first pilot project of 500 megawatt battery storage system wherein 40% capacity is open capacity for sale to the market through the exchange to meet the peak hour demand. Additionally, there is a government push towards green hydrogen emission. The push for green hydrogen of 5 million tonnes per annum by 2030 alone would require 125 gigawatt of green energy.

On the fuel side during the quarter India's coal production increased by a robust 13.1% on year-on-year basis and the production level was almost about 256 million tonnes. Coal dispatch to the power sector increased by 11.7% on year-

on-year basis to 203.5 million

tonnes. E-auction coal premium has continued to decline since the beginning of this financial year. The coal premium under Shakti B8 auction has come down to almost about 40% now. Coal inventory as on December 31, 2023, stood at 13 days. The imported coal prices have also come down for 4200 GR coal. Last year the prices were almost about \$90. It has come down to \$ 58 per tonne. Another good thing is imported gas prices have also reduced significantly. Last year imported gas prices were in the range of \$20 per MMBTU. Now they have come down to almost about \$9 per MMBTU and if the prices come down to \$7 to \$8 per MMBTU, the variable cost using gas will be only about Rs.6 to Rs.7 and I am sure almost 11,000 to megawatt to 12,000 megawatt of the gas capacity which is available

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Page 4 of 17 in the country that can be put to burn for meeting the peak demand. We are now witnessing a scenario wherein there is no fuel shortage. On the exchange, the improved supply side scenario has resulted in increased sell liquidity since November. Sell bids in collective auctions increased by 25% on year-on-year basis in November and 18% in December. This led to easing of prices on the exchange. The average market clearing price in the DAM market was Rs.5 per unit compared to Rs.5.88 per unit in Q2 of this year.

On the regulatory and policy front, the regulatory and policy environment continues to be conducive for power market development. Let us now talk about the noteworthy regulatory updates and policy initiatives for the sector.

CERC has implemented the Indian Electricity Grid Code, the Sharing of Interstate Transmission Charges Regulations and long awaited GNA Regulations from October 1, 2023. The salient features of these regulations, which, are market friendly.

- i. The long-standing anomaly in transmission charge between collective and bilateral transactions has been corrected now. With this during the quarter we witnessed a reduction in volume in our Day-Ahead Contingency market and consequently witnessed an increase in volume in the Day-Ahead Market. Volume in the DAC market in Q1 was 2 billion units. In Q2 it was 2.6 billion units. It has now reduced, to nearly 0.4 billion units and transactions have now shifted to the DAM segment. At nearly 15 billion units in Q3 volume for DAM this was higher by 17.5% as compared to Q1 and 30% as compared to Q2 of this year. This trend is expected to continue in the future also.
- ii. Under GNA regulations, transmission charges in collective transactions will be applicable only for the buy quantum in excess of their GNA. Buyers will be able to utilize GNA optimally by buying power in the DAM and RTA market.
- iii. Under IEGC, generators with long-term PPA would be able to sell the URS power not requisitioned by the beneficiaries in the Day-Ahead market without the consent of the buyers. Similarly in efforts to bring surplus power in the market, the Ministry of Power has proposed amendment of late payment surcharge rules which mandates generators to offer URS power in the market. These rules also provide for penalty in terms of reduced fixed charges to GEN COS if they fail to offer URS power in the market. This will improve sell side liquidity on exchange platform.

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Page 5 of 17 iv. Generators are now allowed to purchase in the DAM and RTM market to meet their supply obligations in case of shutdown or the forced outage .

v. Interstate transmission charges and losses will now be only applicable for buyers .

This will provide a level playing field for all generators irrespective of their location and will facilitate competition on the exchange platform .

vi. These regulations will also facilitate energy transition

in a big way by providing

flexibility to thermal generators to replace their brown power with green power , introduction of RE aggregators , and connectivity to RE generating capacity of 50 megawatt and above . This will deepen green market at the exchange in the future .

Additionally , Ministry of Power extended the time period for Section 11 directive to imported coal -based power plants up to June 30, 2024, to enable supply from imported coal based power plants in the system and to counter anticipated surge in demand in the upcoming summer months .

The Ministry of Coal has amended the Shakti Policy in November to allow power plants including power generators without PPA to sell power in all segments of the power exchange . Earlier it was only limited to the DAM market . Now they can sell power in all segments - in DAM, RTM and the TAM market.

The CERC issued its order for increasing the frequency of REC trading on power exchanges to twice a month. Earlier it was once in a month only and has allowed fungibility of different types of RECs . Consequently with added flexibility and increased frequency of trading , liquidity has increased in the REC market and because of removal of REC base price, REC prices have come down . Earlier the base price was Rs.1,000 , so transactions were happening at Rs.1000. Now with the removal of the base price , the last transactions were at Rs.360 per REC, a significant reduction and as a result of that REC volumes also increased on the exchange platform . It was 65% higher in Q3 in comparison to last year . CEA has finalized the phasing plan for thermal plants to bring the technical minimum operations up to 40% which is currently at 55%. This move will help in adding more RE capacity and efficient integration with the grid .

Ministry of Power has provided repowering and life extension for wind power projects allowing such generators to supply excess power on power exchange .

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Page 6 of 17 All these measures will lead to a further improvement in sell liquidity on the exchange leading to a decline in power prices . This is expected to present an opportunity for DISCOMS and commercial & industrial consumers to optimize their power procurement cost.

During the quarter, IEX undertook significant initiatives . We are honored to be a part of the groundbreaking green credit program launched by The Honorable Prime Minister during the recently concluded COP 28. Our wholly owned subsidiary International Carbon Exchange was engaged for the development of green credit program registry , trading platform and web portal .

On our core business we are awaiting approval from CERC on our petition for extending the term add contract from 90 days to 11 months to provide better opportunity for our DISCOMS . In terms of business performance , IEX achieved 28.3 billion units of traded volume across all segments during Q3 of FY24 growing 16.8% on year-on-year basis . This volume includes 25.9 billion units of conventional power and 0.4 billion units from the green market segment . The exchange also traded 20.3 lakh certificate during the quarter. Our gas exchange IGX has celebrated its third anniversary in December and has since inception cumulatively traded more than 900 lakhs MMBTU in gas volumes . During the quarter due to wide variation in demand and supply of gas IGX share volume declined 65% on year-on-year basis to 84 lakh MMBTU ; however , on nine-month basis IGX volume was down only by 7% from April to December . The profit after tax for IGX for nine-month period increased by 14% from Rs.16.3 Crores in nine months of FY23 to Rs.18.6 Crores in nine months of the FY24. As gas prices continue the downward trend volume at IGX will pick up going forward and I am sure in the summer months with operation of gas based plants , our gas exchange

will have better opportunity .

Let me now summarize the financial performance of the company for this quarter . On standalone basis the company recorded PAT growth of 25.5% increasing from Rs.71.2 Crores in Q3 of FY23 to Rs. 89.3 Crores in Q3 FY24. On a consolidated basis revenue for Q3 of FY24 increased by 20.3% on year-on-year basis to Rs.141.2 Crores from Rs.117.4

Crores in Q3 of FY23. Consolidated PAT during the quarter came to Rs.91.8 Crores higher by 18.9% on year-on-year basis. For Fiscal Year 2024, the board of directors of the company have announced an interim dividend of 1% equivalent to 100% of the face value of the equity shares. With improving coal production and inventory and easing coal and gas prices, we expect rationalization of power price on the exchange and volumes to further improve in the coming few months. As India looks forward to have 20 gigawatt thermal capacity in this financial year, thermal generation will increase by almost about 10%. This
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Page 7 of 17 will lead to increased sell liquidity on the exchange. With the CEA expectation of power demand to soar above 256 gigawatt in FY2025 and improved sell side liquidity I am sure exchange volumes will continue to increase. Thank you, friends, and now we can have question and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, Sir and Congratulations on a good quarter. Sir my first question is on the new GNA regulations that kicked in from October I guess, sir, have you gained any market share after the new GNA regulation kicking in and can you please quantify market share in Q3 FY 24?

S. N. Goel: Yes, our market share for Q3 has definitely improved, if you were to compare with Q1 and Q2. As I told you that DAC volumes have reduced. If you take all the three exchanges together then also there is a significant reduction in the trading volume in the DAC and that quantum has entered DAM market and RTM market.

Mohit Kumar: Is it possible to quantify the market share?

Rohit Bajaj: So in the month of November and December, November our overall market share was 91%. December it further increased to 95%. If I talk about quarter as a whole, it is little below 90% about 87% to 88% so we have seen significant improvement. I am talking about total including certificates. So if I talk about electricity in December, it is 97% to 96% so that way, we have significant improvement in the market share with the correction of movement of DAC and movement from DAC to DAM markets.

Mohit Kumar: Sir the second question is on the surplus at power plants selling to exchange which you mentioned. Sir this has been in the talks for the last few years. Has there been any changes in this particular quarter, in the sense, has the government come out with a new regulation or new notification, which we should believe can increase the liquidity on the exchanges because of this particular... Can you please comment on that?

S. N. Goel: Your question is not clear. Can you please repeat?

Mohit Kumar: Sir, un-requisitioned surplus which you mentioned, sir this has been in talks when the Government came out with the first regulations a couple of years back. What has changed in this particular quarter?

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Page 8 of 17 S. N. Goel: I got your point. See.. earlier as per the earlier systems and processes the consent of beneficiary was required by a generator for offering the power on the exchange platform. Now under the GNA and the new electricity grid code the consent of beneficiary is not required. So a generating company if the URS power is there, they can bid that power on the exchange platform witho

ut obtaining the consent of the beneficiary, so this is a significant change in the electricity grid code itself. Further to this, Government of India also has now issued a draft rule wherein they have said that the generating company must offer that power on the exchange platform and if they fail to offer that power on the exchange and they fail to submit sell bid of that, that quantum will not be counted towards their fixed cost recovery. I mean their DC computation which will impact their fixed cost recovery. So because Government of India wants that liquidity in the market should improve, and I am sure these rules are going to be finalized maybe within this month and already we have started seeing volumes from the generating companies, the URS power getting bid in the exchange platform so liquidity has improved because of that.

Mohit Kumar: Understood Sir. Thank you and all the best Sir. Thank you.

Moderator: Thank you very much. The next question is from the line of Guy Spier from Aquamarine Capital. Please go ahead, sir.

Guy Spier: Thank you very much. I think the whole of India should be grateful for the extraordinary work the India Energy Exchange is doing in facilitating the provision of electricity to the whole of India and I think you are an amazing team. I wanted to get your update on the comments for the Central Electricity Regulatory Commission. If the Power Ministry eventually takes a decision on market coupling when will be your best estimate of when

they will take it and I would imagine that if they decide to go there that is going to have to be a lot of discussions on exactly how to implement it and what the market procedures will be and even which contracts they might start working with first? I cannot imagine they would do it all at once so I would love to get your take on where that is, where your discussions are and how you see it unfolding from here. Thank you.

S. N. Goel: Yes, first of all thank you very much for complimenting and with regard to market coupling, let me first tell you the events which have happened. I think in the first week of June there was a letter from Ministry of Power for implementing power market coupling to CERC. CERC issued their discussion paper in the month of August, and they invited suggestions on that and almost about 127 persons submitted their suggestions and comments. And in that also what we find that more than 70% persons they were not in favor of coupling. If you look at all these comments are hosted on the CERC website, you can have a look at yourself. All eminent persons of the sector and experts of the sector they Indian Energy Exchange Limited

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Page 9 of 17 have opined that market coupling will not bring any value in the market and the need of the hour is basically to improve more liquidity in the market. At the present arrangement the three exchanges are competing with each other so if you do the coupling it will stifle the competition and innovation. And so based on the comment received I am sure there are few comments where the alternate options were suggested. So what we understand is that CERC is now also exploring and analyzing the alternate options given in some of the suggestions and maybe at appropriate time they will take a view on that whether there is any merit in implementing market coupling or not. So I will not be able to give you any time frame when CERC will take a view on that. After CERC takes a view on that then also the process is quite long because they will come out with the draft. They will discuss on paper again on the new concept and then take comments on that. They may come out with the draft regulations, finalization of the regulations, development of software and laying down the settlement mechanism. I mean doing the mock drill for that, so it is a long-drawn process.

Guy Spier: Thank you so much

and I would also just to confirm, I would imagine that developing that new system if it ever comes about would be with the involvement of the existing market players to ensure that energy continues to be traded smoothly so you would be closely involved in the development of that system?

S. N. Goel: Yes, yes I mean whatever is done by CERC that is in a transparent manner and with the involvement of all participants.

Guy Spier: Thank you so much and thank you for your great work. You are a great Indian institution, and I am proud to be associated with you as you know. Thank you.

S. N. Goel: Thank You. Thanks a lot.

Moderator: Thank you very much. The next question is from the line of Ankit Kanodia from Smart Sync. Please go ahead.

Ankit Kanodia: Thank you for taking my question. My question is again related to market coupling but just slightly on a different note. So in our call we have been very clear that if market coupling comes in, it would lead to death of innovation in the market right in the exchange market. But we see some of our competitors celebrating market coupling. So can you throw some light as to how can market coupling be beneficial for one player and not beneficial for others?

S. N. Goel: See the point is I will always tell the side of the story which suits me, and same thing is true for the other exchanges also, that is why there is a regulator. Regulator is an independent

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Page 10 of 17 body. They will take a view considering what is good for the sector and that is why they showed the staff paper and in the staff paper if you see the suggestions received are not only from the three exchanges. The suggestions received are 124. There are other 124 participants who have made comments on that and these include sector experts. You can say they are members of the CERC, ex-members of the CERC, ex-Chairpersons of CERC and Central Electricity Authority, ex members of the Appellate Tribunal, ex Secretaries of the Government of India. I mean ex-State Regulatory Commission Chairman and maybe from IIT and IIM and NGOs. So all those persons have made comments on that. Please have a look at those comments. You'll yourself be convinced that market coupling probably will not add any value but anyhow we have to leave it to the regulator. They have to decide about it. It is their prerogative to decide what is to be done in the market but I can only tell you that implementation of market coupling is a major change in the market design so I am sure regulator will take a view considering all aspects and then implementation of that also is a long-drawn process.

Ankit Kanodia: Got it . Thank you so much for that detail ed answer . My second and last question would be related to the International Carbon Exchange which we are planning ? Can you give us some color as to where we are in that and how do we see that shaping up in the next couple of years . Any qualitative and quantitative details you would like to throw ?

S. N. Goel: Yes in the interna tiona l carbon exchange ,we are still working on that because the transactions are basically mainly wi th the Indian sellers and international buyers . So these are going to be I mean dollar and rupee transactions and it is difficult to facilitate this kind of a transactions on exchange platform so we are now exploring the option with the Gift City to launch this exchange from the Gift City so that we can do dollar to dollar transaction . And we had a couple of interactions with the G ift City officials and they are also very supportive of this . Let us see if it materializes in the next couple of months .

Ankit Ka nodia: Okay so maybe in FY2025 we can expect some transactions here , some notable transaction ?

S. N. Goel: We are desperately working on that, and we intend to launch that as soon as possible .

Ankit Kanodia: Thank

you so much Sir and all the best.

Moderator : Thank you very much. The next question is from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead.

Nikhil Abhyankar: Thank you. Thanks for the opportunity . Sir, in your initial remarks you mentioned about the fungibility of REC so can you please explain what exactly you mean by that ?

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Page 11 of 17 S. N. Goel: Yes. Earlier in case of REC, the RP obliga tion was separate for the solar, separate for the wind, and separate for the hydro , all those things were separately specified . And as a result of that some states , I mean the inventory for the solar was higher, wind was lower so there were problems in that . But now after creating fungibility , all REC are in one category and there is a multiplier effect based on the technology . So now the obligated ent ities can buy that REC to meet the requirement . All the obligations are again combined together . So, I mean that has basically increased liquidity in the sell side and also made it simpler for the distribution companies to meet their obligation .

Nikhil Abhyankar: Understood and Sir would you be able to also mention what will be the industry wide like the system wide inventory level for REC as of say on December?

S. N. Goel: Pardon.

Nikhil Abhyankar: The system wide inventory level of REC?

S. N. Goel: Yes, inventory is very, very high in the market now. It is almost about more than 2.5 Crores REC are there in the market . See now there is a mechanism that even distribution companies if they have renewable power at their disposal which is more than their RPO obligation they also can get REC. So as a result of that there are distri bution companies like Karnataka, Telangan a, Andhra Pradesh , and Himachal Pradesh they also have REC and then the generators REC renewable generators . So the combined REC volume is quite significantly high.

Nikhil Abhyankar: Okay and the last question what were the long -term volumes in Q3 ?

Rohit Bajaj: So, in Q3 this volume is about 3 billion units. Now a days every month we are doing close to 1 billion unit trade in longer duration contract so total in nine months we have done close to 7 billion unit s which have picked up in the later months . But if I compare it with the last year, last year total in complete year itself we did about 2 billion unit s so there is a massive increase in LDC volume .

Nikhil Abhyankar: Okay Sir and should we expect that in Q4 ahead of the summer season , this volume can really spike because most of the DISCOMS would like to have requisition power for the summer season ?

Rohit Bajaj: Yes. So there is lot of interest now as you rightly said , because for the summer season there is a visibility that probably there is going to be deficit again . So many of these distribution companies they want to come to the market at this point in time and lock their procurement

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Page 12 of 17 for the coming months . So we are working towards achieving even better number in months to come .

Nikhil Abhyankar: Okay sure Sir. T hank you and all the best .

Moderator : Thank you very much. The next question is from the line of Sumit Kishore from Axis Capital . Please go ahead.

Sumit Kishore: Thank you . My question is in relation to the flurry of firm dispatchable RE tenders that we have been seeing over the past few months . Basically as the electricity storage solutions evolve and t his becomes more and more prominent , what implications does it have for the volumes that come to the short -term market and particularly to the exchanges . And also if you could combine this answer with the opportunity that you see with the RE capacities that

would be set up for green hydrogen over the medium term . Again what could be the quantum of associated generation that if possible could come to e

xchanges ?

S. N. Goel: See first of all let me tell you the basic principle . The renewable energy generation capacities there are lot of variation in that . There is lot of volatility in that . Whereas demand is practically fixed . So buyer will have to have other sources of power also to meet the demand and it is seen that the countries where renewable generation capacity has increased , the exchange transactions have also increased because on the exchange platform you can do integration of different resources in a more efficient manner . Like for the storage capacities . The battery storage system or the pump storage system there the cost of generation is going to be higher, and exchange can provide that high price during the peak hours . So I am sure with higher renewable energy capacity and the storage systems , the exchange will be definitely a preferred option . Even the Government of India is talking about the storage capacities under the viability gap funding system and there also the mechanism being explored is that the sale of power is at least on the exchange platform during the peak hour so that the maximum realization of revenue can happen on that .

Sumit Kishore: Sure, and so basically if you look at the period FY22 to 1H FY 24 I mean the share of exchanges has not really increased in the total power consumption ? It has gone from 7.4% to 7.1% ? The overall short -term market has also stagnated at around 13.6 % to 14%? In the next four to five years based on how renewable penetration is going to increase , how do you see the share of short -term market going up ? What is going to drive that and how is the share of exchanges within the mix going to increase? Maybe a three year time frame ?

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Page 13 of 17 S. N. Goel: This is very difficult to say about what is going to happen in future , but I can tell you in the past if you look at the last five years our volumes have increased at a CAGR of I think more than 16 % to 17%. And I am sure with the high renewable this number will be further better .

Sumit Kishore: Sure, so you had mentioned that in European markets already you have renewable capacities which are coming to the market under the ...

S. N. Goel: Let me tell you one thing in case of the European markets. They have a market framework even at the retail level . So competitive framework at the retail level also, so I think their model is more competitive and exchange transactions are more in those countries . But the trend is that with the high renewable exchange transaction also improve . The share of exchanges increases significantly.

Sumit Kishore: So, are we seeing more renewable capacities being set up on a merchant basis now in the next couple of years ?

S. N. Goel: Not necessarily. We have seen States having high renewable at their disposal under the PPA. They sell more power during high renewable generation capacity period and there are distribution companies who buy that power . What is required is we need to have capacity addition in the sector .

Sumit Kishore: Yes, so for time of the day requirement of meeting power especially during evening peak hours exchanges could prove a very important tool to manage that situation ?

S. N. Goel: If you look at our real time market, the real time market volumes have increased to almost about 30 billion units now . And the share of real time market is increasing . It is mainly because of these things that with the renewable capacity addition taking place there are participants who are selling power on the exchange platform whenever the renewable is high and there are other participants who are in need of power, they buy it.

Sumit Kishore: Thank you so much for answering my questions.

Moderator : Thank you very much. The next question is from the line of Sagar Vijaybhai Shah from Shah & Co . Please go ahead.

Sagar Vi

Vijaybhai Shah: Thank you for the brief insight on the quarterly update on the results . So I was just going through the replies which the members have commented on the Staff report which the CERC has asked for . So I was going through IEX reply also in that the company has mentioned that this may be unconstitutional as well and this because the objective of giving

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Page 14 of 17 the license to IEX is also based on some sound principles , which if the market coupling is happening then it is violating and it may be unconstitutional . So if you can just throw the light on that ?

S. N. Goel: I think our suggestions to CERC are very detailed and they are self-explanatory . I will request you to go through them and you can I am sure get more clarity from the filing . I do not think ...those suggestions are I think in 30 pages, and I will be able to detail them out on

this call. Thank you.

Moderator : Thank you very much. The next question is from the line of Bharani Vijay Kumar from Avendus Spark . Please go ahead.

Bharani : Good evening Sir. This is Bharani from Avendus Spark . So my first question is on our GDAM and GT AM volumes like can you elaborate the reason why it is on a declining trend this year compared to last year ?

S. N. Goel: Yes, in the Green market , see we do not have significant merchant generation capacity in the green area. Mostly that green power sale was coming from distribution companies who have green power beyond RP obligation and more of it from Karnataka . This year Karnataka demand , there was a significant increase in the demand (in Karnataka) almost about 30% , mainly because of shortfall in rain in Karnataka during that time when wind generation happens . Earlier they were selling that power . This year their own consumption was high, so the sell was less on the exchange platform because of that . Otherwise , as far as the demand is concerned there is a huge demand for green power and the premium over the conventional power in the green market is also almost about 40 paisa to 50 paisa per unit .

Bharani : The second question is on the recent developments on open access and on the revoking or receiving of any license requirement of transmission for renewable projects or any new projects to be set up by the developer . So how are all these things having a positive impact on our open access volumes if any or will it have any positive impact in the future ?

S. N. Goel: All these things are basically for development of the market and development of green energy in the country . And as I told you anything which leads to capacity addition in the sector is going to be positive for the exchange also . So, these things will be positive but let us see about the implementation of this because these kind of things will take time for implementation and seeing the result of that . These are all futuristic issues .

Bharani : Okay got the point . Thank you so much and all the best.

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Page 15 of 17 Moderator : Thank you very much. The next question is from the line of Devesh Agarwal from IIFL Securities . Please go ahead.

Devesh Agarwal : Good evening everyone and thank you for the opportunity . My first question is on the long duration contract. So if you see one of the benefit of exchanges was lower prices compared to the bilateral market and that has been driving the move from bilateral to exchanges ? All your new contracts that you are seeing in the LDC can you give us a comparison in terms of prices that we are seeing in the LDC market versus the bilateral market ?

S. N. Goel: I can only tell you one thing that the practice which distribution companies are adopting is they do a tender on DEEP platform and also for that they have some time available to give their consent . During that time they run the auction on the exchange platform

also and

invariably they find lower rate on the exchange and they get into a contract from exchange platform . So on a case to case basis it is very difficult to give you a comparison for each because these are different tenders coming out at different places , but definitely exchange prices are lower .

Devesh Agarwal : But can you say that 10 % to 20% could be the difference or even that will be difficult to, see?

S. N. Goel: 10% to 20% is a very, very large number what you are talking about. This is normally you can say about 20 paisa to 25 paisa per unit .

Devesh Agarwal : 20 paisa to 25 paisa per unit

S. N. Goel: Yes, maybe which is about 3 % to 4%. See a generator is giving a competitive rate on the exchange platform because he is getting payment on daily basis, so his working capital requirement is less, and he is basically saving cost there in that . And then he is assured of payment , so that is why a generator is offering competitive price on the exchange platform .

Devesh Agarwal : Right and Sir you did mention about the incremental supplies coming from the imported fuel projects but if we just want to understand better over the next two quarters when we will see the peak demand , what is your sense in terms of how much incremental supplies can come from which segment which can help us meet the demand and drive the exchange volumes based on your past experience ?

S. N. Goel: See number one , last year also Government of India has given direction for the imported coal based power plant to run . But last year the coal prices were itself very high . The variable cost was something around during this time of the year March to April, I think it

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Page 16 of 17 was about Rs.8 to Rs. 9 per unit , but now the coal prices have come down so variable cost is only about Rs.4 to Rs. 4.5 per unit . So I am expecting the imported coal based power plants to run at the full capacity , which is something about 10 ,000 to 12,000 megawatt , that

capacity is going to be available and another thing is the gas based power plants . Gas rates also have come down. I was seeing today , the West India Marker (WIM) is about \$9 . the futures of the LNG are being traded for the month of March at \$7 to \$8. So if it comes down to \$7 , the variable cost with LNG will be only about Rs.6. So today we have 25,000 megawatt of gas based capacity. Out of that almost about 12,000 megawatt is on burn, so that can start generating power . So there is lot of capacity 12,000 megawatt of gas, 10,000 megawatt of imported coal and also the new generation capacities are under construction and commissioning . So we are expecting by March even almost about another 4 ,000 megawatt to 5,000 megawatt capacity will get added so taken together this summer things should be comfortable .

Devesh Agarwal : Understood . And Sir on REC we have been seeing that the prices have corrected significantly versus what they were earlier . Does this pose any risk to our exchange tariffs?

S. N. Goel: Yes, exchange volumes have significantly increased in the month of December. I think Q3 our volume was 65% with respect to Q3 of last year .

Devesh Agarwal : No Sir in terms of tariff I am asking . The tariff that we charge at Rs.40 per certificate given that the prices have come off significantly is there any risk to that Rs.40 or no risk to that Rs.40 ?

S. N. Goel: Let me tell you one thing , we were charging the same tariff when the REC rate for the solar was 2,500 also . So the exchange fee is same . It is not price sensitive because if it is kept price sensitive then we will always like to have higher price which is not in the interest of consumers . That is a fixed fee.

Devesh Agarwal : Right Sir perfect. Thank you so much.

Moderator : Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments .

S. N. Goel: Thank you friends . I would like to thank each one of you for being part of today's call .

Throughout the quarter we witnessed a number of efforts announced by the government and regulators , aimed at establishing a favorable policy and regulatory climate to develop the energy sector . We remain committed to contributing to the development of a sustainable and efficient energy future. Have a wonderful evening. Thank you very much.

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Page 17 of 17 Moderator : On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Indian Energy Exchange Limited

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The Manager The Manager

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on May 16, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on May 16, 2024 to discuss the financial results of the Company for the quarter ended March 31, 2024.

The above information will also be made available on the website of the Company: www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS -16264

Encl: as above

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"Indian Energy Exchange Limited
Q4 FY '24 Results Conference Call"
May 16, 2024

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY –INDIAN ENERGY
EXCHANGE LIMITED

MR. ROHIT BAJAJ – EXECUTIVE DIRECTOR , NON-
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MR. AMIT KUMAR – EXECUTIVE DIRECTOR , NON-BOARD , BUSINESS OPERATIONS AND TECHNOLOGY – INDIAN ENERGY EXCHANGE LIMITED
MS. APARNA GARG – HEAD OF INVESTOR RELATIONS AND COMMUNICATIONS –INDIAN ENERGY EXCHANGE LIMITED

MODERATOR : MR. SUMIT KISHORE – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Q4 and FY '24 Results Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Manav. Good afternoon to all of you. On behalf of Axis Capital, I am pleased to welcome you all for the IEX Q4 '24 Earnings Conference Call. We have with us the management team of IEX represented by Mr. Satyanarayan Goel, Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Rohit Bajaj, Executive Director Non-Board Business Development Strategy and Regulatory Affairs; and Ms. Aparna Garg Head, Investor Relations and Corporate Communications.

We'll begin with the opening remarks from Mr. Goel, followed by an interactive Q&A session.

Over to you, sir.

Satyanarayan Goel: Thank you, Sumit. Good evening, friends. I welcome you all to the IEX earnings call for quarter 4 of FY '24. With me today on this call are Mr. Rohit Bajaj, our Executive Director of Business Development and Strategy; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, Executive Director, Business Operations and Technology; Ms. Aparna Garg Head of Investor Relations and Communications; and Mr. Aditya Wali.

Friends, the Indian economy continues to be the world's fastest growing major economy with a robust quarter 3 GDP growth of 8.4% on a year-on-year basis. According to the World Bank's revised estimate, India is projected to grow at 7.5% in FY '24, driven by healthy service activity and industrial growth.

This estimate is definitely much higher than the 6.3% growth projected earlier. India's manufacturing PMI in quarter 4 FY '24 came in at 57.5 led by the March PMI of 59.1 which was the highest monthly average since 2008.

Manufacturing has remained expansionary on the back of increased private consumption and capital expenditure fueling new orders. Service activity also continued to expand. Services PMI for quarter 4 FY '24 printed at 61.2 was led by the January '24 PMI of 61.8. At 61.2, the PMI for March '24 was the strongest for the month for over 13 years.

The Services Index itself has remained above 50 for nearly 36 months at a stretch, the largest such stretch since 2011. On the power sector front, electricity consumption in quarter 4 FY '24 was nearly 400 billion units, an increase of 7% on year-on-year basis. States such as Uttar Pradesh, Maharashtra, Gujarat, Madhya Pradesh, Karnataka and Tamil Nadu remain drivers on the surge of demand in this quarter.

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For the fiscal year 2024, according to the CEA, India's electricity consumption increased by 7.7% on a year-on-year basis to almost about 1,620 billion units. In preparation for the summer months, Ministry of Power recently announced steps to meet the expected surge in power demand in the country. Some of these measures include sale of unrequisioned power, should happen on the power exchange platform. In fact, Ministry of Power has issued amended rules also to this effect. Planned maintenance of power plants to be shifted to monsoon season. Capacity addition in coal, hydro, nuclear, solar and wind to be monitored and to expedite their commissioning. Section 11 directives issued for optimization of gas-based power capacity during the month of at least May and June. Extension of Section 11 directives to imported co

al -

based power plants till 15th of October 2024 to enable supply from this imported coal -based power plant in the system.

The MoP has been working on thermal capacity addition. 27 gigawatt of capacity is under construction , out of this, it is expected that 20 gigawatts will be commissioned within this financial year and about 50 gigawatt of more thermal capacity will be added in the next 4, 5 years to meet India's growing electricity demand.

Additionally, 150 gigawatt of green energy is pending and under implementation . This is over and above the 50 gigawatt of RE capacity that the government plans to add every year to achieve 500 gigawatt RE capacity addition by 2030.

Further, the C EA has finalized a plan for thermal plants to bring their technical minimum operation to 40%, which is currently 55%. This move will help in adding more RE capacity and efficient integration with the grid.

To enable renewable power integration with the grid, MoP recently finalized viability gap funding mechanism to develop battery energy storage system (BESS) . And to begin with BESS capacity of 4,000 megawatt hour will be developed on this proposed model in RE rich states. Under this proposed model, BESS would be able to store surplus power during daytime and deliver electricity during hours of peak demand and also for ancillary service. One of the options considered for charging and discharging of BESS is through power exchange. This is expected to increase liquidity on the exchange platform.

Additionally, the government is also pushing the green hydrogen mission with 125 gigawatt of green energy requirement for green hydrogen. I mean, almost about 5 million ton of green hydrogen will require 125 gigawatt of green energy by 2030.

On the fuel side, we are now witnessing a scenario where there is no shortage. India's coal production increased 10% on a year -on-year basis in quarter 4 of FY '24. And on a full year basis, coal production increased by 11.7%. And today, we have a good amount of inventory available at the power stations.

Premium on coal also in the e-auction market has considerably declined. The coal premium under the Shakti B8 scheme has come down to almost about 20%. Coal inventory for power plant as on 31st March stood at nearly 20 days, the highest since 2021. For FY '24, imported coal price for 4,200 GAR coal came down to almost about 55 dollars per ton, which is Indian Energy Exchange Limited

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a decline of 24% on year -on-year basis. Imported gas price reduced by almost 40% on year -on-year basis, and is today around \$10 per MMBtu. And with this, the variable cost will be about INR8 to INR9.

Overall, fuel crisis witnessed in FY '23 has now subsided. On the exchange, the improved supply side scenario has resulted in increased sell liquidity since November. The average market clearing price in the DAM segment during quarter 4 FY '24 period was INR4.80 per unit compared to INR5.83 in quarter 4 of FY '23, a decline of almost about 18%.

During FY '24, sell liquidity on the exchange platform increased by 17% on a year -on-year basis, which led to a decline in the DAM clearing price from INR5.94 to INR5.24 a decline of almost 12%.

Regulatory and Policy Initiatives

Let us now talk about the noteworthy regulatory updates and policy initiatives that continue to be conducive for the power market development.

In quarter 4, Ministry of Power amended the rules which mandate generators having PPA to offer URS power in the market. These rules also provide for penalty in terms of reduced fixed charges to gencos if they fail to offer URS power in the market. This will improve sell -side liquidity in the market. Already, we have seen almost about 50, 60 MUs of URS power being offered on the exchange on everyday basis .

The Ministry of Power amended the electricity rules paving way for rationalization of billing charges

and additional surcharge for green open access consumers.

The most important regulatory development of FY '24 were implementation of Indian electricity Grid Code, Sharing of Interstate Transmission Charges , and implementation of GNA .

And since the implementation of GNA regulations in October 2023, volume in Day -Ahead Contingency market has declined and while volume in the Day -Ahead market has increased. Volume in DAC market in second half of FY '24 was only 690 million units in comparison to nearly 4.2 billion units in the first half of FY '24, a decline of 84%.

The Ministry of Coal amended the Shakti policy in November to allow power plants, including private generators without PPA to sell power in all market segments of power exchange s. This fiscal , the C EA also amended the procedure for cross -border trade in electricity allowing for trade through real -time markets operated by power exchange s. This has been operational

since quarter 3 of FY '24 leading to increased cross -border volume and in FY '24 we traded almost 4 billion units of volume in cross -border transactions, an increase of 52% on a year -on-year basis.

REC trading on power exchange has been increased to twice in a month for the different type of RECs . There is a fungibility and consequently liquidity has increased in the REC market.

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Also because of the removal of REC -base price , REC prices have now come down . At nearly 32.5 lakh certificates , REC volume in quarter 4 of FY '24 was twice that of same quarter last year and at 75 lakh certificates in the whole year , the volume was higher by almost 27% with respect to FY '23.

Since the new REC regulations , prices have continuously become more competitive and were traded at the lowest ever price of INR185 against INR 1,000 in April '23. This will incentivize obligated entities to buy RECs to meet their renewable purchase obligations. Many distribution companies and industries having captive generation , are purchasing RECs now to meet their obligations , because the prices are at all time low now.

All these regulatory measures improved sell -side liquidity on the exchange and helped soften power prices. As prices continue to remain competitive due to regulatory and policy measures, it is expected to present an opportunity for discoms and commercial & industrial users to optimize their power procurement costs.

With regard to our core business. In FY '24, we launched the ancillary market , high price term ahead market and also are currently awaiting approval from CERC on our petition to extend the term ahead market from 90 days to 11 months. The trader market which is presently about 40 billion units is the total addressable market for these contracts. Already , long-duration contracts in FY '24 on the exchange platform recorded 10 billion units which is much higher than 1.6 billion which we did in FY '23.

Friends , the overall short -term volume in India is increasing. According to data from CERC up till February 24, the short -term market has grown to almost about 15% of the country's generation , up from 13% in FY '23. And within the short -term market , exchanges have grown to 8% of overall generation from 7% in FY '23.

This is an encouraging trend and points towards the deepening of power market. However, there is still a need to increase the share of exchanges in the country. At 8% we are still a distant number compared with European countries which trade more than 50% of the generation through the power exchange.

In terms of business performance, IEX achieved 30.1 billion units of electricity volume across all segments during quarter 4 of FY '24 , recording a growth of 15.7% on year -on-year basis. For FY '24, IEX traded 110 billion units , a growth of 13.8% over FY '23. Electricity volume at nearly 102 billion units crossed 100 billion unit mark

for the first time since inception and were higher by 12% on a year -on-year basis.

A total of nearly 84 lakh certificates including REC and ESCerts were traded in this year which was almost 37% higher. Recently, in the month of April we achieved 9 BU overall volume marking 14.1% year -on-year increase. With the measures undertaken by the government and regulators the sell bids on the exchanges in the Day Ahead and RTM market during this month have increased by almost about 21% on a year -on-year basis.

Due to wide variation in demand and supply of gas, IGX traded volume for FY '24 was 40.8 million MMBtu. The profit after tax for IGX for FY '24 is INR23 crores , about 18% lower with

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respect to FY '23. As gas prices continued their downward trend , volume at IGX is expected to increase in the coming year.

Let me now summarize the financial performance of the company in this quarter. On a consolidated basis revenue for quarter 4 FY '24 was higher by 15% at INR 149.3 crores on a year-on-year basis. For FY '24 consolidated revenue stood at INR 550.8 crores , an increase of 16% year -on-year basis. Consolidated PAT during the quarter came to INR 96.7 crores higher by 9.5% on a year -on-year basis from INR 88.3 crores in the quarter 4 of FY '23.

For FY '24, our consolidated PAT recorded INR 350.8 crores , higher by 15% over the previous financial year. Also, the Board of Directors of the company announced a final dividend of INR1.5 equivalent to 150% of the face value of equity share.

Friends , for the financial year 2025, Indian power sector demand is expected to grow . In the first

45 days of this year, that demand has grown by almost 12%. And during this year it is expected to grow by almost about 8%. And to meet this demand, many initiatives are being taken by the government. India expects domestic coal output to grow by almost about 11% to 1,100 billion tons and this is going to be driven by mainly increased production by the coal companies and also by the private coal mines.

While this year, IMD warned of heat wave spells which we are already experiencing. However, we are expecting above average monsoon rainfall in 2024 as well, estimated at almost about 106% of the long-term average, which will lead to substantial increase in hydro power availability.

Further, around 20 gigawatt of thermal capacity addition is expected during the year, which will increase thermal generation by almost about 10%. A combination of measures undertaken by the government and regulator to ease the supply crunch, increase fuel supply, and increase in hydro and thermal generation are expected to further rationalize power prices on the exchange. We concluded this year with an almost 15% year-on-year growth in volume. We are very optimistic for what lies ahead and with that we will be able to increase this growth further in the coming years.

The power sector is undergoing rapid visible shift. We are witnessing many technological, regulatory and government initiatives for the power sector aimed at providing adequate power to sustain India's economic growth, and help the country continue on the path of energy transition.

As India marches towards achieving its net zero targets, there is bound to be a much larger role for the power exchanges in the country's energy landscape. Thank you very much. And now we can have question-and-answers.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Abhi Jain from AJ Associates.

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Abhi Jain: Sir, I just wanted to ask one thing that the management in the presentation depicts the total installed capacity by various sources - renewable energy, coal, etc and there the current installed capacity of renewable power is 4

3% which is estimated to go up to almost 60% by 2030 as per the CEA estimate.

But if you look at the recent release of the Ministry of Power, the press release which has recently released, they have guided the increase in thermal capacity addition from almost 27 gigawatts which the CEA was projecting by FY '30 to almost 93 gigawatts by FY2032. And also there lies the challenge or a problem like despite renewable energy having an installed capacity of almost 43% of the total capacity, the contribution in power consumption of renewable is still at 26%.

So my question is that if this delta between installed capacity and the contribution to total power consumption still remains in the next 7 years, 8 years, and despite renewable installed capacity going up to the 55%, 60% odd, but the contribution to the power generation being at a suboptimal level of 30%, 35% odd in the conservative scenario, will there be any business implication for IEX?

I mean do you see any financial impact or otherwise on your business if the power generation by renewable is not able to match up to the installed capacity going forward?

Satyanarayan Goel: Renewable capacity addition is not commensurate with the generation from that. The output from renewable is almost about 23%, 24%, whereas in case of thermal, the utilization level is almost about 70%, so thermal generation is much higher. But if you look at the overall planning by 2030 based on the projected demand growth, whatever is the energy requirement, the present capacity plus the capacity which is under construction which is 27 gigawatts, which will be commissioned within 1 or 2 years, plus almost about 60 to 70 gigawatts of additional coal based capacity which is planned which will come in the next 4 years, 5 years, 6 years and plus the renewable capacity, all these things taken together will be able to meet the energy demand of the country. And as long as that happens, we don't see any challenge.

And in fact, with the large capacity addition happening in the renewable sector, where there is large volatility, we have seen exchanges have a larger role to play and along with renewable now government is also working on the energy storage system. Many pump storage plants are under construction, many battery storage systems are also going to come up now to meet the peak demand and most of these systems are going to be through the exchanges. So we, in fact, see a large opportunity for the exchange in this emerging scenario.

Abhi Jain: So just to follow up, so in case of renewables despite having a higher installed base according to the Ministry of Power, even if the contribution to the overall energy generation is say sub-40% level still, and the rest is still contributed by coal, apart from any financial impact, apart from

sustainability impact, on business per se you are seeing no financial impact of that, right?

Satyanarayan Goel: No, no. We don't see. We are not seeing any adverse impact. In fact, we are expecting a positive impact of that because the share of renewables will increase, and that should be positive for the market.

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Abhi Jain: Okay. Sir, my second question was that if you look at the share of short-term market. And if you look at short-term markets overall share in your power consumption. Now short-term market share in power consumption has gone up from 11.6% to almost 15% in the last 3 financial years as per your presentation.

But if you look at our, the exchanges' share in the short-term market, it has sort of plateaued with a 52% to 53%-odd-percent. It was 6.4% out of 11% in FY '21. And this year, it is about 8% out of 15%. So it has plateaued at about 53%, 54%-odd percent.

So, I wanted to understand, going forward, given that now the exchanges are the dominant share in the short-term market of 55%-odd-percent,

will the volume growth happen just by short-term

market increase in the overall consumption? Or do you still think that there is still a multiplier left in which the exchanges can further increase their market share in the short-term market from 55% to 70%-odd percent or 75%-odd percent. So if you can share your thoughts on that?

Satyanarayan Goel: Yes, definitely. Exchange volume will increase with the increase in the short-term market share, that is one driver. And second is, within the short-term market exchange share, if you see, it has been increasing.

I mean about 5 years back, the exchange share was only about 30%, 35%, now it has become 55%. There's long duration contracts on the exchange platform. They were introduced 1.5 years back and the volumes have started increasing in these long-duration contracts. So, the bilateral market volume now has started shifting to the exchange platform. You will gradually see exchange share in the short term also increasing.

I mean these kind of increases cannot happen overnight. But over the years, you will see that exchange volumes and exchange share in the short-term market will increase. And overall, as a percentage of generation, the exchange volumes have been definitely increasing. I remember in 2017-18, it was only about 3% and today it is about 8% of the total generation. There is a significant increase.

Abhi Jain: Sorry, just a follow-up. So, is there any possible target that you have. Or any time line that you have set in the next 3 to 5 years, what sort of share or are you tracking any parameter in terms of what sort of share of the exchanges do you see in the overall market from 8%? What are you projecting it to be at because that would help us understand if there is a multiplier effect.

Satyanarayan Goel: See, Government of India, in fact, has been working on this. And in the draft National Electricity Plan, they have projected a number of 25% for the spot market, of the total generation by 2030. So this 15% should increase to almost about 25% in the next 5 years' time. And exchange share out of this, even if you take on a conservative basis about 65%, 70%, it should be about, you can say, 16%, 17% of the total generation by 2030.

Moderator: We have our next question from the line of Sumit Kishore from Axis Capital. Go Ahead.

Sumit Kishore: My first question is regarding any update that you have on how the shadow coupling direction from CERC has played out so far? And any developments incrementally on proposal to implement market coupling?

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Satyanarayan Goel: Yeah. I mean, I would like to first clarify one thing about that order of CERC dated 6th of February. In that order, CERC has made one thing very clear that they did simulation studies for 3 months for January, February, March data of '23, and based on those simulation studies, they have found that there is practically no merit in doing coupling of plain vanilla DAM market or RTM market. Because one of the leading exchanges has large market share, so coupling of 3 exchanges does not yield any benefits.

So one part of that issue is addressed in that order itself, that there is no advantage. Now they have slightly gone ahead with another alternative that let's explore if there is any advantage of coupling RTM market with the SCED market. SCED is Security Constrained Economic Dispatch which is operated by Grid India.

So I mean, since they thought that this is another option which can be explored, they have issued an order and directed NLDC to develop the software and do simulation studies for 4 months.

The software was to be developed in 2 months' time. I think already 3 and a half months

have passed. And to the best of our knowledge, it is still work in progress. So thereafter, they will start taking data from the exchange, and they will have to have some p

rocess for the

simulation study every day, put the data on the website so that the market participants can analyze that.

So I think that process has not yet begun. Development of software takes a lot of time. It has to be developed, it has to be tested and then the simulation has to start. And then after the simulation, depending on whether there is any benefit in that kind of coupling or not, C ERC will take its view, whether that should be done or not.

Benefit is one part of it. The road map to implement is the second part of the problem. Because, the complications involved in that itself are many. See, one is, that you know SCED which is being implemented by NLDC, this is done among power generators who have power purchase agreements between them.

All those generators are getting coal from the allocation route at the administered price. Their fixed charges are already assured by the beneficiaries. RTM market is the market where the generators, merchant generators participate. They don't have any PPA, they don't get any fixed charge. They have to recover everything from the market, and they buy coal from the daily e-auction.

So can you really couple these 2 different sets of generators? This is a much bigger issue, which needs to be debated. So I'm sure all these questions will come subsequently. So this is just a simulation. This is a theoretical exercise, which is being done. And once the results are out of the simulation study, then all these issues also will have to be addressed. And financial settlement, that is another big challenge. Today, exchanges are doing the financial settlement of their buyer and seller. Tomorrow, it will be all 3 exchanges and all these buyers and sellers under the PPA. You can imagine how complex that financial settlement is going to be. So I think there are many more issues which will have to be addressed. And then what is the advantage out of that. So, I think that as of now, I don't see in the near future, anything happening. But it will

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depend on the first activity, simulation. So let the simulation start and let us see what the results are.

Sumit Kishore: This is very clear. The second question is, could you give us a sense of how in FY '24, your market share has panned out in segments other than Day -Ahead Market and the RTM market, also including REC segment as well? And what was the LDC volume in FY '24 for the market and the market share that IEX had?

Satyanarayan Goel: So I'll request Mr. Rohit Bajaj to respond to this question.

Rohit Bajaj: Yes. So Day -Ahead and RTM as you are aware, it is 99.9% market share. Then there are other segments, which includes Term -Ahead Market and DAC. So in Term -Ahead Market, our market share was about 55% and in DAC market, it is close to 50%.

So overall, if I leave aside DAM and RTM on other electricity segment, it is above 50%, which is around 55%, put together for DAC and Term -Ahead Market. And for certificate market, this is close to 70%. And overall, if I talk about comprehensive market share, it is 84% for electricity and 83% overall, which includes certificates.

Sumit Kishore: And for LDC, what were the volumes in your market share?

Rohit Bajaj: LDC, we did 10 billion units for complete year.

Sumit Kishore: And what was the total volume for the market in case?

Rohit Bajaj: I think it was almost about 20 billion units.

Sumit Kishore: Okay. So roughly half. It has become quite big in the first full year. The next question is, if you look at the volume growth in Q4 versus the revenue growth that IEX has reported, there is a divergence. So concessions are being given in transaction fee, admission fee and annual fee. Can you give some color around this? And is this likely to intensify?

Satyanarayan Goel: No. I mean in the electricity market, in the term -ahead market, some incentives

have been given

as per industry practice and similarly it's the case in case of REC market also. That is why the revenue is slightly lower in respect to the volume. And the practice is continuing. So not that in this quarter, it has increased.

Sumit Kishore: Okay. Last question is IGX, even though gas prices have come off, but volumes have not really gone up on IGX in FY '24 relative to FY '23. Is there any specific reason?

Satyanarayan Goel: In FY '24, gas volumes were almost about 20% lower with respect to FY '23. Number one, the gas prices have come down in the last 2, 3 months. Earlier, though the gas price came down from USD 25 to USD 15, but it was still high. And domestic gas production has increased. And most of the domestic gas is sold through the auction routes, significant quantity of that doesn't

come on the exchange platform .

So because of that, our volume share was slightly down. But this year in the month of April, the volumes are picking up now. And we are seeing that gas price has further come down to almost
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about USD 9 to USD 10. So, if this trend continues, gas will be affordable for the power sector also. And if that starts happening, I'm sure exchange will be able to get better volume.

Moderator: We have our next question from the line of Senthil Kumar from Joindre Capital .

Senthil Kumar: Sir, this year, I could see that there is a strong jump in trade receivables, INR86 crores against the INR7 crores last year. What is the reason for that, sir?

Satyanarayan Goel: Mr. Vineet, our CFO, will respond to this question.

Vineet Harlalka : 29th March was a Good Friday and 30th , 31st March banking operations were not there. So , all the credit was settled on the next working day, mainly because of banking holiday.

Satyanarayan Goel: Is that clear? Is that okay?

Senthil Kumar: Yes, sir. That's it from me.

Moderator: We have our next question from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Sir, my first question is , I wanted to understand what is the expected volume growth that you are looking for FY '25, FY '26 . You did mention that for the market, you expect an 8% growth.

So we continue to see a much faster growth for IEX in the next 2 years?

Satyanarayan Goel: Yes. I mean, '24, '25 we definitely expect better than what we did last year on the volume growth, volume side also and the profit side also. It is very difficult to give a number. But I mean, if the demand in the country increases by 8%, we should be able to grow more than 15%.

Devesh Agarwal: Sir, the reason I asked at least for FY '25, we still have the tailwind of GNA implementation being done only in October last year. So the full year benefit should accrue in FY '25, but generally, what has been driving the market share has been the shift from long term to short term. And that was largely on account of lower power prices that we used to see before FY '22 when the power prices used to be under INR3.5.

But now on a consistent basis over the last 2 years, you have seen that the power prices are hovering around INR5. So I would assume that a replacement of power would not be taken now. And that was the reason I was trying to understand, can the volume grow at 15% despite industry volume growing at 7%, 8%?

Satyanarayan Goel: Yes. Replacement is, of course, not to the extent what was happening earlier. But still, there are opportunities during the daytime . Our rate is almost about INR3, INR3.25 paisa for 7, 8 hours.

So during that time, replacement opportunity is there. And there are few months in a year where the night hour rates are also lower. But overall, the demand is growing and what we are seeing is that our volume growth is driven by the demand. And that is why I said if the demand increases by 7% to 8%, we expect volume growth of more than 15% on the exchange platform

.
Because when the demand increases, demand growth increases in the country uniformly. So , we find that the demand increase in few states is to the order of 15%, 16% and those states are big buyers and then there is a surplus capacity available in other part of the country and distribution
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companies these days , you know since our rates are quite lucrative INR5, INR5.15 paisa INR5.25 , they are able to make some additional gain by selling the power.

So earlier, they were scheduling less from the generator. Now they schedule full quantum and sell the power on the exchange platform. The sale by distribution companies also is almost about 50% of the exchange volumes . So, basically this difference in the demand and supply prevailing in different parts of the country is also a big driver of the volume growth.

Devesh Agarwal: Understood, sir. And sir, if you see the trend for the month of April and May, we see that the RTM market is seeing good growth in volumes, especially in the month of May. But on the same hand, we are seeing DAM is seeing some kind of a decline. So is it that RTM is gaining because of the URS that you were mentioning . All the additional power of the long -term PPA coming in the real -time market that is driving growth. But in the DAM market, is it the case because of the election , entities have signed short -term PPAs and that's the reason that had some impact on the DAM volume for this quarter?

Satyanarayan Goel: You are right . For the month of April and May, particularly, many bilateral transactions have happened . States wanted to ensure availability of power because of elections. And most of the generation capacity has been tied up in the bilateral contracts.

That is why the DAM volumes are lower. And in the RTM market, most of the URS power is

coming . States also, on the real -time basis, whatever surplus is there they are selling power. Demand is there, in any case in the DAM also, in the R TM also . RTM since the sell volume s have increased , the clearance has increased .

Devesh Agarwal: Right, sir. And sir, if you can clarify this short -term bilateral markets contracts that are now being signed, are they signed up to May or is it June, July also being signed ? any sense that you share?

Satyanarayan Goel: Most of them have been signed for these 2 months.

Devesh Agarwal: Okay. And finally, sir, on the certificates, what is your expected demand? And are we seeing some volume coming even on the energy certificate side?

Satyanarayan Goel: Energy Savings Certificates ?

Devesh Agarwal: Yes.

Satyanarayan Goel: EScerts as per the data available with us, the opportunity is not very significant. But today, all the transactions are happening on the IEX platform only. So Amit, any number on the EScert market ? Not a significant number, but REC side, we are very bullish because there is a significant volume available on the sell side.

Prices have come down to almost about 180, 190. And now many industries are looking towards meeting their RPO obligations and buy ing REC and even State distribution companies also. So , what I understand that MNRE is also looking at this to ensure that there is a compliance by the States and the industr ies having captive generation .

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Devesh Agarwal: Understood , thank you so much .

Moderator: Thank you. We have our next question from the line of Mohit Kumar from ICICI Securities.

Please go ahead.

Mohit Kumar: Thanks for the opportunity. My first question is on, Sir, can you please speak about the carbon credit market, which we're trying to launch? What is the status? When do you see it up and running?

Satyanarayan Goel: Yes. Carbon market, we wanted to start this market, but there are some uncertainties in this market at the moment. One is that, there is a man

datory market, which BEE is working on, and we thought of launching the voluntary market. But subsequently, we und erstand that even the offset market , they intend to run the offset market also.

So if that is the case, then there may not be significant volume in the voluntary carbon market because the offset market is a voluntary market. So I think there is no clarity at the moment . Which are the different industries which will be in the offset market, what is the scope for the voluntary market.

We are working with BEE also. And maybe in due course of time, if there is a clarity and we see there is still a good opportunity in the voluntary market, we will go ahead with that. But I think we will need another 5, 6 months' time for that clarity to co me.

Mohit Kumar: Understood, sir. My second question is, you spoke about a number of new products in earlier calls. Do you think any new products can be introduced in the next 12 months, especially in the electricity market?

Satyanarayan Goel: Yeah , 11 months contract is something which we have filed with C ERC. So we are today providing long -duration contracts up to 90 days. We have filed for delivery up to 11 months also and we are expecting C ERC order very shortly because all hearings are complete. So once that happens, I think this is another good product and that will enable shifting of volume from bilateral market , from the DEEP platform to exchange platform.

Mohit Kumar: My last question is on the staff paper , which C ERC published recently on rationalisation of bidding. What kind of impact do we see on the market because of this staff paper ?

Satyanarayan Goel: See, we don't see any impact of that. In fact, if you analyze the price quoted by the generators, on the exchange platform , it is based on the marginal cost basis only. It is the because of the high demand, that prices are discovered in the range of INR9, INR10. And during day time when the supply is high, the prices are just about INR3, INR3.15. So during that time, generators are quoting based on the marginal cost. And we did this analysis for the past data, and we find that generators normally are quoting within the range, wh ich has been given by C ERC. So that was a practice and that will continue to be the practice in future also. We don't see any impact of that. And in fact, see, in the discussion paper, this construct has been advocated for DAM and RTM market, but we feel that this concept is equally applicable for other segments of the market also.

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And if it is extended to other segments of the market where the price today is very high in comparison to the DAM market. If it is extended there, then definitely, the volume will shift to the DAM market.

Mohit Kumar: Yes, sir. One more question, if I may ask, is that the open access market has been declining for us for a long time. Is there something which we can do to convince the stakeholders so that it could be slightly high. We think this market could see a growth in the future?

Satyanarayan Goel: See, open access market has reduced because of the increase in price i.e. increase in clearing price. So along with the cross subsidy and open access charges, the landed cost is becoming higher. And we are definitely working with the State regulatory commissions to cut down the cost of subsidies, surcharges so that industries can purchase power on competitive price. That activity our business development group is continuously working.

But today, there is enough demand coming from distribution companies itself. So I don't think that has an impact on the volume growth. Earlier, the volume growth was driven by the open-access consumers also. Today, the demand from distribution company itself is quite high.

Moderator: We have our next question from the line of Nikhil Nigania from Bernstein.

Nikhil Nigania: I just had on

a question. So as was being discussed earlier, the prices for REC certificates have fallen from 1,000 a year back to 180 now in a way, from 1 rupee to 18 paise now. So what impact does it have on the transaction charges? If you give us some sense on the transaction charges we are receiving for this 18 paise buyer and seller combined?

Satyanarayan Goel: Nikhil, our transaction fees on electricity was 2 paise per unit on either side when the rate is 2 rupees or 20 rupees. Earlier the cap was 20 rupees, even when the price was 20 rupees, we used to charge the same thing. On REC side also, when the REC rates were INR3,500 at that time also we were charging only this fees. So this fees is per certificate. So as of now, let's see if that price continues in the range of 170, 180, 190 for a long time, we will review that. But otherwise, I don't think it needs any correction for this short-term issue.

Nikhil Nigania: Understood, sir. So it continues to be in the same range as it was earlier?

Satyanarayan Goel: Yeah. As of now, yes.

Moderator: We have our next question from the line of Santosh, a shareholder.

Santosh: Thank you for a good set of numbers last quarter. I have one question regarding how do you see in the medium term to long term breakup of revenue between IEX, IGX and ICX, if you can kind of give some color around that, that will clearly help us?

Satyanarayan Goel: Very difficult question. See, I can only tell you that the IEX volume will continue to increase because demand of the country, the power consumption in the country is increasing at a rate of 7%, 8%. We also expect to grow with almost about 15%, 20% kind of numbers. That is our expectation.

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And we feel that, yes, the policy, regulatory environment is also very conducive for development of market and we will definitely get benefit of that. With high renewables happening, that is also good for the market.

As far as gas exchange is concerned, again, in the gas market, the vision of the government of India is to increase gas consumption that is a cleaner fuel. And today, our gas consumption in the country is almost about 6% of the total energy basket. They want to make it 15% by 2030. A lot many LNG terminals are coming now on the Western, Eastern, Southern coast.

Today, LNG terminal capacity is 45 million tons. It is going to be expanded to 75 million tons in the next two years' time. Pipeline network, a lot of investment is being done in the pipeline network. Southern and Eastern part of the country and North Eastern part of the country is getting connected now. So we are going to have a strong gas grid in the country.

And I'm sure a lot of investment is being done in setting up the terminals and the pipeline. And that is with the view that, yes, gas consumption in the country has to go up, it is going to go up, and gas prices are coming down. So I'm sure if the consumption in the country increases, volumes from the gas exchange also will increase. Very difficult to make an estimate of that as of now. But we feel gas exchange volumes definitely should increase at a rate of at least 30%, 40% because gas exchange is in a nascent stage now.

And carbon exchange, as I told you, I will not like to make any estimate on that because there is no clarity from the policy side, from the government side also whether the voluntary carbon market also will be treated under the mandatory market. So, once we get that, then we will be able to estimate and tell you about that.

Santosh: Sure. When is the ICX and GIFT City going to be operational, sir?

Satyanarayan Goel: Again, you know, see, this is, again, linked with that policy decision only. Because on GIFT City, carbon credit has to trade as a commodity and it is not there in the list of the commodities

to be traded in the GIFT City. They have written to Ministry of

Finance for the approval of carbon credits as a commodity to be traded there.

Ministry of Finance has sought the clarification from Ministry of Power that whether all these voluntary carbon credits are going to be traded by them under the scheme of the carbon credit trading scheme (CCTS) or this will be available for trading in GIFT City. I think they are yet to decide on that.

Moderator: We have our next question from the line of Rajesh Mangal Agrawal from Rajesh Agrawal & Co.

Rajesh Mangal Agrawal : My question was related to ICX only, and I think you have already discussed it. And I think we do not have any transaction in ICX up till now. Am I correct, sir?

Satyanarayan Goel: Yes. As of now, nothing.

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Rajesh Mangal Agrawal : Okay. Sir, one small suggestion is like that. In our presentation, we should mention at least one line regarding this that we don't have any transaction till now in ICX.

Satyanarayan Goel: Okay. I mean we have not launched ICX so far. Since we have not launched it, so there is no mention about that.

Rajesh Mangal Agrawal : Actually, sir, from the presentation, a simple investor cannot understand this that we do not have any transaction in ICX up till now. We have already mentioned that we have owned one subsidiary ICX in December '22 and we are silent about this transaction here.

Satyanarayan Goel: I'll request my colleague, Mr. Vineet Harlalka to respond to this.

Vineet Harlalka : So ICX only revenue is consolidated because we mainly report on the IEX financials. Because consolidation wise it's a very insignificant number, so segment reporting is not there, that's why we are not reporting it.

But just to mention it can be easily identified from the stand-alone and consolidated financials regarding the revenue if there is any. But as and when the situation arises, we will see how we can put up in the investor presentation. We take your suggestion, and we'll look at it. Thank you.

Moderator: We have our next question from the line of Viraj from Jupiter Financials.

Viraj: Sir, my question is, you talked about 15%, 20% growth because of so many things happening, EV, energy transition in the electricity market. So what average growth we will be clocking? 8% growth in energy market, so would we be clocking 20% growth in terms of top line from now on?

Satyanarayan Goel: Can you repeat the question, please?

Viraj: You talked about the 8% growth in the electricity market because of so many factors. At what rate our top line would be growing because of such a huge momentum, energy transition happening, EV cars, renewables, all this coming in. So just your general sense on how will we grow? That is question number one.

Satyanarayan Goel: Let me tell you one thing, that energy demand in the country is going to grow. And it is expected that it will grow at least by a number of 6%, 7%, optimistic is about 8%. But 6%, 7% is definitely, which will happen. And we have seen in the past our volumes grew by almost 2.5x to 3x of the demand increase. So my estimate is that the demand increases by 7% to 8%, our volume should increase by at least 20%. And a lot of transition, energy transition activities are happening, that should further add to the volume growth.

Viraj: And would that even imply increase in bettering our margins too with increase in volume or margins would be same or subdued?

Satyanarayan Goel: See, in case of exchange business, since other costs are fixed costs, practically, margins should improve. As it is, we are operating at a pretty high margin of almost about 86%, 87%.

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Viraj: Okay. And sir, how are we placed against our competitors right now as we speak? And suppose if coupling comes, what will be the impact on our margins? Will margins become half? What will be the worst impact on the margins be?

rst impact on the margins be?

Satyanarayan Goel: I think there is no point in talking about if coupling happens. I think it is a long way to go. Many more years for that to happen, because as I told you, it is only a theoretical exercise, a research work which is happening. And these kind of activities do happen in the sector. If you recall, in 2018 also a paper came about MBED, Market-Based Economic Dispatch. And there were so many discussions around that, consultants were appointed, detailing were done, directions were

given to C ERC to implement from 1st of April 2022. Nothing happened on that. So I think market development happens only after doing research and all these activities. So this is also one such activity. Let them do this activity. Let them find out what is the benefit of this, how to implement this. Once all those things are done, then the regulations will have to be made. Software will have to be developed. So it is going to take a long time. And no point in thinking about that today and worrying about that. I'm very sure that nothing is going to happen in the next couple of years.

Moderator: We have our next question from the line of Ketan Jain from Aventus Spark. Please go ahead.

Ketan Jain: Sir, what is volume growth guidance for REC segment and Green segment for FY '25?

Satyanarayan Goel: Our projections? So we total achieved 110 BUs for the full year. Out of this, around 102 is from the electricity and around 8 is from REC and EScert certificates combined.

Ketan Jain: No, I'm asking for FY '25, what is your expectation of volume growth for REC segment and Green segment?

Satyanarayan Goel: REC segment, we are expecting almost about 25% to 30% growth.

Ketan Jain: And from Green segment, sir?

Satyanarayan Goel: Green segment separately, it is very difficult to make estimate, but still 50% kind of volume growth should happen in the green market because green market volume this year was slightly on the lower side. So in FY'24, '25, 50% growth should happen in the green market also, okay?

Ketan Jain: And long duration we'll be able to maintain 10 BU?

Satyanarayan Goel: There should be a significant increase in that. We did 1.2 BU, this year we did 10 BU, so we are definitely expecting a much higher number.

Ketan Jain: And how much higher, sir?

Satyanarayan Goel: Almost about 15 BU is our expectation.

Moderator: We have a next question from the line of Lavanya Tottala from UBS. Please go ahead.

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Lavanya Tottala: Just 1 question from my side here. So on the long duration, just a follow-up to the earlier question. So you said 10 BU and the market is 20 BU, is it like we've already reached 50% market share in that particular space? And 15 BU expectation for FY '25, we expect further gains in this space? Is that right understanding?

Satyanarayan Goel: See, in case of long-duration contract, these are mostly bilateral transactions. And bilateral transactions happen on all 3 exchanges and significant volume also happened on the DEEP platform. Our USP is the collective transaction, where we have a major market share close to 99%-plus. So we continue to work in the market to have more transactions in the DAM and RTM market. But we are also active in the LDC market.

Lavanya Tottala: Got it. So here, when we say this 20 BU, you were considering bilateral through discoms themselves and through traders, both are considered in this 20 BU, right?

Satyanarayan Goel: No, this 20 BU, what has happened last year is sell by generators and bought by the distribution companies through the exchanges.

Lavanya Tottala: Okay, it is through the exchanges.

Satyanarayan Goel: I'm not considering the DEEP volume here.

Moderator: That would be the last question for today. And I would now like to hand the conference over to the management for closing comments.

Satyana

rayan Goel: Thank you, friends. I would like to thank each one of you for being part of today's call. Throughout this fiscal, we witnessed a number of efforts announced by the government and regulators to create a favorable policy and regulatory framework for development of our market in the country. We remain committed to contributing to the development of a sustainable and efficient energy future and have a wonderful evening. Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Dated: August 02, 2024

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

Phiroze Jeejeebhoy Towers Exchange Plaza, 5thFloor, Plot no. C/1

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Mumbai- 400001 Bandra (E), Mumbai-400 051

Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the IEX Analyst Meet with analysts and investors held on July 26, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the IEX Analyst Meet 2024 held with analysts and investors on July 26, 2024.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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IEX Analyst Meet 2024

Aparna Garg : Good Evening Everyone and Welcome to the Analyst Meet of the Indian Energy Exchange . I am Aparna Garg and I would be anchoring the event today. With us from the IEX Management , we have Mr . S N Goel Chairman and MD of IEX ; Mr. Rohit Bajaj - Executive Director Business Development, Strategy, Regulatory Affairs and IT ; Mr Vineet Harlalka - Chief Financial Officer & Company Secretary ; and Mr. Amit Kumar, Executive Director Market Operations, New Product Initiatives and Exchange Technology . We also have with us Mr. Deepak Mehta, who is the Chief Business Officer from Indian Gas Exchange . And we have Mr. Aditya Wali , who is the Investor Relations Officer at IEX. We will be beginning with the opening remarks from Mr. Goel, followed by a detailed presentation by each of the leaders. And without wasting much time I now request Mr. SN Goel to please share his opening remarks.
SN Goel: Good Evening Friends .

I welcome you all to the IEX Analyst Meet .

It feels good to meet you all in person.

Today, I along with the management team of IEX will brief you about the business performance of IEX, Strategy, Outlook as well as address all your questions .

Friends 2024, is a year of elections across major democracies in the world. Recently, India also concluded its general election . We now have a new government led for the third straight term by our honourable Prime Minister Shri Narendra Modi ji. And most importantly, the formation of the government has signalled continuity of the reform agenda, which is development led growth of India. The Indian economy continues to be the world's fastest growing major economy with growth of almost 8.2% in FY 24 as against 7% in FY2023.

The economy is expected to remain on this path driven by public and private investment and rising consumption. The Reserve Bank of India has raised real GDP growth forecast for FY 25 to 7.2% from 7% earlier.

On the power sector front, the surge in economic activities , elections and hot weather conditions led to an unprecedented increase in the electricity demand during the first quarter. The first quarter demand growth was almost about 11%. And peak demand was about 250 gigawatt . Earlier high was 243 in the month of September last year, but this year it was 250 gigawatt, and total power demand was 452 billion units in first quarter. In fact, in the first quarter, the demand increased by 11.2%. Same trend is continuing in the month of July also . To meet this growing demand significant work is being done by the Ministry

ry of Power.

Capacity addition in the field of thermal , almost about 28 Giga watt capacity is under construction, out of which it is expected that 15 Giga watt will get commissioned in this year, and balance 13 Giga watt in the next two years. In addition to this government is also planning to add almost about 50 gigawatts of thermal capacity, which should come in the next six, seven years. In addition, there's a lot of work happening in the renewable area. Target is to

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have 500 gigawatts of renewable capacity by 2030. And to meet that, government is planning to add almost about 50 gigawatts of renewable capacity every year till 2030. And looking at the price which is being discovered in the renewable space, these prices are very, very competitive. Very recently in a wind tender, prices were about three rupees 50 paise , solar prices are down to Rs 2.50. I think with these prices, capacity addition is going to happen at a much faster rate.

Over the past quarter, major developments have taken place in the energy storage system also. I mean, this is a very good development because what we are seeing on the exchange platform is that during the daytime we have lot of sell available because solar power is available, but in the morning and evening hours, there is a shortage of power. And we are seeing almost about 10 rupees kind of price discovery during this time. Storage systems are quite expensive. Pump storage takes a lot of time and the cost involved is quite high . Battery storage about a year back , the rate was almost about 10 lakhs rupees per megawatt per month. About three months back in a tender which was issued by GUVNL (Gujarat Urja Limited) the rates have come down to almost under about 3.7 lakhs per megawatt per month . I mean , if you convert them into per unit rate, the rate earlier used to be more than 10 rupees per unit and now, it has come down to around five rupees . About a fortnight back SECI also had invited a tender for 1,200 megawatt of solar power and 1,200 -megawatt hour of battery and there the rate was about two rupees seven ty paise per unit. So, all this translates into storage cost of almost about five rupees . This means that, you can store the two and half rupees power during the daytime and use in the evening hours or morning hours at a rate of seven and a half rupees . I think commercially it makes a lot of sense. And this option is in fact much cheaper than adding thermal capacity. And this kind of capacity additions can be done at a much faster rate also.

Government is in fact striving that these capacity additions should happen on the market model. The Government came out with a scheme for 4,000 -megawatt hour of battery storage system (BESS) with viability gap funding (VGF). First tender was issued wherein they said that the power will be sold from this battery storage system through the exchange. Similarly, MNRE has come out with a concept note now, and they say that we must add almost about 10-gigawatt hour of storage system for sale to the market because through the market, you're going to get good arbitrage . So, a lot of work is happening. And looking at the competitive rate in the battery storage system , I'm sure this can be a good case for market development in the sector.

On the fuel side also , Coal India has done good work. And this time in the first four months, there is absolutely no fuel shortage . Coal is available through the E -auction route at a very nominal premium, which is almost about 20% with respect to the administered price. And coal stock today is for about 18 days, which is an all-time high in the month of May, June , July. Imported coal prices also are very, very competitive now. And same is the trend with gas prices. In fact, this year, gas generation was probably highest in the last 10 years . Gas prices came down to almost about 10 to \$12 and 12,000 megawatts of gas -based capacity was running

in the month of April, May , June.

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And with a good forecast of monsoon this year, I'm sure we are going to have good hydrogen generation . So, all these measures should lead to good liquidity on the exchange platform . We have been getting a volume growth of almost about 21% in the first quarter. And in the month of July our volume growth has so far been almost about 36%. So, I'm sure with this liquidity , the growth trend will continue in future also .

Let us talk about few important regulatory updates and policy initiatives .

- Ministry of Power to meet this high demand in particular in the month of April, May June, directed all gas-based power plants to run under Section 11 . And as a result of that, almost about 12,000 -megawatt capacity was operating . All thermal generating stations were made available, and their plant maintenance was deferred to the low demand period. So, as a result of that , there was a very high availability of thermal generating stations during this period . Imported coal-based power plants , again under Section 11, they have been directed to operate up to October 2024. And so, that is why most of the imported coal-based power plants are now available to meet the demand in the country. They have also directed that even domestic coal -based power plants must blend with the imported coal with 4 % , so that availability of coal is not challenging in future also.

- There was another policy initiative which was taken, which is amendment of the Late Payment Surcharge (LPSC) rules. And under the LPSC rules, now government has directed that all generating stations which have long term PPAs will have to sell un-requisitioned power, the power which has not been requisitioned by the beneficiaries, they have to offer that power on the exchange platform. This is a very very important provision and as a result of that, now, we find that Central generating companies like NTPC, DVC, NEEPCO, they have started offering that power on the exchange platform. Every day, we are getting almost about 70-80 MUs on the exchange platform out of which 15-20 MUs is getting cleared also. So, that has a very good impact on exchange volume. This is the first step where the Central generating companies have started bidding it. Second step is even the IPPs - the IPPs who have PPAs with multi-state, they also have to offer the URS power. And for that one of the issues was that IPPs were saying that under the fuel supply agreement (FSA), the coal is to be used only for supply of power under the PPA. Even to that effect a clarification has been issued that if the power is offered on the exchange platform and it is cleared there, the coal under Long Term linkage can be used for this purpose. So, what I'm trying to say is that the Ministry is trying to resolve all these issues to ensure that power does not remain unutilised and there is high liquidity on the exchange platform. The third step is the Interstate Generating Stations - the generating stations which are within the States. Even if they also have un-requisitioned power, that power also should be offered on the exchange platform. For that, there are few issues regarding Central Regulations and Intra-State regulations. Again, work is happening on that also to get aligned. So, my point is that these policy initiatives can make a lot of difference. This has already brought in a lot of liquidity on to the exchange platform.

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- In addition to this during FY 24, there were many other regulatory initiatives. And some of the few important initiatives were the implementation of the Grid Code, implementation of GNA, and the revised Transmission Charge Sharing Regulation, as a result of which anomaly which was there between the collective transactions and bilateral transactions, that anomaly has been removed. And the effect of that has been that volumes which were getting shifted to the DAC market

are now reduced

significantly and DAM and RTM volumes have increased.

During quarter one of FY 25, our performance has been very good. We recorded a total trading volume of 30.4 billion units with a growth of 20.8% on year-on-year basis. Revenue for the company grew by 21% on year-on-year basis increasing from 127 crores to 154 crores. PAT has increased by 27% rising from 75.8 crores in quarter one of FY 24 to 96.4 crores in quarter one of FY 25.

While IEX business and financial performance will be further detailed by Mr Rohit Bajaj and Mr. Vinit Harlalka, I must say that performance of IEX continues to be very robust both for electricity and certificates. The robust performance in quarter one FY 25 was led by high power demand and substantial sell availability. And this trend in the month of July, as I told you, is again continuing. In terms of new products, we are currently awaiting approval from CERC for our long duration contracts. We have already filed a petition with them for approval of 11-month contract and hearing has happened and order is reserved. In this market - 11-month contract segment - almost about 40 billion units kind of transactions are happening in the bilateral market. So that is the opportunity size. So, once that contract is approved, we should get good volume on the exchange platform from under this contract. Further, since lot of renewable capacity addition is happening and based on the feedback received from these (RE) generators, because renewable generation has large variability, they wanted a green RTM market. So, we have filed a petition with CERC for approval of green RTM market also. That will be the next new product.

Friends, as you are aware, IEX also incorporated Indian Gas Exchange in 2020. And IGX is doing good business from the last three and half years. It has been making profit. And Government of India has a vision to increase gas consumption from 6% of energy basket to 15% of energy basket. Gas consumption is increasing, lot of infrastructure is being added. Present capacity of LNG terminals is 45MT which is getting enhanced to 75 MT. In the next two, three years, pipeline network is being added. And gas prices fortunately, have moderated now. So I'm sure with all that, IGX will have good business opportunity. And, as I've always said, that looking at the opportunity in the gas market, IGX should be as big as IEX today. In the next five years IGX should reach that level. And we have Mr. Deepak Mehta, who is Chief Business Officer of IGX. He will be making a brief presentation about the IGX performance.

Friends, as envisaged by our Honorable Prime Minister India aims to achieve energy independence by the year 2047. As India marches towards Net Zero by 2070, Power

Exchanges will have a significant role to play in the country's energy landscape. With India's GDP projected to grow at 7 to 8% for a couple of years, power demand is also expected to grow at a rate of 7 to 8% at least up to 2030. And that should provide good opportunity for the exchange s to grow business . India's power sector continues to experience a fast -paced 5

transition. The government's focus on green hydrogen, green energy banking solutions, such as pump stor age hydrogen , battery storage, will lead to new innovations and new product developments on the market. We are exploring various models for market -based capacity additions, which will be detailed by Mr. Bajaj in his presentation .

To further create a good market at the exchange, we have advocated about green capacity addition, renewable capacity additions through innovative solutions like CFD, which the government is already considering ; Virtual PPAs and also what we are seeing now ;Government has taken initiative of doing rooftop solar capacity addition and this model will transition from subsidy -based mechanism to a market - based mechanism . And in the market

-based mechanism what we find is that local trading of electricity is also possible, which is a P2P (Peer to Peer Trading) model and we along with ISGF and Power Ledger , are working on this model to experiment whether these kind of things can be done in India. Through our wholly owned subsidiary International Carbon Exchange , we also wanted to get into the carbon market. But when we wanted to really launch it, we found that India is a net seller of carbon credits and buyers are there in the European market. So , it is basically a dollar rupee transaction and doing these kinds of transactions on the exchange platform is slightly difficult. There are again GST issues in that. So, we are now exploring options in the Gift City. We have had discussions with them. They're also quite supportive of this. But unfortunately, carbon credit is not a tradable commodity in the Gift City list. So they have taken up the matter with Ministry of Finance. And as and when they get that approval, we will launch this Carbon Exchange from the Gift City. Another opportunity which we are seeing is in the Coal Exchange area. I'm sure you must have read in the newspaper also, that Ministry of Coal is actively working on approval of Coal Exchange . Work was going on from the last two -three years . They had appointed CRISIL as the consultant for suggesting a model for setting of coal exchange in the country. And based on the studies, Ministry of Coal has decided that yes, it is time to set up a Coal Exchange , because it is not only Coal India , singularly which is going to produce the coal, we are also going to have commercial mines in the country and also all these captive producers are also allowed to sell coal in the market. So , they want a platform where the transparent price discovery happens. And all these coal producers have opportunity to sell the coal. We are working actively with the Ministry of Coal. One challenge which they are facing is basically for exchanges , you need a regulator , but in the coal sector there is no regulator. They are trying to find out some option and some way out to have a regulatory mechanism for regulating the coal exchange . So that is going to be another opportunity for us.

Technology is our strong area. And in the last two three years we have introduced many products in the market . We have also done a lot many customer centric initiatives which have ensured customer loyalty , and as a result of that, we have been able to maintain good market share .

Friends it is exciting to see that power sector is undergoing rapid visible shift . We are witnessing many regulatory and government initiatives aimed at deepening the power market . Particularly , because , if you want to have high renewable capacity addition in the sector, deepening of power market is necessary , because markets provide most efficient 6

integration . Mr Rohit Bajaj will tell you the international experience how exchange volumes have increased with high penetration of renewable s in the sector. And with this, I will now like to invite Mr Rohit Bajaj for making a detailed presentation on the business development at IEX.

Rohit Bajaj:

Thank you. Thank You Goel Sir, for a comprehensive overview.

Good Evening , Everyone . Moving on to the first presentation, which is about sectoral developments and business update . A lot is happening . Mr. Goel has touched upon many government initiatives that have been taken in the recent past and which is actually deciding the future course of the sector , as well as the power markets.

Energy mix is evolving, it is changing in a big way.

We have very diverse energy resources available with us today . Predominantly it is coal, but you can see that other s, solar and wind and other renewable s are also getting important day by day. Today , 76% of the generation is being done by coal -based resources, but renewable is growing very fast and nuclear is also

one important element where we have seen good growth and in times to come lot many more capacity is going to get commissioned . Transmission is a segment we have been talking about in the past few years. In last 10 years our Inter Regional Capacity has more than tripled. And this has resulted into virtually no congestion in the country. Next level of development in the transmission sector we are doing , is in the renewable rich states , where we are trying to evacuate renewable power in a most efficient way. We know that there were times when in States like Tamil Nadu and Andhra Pradesh (AP) , there were a lot of issues pertaining to evacuation of renewable power . And recently in last three four years with some more State level transmission capacity creation , those issues have subsided .

Distribution is one sector where there are a lot of questions about the financial viability . But there are certain parameters , financial parameters, where we have seen remarkable improvement . Be it collection efficiency, where it has reached up to a level of 97 %; billing efficiency where it has reached to the level of 87% ; or if we talk about AT&C Losses , it has come down to 15% . Credit rating is improving , where we can refer to PFC 12th Integrated Rating Report wherein almost 30 utilities ' ratings have improved and then there are only 17 utilities which are at C or below C Level . So, a lot is happening in this particular area. And this is very important because unless the last interface, which is the interface of the customer, which is distribution company, unless there is financial viability there, all things that we are talking about whether it is energy transition or development of the market, nothing will happen. Everything requires payment in time. And this is something that we have achieved in the recent past where after introduction of LPSC rule (Late Payments Surcharge Rule) , we have seen that all payments to the generators are made within the given timeframe. And exchange has been playing an instrumental role here. If one of the States is not making payment to the generating station, then they ask us to restrict them from participating in the DAM market or any other segment on the exchange platform. So that way exchanges have

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helped in disciplining the sector and the results are there to see as a lot of losses have come down and a lot of efficiency improvement has happened.

The energy mix is going to change in an even greater way going forward. By 2030 , our target is to have more than 50% of renewable capacity. We are going to touch 500 gigawatts plus of RE capacity . Thermal capacity would be comparatively much less , though there are announcements that have happened on the thermal side as well . There is 28 gigawatts of capacity under pipeline , government has announced adding another 50 gigawatt of thermal capacity because we know that the kind of demand increase we are witnessing, it is required that we should have base load available so that we can meet that demand in a most efficient way.

Renewables are definitely going to lead the energy transition, there is no doubt about it .

There are certain key levers which are very important in this transition. The first one being technology, where we have seen evolution of many newer technologies , where cost of solar is going down , cost of wind is going down and utilization factors are improving, and recently, we have seen the battery energy storage cost going down in a big way. So, all these technological developments are giving us a lot of opportunity . We have seen that a lot of shift from solar generation can be moved to the peak hours because of battery energy storage coming down. And lot of analytics can also be done from the technology side, which can help energy transition in a very efficient way.

Regulatory framework is already there in place . We know that purchase obligation is there

for all the utilities and all the individual customers . Whosoever is buying electricity today, he has to mandatorily buy 30% as per the regulation given by the State Government as well as the trajectory given by Ministry of Power - that much quantity one needs to buy in the form of RE . So, RPO regulation is there in place , and Energy Efficiency obligations are also there . We have Green Energy Open Access also available today, where the threshold limit which was one megawatt earlier has been reduced to 100 kilowatt. So, we are expecting that going forward, there would be a lot of action . The C&I space will also be very active where small and medium enterprises will also be participating on the exchange and taking advantage of the arbitrage which is available.

Similarly, Carbon Credit Trading Scheme (CCTS) has also been launched recently and two days back they have issued procedure as well. Customer preference is changing . We are talking about moving cooking from gas to electricity. Similarly, rooftop solar , railway traction , data centres - all these are demand drivers - and we call it the Electrification of Economy . So, going forward all these activities are going to consume power in a big way, and we are going to get a lot of increase in demand because of that .

Here then , comes the role of the market unless we decide or we create new market models, whether in the form of CFDs, whether in the form of VPPs or arbitrage opportunities for BESS or P2P Trading going forward , these models would be required to meet the kind of transition that we are going to see.

Now, let us quickly see where we are. Today exchanges are contributing a little over 7% in the

total consumption of the country. And you can see on the left -hand side of this slide, that this

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is one segment which has been growing at the fastest pace. So, we have seen 17% CAGR growth in the last six years. Now, if I compare it with bilateral or let's say DSM, their numbers are very less. This growth is very high as compared to bilateral and DSM which means that there is growing preference (for exchanges) or exchanges today have emerged as the most preferred option for buy as well as sell of power. So, distribution utilities are using this and 230 BUs is the total market size of the short-term market and almost 55% of 230 BU is done by exchanges alone.

Brief introduction of IEX. Many of you are already aware, it's the first exchange in the country, the leading exchange, the leading electricity marketplace. We started operations in 2008 and are regulated by the CERC. We became a publicly listed company in 2017. We have quality environment and IT ISOs available. We are part of 13 State Advisory Committees. Every State has got one advisory committee which seeks comments from stakeholders, and we are there in 13 States. We also hold the board membership seat in the Association of Power Exchanges. This is one association where all the exchanges in the world, about 45 exchanges are there who are registered, who are members of this, and we hold a board seat there. We did 110 billion units last year and that was the first year where the electricity volume exceeded the 100 BU mark. We did 102 billion units overall electricity trading last year. In Q1 we have done 30.4 billion units where 30 BU is electricity, and 2 billion units are certificates. Both the segments which are electricity and certificates are showing very good growth rate. In Q1 we have seen 19% growth in electricity and 50% growth in REC. REC growth is high because there is a lot of correction in the prices. The floor price which used to be about 1,000 rupee per REC about a year back has been reduced to Rs.128 per REC. So, because of drastic reduction in prices, there is a lot of traction, lot of CNI consumers and utilities are coming to the market to meet their renewable purchase obligation. We have huge participation

base. There are close

to 8,000 registered participants with us - all the distribution companies, all the IPP captive plants, and there is one new entry, here, you can see CBT entities. They are 20 plus in number. So, CBT which started about two years back, in these two years we have seen a lot of progress. Today there are 15 plus generating stations of Nepal registered with us and on a given day they are selling close to 14-15 million units, a little less than 10% of our day head market (DAM). That much quantum we are getting every day from Nepal and during the winter season when they have high demand and we have surplus power available, they buy from us. So that way, it is a very good combination - they are taking advantage of the market. So is the case with Bhutan, as they are also doing this very actively.

Our product mix is also changing. So, if you remember some time back it was hugely dominated by the day head market (DAM). At one point in time its contribution was more than 85%. Now, this number has come down and we are (49%) at last full year. Full Year makes more sense here because Q1 was the time when we had elections, Q1 was the time when there was a crunch period and shortage of power. So, there was a bit of more increase in the TAM segment. So you can see here TAM has drastically increased in Q1 but this (full year) makes more relevance here as DAM is 49%. Even today RTM is second best, close to 30%. This segment is emerging very promisingly. We are seeing every year almost 25-30% growth in this segment. Today it is contributing almost 70-75% of our day head market. So, when we started this in 2020, we never imagined that growth would be so fast. This is again on the basis of

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collective transactions and all the utilities, all the CNI consumers, they have very strong faith in this price discovery, and they find this as a very robust price discovery, very transparent, very competitive. And precisely this is the reason that the segment is growing at a very fast pace.

We have seen that the DAC segment has gone down. And this is one segment in which volume increased, because there was an issue related to duplication of the transmission charges. Now, after the implementation of GNA, which got implemented from October 2023, we have seen remarkable correction in this segment. It has gone down and the volume that has gone down there has shifted to the day ahead (DAM) and real time market (RTM). So, that is again good for us, because DAM and RTM are segments where our volume, or our market share is 100%.

Green market is growing fast. In fact, today in the Green Day Ahead Market, we have done 43 million units (MUs), this is the highest ever volume done by us (in a day) and this is very significant, because when we are doing less than 200 million units in Day Ahead Market (in a day), 43 million units is almost 25% of the market. So, the growth has been very significant there as well. This is again one segment which is growing.

And there is potential in Term Ahead Market also, because DEEP even today, DEEP platform is doing 40-billion-units trade in a year. And with three months contract we have converted some of them and with the launch of 11 months (contract) that we are going to do later part

of this year, a lot more conversion will happen. So, Green Market is something where we are extremely bullish, RTM is another segment where we are bullish. DAM is consolidating, DAM is also improving after DAC volume has started to go down. And another opportunity is REC volume where also we have seen very good improvement.

This year prices have been range bound. Prices were quite good. So, you can see that as compared to last year it is almost flat, and this is great news because volume or the demand in the country increased by 11%. So despite 11% increase in demand, there is no major pressure on the prices, which means that

that there is a real improvement on the supply side. This

has happened due to various initiatives taken by the Government and going forward as more and more capacity will come - the solar capacity and the conventional capacity that we are going to add - this is going to increase supply in a big way in the times to come.

Now moving to the second part of the presentation, I'm going to talk about some of these growth levers which are very important for our future growth.

Increase in power consumption, new products and regulatory developments, Re-designing of electricity markets. Some of you may be aware that there was one Report by a Group formed by MoP for the Development of the Market, deepening of the market. They have also given certain areas where we have to work upon, so that deepening of the market can happen. The point that they have mentioned (in the report) that they want to increase the size of the market from the current 7% to 20-25% such that RE integration can be done most efficiently. Energy Transition also provides lot of opportunity for introduction of newer products.

Diversity of demand supply is also playing a very important role. I will share a few examples

10 where how the surplus power which is available in the daytime provides a great opportunity for utilities to replace their costlier power and also for some demand shifting which can happen and they can take advantage of cheaper power which is available. And then the supply side, we are expecting a lot of improvement going forward, which is also one important area where we can get something out of it.

GDP growth is expected to be 7% and we know there is a strong correlation between GDP and electricity demand. What we have done here is that we have analyzed data for the last 10 years and you can see in the graph, electricity demand for last 10 years has been growing at a CAGR of 5.4%. So, if we compare our growth vis-à-vis this 5.4% we found that there is a multiplication factor of 2.7. Which means that going forward if GDP is expected to grow at 7% and electricity demand is expected to grow at 6% plus, then six into three is something what we can expect as IEX growth in the case of business as usual. I'm not factoring in all the additional levers that we are going to capture in the subsequent slides, but on a business-as-usual basis also there is immense potential to grow and 17-18% is something which can be easily achieved.

But the kind of electrification we are seeing, the universal access which government is providing, the reliability factor where increasing ly our focus is on improvement in the reliability, leading to AC (air conditioning) growth in a big way with indications that by 2050 the penetration would be at nine times, and you know that AC consumption is really very high. Similarly, some other factors like data centres, railway traction, EVs, all these factors are going to drive growth and considering this, the growth forecast of 6% is not high by any standard. So, the real number is expected to be much more than that. So, this is one business as usual case where we expect demand to increase, and demand will lead to more and more participation on the exchange platform.

Moving to the second growth lever, which is new products and regulatory development. In this, as some of you are aware that we have already filed 11-month contract approval with CERC. So, TAM today is allowed up to three months. And once we get that approval 11 month (TAM) will also be introduced which will give us access to additional 40 billion units which is being done on the DEEP platform. Similarly, green RTM is another segment we have received a lot of feedback from some of these (RE) regenerators where they felt need of introduction of green real time market also. Today, this segment is not there. And we have reached out and have already filed petition with CERC for giving us approval so that

that this can also be launched.

LPSC rules. Mr. Goel explained in detail about that. We are getting almost 80-90 million unit participation as a sell from this particular category. All the PPA based plants - NTPC and all other CPSUs - they are placing their bids for all unutilized power which is not being taken by the beneficiaries. And here majority of this is coming in RTM - 60% of the bids are coming in real time market and remaining 40% is coming in Day Ahead Market. So, both these markets are on the basis of collective transactions and the clearance has been ranging between 10 to 20 million units. We have in certain cases seen clearance going up to 25 million units also. So, this is again substantial volume. And today it is only up to Central generating stations

tomorrow when IPPs will also be included, or States will also be included this number will multiply .

Optimization potential - this is one area where in last three years we were not getting a lot of volume in this particular category because prices were very high. But now, as the supply is improving, we have seen there is declining trend in the prices as coal prices are coming down. And then there is more solar power available during the daytime - three rupees power is also available . So, optimization has started again. This is one segment where we are expecting lot of growth to come from this . RECs we have discussed . Since the prices are low, there is lot of pressure on entities to meet their obligations. We expect going forward , REC is going to continue .

Let us have quick look on the MoP Report of the Group on Development of Electricity Market in India.

They have shared multiple initiatives . Some of them can be done on the short term basis, which is up to one year, some can be taken up for medium term and then others can be done over the long term . We already have ancillary market available which is the tertiary market. So, this has already been introduced, this was also one of the items to be done in the short term . Then there is Resource Adequacy and integrated resource planning. So, CEA has already introduced the procedures and many of the States have done the analytics part of it and they have identified resource shortages and they are in the process of meeting these resources. So, one opportunity which is there for us in this particular area is the possibility of launching a short -term capacity market. So, if you have a short -term capacity market, resource adequacy for up to one year can be efficiently met by using these markets. Today , we know that there is about 15 -18 gigawatts of merchant capacity available . This capacity can participate in the capacity market and today they are getting only paid for energy. So, going forward it will be a combination of energy plus capacity, and it is going to be beneficial for the sector as a whole .

Market based Renewable Energy , this is one thing which has been talked about for a long time now. So, the first step was introduction of 1 ,000 megawatts through market and then gradually scale it up . Whole idea is that up to long term, let's say three years down the line , major part of the capacity addition should happen through the market and that can happen only when you have a deep market available. So, development of the market plays a very important role for future capacity addition .

Demand response in the form of more stringent ToD. So, ToD also there is a lot of issues . It is not efficient in India today, because if you see the price difference during the daytime and evening hours, daytime price is three rupees , while evening price is 10 rupees , which is three times . But when you see the ToD pricing, you will find that difference in the ToD prices is not more than 20% in any of the State. So, here we have to make some more regulatory interventions where we have to increase this difference. So that there would be demand

shifting and if that demand shifting is there , because we have a lot of capacity available during the daytime which is not being purchased by anybody, there would be increasing clearance . Long term capacity contract and also the ancillary services , secondary ancillary services

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through market , is something which can also be introduced from one to two years - in medium to the long -term basis.

So, this is one example which I want to share with you . We talk a lot about energy transition. We did a small exercise where we compared ourselves with the European market. So, we looked back , we analysed their historical data, and you can see in this particular graph that we have compared two things - one is share of spot market in the total generation, which is where we (India) are today , we are at 7% , and then also the overall share of RE in the total consumption of the country. Here you can see that , in 2000 -2010 UK penetration was almost about 10% and their share of RE in the total consumption was about 20%. So, we (India) are almost there . If you include hydro our RE penetration is 20% and (the share of short term) market is 7%. So, we are at the same place where they were in 2010 . After that, RE penetration increased and you can see that the spot penetration also increased in a similar vein. So, today both the things are at almost 45 -50%. There is a lot of similarity between them (and us). We are at a very initial stage now, we have to work upon creating both the things , we have to increase the RE share and also have to work upon so that market penetration also increases . Some of the ways how it can be done particularly related to energy transition , is that we now cannot deny requirement of Contract for Differences (CfDs) . This is definitely needed. All countries that we are referring to whether it is UK, Germany in last 10 years, whatever capacity they have added , it is all through CfDs. So, there is no bilateral capacity addition happening in those countries. Whatever has to be done , it has to be routed through market , and that is why we have seen huge addition and the penetration of the market as well.

The Second important thing is Virtual PPA and Merchant RE. Merchant RE we are already

seeing . In this particular year we are expecting 3,000-megawatt capacity addition purely on the merchant route. In fact, as I shared with you , 40 million unit per day are being traded today , a large part of that capacity is coming from merchant generators . Some of these are generating without tie-ups and continue to sell their power generation through the markets . Virtual PPA s are very popular overseas , particularly in USA and this model is applicable for CNI. In this model, what happens is that the generator (A) enters into a contract with a buyer beneficiary which is (B) which is generally a corporate, so, likes of Google Amazon, who have done many VPP As now . What they do is since there is a lot of variability in their demand, their profile is very different, they need a lot of power during the evening hours and night -time requirement as well However, this generator (A) is only a solar generator. So, what they do, the buyer continues to draw power from distribution utility, and uses this agreement only for the purpose of transferring the green attribute . Let's say this agreement is done at three rupees. So, what we will tell (A) is that you have to sell the entire generation in the market . You continue to sell your power in the market, I will continue to draw my power requirement from the distribution utility, but whatever is your generation, you convert that generation into let's say REC or in any other form of green attribute and transfer it to me (Corporate) . So, what the corporate has achieved has thus converted their entire portfolio into green , having obtained the green attribute . There was a price which was three rupees which

was in a way

contract for difference price. Now, suppose the market realisation for generator A is less than three rupees, the buyer will compensate the balance /difference . Let's say market realisation 13

was 2 rupees 50 paisa , buyer will pay remaining 50 paisa to the generator, so that the three rupees is met. This is how the capacity addition happens in many countries.

And indeed , in India also this has started . Today , the first transaction was done between Amazon and Renew Power . There are lot many transactions which are going on. So, this is one area where we are hopeful that , if the capacity addition will happen, then this supply will also come in the market because there is no other way that this supply can get absorbed in the system, it must come in the market . Because when you have one tie up in place, you cannot do a second tie-up, you will have to sell this capacity on the bilateral mode. Then firm and dispatchable RE, the new buzzword , where a lot of action has happened in the last one year . The prices have come down drastically and we have seen different forms of this and Battery Energy Storage . So, let me move on to the next slide.

Today , firm and dispatchable RE has got three models. One is where there is a solar plus peak energy requirement from the buyer , that falls under the category of firm and dispatchable. So, I need solar profile. At the same time, I also need 50% of the peak capacity from the solar profile in the evening hours , let's say two hours. Recently we saw one tender was of 1,200 megawatt and 600-megawatt combination was auctioned and 3 rupees and 41 paisa price was discovered. Now the second option here is RTC (Round the Clock) power. Now , when there is a requirement of RTC power from the buyer , the generator has to look into various technologies . He will have some part as solar ; he will have some part as wind, probably some part as small hydro and then the remaining battery. So, all these sources he will combine and then use this to supply RTC power to the beneficiary. This was seen in the REMCL tender , where RTC power was procured by REMCL and there was huge participation . Third is load following. In this we have seen couple of tenders where state will give in advance a 12-month load profile to the buyer . They will say that in the month of May during the daytime , they don't need power but in the evening , they need full power in the night . Similarly, let's say in the month of August , my agricultural demand would be there, and I need complete 24 hours same quantum and say some other month , I need only solar profile. So, all these requirements for 12 different months will be shared as part of the tender and then the buyers will participate, and the price will be discovered.

In all these cases , we have seen that prices have broken the ceiling of 5 rupees, prices have come down below 5 and Rs 3.41 is one recent example. There are some more examples, yesterday also one tender was there where 4 rupees 98 paisa was the price discovered . The good thing or the value for us in this particular thing is , that in all these tenders there is lot of oversizing which is required to be done. So, if I have to meet that requirement, I have to oversize my solar by , let's say , 50% and with wind by 70 -80%, because I don't know when it will come. And I have to make that combination to meet the 12 months requirement. So, when I'm doing oversizing , we have lot of data available where analysis can be done, it is found that 20 to 25% of energy is going to be surplus, and this energy is highly intermittent in nature . Which means that for me, the most efficient way to dispatch this energy is to sell it in the RTM or at max in the Day Ahead Market. I cannot do any other type (of transaction). I cannot enter a bilateral contract to dispatch this power. So, this is one great opportunity we are eyeing . Here you

u can see the May requirement from one of the state utility , which was

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Punjab, which was FDR Es tender launched about six or seven months back. So, these sorts of profiles are there. And you can imagine how difficult it is to meet this requirement. Because normally during the daytime you have solar peaking and you have to have battery or you have to have wind in place, then only you will be in a position to meet this. So, this is going to result into lot of surplus capacity.

And another thing important here is globally all the battery, B ESS addition is happening on the basis of commercial arbitrage that market is providing. So, refer to any place , there are two ways one is Ancillary , where system operator is doing procurement of B ESS to meet the balancing requirement and second is the IPPs , they are investing . They are investing purely on the basis of what differential or what arbitrage they can get from the market. In our case, we have seen that daytime price is 3 rupees , nighttime price is 10 rupees , there is a clear 7 rupee s premium which can be made. So, let's say , I have a BESS available . Seven rupees one cycle is available throughout the year. Now, there is some more opportunity available . Six-seven months in a year, there is a morning peak also which we are seeing . There is a peak in the morning because of the winter season particularly in the Northern States . There is another 10 rupee s peak , which comes in the morning at 6 ,7,8 am sort of time. So, then second opportunity is also available. So many IPPs today are looking at these data and some of the development happened where VGF scheme has been launched by MoP G overnment of India, where they are saying 4,000-megawatt capacity will be launched. Similarly, there is a NVVN tender on the VGF model . One tender is already out which is a 250 megawatt or 500-megawatt single cycle or double cycle tender is already there.

So, all these developments are going to absorb surplus power which is there during the daytime and going to provide more supply particularly in the peak hours . What it will solve is, it will solve two things . First of all , clearance during the solar hours will increase which is not there today, because there is not enough demand and second is when supply will increase in the peak hours, then again clearance will increase because we are not able to meet the requirement which is available today. So, this is what I was referring to at the bottom graph on the right -hand side. This is the price , the black curve is price , these are the sell bids. During the daytime you have so much sell available and this is the clearance. Evening you can see that there is a dune and morning also there is a dune. This is surplus buy which is there, and we are not able to meet this demand. So, we are not able to meet morning demand , we are not able to meet evening demand and daytime we have surplus. So, all the points that we have discussed, which actually flatten this curve, and once this curve get s flattened , somewhere in between there is going to be a lot of gain in the clearance of volume. There is some other diversity also available . Today , generation is coming in some part of the country . We know that wind is coming in the Western Region , Solar in the Southern Region Western Region and lot of exchange is happening because Eastern side, there is no solar capacity. So, whenever there is demand in Eastern side, they are coming to the market to buy, generators who are sitting on the Western side or the Southern side they are selling . So that way a lot of diversity is getting exchanged with the help of power market. Similarly, we have seen that some of the States where we have too much hydro resources available and they do not have enough demand during the monsoon months - Himachal, J&K, Uttarakhand and they have surplus power available , they supply this power . They come to the market

to sell this power

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and States like Punjab , Haryana, UP, all of them where they have huge demand or Telangana, where they have huge demand during this time, they come to the market to meet that demand. So, wherever there is a diversity, it is going to create a marketplace and the exchange will be very efficient, if everybody will come to one platform. Just one more point here, we generally believe that peak demand comes during the evening hours. T his is our normal belief . But recently what we have seen over the last one year , whenever peak demand is created, last month it 250 gigawatts , it came during the daytime. So, why it is happening you can see the graph on the top 30th May 2024, peak demand was 240 to 250 Giga gigawatts, and it came at around 3pm , between 2 to 3pm . Why is it happening ? Because lot of demand shifting is happening . The a gricultural demand is being shifted to the daytime.

And this is also one very positive thing for markets because , again the same principle , if you have that , clearance can be increased .

On the s upply side , we are seeing improvement in coal production. Last year it was 12% , this year again Q1 it was 11.7% . Imported coal and gas prices are under control ; inventories are decent ; E-auction prices have come down ; new mine allocation is being done ; commercial mine is also taking shape , even though it will take some more years to come to the market. But these are some of the things which is easing the supply side constraint on the coal and also helping overall generation in the country. So, I was just checking the data , Q1 coal-based plant s, they recorded PLF of 76%. So, this is the highest PLF I've seen in last 15 years . We have never seen this kind of PLF at an all-India level, where you have state plants , smaller plants ,

central plants are always doing better than the state and smaller plants. But that kind of PLF s have been achieved . Similarly, gas PLFs have increased ; last year it was 15% , this year in Q1 particularly it was 25% . Gas is not sustainable, we cannot expect 25% PLF throughout the year , but whenever there is a crunch period , whenever the prices are high , whenever the requirement is there, we can expect the capacity to be available which will be made to run and made to supply.

So, these things we have discussed load shifting and capacity market s, there is a good case for both these things . And lastly the derivatives , the derivatives are again something which we have been discussing for a long time. But as the market is growing, your dependence on market is increasing . Today on an average basis we are 7% but there are some states whose dependence on the market is more than 20% . For them , hedging option is also needed. So, it's not a residual market, it is mainframe market and if there is a mainframe market, then hedging option is also required, which means we need to have derivative also in place.

Moving on to the last slide, which is diversification . On the Gas Exchange, we have a small presentation , where we'll be talking about the numbers and growth potential, and this is one area ; I think we are doing very well . IGX is performing very well. We have seen very good numbers in Q1 also. In ICX there is some slowdown because of the reasons explained by Mr. Goel ; as we want to do it in a GIFT C ity because of dollar issue or taxation issue particularly , and if we have to do that, then carbon as a commodity must be included in that approved list, which it is not there today. So, some work is required to be done. Once we do that, and once it is there on the approved list, we would go ahead with that as well. Coal exchange is another area where there is a requirement . Government itself is talking about it . They have included

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it in the 100 -day agenda, and we have already started working on it . We are trying to design contracts, we are trying to understand dyna

mics in the coal area, what sort of hubs could be there, where are the mines , which can make some sense of coal trading , all those things are being evaluated. And we expect that going forward, we should be able to create some value in this particular space as well.

Just to summarize, the story that I am sharing involves different growth levers. One is increase in demand and supply. Demand, I think all of us believe that it is going to be there. S upply also, since a lot of capacity is going to get commissioned particularly 28 gigawatt which is going to be there in next three, four years. And then 50 gigawatt which has been recently announced, though some of this capacity will come under long term, but we have seen that whatever is being added to the state, directly or indirectly , it finds its way to the exchange platform. Large capacity addition in RE and storage cost, I think is another important area . Six months back, we were not ready to believe that B ESS cost would come down so drastically but with this development, we expect a lot of smoothing of the curve . And if that happens, a lot of supply will also come with a declining cost, and it will also give lots of push to the capacity on supply side and also on the demand side .

A Favourable regulatory and policy framework is crucial. Government is keen to develop the market . They are working for deepening of the market. And this is also going to result into some meaningful numbers. And diversification, particularly coal is one area where we have started working and we hope to do some more work in this direction . With that, I end my presentation and I now call upon Mr. Amit Kumar to talk about our Customer Centric initiative as well as advancement in the technology. Thank you so much.

Amit Kumar:

Good Evening Everyone . So, like Rohit mentioned, I will briefly talk about the Customer Centric initiatives that we have taken, which has helped us have a good market share and ensured that for customer s IEX remains the preferred technology platform.

Customer Centricity is a very, very important focus area for us, right since our inception. And we continuously work on this area and some of the key things that we do as part of this is to ensure that we are very, very closely connected with our customers . We do a lot of capacity development programs for the customers through one -on-one interactions, one -one workshops, and also group workshops , where a set of customers participate. And there we talk about the offerings that we have on our exchange platform, the regulatory developments, and what impact it has on how our customers can use our exchange platform for getting much more benefits. And we'd also like to hear from our customers and get feedback about what are the new things that we should be doing, which can enable our customers to get more advantage from our exchange platform. So that is something that we do very, very actively.

Second area is promoting open access through conferences, seminars, and also doing a lot of regulatory advocacies to try and make open access viable within different states . So that is one area that we actively work upon , so that our Open Access consumers can take much more advantage from our exchange platform.

Energie X is our web-based trading platform that we have launched to provide a lot of ease of doing business to our customers. Right from the pre bidding activities to the bidding activities, and also post bidding activity. So, it provides multiple, good experience touchpoints, like digital onboarding, very easy financial reconciliation, web based bidding, and advanced analytics as well, which helps our customers make effective bidding decisions. To make the bidding experience much more seamless and much more automated; we also provide our customers with automated API's through which they can completely eliminate the manual intervention in bidding.

g. Our large customers, both on the distribution company side as well as traders, they are integrated with our platform through APIs, and they take advantage of the automated bidding. This is one of the key drivers for the kind of growth that we are seeing in volumes in the Real Time Market, because in the Real Time Market, the trading happens 48 times within 15 minutes bidding period. A lot of times bidding decision making needs to be taken with data getting available just two minutes before the end of bidding session. So, having an automated solution which enables customers to get automated bidding done right from their system into our system makes bidding much more efficient. And through this, they are able to attract huge volumes effectively on our platform. We are also working on providing our customers with back-office API. So just like the benefits that the customers get through the bidding API's, we also want to extend that benefit into the back-office API, so that the entire back office systems of customers that they use for the trade report, the financial reports, they can integrate with our back office systems and again get advantage of a completely automated experience.

Some of the key focus areas that we have worked upon in the recent past and we continue to do so on the technology side is around the improving the business continuity robustness of our platform. Now, we have the infrastructure setup done from application and technology infrastructure perspective, where we can do a DC-DR switch in real time mode. So, this improves the robustness of our business continuity.

The other thing as we mentioned that Real Time Market is one of the fastest growing markets in suite of products that we have on the exchange platform. And we continuously focus on doing enhancements to ensure the high availability of the Real Time Market. Currently, it operates as almost close to 100% high availability.

Security in today's world is very, very important given that we are a technology platform and where the entire interaction that customers have through the online platform. So continuously focusing on implementing best in class solutions to ensure that the security is something which is best in class and prepares us to provide a very, very secure experience to our customers in terms of bidding.

To ensure that, our exchange platform is operating at best of class level in terms of durability, deployment speed, scalability. We continuously do technology design transformation and as a part of this, we are working on implementing micro services-based architecture for our key technology platform components.

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Artificial Intelligence is an area which is being used actively in different functions by businesses globally. And one of the key areas where we feel that it has great value in our kind of businesses is how we can use AI based solutions to look at the various data that is being created in terms of infrastructure monitoring to make the infrastructure monitoring and security monitoring much more robust and much more effective. So that is one area that we effectively work upon.

Another key highlight that we would like to share is that there are a lot of initiatives that the government does around environment and promoting clean energy and one of the initiatives that was launched last year, spearheaded directly by our Honorable Prime Minister is the Green Credit Program, which he launched in COP 28 on 1st December. And we are very happy to share with all of you that IC X; which is our subsidiary company has worked with the Ministry of Environment and Forests and Climate Change to develop the registry platform and the web platform for this Green Credit Program. As we have successfully developed those two - green registry platform as well as the web platform for green trade program initiative. This initiative currently is live post the announcement.

Initiated by our Honorable Prime Minister and through this program lot of land parcel is being added which will be used for forestry development leading to green credit and environmental growth. So, this is one area where we are using our technology experience, we are contributing to the larger goals of the Government and of our country in enhancing environmental effectiveness. With this, I would request our CFO Vineet to come and talk about the financial performance of the company. Thank You.

Vineet Harlalka: Thank you.

For the actual business, the financials are a much simpler part in comparison to manufacturing. But still, the investors are more concerned with the final numbers. What is

the outcome of all the activities and all the efforts put in by the BD team , the operation team and all.

So, we had seen the overall opportunities, the triggers, what we were looking at going forward , the technology development. And if you look at the past performance of the Exchange, you must be aware the total overall volume growth ; we achieved a CAGR of around 16%. If we look at the financial year 2021 -22, there was a significant growth and now that things are getting back on the track, and with the 16% volume growth, we are maintaining our operating revenue of around 15%, which is all in line. And despite increasing in the operating revenue at the Exchange, we maintain that there is a significant control over the cost. The cost is still more or less consistent with the 7% CAGR and much lower in comparison to what revenue growth is. So overall, we achieved the PAT of 18% which is much more than revenue or volume growth , mainly because of the more level of expenses and nature of exchanges is such that our operating cost is much more flat in comparison to others and is directly related to the volumes .

This is something I like to highlight to everyone that despite increase in the revenue, the operating expenses are more or less flat around 12%, which gives us good control over the cost side. Overall , there is a significant growth in the EPS of the company. And the one critical thing which I miss ed highlight ing is the kind of investments which were made on the

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tech nology side - whether it's robustness, whether it's security, whether it's customer centric activities - which are reflecting in the numbers . If you look over the period, the significant amount has been spent on the tech nology side, whether it's capex or opex , both sides to give the best class of experience to our customers and to meet all the infrastructure to put in place , so there is continuity in the operations.

If you look at the total value created for the stakeholders, and we continue to follow our robust dividend payout ratio, which is around 50% of the total profit , we share with our shareholders. And we have been maintaining that ratio at around 64% last year and currently it is around 65 %.

Overall shareholding , though this is file d to the stock exchange on the quarter ended for the June 30. This is more or less in the same line. We have around 15.5 lakh shareholders on 30th June .

If you look at the HR side in IEX, because after Technology , the most critical part is the team . Because the experience and the knowledge , because the kind of robustness for the systems and because systems are there, but you need people to operate to understand the technical ity. For that, we spend a lot of time and effort to train and maintain people and that's why these are the four and five drivers, which we took to keep our people ready for the future roles and for future developments.

The main thing is capacity building , because a lot of new things are coming . How to Upgrade us, our team to meet the new requirement s. And one critical thing which I would like to highlight here is the Cross Border Knowledge . Last year, we had an exchange program with the Turkey Power Exchange . With Tur

key Power Exchange , people came to the exchange (IEX)

for a one week visit to understand how the power exchange business works in India. And then the IEX team went to Turkey to have that similar experience, how the power exchange works in Turkey. And similar ly, we had study tours to Singapore and Berlin to understand how the European markets work and that helps us to bring the worldwide thought process , the working culture , the innovation in the products. So, this is the continuing efforts and the cost we put on that to have a more forward -looking approach to all our activities. And I am just happy to share that for the second year in a row IEX has been awarded as the best (Great) place to work.

Now without taking much time , I request Mr. Deepak Mehta to come and share more details about IGX. Thank You.

Deepak Mehta:

Good evening , everyone . Mine is the last presentation for the evening and I'll try my best to hold you together.

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So just a brief background, since we already had a success story in IEX, we thought why not we should try in the natural gas sector also. In June 2020, we launched as a 100% vehicle IGX, with no gas exchange regulations in place . We started as a pure trading platform. Post that the G overnment also realized how important this segment is, so they appointed a regulator for this segment that is PNGRB . They came out with the gas exchange regulations somewhere in September -October (2020) and we applied and since December 2020 , we are the only Exchange in India operating under the ambit of PNGRB . Post that, we started looking for key

strategic investors. We knew that we had a very good plan and vehicle in our hands, and we approached few of the key entities and in no time, we could get five important strategic investors. Namely Adani, Torrent, GAIL ONGC, IOCL, all joining IGX. IE X sold their stake to them.

So, there is a restriction from PNGRB, that no member can hold more than 5%, just to avoid that conflict of interest, that's the reason all five are holding 5% each in IGX. And post that we started our discussions with NSE also, one of the most important financial players in the world. So, they took 26% in IGX and balance 47% is currently handled by IEX.

Brief about the IG X model; we have traded more than 12 Crore MMBtu till date. So, when you say 12 crores, each molecule has resulted in to deliveries. There is no netting of f that is allowed. We also facilitate deliveries between buyers and sellers. We have a proper delivery department who takes care of each molecule, the imbalance part, and other things. The main USP you can see here is that on IGX, you can trade for a delivery from one day to 12 months. So, maybe in 2019 nobody thought that buying natural gas for one day would be a reality, but that has become possibility with IGX going live. We have seen trades in all the variations. Our day ahead contract is very active. We have also seen trades in 12-month contracts recently. And we also have a special contract for CGD companies where they have demand from Monday to Friday. We call it a weekday contract. You can see a weekday contract also very actively trading on IGX.

One of the important reforms which was made by the Government was in August 2021, where MoPNG allowed sale of domestic gas on the exchanges. So, by virtue of this, we have conducted 100 plus auctions for Reliance and ONGC, which shows the confidence they have in our systems. Each auction has been done very smoothly by us with no default at all. So, 12-14 crore MMBtu traded till date without any default and without any penalty to any of the buyers and sellers.

You name any prominent entity in this space; they are actively using our platform. Big players like GAIL, you talk about OMCs – HPCL, IOCL, BPCL, they are actively using our platform either to buy or to sell their molecules. So, this is one good thing which we say that tomo

row if

reforms are going to happen or when the Government's mission of increasing natural gas consumption to say 15% of overall energy mix, presence of these players will take our volumes from the initial base. That initial hard work, you can say, we have already done. We have connected them to our platform. Once these opportunities are provided by Government reforms or by increase in infrastructure - laying of pipelines or increase in re-gasification capacity - you would see volumes on IGX increasing like anything.

These are the volume numbers as I mentioned, we started on a very slow note but quarter one (Q1) of this financial has been very good. Highest ever volumes we have seen on the IGX 21

platform almost two and a half times of what we did (the same quarter) last financial year.

Even natural gas consumption in India has been on the higher side I would say in the month of May. India's consumption was around 217 mmscmd which is the highest ever till date. So, we are moving in sync with the physical market.

Our future plans, we are working on LDC contracts. Long duration contracts right now, you have a 12-month contract, but it is on a fixed basis. So, there is a demand from the market side that we should have a contract which is linked to some of the international benchmarks also. So, for this purpose, what we have done, we have entered into a licensing fee agreement with the Platts that's S&P Global Platts. So, by virtue of this, we are now authorized to use their benchmarks, the famous benchmark i.e. WIM, JKM, and Brent. So, once we receive this approval from PNGRB, you would see these assessment contracts also listed on IGX. Maybe then buyer and sellers would have the option to select the index on which they want to either buy or sell the ir produce for a quarterly contract up to a one-year contract. So, exchange is very bullish on LDC contract and approvals are expected very shortly from our regulators. We are also working very closely on CBG and Certificate trading. We just want to take the IEX model forward on what they have in green power. Similar model we want to have such that CBG can be listed as a separate commodity and the certificates generated through those CBG generation can be sold separately on the IGX platform.

We are also in talks with Bangladesh, in case there is a requirement from that side, because their consumption is almost half of India. So now with Dhamra terminal going live, there is a road connectivity through that terminal to Bangladesh. And recently we have the small-scale LNG contract also, which means that you can transport natural gas in liquid form through trucks. So, Bangladesh buying natural gas from India may be a reality in coming months. You might see that on IGX.

We have also started working on hydrogen. It is too early to say but we have already executed a few of the MoUs with ACME and GIFT City and we recently also got the authorization from DGH. What this means is that all the domestic producers in India, whether they are producing from the KG basin or from Coal bed methane, they can use our platform to auction their produce. So DGH usually empanels, five agencies. So IGX is one of the agencies now. We have

not yet conducted any auction till date , but first auction you can see on IGX platform maybe in a couple of months.

Now, few of the growth levers as I mentioned, that government is very bullish on this segment, they feel that by 2030 natural gas demand would simply double. So, if you are consuming say 200 mmscmd today , by 2030 this would be 400 mmscmd and with the growth plans of laying new pipelines and re-gasification capacity going up from say 47 MTPA to 77 MTPA so , IGX can easily say that we can be at least four to five times of what we are today. So, if today we are generating a PAT of say around Rs.27-28 crores , maybe five years down the line you can see four to f

ive times what we are doing currently.

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That's pretty much from my side . If you have any questions, we'll be happy to answer during the Q&A session . Thank You and over to you.

Thank you team IEX . Please note that the PPT and the audio recording will be available on the website very shortly. I think now is the time when everyone will have a lot of questions. So may I please request the admin team to please set up the chairs and have management team on the on the stage for Q&A. Thank you ,

Participant 1: Hi, Congratulations , for a good presentation Sir. It was very well made. My first question is on the market share right . Our market share used to be very very high . I think till FY22 , post FY23 and I think last couple of years , the market share decline d. What can we do to regain the market share and protect our MOAT?

SN Goel: See, prior to FY22 , the transactions were mainly in Day Ahead M arket (DAM), the RTM market and Intraday and Day Ahead C ontingency (DAC). We did not have any Long Duration Contracts (LDCs) , because there was a dispute between jurisdiction of SEBI and CERC. That was resolved and from 2020 July , I believe the Long Duration C ontracts were also launched . The volume in the long duration contracts started happening from July 22. And as you are aware that these contracts are basically bilateral contracts and in the bilateral contracts, all three exchanges have equal opportunity. So, Day Ahead Market and RTM market continues to be our domain area . Our market share in that is almost about 99 to 100% and in the bilateral transactions also, which are DAC , Daily Contracts and LDC Contracts , Certificates , the market share is about 45 to 50%. So, that is why , there is some dip in the market share and since the new exchange also has come , so, it has affected (market share). But then market share last year was about 83 -84% and we hope to maintain similar kind of market share because the DAM and RTM transactions , they constitute almost about 70% of the total exchange transactions. So that 70% is still with us . Out of the balance 30% again 30 - 40% is with us. So, we hope to maintain that .

Participant 1: Understood . My second question is on open access volume . It used to be very, very large when you got listed , about 40%. And that volume has only declined. Can we as a company can do something about you know, nudging the policymakers to make the right you know, regulations so that open access volumes which you know are stickier even more granular , and that growth has stunted . May be there's something we'll see that while government can do in the near future which would help this business come back.

SN Goel: Yeah, Open Access volumes, you know, in 2015 -16, around that time, it used to be almost about 50 -60% of the total exchange volume s. And more because the clearing price at that time used to be two and a half rupees. And at that kind of rate, there was viability in most of the states in spite of the cross -subsidy and other charges. But in the last three -four years, the clearing price has increased because demand has increased on the exchange platform , Distribution companies themselves are big buyers from the exchange platform. Earlier distribution companies were not very active. So, I mean, distribution companies say that Open access consumers are buying , industrial consumers are buying from us, and we are buying in turn from the exchange. So, in any case, the demand of the country is coming to you. So, because

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of the increased clearing price , the viability has reduced now . Policymakers they are definitely working on this to have more conducive regulations, but one of the ir issues is the high clearing price .

Participant 1: On the Carbon market, we spoke about the international carbon market, but I think in the budget , the Government is talking about a National Carbon market . What kind of role you se

e for IEX and (if you could give) some colour on the volumes which you foresee ?

SN Goel: See, C arbon markets are going to be of two types . One is a Compliance market, and the other is a Voluntary market . Compliance market will be basically regulated by the Government of India . The Bureau of Energy Efficiency (BEE) is going to be the nodal agency and CERC will be the regulator for that and this carbon market will be operated by the existing exchanges. As far as the opportunity size is concerned, it depends on when they are going to implement this and in which particular sectors they are going to start with . It all depends on

that. They have to also define the baseline for those sectors and then start doing the monitoring and issuing the carbon credits. So, it may take some time, but then in the compliance market the opportunity size is very big. It can be as big as the REC market. And Voluntary market which is we were thinking of targeting through our International Carbon Exchange. There it is voluntary, meaning, any carbon credit which is not covered by the Compliance market can be through the voluntary market.

Participant 1: Thank you. Thank you.

Participant 2: Good Evening Sir. So, just following up on the previous question with the GNA implementation and the shift from DAC to DAM and RTM, Some market share improvement would have happened in Q1 FY25, I reckon for IEX.

SN Goel: On numbers I will request Mr. Rohit to ...

Rohit Bajaj: Yes. So, there was massive improvement after implementation, which was in October 23. So, after October 23, November, December, our market share increased to 91 - 92% because that time there was severe hit in the DAC volume. There was a lot of supply available and there was no need actually for DAC volume. But in Q1 what happened particularly last two to three months, which was election time and then supply crunch was there, certainty was not there, some of the participants were again going to the DAC market and securing power outside the Day Ahead market. So, they were paying the same price for peak power they were buying, but they were buying it from outside the market. Because of that our share has taken hit again (because) there was some DAC market which was happening. But if I compare it with last year, it was definitely less by 50% but still it was there. So our share till in this particular year till now is 80% in Electricity. So, it is a little low in Q1 particularly because being an election year, DAC TAM transaction going on. Our share in TAM is also about 50%. Certificate transaction have increased, you have seen that out of 30 billion units in Q1, 2 BUs was done in certificates only. So all these things put together has put some pressure, but we expect that as the supply will continue to ease in months to come, we can again go back to ...in fact, if I talk about July month, our market share is 90%. June month it was 90%. So, we suffered some losses initially, but we are recouping it and going forward again we would be reaching 84 -85% Level.

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SN Goel: See, three -four months in a year when there is a high demand prepared, this DAC and bilateral transactions increase and during that time and the share comes down slightly to 75%. But rest of the time it is in the range of 85 -90%. Overall, we definitely will be achieving 83,84, 85% market share.

Participant 2: So taking a cue from that, you know, the REC volume will...

SN Goel: Even with this market share, I expect the volume growth that will continue to happen at a good rate.

Participant 2: And it's heartening to see the REC volumes going up so sharply and you spoke about how the pricing has declined. But how has the backlog of you know pan India, REC shaped up over the last one year. So, what has been the liquidation? What is the potential increase if you can see given the RPO obligations?

Rohit Bajaj: Yes. So, there was one change in the

regulation or change in the policy rather,

where hydro is also now included as RE. Earlier small hydro was RE, but now, big hydro is also considered as RE. Now, because of that, suddenly States like Uttarakhand, Himachal, all of them, they have become surplus, and they have filed for Issuance of these Certificates, and they got issued in bulk, huge numbers. So, today inventory stands at more than 3.5 crores. Demand as we see, we have seen that in the first quarter, it was 30. Last year, if I talk about complete last year, overall demand was in the range of 70 lakhs only. So, as against 70 lakh demand, there is huge inventory, which is there, and this is precisely the reason why prices are coming down so drastically. As I mentioned from Rs.1,000 It has come down to Rs.128. But, good news here is that Rs. 128 is a price point at which many utilities and many consumers are interested to meet their RPO obligation. So, they were not keen to meet RPO obligation at 1,000 because cost was huge, but this has come at a price where they are really interested. And precisely for this reason, we have seen some traction in Q1 and we hope that this momentum is going to continue and we will achieve very good numbers in this particular year.

Participant 2: So, given the need for you know the RPO targets being what they are, so 70 lakh liquidation run rate, can it go to 140? I mean, what is stopping that? Because if everybody has to be RPO compliant, what is the requirement. Requirement must be very high.

Rohit Bajaj: So, I'm not I'm not getting the question.

SN Goel: RPO requirement is definitely high. And unfortunately, the monitoring of the compliance is not very strict. So, there are many States who are still not meeting the RPO compliance. Because, for distribution company purchasing power is more important, supply of power is more important than spending money for meeting the RPO compliance and many State regulators have been giving them you know, carry forward and all those things. But looking at the price, I think now states are becoming active. And also what we understand

that MNRE and BEE they are also (becoming stricter) because now this RPO compliance is coming under the Energy Conservation Act. So they're also now going to take strict actions and they're also considering to have a penal provisions for non-compliance. So, it is expected that this compliance market will improve significantly and going forward what you are saying that 70 lakh can become 1.4 crores, yes it can and it will.

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Participant 2: Yeah, because otherwise the backlog will just keep increasing. And just a quick question, you know, coal is not as a homogeneous commodity like you know, gas or electricity you know. So how do you basically trade a contract where there could be disputes on the actual GCV and Sulphur content and so on?

SN Goel: Yeah, I think coal is definitely not like electricity or gas. It is not a homogeneous contract and transportation issues are also there, but then we will find out solutions for that also. One is that there is at the moment third party sampling, which is accepted by everybody. So, that will be the criteria for dispatch of coal – that whatever is the third-party sampling results that will be binding on the buyer. And second is railway transportation and in addition to that road transport. So these models will be considered. So, we have ideas in mind how it can be done. We have also appointed consultants who had worked in the coal sector. And just to understand about the coal market in the country, how to create a market, we are working on this. So as and when there is opportunity, I'm sure we'll find out solutions to all these problems, and we'll be able to launch a coal exchange.

Participant 2: Last quick question on IGX. The volumes in Q1 even though they are higher on a year-on-year basis, the run rate is still lower than FY 23

peak. So, why is it the volumes

actually came off from the FY 23 Peak and what is required to get it back?

SN Goel: One of the reasons was that demand from the power sector was high this time and power sector also contributed significantly to this volume increase. And secondly is in any case, volumes on the IGX platforms are very small at the moment. So every year you will find that there is a growth in that volume. So 40% of the volume which was done on the IGX platform was from the power sector I believe.

Participant 2: Thank You Sir.

Participant 3: Thanks for the opportunity. So, for IGX we mentioned you know, in next five years, we expect it to be IEX equivalent. And even when we look at IEX scale up since the initial days in 2008 to 2013 it was pretty fast, whereas for IGX, that has not been the case. What do you think are the constraints, which if it gets resolved by the government can lead to a faster scale up.

SN Goel: See in case of electricity, fortunately, all market enablers were in place, when we started the power exchange. We had a regulator in place, we had open access provisions in place, transmission company was an independent company, and open access regulations were in place. Then in power, there is no tax on Interstate transactions. So, because of that, it was possible to do transactions through the exchange and we could see significant volume growth. In gas unfortunately, there are a few problems. One is that gas is not under GST. So, each State has its own taxation mechanism. And these taxes are ranging from 3% to 26%. So, we have to do fragmentation of market, we have to create different hubs depending on the taxation of the States. So, that is one issue. You can't have standard contracts, you know, that is the USP of the exchanges. Second is, even today, we have the same gas pipeline operator and the gas trading operator. So, that is another issue, which is there in the market. We have been advocating with the Government that gas pipeline operators should be independent bodies, so that gas pipeline allocation can be done in a transparent manner as has been done

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in the power sector. These are some challenges. So I'm sure Government is working on them. GST is definitely one thing we are hearing that gas definitely will come into GST and come will come very soon. Gas transportation system operator, this issue was also discussed earlier. And in fact, there was a news that they are going to create a Government company which will be owned by maybe these PSUs that will be operating the gas pipeline network. So all these things are there in the news, let's see when that happens. But in spite of these challenges, I must say one thing that IGX has done good volume growth. And in between, there was a dip in the volume because of the very high increase in the gas price. You know, when the Ukraine war started, gas price increased to \$25 per MMBtu to \$30 per MMBtu. At these prices, India cannot afford that LNG gas. So the volumes had reduced in India. But now since the prices have come down, I'm sure volume should pick up again.

Participant 3: And any latest update on MBED and market coupling, from your communication with the government on implementations. Where they are right now?

SN Goel: MBED word I'm hearing after a long time, I think it is a couple of years. So MBED is no more in discussion and market coupling, yes, market coupling also from the last four-five months, there is no discussion on that anymore.

Anyway, let me give you a brief update on that. CERC came out with a discussion paper

sometime in the month of August (last year) . And then there were comments by the sector participants . Most of them , more than 75% suggested that there is no need for market coupling . It will not provide any value , it will not add any value in the market . The need is to bring more liquidity in this market. And based on all these suggest

ions C ERC on 6th of February

had issued an order. And in that order, I'm sure you must have read that order CERC has mentioned that they did simulation for three months data . And by doing plain vanilla coupling of RTM market or DAM market of the three exchanges, there is no benefit. In fact, there was hardly any difference in the cleared volume increase or the price reduction . There was negligible impact in the social welfare increase. And they have concluded that there is no benefit by coupling the three exchanges either in the DAM market or the RTM market. And it is true also because , one of the exchanges, if it has 99% market share, what advantage will you get by coupling . But, they further said that to bring more liquidity in the market and to create some optimization in the market can we couple the RTM market along with this SCED market . And they have directed NLDC to develop the software in two -months time and then do the simulation for four months. And based on the simulation results, they will take a call whether there is any benefit in that and can it be done ? Should we go ahead with that or not? And even for doing that, what are the challenges ?

So, all those things will be considered before taking a decision . As of now, what we understand is that six months have passed and because in the order they had said that given the simulation is done, the results should be hosted on the website every day , so that participants can see that and analyze that. So far that simulation study has not started . What we understand is that NLDC is in the process of developing the software for RTM market and they are doing the fine tuning on that . Thereafter , the software to couple the RTM and SCED will have to be developed. And for developing that you will have to define the logic how the coupling is to be done. And software development is not that easy an process , it takes a lot

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of time. So it is going to take time and after the simulation , then C ERC will take a call whether it's to be done or not.

By the way, let me also , since you raised this point, I would like to say two things about this. The SCED market . SCED is basically operated among those generating companies which have long term PPAs. So under the Long Term PPAs all those generators are assured fixed charges, under the PPA . They get coal under the allocation route , which is at that the administered price. And in the SCED market, the un-requisitioned power is optimized, costly stations are backed down , and cheaper stations have ramped up . That is how the optimization is done in the SCED market . In the RTM market, the generators who participate are merchant generators ., they have to recover their fixed charges also in this RTM market only and also they have to purchase coal from the e-auction route where the rates are higher. So, I think these are two different set of generators. Can we really do coupling of these two different set of generators? This is a question which we may have to , I mean, when C ERC takes a decision, they will have to also think about these kinds of implications.

So, and then, after that, there are many challenges in implementation of this . The physical settlement and the financial settlement under the RTM and the SCED market is very, very difficult . Because in the SCED market , you have all these generators who have the PP As. You can see almost about 60,000 -megawatt capacity is there and in the RTM market all the merchant generators are there , the market size is only about 100 MU (daily), whereas number of participants are huge . So financial settlement between them is going to be another challenge. I think there are many issues. So let's wait and watch. I don't think there is any big merit in doing coupling of RTM and SCED market, but in due course of time and once the simulations are done , and all these issues are deliberated, then a decision will be taken. And

another point is , you know in the SCED market, it was basically optimization of the URS power. Now, Government of India has already issued a rule . They have amended the Late Payment Surcharge Rule where they have directed that all generating stations have to offer the URS power on the exchange platform. Otherwise, they are not entitled to the fixed charges to that extent and that is the law of the land. All these generators have started offering some URS power on the exchange platform. So, a good part of the optimization which they were doing in the SCED market has already started happening in the RTM market and the Day Ahead Market and so , the opportunity of having further saving is reduced. So, I mean looking at all that, I don't think there is a strong case for any coupling .

Participant 4: Sir, Devesh here. A couple of questions from my side . Firstly , when you talked about market share, within TAM segment if you can help us understand is there a difference in the market share between DAC volumes and the LDC volumes . And tomorrow, when longer term LDC volume starts to come, would IEX have any advantage over the other exchanges?

Rohit Bajaj : Yes, so, in the three months segment particularly, our share has been always

more than 50 -55% plus, we have been maintaining that . And why ? Because large set of generators are our members, all the generators who are there in the country they are our members, and these (auctions) are purely done on merit basis . There is more participation in reverse auction , prices are more efficient and then the final price discovery happens and then they take call on going for scheduling that power.

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So, we feel that our market share , we are going to be the major player in that segment . But yes, that share cannot be 90% or 100% , as we have seen in case of collective transaction. There are other exchanges also where they will also see some participation and share will get distributed, but we aim to maintain 60% plus market share in 11 -months Longer duration contract .

But if I talk about DAC and intraday, the smaller segment , there the competition is you can say is really too much and they want to go to platform , the participant they want to go to a platform where the liquidity is less. So, what they do is where liquidity is less when the buyer and seller are going there, they could match themselves and then supply can s chedule on the basis of their requirement. So 11 months, first of all the opportunity size is very big . 40BU opportunity size which is currently being done on the DEEP platform . we should be able to capture large part of it and aim to get more than 60% market share in that .

Participant 4: And you also talked about Green power being one of the growth driver for you . But in the past, we have seen variability in green power . There were years when the green power had declined significantly on the exchange platform . It has come up now again . What has been the reason for this ?.

Rohit Bajaj: Yes. So, this is very relevant . We have seen a dip for almost more than a year . There was a time when first year we did good and then after that there was a sharp decline in the green segment. That happened because that time all the sellers were actually distribution utilities . Seller on exchanges were Telangana, Karnataka and somewhat Tamil Nadu. So, these three states were participating as a sell and there was lot of demand or earlier also in today also . But suddenly what happened last year when our overall demand grew by 7.7% , you must have seen states like Karnataka, their demand actually increased by 25% , Telangana increased by 15% . Many of these States they were not able to meet their own demand and they stopped selling. So, last year, because all the RE ri ch states , those who were selling earlier , they stopped selling and our volume went down . But this year what we are seeing is the increase that

has happened it is not only because of the States coming to participate, it is more because of IPPs coming and selling. So, today a lot of generating stations where they have early commissioning, they are selling , some of the generating stations where they have merchant power they are also selling. So, first quarter there was none of the States that were coming as a seller , entire growth that we have registered is all because of IPPs. Now, when I say that we have done 44 million unit today, there , there is some part which has come from State also. So going forward as the State supply situation will improve . We expect State will also participate , and IPP participation will only increase . There is about 2 ,700 megawatt which we are following up where this is purely on merchant route , this will also get commissioned in less than six month' s time . That also we are seeing as a good supply potential. So we are very optimistic about green segment as such . We expect lot of sell volume would be there and there is no dearth of buying . Everybody is interested in buying green power, because by paying 10 ,20, 30,40 paisa premium , if they are getting Green power, they are meeting their RPO obligations and then using this for so many different purposes .

Participant 4: And lastly Sir, you did mention about different technology, different OTC contracts coming up , or different new er technologies coming up, which is kind of flattening

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the demand curve through the day. So, there was earlier , we used to have evening peaks and now, we also see demand kind of peaking through the day , right. So, there is basically a flattening of demand curve that is happening. Now, I understand that for exchanges the volatility between the demand peak and trough used to drive the volumes. So, does this flattening of demand curve , can again lead to signing of PPAs by SEBs or impact the Volumes growth for the exchanges ?

Rohit Bajaj: Yes, very relevant point . Diversity is always good for power markets, if there is some peaks and troughs then people will participate to meet that. So, what I meant was, there is already a lot of huge diversity . I shared one graph with you where there is more than 25,000 (MWh) power available during the daytime and very less available in the peak . And there is so much demand during the evening hours. So, now, if we start to flatten this curve, so, there is line at this level and if you start to flatten this curve probably , we will end up somewhere which is 20 -30% higher , which is a straight line but 20 -30% higher than where it is today, right. So, flattening means we are trying to bring excess supply which is there into some areas where there is so much demand , so we are trying to meet that. This particular phenomenon where so much diversity currently exist, if we can flatten it, there would be

definitely increase in the overall cleared volume. But again, because of these technologies, the troughs and peaks will still be created going forward. It is not that if we are changing or bringing everyone together the flattening will happen and it will remain like that. There is one effort which is going in the direction of flattening it and there are some natural tendencies where peaks and troughs are created and what we are trying to do is that we are trying to leverage these peaks and troughs and trying to maximize the cleared volume.

Participant 4: Perfect, thank you Sir.

SN Goel: So, in fact, you know, variation in the demand and supply on the seasonal basis will continue to happen. And second is even if the demand starts shifting during the peak time, daytime, the morning and evening demand of the commercial sector and industrial sector will continue to remain. So, if we have storage. In fact, you know what we have seen is that storage will purchase power during the daytime that is one transaction and will sell that same power in the evening hours.

. So, the transactions will multiply. That is, they're going to provide a bigger opportunity for the exchange. In the process of flattening the demand also there will be a better opportunity for us.

Participant 5: So, as you have the highest market share still in this segment, you also have a lot of data pertaining to exchanges, to price discovery and things like that, which I'm sure you are leveraging for your customers. Is that something that has a lot of commercial viability, where that can help you gain market share? So, basically providing the data that you have to your customers for better price discovery and to make better power purchase decisions. Is that something that you think in the long run will help you gain market share?

SN Goel: Now, as far as data is concerned, power sector data is transparently available to everybody. We do not have any additional advantage because of that. But our business development team and strategic team they do a lot of data crunching analysis of the data, interaction with the States to understand their requirements, and how can they take

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advantage from exchange transactions. That is our USP and that is how we get the customers on the exchange platform. You must have seen a couple of articles on how Andhra Pradesh this during the COVID time they did large purchase from the exchange platform and optimized, saved almost 2,300 crore rupees by purchasing power through the exchange. Similarly States like Telangana, States like Himachal Pradesh, States like Uttarakhand, DVC, West Bengal, they also have made a lot of savings. So, you know, we interact with them, we tell them how they can use the exchange platform. So, that is the way we do it.

Participant 5: Thank you

Participant 6: Sir, just one question I have. In the past few months, we have seen that there is a difference between the cleared volume and the final scheduled volume, almost 2 to 3% is being lost. So, are we facing any kind of congestion or curtailment? And do you think that this problem can increase or decrease going forward some comments on that?

SN Goel: Yeah, this is happening from 17th of June precisely. Northern Region there is a very high demand because the climate is slightly hot and humid rains are still not there. And Western region we had good rains, in Southern region we had good rains, so demand has reduced. So a lot of power was flowing from West to North. And that led to outage of Champa - Kurukshetra 6,000 megawatt HVDC line one day and that could have resulted into grid disturbance. But fortunately, because of the very prompt action by the Grid operator, the situation was saved. Now they have become slightly cautious. And that is why we are seeing some congestion, particularly during the night hours, and the demand is high in the Northern region (during that time). But I think now the rains have started and demand is going to at least moderate. So this congestion will go away. This is a short-term congestion.

Participant 7: I just have one question. So more of a technical kind of question. So how does that demand match happen? Like? I mean, one state has surplus power, and comes on your exchange and another state needs that power. And that's how the trading takes place. But is it exactly I mean, it's entirely technology driven, or there's some kind of manual intervention also, when you do this demand matching,

SN Goel: It is all technology driven. See we have in the Day Ahead Market, we have more than 500-600 participants who participate here. They submit their bid during that particular morning slot of 10 to 11 o'clock and then the matching has to be done within a short time, and details need to be sent to the NLD. So these things cannot be done manually. This is all technology platform doing it in the auto mode, all these things. If you want further interaction on that, I'll be happy to do that. Mr. Amit Kumar

, who is heading the Market Operations and Technology he will explain to you, but you will need good amount of time to understand that part of it.

Aparna Garg: If you don't have any further questions, we request you all too please join us for the networking dinner. Thank you, everyone.

SN Goel: Thank you and we can have more questions during the networking, dinner and the snacks .

Call: Oct 2024

Indian Energy Exchange Ltd

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Dated: October 29, 2024

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Mumbai- 400001 Bandra (E), Mumbai-400 051

Scrip Code: 540750 Symbol: IEX

Sub: Transcript ofthe Earnings Conferencecallwithanalystsandinvestors held onOctober25, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on October 25, 2024 to discuss the financial results of the Company for the quarter ended September 30, 2024.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q2 FY '25 Results Conference Call"
October 25, 2024

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER

AND COMPANY SECRETARY

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS

MS. APARNA GARG – HEAD OF INVESTOR RELATIONS

AND COMMUNICATIONS

MR. ADITYA WALI – INVESTOR RELATIONS

ANALYST : MR. SUMIT KISHORE – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q2 FY '25 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the

Indian Energy Exchange Limited

October 25, 2024

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kishore from Axis Capital Limited. Thank you, and over to you, sir.

Sumit Kishore: Thank you, Neha. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q2 FY '25 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, the Chairman and Managing Director; Mr. Rohit Bajaj, Joint Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Over to you, sir.

Rohit Bajaj: Good afternoon, everyone. I welcome you all to the IEX Earnings Call for Q2 FY '25. With me today on this call are Mr. Satyanarayan Goel, CMD IEX; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives & Exchange Technologies; Ms. Aparna Garg, Head of Investor Relations and Communications; and Mr. Aditya Wali.

Friends, Modi government 3.0 recently concluded 100 days, maintaining its thrust on infrastructure development, innovation push and economic growth. The Indian economy continues to be the world's fastest major economy with yet another reported quarter of robust GDP growth. The economy grew 6.7% Y-o-Y in Q1 FY '25, allowing the RBI to retain its GDP forecast for FY '25 at 7.2%. In the wake of Q1 GDP growth, the World Bank has also revised its GDP growth projections upwards for FY '25 to 7% from 6.6% projected earlier.

On the power sector front, electricity demand growth during the second quarter slowed on the back of better-than-expected monsoon. Monsoon was 8% higher than the long-term annual average. Power demand at 435 billion units in Q2 was largely flat at plus 0.5% Y-o-Y with a peak demand of 227 gigawatts. However, in the first six months of FY '25, power demand was higher by 5.6% over the previous year.

To meet India's growing energy demand, the Ministry of Power has maintained its focus on capacity addition and strengthening of overall power infrastructure. Almost 28 gigawatt of thermal capacity is under construction, out of which 15 gigawatt is expected to get commissioned in this fiscal and the balance 13 gigawatt in the next 2 years.

Further, 58 gigawatt of capacity is in various stages of planning, statutory clearances and bidding and this should come in the system over next six to seven years. Capacity addition is being regularly monitored by the Ministry of Power. In addition, 40 to 50 gigawatt of renewable capacity is to be added every year until 2030. The government also plans to add 39 gigawatt of pump storage project, PSP, by 2030, out of a total potential of 184 gigawatt.

Recently in September, MNRE issued guidelines for Viability Gap Funding scheme for offshore wind energy projects worth 1 gigawatt across the States of Gujarat and Tamil Nadu. It is Indian Energy Exchange Limited

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proposed in the scheme that any un-requisitioned power from these projects can also be sold on the exchanges. This is expected to increase sell-side liquidity on the exchanges.

At the recently concluded Global Energy Investors meet in Gujarat, our Honorable Prime Minister also underscored India's strategic growth to expand its renewable capacity to 500 gigawatt by 2030. Energy developers at the meet pledged substantial commitment to capacity creation under their Shapath Patra Agreement. At the event, the government also highlighted plans to develop 17 cities as a model solar cities.

ities.

On the fuel side, this fiscal has not seen any shortage so far. Coal is available through the e-auction route at a very nominal premium of 10% to 20% with respect to the administered price and coal inventory today stands at about 14 days. Imported coal prices in Q2 have also been competitive at \$52 per ton. Similarly, gas prices at \$12 per MMBtu have remained largely stable in the first half of FY '25.

With favorable monsoon this year, high hydro and wind generation and ample availability of fuel has led to higher liquidity on the exchange platform with sell liquidity increasing by 41% over H1 FY '24. With these strengths in liquidity, volume growth is expected to continue going forward.

Let us now talk about important regulatory updates and policy initiatives that helped deepen power markets.

Recently in a draft, the CERC has proposed various changes in terms of a head market design, which will align TAM products across exchanges and also help in improving liquidity.

The Deviation Settlement Mechanism Regulation 2024 has made deviation management more stringent. This is likely to promote further discipline leading to better grid stability. Under the proposed amendments, deviation charges are again linked to grid frequency. With regards solar and wind generators, deviation percentage allowed for levy has been narrowed to 10%. This is expected to further increase RTM volumes at exchanges.

With regards to cross border electricity market, the CEA has allowed generating stations selling cross border power through a dedicated transmission line to facilitate sale of power within India in case of sustained non-scheduling of capacity or default notice issued by a generator for debt delayed payment under their respective PPA. This has the potential to increase liquidity on the exchanges.

To meet high power demand, the MoP recently extended Section 11 directive to imported coal-based plants to operate up to 31st December 2024. These assets will be utilized to meet country demand and support liquidity on the exchanges.

To address challenges posed by seasonal variations in electricity demand, which led to sharp surge in power consumption during crunch periods, the CERC recently issued an order to ensure adequacy of resources, identify generation, demand response capacity and generation flexibility requirements.

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Under the amendment to Late Payment Surcharge (LPSC) rules, the government has directed all generating stations, which have long-term PPAs to offer un-requisitioned power on the exchange platform. As a result, about 100 million units of URS power from central generating stations is coming to the exchange platform, out of which 15 million to 20 million unit is getting cleared on daily business. Soon generating stations which are within the States will start to offer URS power on the exchange, which will further increase liquidity on the exchanges.

Under provisions of Energy Conservation Act 2001, the Gujarat Electricity Regulatory Commission has introduced stringent compliance norms for obligated entities. In the event an obligated entity does not fulfill its renewal purchase obligation and also does not purchase the certificates, the Commission has introduced payment of traditional penalty up to INR3.72 per unit for shortfall in the specified renewable energy consumption targets. This should promote compliances and help maintain a vibrant REC market.

These changes are expected to be positive for exchanges and are bound to improve sell-side liquidity and soften power prices. As prices continue to remain competitive, it is expected to present an opportunity for DISCOMS and Commercial & Industrial consumers to optimize their power procurement costs.

IEX business performance during Q2 FY '25 has been strong. We recorded a total trading volume of 36.7 billion units in this quarter

with a growth of 38.2% on year-on-year basis. For the first half of FY '25, IEX traded volume of 67 billion units, a growth of 30% over the same period in FY '24.

Consequent to reduction in REC prices, we revised our transaction fee on RECs from INR20 per certificate to INR10 per certificate on either side of transaction with effect from 12th August, 2024. In Q2, a total of 63 lakhs certificates were traded, a jump of 277% over the same quarter last fiscal.

RTM segment has seen strong growth this fiscal. For Q2 FY '25, RTM volumes were higher by 31% Y-o-Y at nearly 11 billion units, showcasing its critical role in developing Discoms and open access consumer efficiently manage short-term electricity needs. In September 2024, RTM recorded the highest single day trade volume of 173 million units. And RTM also achieved its highest ever monthly volume of nearly 3.5 billion units. The share of RTM in our overall product mix has also increased to nearly 30% over the last two quarters from 27% at the end FY '24. RTM's ability to offer flexibility and immediate responsiveness highlights the opportunity to efficiently integrate renewables with the grid. Similarly, for the quarter, Green market volumes rose to 246% to nearly 2.6 billion units as compared with Q2 FY '25.

In terms of new products, we continue to await approval from CRC for our long duration contracts. We have already filed a petition with them for approval of 11-month contract on which the hearing has happened and order is reserved. Further, we have filed petition with CERC for approval of Green RTM segment. Green RTM would provide opportunity for RE sellers to avail price premium over conventional power and also buyers to avail Green attribute of electricity. This segment shall also help reduction in variation exposure due to weather events by providing an avenue to trade Green power just one hour in advance.

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We are happy to inform that our wholly -owned subsidiary, International Carbon Exchange has been accredited as India's first renewable energy certificate issuer. I -REC is globally recognized digital certificate that serves as a transferable proof of generation of 1 megawatt hour of energy from renewable sources.

Further, the Honorable Minister of Coal, Shri G. Kishan Reddy Ji earlier this week announced that India's first coal exchange would be set up soon and that the exchange would work under the supervision of Coal Controller Organization . IEX has been working with stakeholders to explore this diversification opportunity.

On another front, in August, the draft guidelines for Authorization and Functioning of Extended Producers Responsibility , EPR Trading and Settlement Platform for Plastic Packaging has been issued by the Central Pollution Control Board. This will help in the transparent and competitive price discovery for EPR certificates through an online platform. EPR certification ensures proper recycling, reuse, end -of-life disposal of waste generated from electronic and plastic products. It is expected that this would be extended to other types of waste, such as e -waste, battery waste, tire waste, used oil waste, etcetera. We are working with stakeholders to evaluate business diversification opportunity in this segment.

Let us now summarize the financial performance of the company in this quarter. On a consolidated basis, revenue for the company grew 26.2% on year -on-year basis in Q2 FY '25, increasing to INR167.8 crores from INR133 crores in Q2 FY '24. Consolidated PAT increased by 25.2%, rising to INR108.3 crores in quarter 2 of FY '25 compared with INR86.5 crores in quarter 2 of FY '24.

IGX traded volume of 118 lakh MMBtu for Q2 FY '25 compared with 195 lakh MMBtu traded in Q2 last fiscal. Profit after tax for IGX for Q2 FY '25 came in at INR6.1 crores compared with INR7.8 crores in Q2 FY '24. F

or the first half of FY '25, IGX recorded a PAT of INR13.6 crores, higher by 20.7% compared to the same period last fiscal. Gas prices have remained stable over the last two quarters, and volumes are expected to pick up as we approach the winter months. Way forward -- Friend, the power sector is undergoing rapid visible shift. A year ago, battery storage rates were almost about INR10 lakh per megawatt per month. But rates in the recent tender of NVVN have come down to about INR2.37 lakh per megawatt per month under the VGF scheme. The competitive rates in BESS make a promising case for market development. Prices on the exchange provide enough arbitrage to make BESS commercially viable at the current prices. This will improve liquidity during non -solar hours and will help in meeting peak hour demand.

With the CEA forecast of peak power demand of 458 gigawatt by 2032, power consumption growth will continue to drive exchange volume growth. On the liquidity side, MoPs initiative on renewables and thermal capacity addition will keep power procurement cost stable. The regulatory environment and government initiative to facilitate the path of energy transition shall continue to support market development. IEX shall also continue with the diversification initiative within the sector to grow them to significant value.

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As India marches towards achieving its net zero target, there is bound to be a growing role of power exchanges in the country's energy landscape and IEX shall continue to be part of this journey.

Thank you. And now we can have questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities Limited. Please go ahead.

Mohit Kumar: Good Afternoon Sir! Congratulations on a very good set of numbers. My first question will be, what is your market share in this quarter vis -à-vis other exchanges?

SN Goel : Our market share has been almost about 83% now.

Mohit Kumar: Understood, sir. My second question, sir, is on the transaction fees. When we take the revenues and divide by number of units, it seems like the transaction fees for the quarter is INR3.7 per unit. Are we giving a discount?

SN Goel : In case of REC market, the rates have come down. REC rates are now almost about INR120, INR110. So , we have reduced the transaction fees from the REC. And this is because of that.

Mohit Kumar: Right. My third question is, we're looking to start the new product, which is more than 3 months. Where it is right now? When do expect to launch the product?

SN Goel : CERC hearings are complete, order is reserved . So, we are waiting for the CERC order.

Mohit Kumar: Understood, Sir. And last question Sir, has Grid started the pilot study for market coupling ? Where is it right now?

SN Goel : They are yet to submit the report.

Mohit Kumar: Have they started the pilot or is it still awaited ?

Rohit Bajaj: We are really not aware about it .

Mohit Kumar: Okay . Understood sir. Thank you and all the best, sir. Thank you.

Rohit Bajaj: What we understand is that they were in the process of developing the software, they were taking the data from us to validate the software. But what has happened in the simulation, we are not aware about that.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital Limited. Please go ahead.

Sumit Kishore: During the September quarter, the REC volumes kept coming off from July, which was a very good month, followed by a lower number in August and further decline in September. What was the dynamic here, although REC in each of these months were much higher than the prior period on a year -on-year basis? And what is the likely road map going forward now that REC prices have come off so substantially?

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SN Goel : Volumes were significantly higher in the month of July because Bihar is one state where there was a lot of deficit and they purchased good amount of RECs . And since they completed their RPO compliance in the month of July by buying significantly higher number of RECs , so in August, September, they were not there, DVC was not there. And because of that, the numbers have reduced.

But I'm sure that trend with respect to last year, increasing trend, that will definitely continue because REC rates have come down, and there are many interested parties who are going to do their RPO compliance and purchase the REC.

Sumit Kishore : Very clear. The second question is that in a quarter where India's power demand growth was barely up 0.5%, IEX electricity volume growth was up 23%. So aside from the factors of better fuel availability, lower cost, better liquidity, were there any other factors or anything structural , which would imply that the momentum of growth would continue going forward as possibly power demand actually may pick up at the all-India level? Your thoughts there, please.

SN Goel : Yes, demand is definitely expected to increase. I mean, India is a growing economy. Our GDP is increasing at a rate of 7%. If GDP is increasing, power demand is also going to increase. And government also has taken many initiatives to increase the electricity consumption. And I'm sure the projections are, the demand for electricity is going to increase at a rate of almost about 7% for the next seven , eight years. And if that is the case, then definitely exchange transactions also will increase , because 7% of increase, that is almost about 130 billion units increase. And I'm sure a good part of this incremental demand will come to the market.

Sumit Kishore : Sure. How is the month of October panning out so far in terms of electricity volume growth?

SN Goel : It is a growth, but October demand is slightly lower because of the temperature dip in the Northern region and also rains in the South and East . But there is an almost about 8% kind of volume growth.

Sumit Kishore : Thank you so much Sir.

Moderator: The next question is from the line of Bharani from Aventus Spark.

Bharani: Yes. So, my first question is on the transaction fees. Now in April 2023, when the transaction fee was approved by CERC for IEX, the document talked about the regulator asking the commission to come out with a discussion paper outlining global best practices on transaction fee and after that you can take a call on the transaction fee if needed. So just wanted to get your sense on, one, where is this process? And second, in your opinion, whether the transaction fee for all the electricity products will be changed in the future, especially given now even we ourselves have decreased transaction fee in REC products where prices have come down?

SN Goel : April '23 order did not specify any timeline for the discussion paper. So as of now, to our knowledge, nothing has happened and nothing is happening on that. But as far as transaction fees is concerned, I think this issue has been deliberated multiple times in CERC. In 2018, also CERC order came. And there also, they had allowed 2 paise as transaction fees. It was again allowed in the 2021 regulation and then again, in 2023 orders.

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And you rightly said, that in case of REC since the rate has reduced, we reduced the transaction fee. But in case of electricity, our transaction fees is continuing at two-paise on either -side right from 2011 when the electricity rates were almost about 2.5, 3 rupees . Today, electricity clearing price is almost in the range of INR5. In spite of that, we have not increased the transaction fees.

And even if you look, the trading activities, what is happening in the sector,

there regulator has

allowed transaction fees up to seven paise per unit. Government of India company SECI, when they are buying power from the renewable generators and selling it to distribution company, they are also allowed a trading margin of seven paise. So, if that is the case, I don't see any reason why this four paise transaction fees will not be allowed or will be considered as high.

Bharani: Sure, I think that is good to know. Second question is on market coupling. Now in February 2024, when the result of the initial pilot study was given by CERC, the document talked about doing further pilot study, especially focusing on whether coupling RTM market with SCED market is any beneficial. Now my question is, in layman terms, why should coupling in RTM and SCED be considered. If you can conceptually explain rather than coupling in the overall market?

SN Goel: See, CERC in the order which was issued in the month of February, they have very clearly mentioned that they did simulation for 3 months. And based on the data, they did not find any merit in coupling only RTM market or only DAM market of the three exchanges. So one of the suggestions which they received was to couple the RTM and the SCED, and just to explore it further, they have given the order to Grid-India to do the simulations and see if there is a merit in that.

But let me tell you, SCED and RTM are 2 different kind of markets. SCED is basically among the generating stations who have long-term power purchase agreements where the fixed cost is assured under the PPA. They sell power on the basis of the variable cost, regulated variable cost. In case of RTM market, the generators are merchant generators and they have to recover the fixed and variable cost to the market. And even the coal, which is given to the PPA generators is through the FSA route at the administered price, whereas merchant generators buy coal from the e-auction route. So I think these two are two different sets of generators.

So theoretically speaking, coupling between these two set of generators is something not desirable. But then some simulation studies are going on and we also know about, what kind of benefits they're getting in the SCED and how much of volume is getting cleared in the SCED, all this data is available in the public domain. And if you couple these two markets, significant benefit is not going to happen.

The incremental benefit is going to be very very low. And I don't think for that kind of a small benefit, CERC will go ahead. I mean implementing this kind of a coupling is very, very cumbersome activity, and it also involves cumbersome financial and physical settlement process. So, I don't think it is worth taking all that pain, but then again we are waiting for that study report and then CERC order thereafter.

Bharani: That is very clear. Thanks for answering.

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Moderator: The next question is from the line of Chirag from Keynote Capital. Please go ahead.

Chirag Maroo: Thank you for the opportunity. Would it be possible for you to give market share product-wise?

Rohit Bajaj: Yes. So in day-ahead market and real time market, which are collective segment, our market share is 99.5%. In the term-ahead market, our market share is about 40%, which overall, on a total basis, it makes it 82.7% or 83% in electricity. In certificates, it is 60%. And overall market share in H1, first six months is 79%. Electricity it is 83% and certificates it is 60% and total is around 79%.

Chirag Maroo: Right. Sir, second, I wanted to understand one thing as the earlier participant also asked, there was one simulation taking place related to RTM and DAM which didn't make it through because majority of the volumes were used to come from the IEX itself. So even if there is market coupling...if this RTM and SCED based market coupling goes

forward also, does that mean all

the products will be coupled or it will be just two of these products in the market?

SN Goel: We don't want to comment on that. Let CERC decide about it first. And thereafter, we will talk about this. As of now, the simulation is basically for RTM and SCED.

Chirag: Sir, third question I just wanted to have a view. Is there any internal discussion in the management team going on related to change in dividend policy? As we don't require this much amount of cash for bringing new products itself, has there been any talks related to slab-based dividend model taking place and changing from the current 65 percentage of it?

SN Goel: As of now, there is no such thinking about it. We are giving 65%-70% kind of profit in the form of dividend and that's a good dividend payout. We are also working on other initiatives as I told you in the past. Gas exchange is doing well. We are also working on coal exchange, which is Government of India, Ministry of Coal is talking about that. And there are EPR trading, discussions going around. Carbon exchange is another opportunity. So I think for all these

things, money will be required, so we are keeping that money for that purpose.

Chirag: Will it be possible for you to give a broad ballpark number wherein -- what kind of money would be required for bringing these ... ?

SN Goel : See, even in case of power exchange also since we are counterparty to both the sides, we have to make payment to the sellers even if we are not getting payment from a buyer. And there have been some instances where there was one or two days delay in making the payment by the buyer. So we have to have enough surplus fund with the company to take care of this kind of eventuality .

So I think the present surplus is about INR900 crores which includes the investors' money, which is available in the company. It is not very high. But then yes, in future, we can think about a special dividend if there is a need.

Chirag: Fair enough. Thank you so much sir.

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Moderator: Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Congratulations Sir, for the good set of numbers. My question is again on coupling. In case the coupling goes through , so how are we going to be affected. Like, I mean, because we are the leading exchange in the -- we have first-mover advantage to o. Can you give some color on that?

I know it's too early to comment, but if you can give?

SN Goel : I'm very sure coupling is not going to happen. So let us not worry about that. And in case coupling happens, we have ways and means to ensure that we are able to retain our market share. And we will talk about the details when we come to that.

Viraj Mithani: Thank you sir. All other questions are answered.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Good afternoon sir and thank you for the opportunity. Firstly, a gain on continuing on market coupling, if you could help us understand whether this URS power that has been coming into the RTM market, in any way does that kind of bring down the benefit that could have possibly come out by coupling the SCED with RTM market or it doesn't impact?

SN Goel : See, number one, SCED volume itself is very less. It was earlier about 30, 35 million units per day whereas the RTM market volume is about 100 million units. And after this government new rule of sale of URS power on the exchange platform, we are seeing that in the RTM market, on an average daily about 20 million units of this URS power is being sold through the market itself. So that means that opportunity available for further optimization in the SCED market is further reduced. So today, the SCED market is less than 28 million units

per day. So I think the

optimization opportunity is definitely further reduced. And if all generators, they participate in the DAM and RTM market, the URS power is sold, there will be practically no optimization opportunity by coupling SCED and RTM.

Devesh Agarwal: Understood, sir. And secondly, sir, if we see the numbers for October, you said there is some growth. But if we see for our numbers in the month of October, we are seeing that there is a month-on-month decline. And the decline is largely in the RTM segment where volumes have come down by 20 to 25 MUs on a daily basis. So any particular reason for this, sir?

SN Goel : Yes, month-on-month, there is a decline. But if you look at year-on-year, there is a positive number. And month-on-month, month of September is slightly hotter and humid month.

Agriculture demand is also there because of that, the demand was high in the country. Now demand also has reduced. And fortunately, availability of generating units is high. So that is why I think volume is on a month-on-month basis reduced.

Our comparison is mainly on a year-on-year basis. Because you will see on every month, I mean next year, November is going to be further colder month and the demand may further go down.

But if you compare with respect to last year, that is the basic comparison what we do.

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Devesh Agarwal: Understood, sir. And sir, I think you touched upon in your introductory remarks, this CERC regulation, which came at the start of the month around TAM pricing. Could you just explain a bit better what does the draft paper talks about? And how would this impact the TAM market?

And does this benefit or impact us in any way s if this were to be implemented?

SN Goel : See, first, it is basically to streamline the transactions in the TAM market. Today, there are multiple products and exchanges were given the flexibility to introduce whatever product they

feel like. And as a result of that, different exchanges have introduced different kind of products. So there is no standardization in that. And that is why the liquidity in this market is getting fragmented across these different products.

So CE RC has now decided to streamline this activity, and there will be standard products available in the market so that buyers and sellers can see what is available for the sell and what is what they want to buy. And I think this is a very good initiative of the CE RC and it is good for the market.

Devesh Agarwal: But does it impact any of our segment volumes or no, not really?

SN Goel : It doesn't impact that and I'm sure we'll be a larger beneficiary of this.

Devesh Agarwal: Understood. And lastly, sir, you talked about diversification and you spoke about EPR trading and coal exchange. So among this one, which one do you think has the largest potential in terms of becoming sizable? And secondly, which is the one that you think will be started first or will commence operation soon?

SN Goel : Your both questions are difficult to answer because both these initiatives are dependent on the Government decision. Coal exchange, I mean, I've been hearing about it from the last 1 year and Honorable Minister of Coal also had made statement earlier that it is a part of the 100 days agenda and the 100 days are over. In the last week also, he said that, yes, we are going ahead with the coal exchange.

So I think only after a decision is taken by the Government in this regard, then only we will be able to start work on that. And then after that, we will have to approach the regulator whoever is the party identified for this purpose and take approval and thereafter launch this. I think it will need some time. It will be dependent on the Government approvals, but once approval is there, after that, we will need maybe about 6 months to 8 months' time to start.

Similar case in the EPR tr

ading. EPR trading also draft regulations have been issued and we have received the public comments. They are in the process of finalizing the regulations. Once the regulations are finalized, then they will appoint the agency for the purpose of EPR trading. And multiple parties may apply and then it depends whom they select. So we have good chances to get selected, but then there this opportunity is available to everybody.

Devesh Agarwal: Understood sir. That's all from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

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Vishal Periwal: Yes sir. Thanks for the opportunity. Sir, on this REC transaction fee that we have revised, wanted to understand the rationale for it. When the volume for any product is going strong, what was the reason of introducing the fee that we charge?

SN Goel : No, since the rate for the REC, those got substantially reduced. And we felt that transaction fees should also be reduced because rates earlier were 1,000 rupees, it came down to almost about 120 rupees ...

Vishal Periwal: Okay. So no, but we are not seeing a similar thing for even like power products that we have when maybe like the tariff moves to maybe to rupees 8, rupees 9.

SN Goel : Yes, I agree with you. In case of electricity, when the rates increased from INR2.5 to INR5, our transaction fees would have increased there, but we did not increase that. But this time, want to give benefit to the distribution companies, we decided to reduce the transaction fees for REC.

Vishal Periwal: Okay. So maybe I can ask it in another way. Are there other players that have done changes in the fees that need probably the industry to follow it, maybe one player started or how it works or the first one?

SN Goel : We wanted to be rational in charging our fees.

Vishal Periwal: And one last thing is on this -- the TAM product, the 3 months to 11 months. So I know, it has been pending from quite some time. So anything that you are hearing, which is probably delaying the whole process? And any color that you can provide will be helpful.

SN Goel : We were expecting that it will happen within 1 month of the order -- when the order was reserved. But now significant time has passed. So, I don't know what is the issue behind that.

Maybe when they finalize this, I mean, they have also issued a draft order about the TAM market. So, once they get the comments on this and maybe along with this, they will finalize that also.

Moderator: The next question is from the line of Ruchita Ghadge from iWealth Management.

Ruchita Ghadge : Sir my question was on the REC segment. So just wanted to know, sir, what is the opportunity size in this segment in terms of volume...

SN Goel : Opportunity is very high because Government of India has specified RPO compliance norms and there are many States, many distribution companies, many industries who are not meeting that. Earlier, the inventory was not available. Now the inventory also is there, almost about 3.5

crores to 4 crores REC inventory is available. Rates also have come down. So it is the right time for these entities to meet their RPO obligation. So I'm sure it's a big opportunity. But again, depends on the market participants and also the enforcement, which is done by the State Regulators because State Regulators are the agencies who are monitoring these things and ensuring compliance.

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.
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Nikhil Abhyankar: Just one question. Sir, you mentioned that we are an accredited to issue carbon certificates. So can you just brief us about that? What exactly is this about? Like all the carbon credits issued in India will be through us a

nd do they have to trade only with us or?

SN Goel : No, no. It is not carbon credit. It is I-REC. It is International Renewable Energy Certificates. We have a REC market in India, which is a compliance market. There is another market, which is a voluntary market, which are operated by one of the international agencies. And earlier, they had one agency which was doing issuance of the I-RECs. And now they have given the job to ICX, our subsidiary company.

Nikhil Abhyankar: And sir, when should we expect any operations on ICX well?

SN Goel : Activities have started, but the opportunity is very small here.

Moderator: The next follow-up question is from the line of Chirag from Keynote Capitals.

Chirag: Sir, actually, I wanted to build some clarity on IGX. As the prices of spot prices of gas has come stable to \$12, what's the reaction on the volume trading taking place that's one, secondly, which type of gas is being traded? Is it the domestic gas or is it the international gas that is traded more on IGX?

SN Goel : See, we have basically three kinds of gas in the Indian market - RLNG, APM Gas, and Non-APM gas. Non-APM gas is gas produced by Reliance, gas produced by Cairn, PMT, etcetera.

So trading on Exchange platform is basically happening in other than APM gas, whether it is domestic or R-LNG, both kinds of gases are traded here because for the domestic gas also, the field allocation document says that the gas can be sold through the competitive bidding route or through the exchange. So a good part of that gas is also sold through the Exchange.

And as far as the gas price is concerned, yes, prices are about 12,13 dollars. But very recently, I saw a report that there is going to be a significant increase in the LNG capacity in the world.

And in 2025 and in '26, we are expecting gas prices to come down. It may come down to almost about 6, 7 dollars. And when that happens, I'm sure the gas consumption in India is going to increase and particularly in the power sector. So we see good opportunity, big opportunity in the gas exchange.

Moderator: The next question is from the line of Rushabh Shah from Buderger PMS

Rushabh Shah : Sir how would you attract new customers so that more and more trading possible on our platform?

SN Goel : Yes. Number one is that customer side, one is seller and other is buyer. On sell side, we have almost all generating thermal generators who they are registered with us. On renewable side also, most of the renewable capacities are registered with us. On buy side, 100% of the distribution companies of the country are registered with us.

Industrial consumers, we have more than 4,500 large industries, they are all registered with us.

And we continue to work with industries, tell them what kind of benefits they can take. So every Indian Energy Exchange Limited

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year, we find that there is an increase in number in that. So it's a continuous business development activity on which we are working.

Rushabh Shah : And sir, my next question is the open access volumes have only been contributed by a few states. So what necessary actions are we taking so that those volumes increase and all States are participating in these volumes?

SN Goel : Yes. Open access volume is basically purchased by the industry and purchase by the industry is dependent on the State open access regulations, particularly the cross-subsidy surcharge, additional surcharge and wheeling charges. And looking at the exchange clearing price, which is about 4 rupees these days, 4, four and a half rupees. With this on top of it, if you add these charges, the viability in many of the States is not there because in those States, the charges are higher.

But in a few States where the cross-subsidy surcharge and additional surcharge is lower, there is still viability and they participate on the exchange platform. We regularly inte

ract with the State Regulatory Commissions . We submit our comments also suggestions also in the AR hearings. And our endeavor has been to ensure that there is a rationalization of cross subsidy surcharge so that open access is promoted. And that is the objective of the Government of India also, and the basic spirit of the Act also .

Rushabh Shah : And my next question is, if I remember clearly, in FY '22, you had a market share of 94%. In FY '23, we came down to 88.4% something. In FY '24, we were 84%. And now on a consolidated basis, like all the products which are on 83% something, am I correct? My question is what is happening? Why are we losing the market share? Is it because of more competitors are coming into our market? Or what is it?

SN Goel : No. In 2022, these long duration contracts for delivery beyond 11 days were not there. So these products were introduced in July 2022. And thereafter, in these products also significant volume transactions have started happening. The DAM market and RTM market, which are our key market segments where our market share is practically 100%, there is a volume increase in these two segments also...that some volume shift has happened from the trading companies to the long duration contracts on the exchange platform. And in those contracts, all three exchanges have reasonable market share. So market share has reduced because of that. But if you look at our volumes, our volumes are increasing. Our volumes increased in 2023, '23, '24 was also there and '24, '25 is also there.

Rushabh Shah : Okay. And sir, how is the market share distributed among the three exchanges in totality and in the TAM market?

SN Goel : I told you in totality, it is 83% in electricity, whereas it is in DAM, RTM and GDAM, it is 100%, practically 100%, 99.5%, you can say.

Rushabh Shah : Okay. And what would be your top 3 priorities going ahead for the next 4 to 5 years?

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SN Goel : Yes. One is electricity exchange, continue to introduce more products on this and do business development activities, policy advocacy so that we are able to deepen this market. Second is our gas exchange, there also, we are working to ensure that there is volume increase because the opportunity size is much bigger there. Third is , I told you diversification initiatives, coal exchange, EPR trading, these are the new initiatives on which we are working.

Rushabh Shah : And you said new products. So any new products are in pipeline? What kind of thinking is going into those new products?

SN Goel : 11-month contract is under approval. We have also filed petition for green RTM market. So these are the two new things.

Rushabh Shah : Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: My question is just a clarification, what is the volume you would be doing in long -duration contracts today, which are beyond 1 month?

SN Goel : The question is not clear.

Lokesh Manik: Volume in long duration contracts, how much would we have done this quarter?

SN Goel : Just a minute

Lokesh Manik: Sure.

SN Goel : 5.2 billion units for the 6 months' time.

Lokesh Manik: 6 months, we've done 5.2. And we have, just clarification, we have 40% market share in this segment. Am I clear on that?

SN Goel : Yes, you're right.

Lokesh Manik: Okay. So 40% at 5.2 which ends at about 20 billion is the total industry. So trading would be 50 billion, 60 billion, the power trading market, long duration?

SN Goel : Long duration is about 13 billion units in all 3 exchanges taken together. And if you look at that trading companies also, they do long duration. So accounting for that also, it becomes 50 billion, 60 billion for a year.

Lokesh Manik: We have more products in the pipeline to capture more market share from there? Or do you think

we are reasonably positioned to grow from here?

SN Goel : Yeah. I mean 11 -month contract is the next item because up to 3 months, we have all kind of contracts available. 11 -month contract, we have already applied to CERC for approval. With that, we will be able to offer the complete range of products.

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Lokesh Manik: Understood. So when is that expected, sir?

SN Goel : Difficult to say. It is under regulatory approval.

Lokesh Manik: Okay.

SN Goel : Okay. Thank you. That's good.

Moderator: Thank you. Ladies and Gentlemen , we'll take this as the last question. I would now like to hand over the conference to the management for closing comments.

Rohit Bajaj: Thank you, friends. I would like to thank each one of you for being part of today's call. We have had a good first half of this fiscal on the business front. We have witnessed several efforts announced by the Government and regulators to further develop the market. We remain committed to contribute to the development of a sustainable and efficient energy future for India.

Thank you. Have a wonderful evening.

SN Goel : And happy Diwali to all of you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

Call: Jan 2025

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Dated: January 30, 2025

The Manager The Manager

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Corporate Relationship Department Listing Department

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Script Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 24, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 24, 2025 to discuss the financial results of the Company for the quarter ended December 31, 2024.

The above information will also be made available on the website of the Company:
www.iexindia.com

You are requested to take the above information on record.

Thanking You

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS -16264

Encl: as above

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"Indian Energy Exchange Limited
Q3 FY '25 Results Conference Call"
January 24, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY – INDIAN ENERGY
EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS ,
NEW PRODUCT INITIATIVES AND EXCHANGE
TECHNOLOGY –INDIAN ENERGY EXCHANGE LIMITED
MS. APARNA GARG – HEAD OF INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS –INDIAN ENERGY
EXCHANGE LIMITED

MR. ROHAN GHEEWALA – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q3 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala. Thank you, and over to you, sir.

Rohan Gheewala: Thank you, Sagar. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q3 FY '25 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, the Chairman and Managing Director; Mr. Rohit Bajaj, Joint Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Over to you, sir.

Rohit Bajaj: Good afternoon, everyone. Am I audible?

Moderator: Yes, sir, you're audible, loud and clear.

Rohit Bajaj: Okay. Thank you. Good afternoon, everyone. I welcome you all to the IEX Earnings Call for Q3 FY '25. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, our CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology, Ms. Aparna Garg, Head of Investor Relations and Communications; and Mr. Aditya Wali.

Friends, the last quarter was a challenging one for the Indian economy. Economic growth in Q2 experienced a dip on account of weaker private consumption and slowed to 5.4% after more than 2 years of sustained accelerated growth. Subsequently, the RBI has also revised India's GDP growth forecast for FY '25 from 7.2% to 6.6%. However, based on high-frequency indicators of economic activity, RBI expects a recovery in Q3 FY '25 from the previous quarter's slowdown driven by increased private consumption.

On the power sector front, electricity demand at 393 BUs during the third quarter was higher by 3% Y-o-Y, better than the previous quarter's muted 0.5% growth. Power demand in the country for the first 9 months of FY '25 has been higher by 5% over the same period last year.

The Ministry of Power has continued to maintain its focus on monitoring capacity addition and strengthening overall power infrastructure. Already, 28 gigawatt of thermal capacity is under construction and about 40 gigawatt is under planning and tendering stage. In addition, 40 to 50 gigawatts of renewable capacity is to be added every year till 2030. This additional capacity is expected to increase sell-side liquidity on the exchanges in the coming years.

On the fuel side, there has been ample availability of coal this fiscal. At 726 million ton, coal production for the first 9-month period from April to December FY '25 has been higher by 6.1%
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compared with the same period last fiscal. Coal is available at a nominal premium of 10% to 20% under the Shakti B8 auction and coal inventory today stands at a healthy 19 days. Imported coal prices in Q3 have also been competitive at \$50 per ton.

To meet the growing demand for power, MoP also made adequate provisions to ensure availability for the winter months by extending Section 11 directive to imported coal-based power plants to operate at full capacity up to 28 February 2025. These imported coal-based assets should support liquidity on the exchanges.

Gas price at \$14 per MMBtu, however,

has seen a slight uptick in Q3 compared with \$12 per MMBtu in Q2 due to onset of winters and continued geopolitical issues. Adequate availability

of fuel in this quarter led to higher liquidity on the exchange platform as sell quantum increased by 62% on a Y-o-Y basis, leading to softening of the prices. For Q3 FY '25, prices in the Day Ahead market averaged at INR3.71 per unit, a decline of nearly 26% on a year-on-year basis. As prices remain competitive, DISCOMs and Commercial & Industrial consumers continue to have an opportunity to meet their demand at competitive prices and optimize their power procurement costs. With these trends, volume growth is expected to continue going forward. Let us now talk about important regulatory updates and policy initiatives during the quarter that helped deepening of the power markets.

Under the amendments to late payment surcharge, LPSC rules, generating stations which have long-term PPA can now offer un-requisitioned power in the Day Ahead market as well as the Real-time Market segments. Recent amendments in the LPSC procedures has now also brought the State government-owned generating stations under its ambit, mandating them to offer URS power on the exchange platform. This is expected to further increase liquidity of the exchanges. The Deviation Settlement Mechanism, DSM regulation 2024 is work in progress towards renewable integration and grid stability. Under the proposed amendments, deviation charges are again linked to grid frequency. With regards solar and wind generators, deviation percentage allowed for levy has been narrowed to 10%. This is expected to help increase RTM volumes at exchanges.

With regards the carbon market, CERC issued draft procedure for trading of Carbon Credit Certificates for both obligated as well as non-obligated entities through power exchanges. This will result in trading of Carbon Credit Certificates on IEX in the near future.

IEX business performance during Q3 FY '25 has been robust. At 30.5 billion units, electricity volumes for the quarter were 16% higher on a year-on-year basis. For the first 9 months of FY '25, electricity volume at 89 billion units were higher by 19% Y-o-Y basis. In Q3, a total of 26.5 lakh renewable energy certificates were traded, a jump of 31% over the same quarter last fiscal. REC trading volume touched 110.6 lakh certificates for the first 9 months of FY '25, a rise of 158% over the same period in FY '24.

The RTM segment continues to demonstrate strong growth. For Q3 FY '25, RTM volumes were higher by 30% Y-o-Y at nearly 9.3 billion units, showcasing its critical role in helping DISCOMs

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as well as open access consumer efficiently manage their short-term electricity requirements. For the first 9 months in FY '25, 29.3 billion units were traded in this segment, a growth of 29% year-on-year basis. RTM's ability to offer flexibility and immediate responsiveness highlights the opportunity to efficiently integrate renewables with the grid.

With regards the Green Market, in Q3 FY '25, volume rose over 300% to nearly 2.5 billion units, compared with Q3 FY '24.

While we continue to await approval from CERC for our long duration contracts of up to 11 months, the hearing of our petition on the Green RTM segment was held recently by the CERC. As per the commission's direction, we have sought public comments on our proposal.

Green RTM would provide an opportunity for RE sellers to avail price premium over conventional power and allow buyers to avail green attributes of electricity. This segment shall also help reduce deviation exposure due to weather events by providing an avenue to trade green power one hour in advance.

Let me now summarize the financial performance of the company in this quarter. On a consolidated basis, revenue for the company

grew 13.7% on a year-on-year basis in Q3 FY '25, increasing to INR160.5 crores from INR141.2 crores in Q3 FY '24. Consolidated PAT increased by 16.9%, rising to INR107.3 crores in quarter 3 of FY '25 compared with INR91.8 crores in quarter 3 of FY '24.

For fiscal year 2025, the Board of Directors of the company announced an interim dividend of INR1.50, equivalent to 150% of the face value of equity shares.

IGX traded volume of 162 lakh MMBtu for Q3 FY '25 compared with 84 lakh MMBtu traded in Q3 last fiscal. In the first 9 months of FY '25, IGX traded volumes of 398 lakh MMBtu, higher by 24% over the same period in FY '24. The profit after tax for IGX for Q3 FY '25 came in at INR8.3 crores compared with INR7.4 crores in Q3 FY '24. For the first 9 months of FY '25, IGX recorded a PAT of INR22 crores, higher by 18% compared with the same period last fiscal.

Renewables, development of new market models in the form of battery storage arbitrage, firm and dispatchable renewable energy, FDRE, or virtual power purchase agreement, VPPA, is slated to be the future driver of India's power market, eventually pressing a successful energy transition. In a recent SECI tender, the price of INR3.52 per kilowatt was discovered for a 2,000 megawatt solar with 1,000 megawatt or 4,000 megawatt hour energy storage requiring 4-hour discharge for one cycle a day.

Storage prices are already competitive to make a promising case for market development and provide enough arbitrage to make it commercially viable. Rates under the VGF scheme have also declined. Visibly, battery storage remains poised to improve liquidity during non-solar hours and help meet the power demand.

Further, the government recently reiterated its plan for setting up India's first coal exchange in the calendar year 2025, details of which are being worked out. The draft note for the cabinet for Indian Energy Exchange Limited

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setting up a coal exchange has already been circulated for interministerial consultations. The exchange is expected to work under the supervision of coal control organization.

With the CEA forecast of peak power demand of 458 gigawatt by 2032, power consumption growth will continue to drive exchange volume growth. Government's effort to facilitate the path of energy transition shall continually support market development. As India marches towards achieving its net zero target, there is bound to be a growing role of power exchanges in the country's energy landscape and IEX shall continue to be part of this journey.

Thank you, and now we can move towards question and answers.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Mayuresh M, individual investor.

Mayuresh M: Okay. My question was, what is the current revenue breakdown for IEX, IGX, ICX and coal trading in terms of numbers and in terms of percentages?

SN Goel: Yes. I'll request Mr. Vineet Harlalka, our CFO, to respond to this.

Vineet Harlalka: So, if you look at the overall numbers for IEX, IEX stand-alone PAT was at INR103 crores, which was higher by 15.5% on a year-on-year basis, quarterly basis, and on consolidated PAT was INR107 crores, which was almost 17% higher than the previous year. The IGX stand-alone PAT for the quarter was INR8.3 crores, which was higher by 13% in the corresponding period from the previous year i.e. quarter for the previous year. And ICX during this quarter made a profit of INR20 lakhs against a loss of INR1 crore during quarter 3 of financial year '24.

Mayuresh M: And how about coal trading?

SN Goel: Coal trading, nothing has started. Coal exchange is still on paper. And only after approval by the government, they will decide who will do, when it will start. There's no clarity on that.

Mayuresh M: Okay. All right. Understood. And what is the expected growth? Or what are the expected

revenues for the next 1 or 2 years, say FY '26 and FY '27 as a whole? And also for the sub-companies like IGX, ICX?

SN Goel: See, as far as IEX is concerned, it is difficult to make any projections. I mean, since it is a technology platform, it all depends on growth in demand and supply. But looking at what we have achieved in the last 4, 5 years, I think a number of 15%, 20% growth is definitely achievable.

In case of gas exchange, at present, it's a challenging business environment wherein gas prices are very high. These are in the range of \$14, \$15. And at these rates, gas affordability is not there in India. Gas consumption is not increasing at the rate at which it was expected to increase.

But it is expected that in 2026-27, there are many liquefaction terminals which are under construction in the countries where gas is available, and that will increase the gas supply in the world. And gas prices are expected then to come down to almost about \$8, \$9. And if that

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happens, I'm sure gas consumption in India will increase and gas exchange should also see a jump in the volume growth. But it's difficult to make any projections at this stage now.

Mayuresh M: Yes, yes, I understand that. And for IEX, considering the fact that the government is promoting a lot of investment in new renewable technologies like wind and solar energy, and we have made a lot of progress in the past 3 years and also, we will be making a lot of progress in the coming years in terms of installations and capacity, do you think that would help IEX to increase its volumes by more than 15% maybe after 2, 3 years when this capacity will come into operation?

SN Goel: Yes, that should definitely help. Because what we have seen is that when there is good supply, the clearing price on the exchange reduces. And with that, if the clearing price reduces, it provides opportunity to distribution companies to optimize their power procurement cost and also to industrial consumers to optimize their costs. So definitely, the volume will increase further. But again, it's difficult to make projections for the future growth.

Mayuresh M: I understand. So the profitability, I would say, is inversely proportional to the cost. So, or you can say the volumes are inversely proportional to the cost. If the cost of electricity or gas, reduces, the volumes will increase as the companies will try to buy them from exchanges rather

than their normal contracts, which they have signed for a higher cost, right?

SN Goel : Yes, you're right.

Mayuresh M: Okay. But if the demand also increases with the supply, then maybe this might not be the thing that we are expecting, the cost to reduce? It may not happen?

SN Goel : When demand increases and supply doesn't increase, or commensurate supply increase doesn't happen, then the rate increases. And that puts a lot of pressure on the distribution companies. So, it is good when both demand and supply increase, then we really see a jump in the volume increase.

Mayuresh M: Yeah . Okay. Quite understood. Thank you very much for answering my questions and good luck.

Moderator: The next question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: Good Afternoon Sir . My first question is, you've had very strong volume growth on the collectives - Day Ahead Market , and RTM. Has that been accompanied with an overall increase in market share also as of 9 month FY '25? If you could give us the data.

SN Goel : In the electricity segment, we are maintaining a market share of around 84%. And that was the trend last year also. And this year also, we are maintaining the market share at the same level.

Sumit Kishore: Okay. And what would be your market share in the REC segment?

SN Goel : REC segment, I think the market share is about 60%, 65%. But then REC , is not counted as far as the market shar

e is concerned. REC is done twice in a month. And the revenue stream also for REC, we have reduced the fees. So electricity market is basically the main market as far as Indian Energy Exchange Limited
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the market share is concerned. In any case, in electricity, our market share is 84.5% and in REC, it is about 60%.

Sumit Kishore: Okay. And within that, for the TAM, including DAC, your market share is still around 40% or So?

SN Goel : Yes. I mean, RTM and DAM is practically 100%. And rest of the products, it is about 35%.

Sumit Kishore: The second question is, in the opening remarks, it was mentioned about the new products and the regulatory developments. So this trade up to 11 months for TAM, how soon can this materialize? And similarly on the Green RTM front, what is the stage of progress? So if you could break up the LPSC rules, Green RTM and TAM and the time lines over which you expect these to materialize and the volume uptick they can translate into?

SN Goel : 11-month contract hearings were complete, order is reserved. So it depends on CERC, but then the hearings were complete a couple of months back. So we are waiting that order. As far as volume in the 11 months contract is concerned, again, it is difficult to say because we already have 3 months contract and distribution companies normally purchase power on a seasonal basis.

Only thing is there are a few distribution companies who purchase power maybe for the month of June to September, maybe 3, 4, 5 months in advance. So maybe that kind of opportunity, if 11 months contracts are approved, we can get that opportunity also on the exchange platform.

So that may not be very significant, but then we are awaiting CERC order's approval on that.

Green RTM, the petition was admitted. We have posted the petition on the website for public comments. Thereafter we will respond to CERC also on those comments and CERC will then have a hearing. It will take some time, maybe a couple of months, 3, 4 months, it may take.

Sumit Kishore: Okay. And in LDC right now, what kind of volumes have you seen in the 9 -month period? And what has been IEX's share?

SN Goel : Our volumes, total volumes for all the three exchanges in LDC has been about 18 billion units and our share is about 38% in that.

Sumit Kishore: So 18 billion units, because this number, I think, was just 5.2 billion units as of first half. So there has been a big uptick in LDC in third quarter?

SN Goel : So, this number is Term Ahead Market and GTAM taken together. It is TAM segment and G-TAM segment number is...

Rohit Bajaj : So 5.8 must be for IEX...

Sumit Kishore: Okay, okay. Yes, yes, yes, it's for IEX.

Rohit Bajaj : This one is for the market -- together. For IEX alone, this number is 7.1 billion.

Rohit Bajaj: 7.1 billion.

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Sumit Kishore: Okay. Just one last question, an update on how, if at all, market coupling is, the study etcetera and events are panning out?

SN Goel : No update. CERC had issued order in the month of February for simulation of the different market segments and submit the report with CERC, report is awaited.

Sumit Kishore: So that shadow pilot study, etcetera, is done? Or...

SN Goel : No, shadow pilot report is awaited. So only when they submit the report, CERC will take a view thereafter.

Sumit Kishore: So, in terms of timeline, you think that this can keep getting delayed and for how long?

SN Goel : This was to be submitted in the month of July, and we are now in the month of January of next year. So already 6 months are over. So let's see.

Moderator: Our next question comes from Rushabh Shah from Buglerock PMS .

Rushabh Shah: Sir, my question is, in one of the calls, you mentioned that even if coupling happens, we will be able to defend it and defend the market share. Could you please explain in

detail how would you

do that? What measure will you take to defend your share?

SN Goel : Your question is not clear. Can you repeat the question?

Rushabh Shah: In one of the calls, you mentioned that even if coupling happens, you will be able to defend your market share. So can you explain in detail?

SN Goel : No... no.... I don't think we have ever said that in case of coupling we will be able to maintain the market share. What we always say is that even in case of coupling, we are doing a lot of customer -centric activities to ensure customer loyalty, and we should be able to retain a significant market share.

Rushabh Shah: Okay. Next question is, as you said that on the sell side, you have thermal generators who are registered with you. So what do you do for engaging more and more customers on our platform?

Are there any incentives you offer for both buy side as well as sell side?

SN Goel : Getting customers on the exchange platform, today, we have all distribution companies registered with us, all large generators, captive generators, they're all registered with us .

Renewable generators, they are all registered with us. So there is hardly any generator in the market who is not registered with us. We have practically more than 400 generators who are registered with us. So all major sector participants are already registered.

Rushabh Shah: Okay. So practically speaking, 90%, 95% of all of them are registered on IEX?

SN Goel : Yes, yes, yes. Not only registered, they are participating in the market also.

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Rushabh Shah: And sir, my last question is the REC market in India, which is a compliance market, so which type of companies have to take these certificates for compliance? And is it important for them to purchase these certificates?

SN Goel : See, one is that distribution companies have to meet their RP obligations, which is specified by Government of India and the State regulators. So , there are many States who do not have renewable power with them. So , they purchase RECs to meet their RP obligation.

Then there are industrial consumers who have captive generation capacity. So they have to also meet the RP obligation and also purchase certificates. There are many steel plants, cement industries, aluminum industries, who have large captive generation capacities with them. So they also purchase RECs. Then there are many open access consumers who buy power from the market. So they also have to meet the RP obligation, and they also purchase the certificates.

Rushabh Shah: Okay. And my last question is what is your vision for IEX in the next 5 years? What are the top 3 priorities for the last 4 to 5 years?

SN Goel : My vision is to provide a robust, reliable technology platform so that all market participants can do trading through this. And the numbers will depend on the demand and supply growth in the country because demand growth is not something which we can create. It is a function of demand and supply. And we will not like to give any projections on the numbers.

Rushabh Shah: No, sir, I don't want the projections, nothing on the projections. Just your vision and the priorities for you.

SN Goel : Vision I told. I mean, a growth of 20% is something which we are targeting.

Moderator: The next question comes from Yashodhan Nerurkar from Ionic Wealth.

Yashodhan Nerurkar: Thank you for the opportunity. So, one question that I had was in terms of the Contract for Differences . So most of the PPAs which are coming in the renewable space, right now, there's some delay from the...

SN Goel : Your voice is not clear. Can you put the question slightly slowly?

Yashodhan Nerurkar: Just a second. Hello, is it better now?

SN Goel : Yes, yes, better now.

Yashodhan Nerurkar: Yes. So what I was saying is I was asking in terms of your volume. So something like a Contract for Differences , w

ould that make a big difference in terms of increasing the volumes, at least in the renewable space where we are seeing most of the PPAs, there's a delay in signing by the DISCOMs because the prices are consecutively dropping. So would CfD be the ideal solution for you to boost the volume?

SN Goel : We are working on this with the Government and renewable generators, but so far, they are not willing to set up the capacity without the PPA because one of the problems which they are facing is that the banks are not willing to lend without the PPA. But definitely, there are alternate Indian Energy Exchange Limited
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mode Is of transactions which has been worked out like virtual PPAs . Some of the MNCs are working on that also and Government is also thinking about that. So that will definitely bring more liquidity in the market and should give a boost to the volume.

Yashodhan Nerurkar: So at least there's some thought given to it in terms of increasing the liquidity at least in the renewable space to increase the adoption of it. So that's the whole purpose behind it

SN Goel : Correct.

Yashodhan Nerurkar: And secondly, I just wanted to understand. So , most of the solar parks that we are seeing currently, there, I mean, it is suggested that it should come along with a battery pack , like a storage battery. So does that reduce the variability of the energy demand? Because I think there is this concept of net metering, where most of the power is traded in the short term like power market. So with battery storage coming into picture on a larger scale, would that variability be reduced? And does that reduce the volumes in the exchanges?

SN Goel : Wherever battery is coming, that battery, most of the generators are setting up additional capacity for charging the battery and supplying that additional power in remaining hours. So battery will ensure availability of larger power during the non -solar hours also, and that is good for the market.

Yashodhan Nerurkar: Okay. So that extra power, which is getting generated through , I mean, dispatched through the battery, even that could be a part of the short -term power market like through the exchanges?

SN Goel : You are right.

Moderator: The next question comes from Bharani from Avendus Spark.

Bharani: Yes. Okay. So my first question is on sustainability of this growth that we have seen in this 9 months period for FY '25. We have, of course, seen 16%, 17% electricity volume growth when the market has grown at 5%. And my first question is what proportion of this incremental growth or extra growth over and above the country's growth is due to the price drop?

SN Goel : See, the demand growth in the country has been in the first 9 months, 5%, precisely 4.8%, and our electricity volume growth has been 19%. And though there is no direct correlation between the demand growth and our electricity growth but based on the last 10-years data, we find there is a correlation of about 2.5 to 3x.

So 5% growth in demand should give, let's say, a volume growth of 15% on the exchange platform. But this year, volume growth was better because supply side, there was a lot of improvement, and coal prices also were low. Imported coal prices were also low and Government of India also took many initiatives to ensure availability of power. So as a result of all these things, our clearing price also reduced, and that resulted in extra volume on the exchange platform.

Bharani: Okay. Understood. So like any idea of the growth if it were not for the price drop ?

SN Goel : It is very difficult to segregate like that .

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Bharani: Yes, the corollary question to that is do you expect this growth to sustain in FY '26 because prices have dropped to Rs 3.5/unit. And then we may not see growth over and above the base power demand like 5%, 6% in 20

26. Or if it is going to be again 15%, why would that be again on a base of this year?

SN Goel : See if the Indian economy has to grow at a rate of 7%, 8%, then power demand in the country has to definitely grow at a rate of 6%, 7%. And if that happens, we are quite confident that we will be able to achieve a growth of 15% to 20%.

Bharani: Perfect. And how much was the open access customer as a proportion in this first 9 months, it should have increased compared to last year?

SN Goel : Yes. Open access percentage was about 13%. And distribution company purchase was about 87%.

Bharani: Okay. And last year, it must have been very less, right?

SN Goel : Pardon?

Bharani: Last year, it must have been very less.

SN Goel : Yes. Last year prices were higher, so the number was lower.

Bharani: My last question , to just complete the loop on the market coupling discussion. Now you had, of course, mentioned we are awaiting the results of the pilot study. But exactly where is the process right now? Is the software ready? Has the testing or the simulation started? Have the exchanges started giving the data for the simulation?

SN Goel : We have been giving the data from the last 1 year. Grid India is doing the simulation. So we do not know when the report will be submitted. I think Grid India, when they , or once the software is developed, they will have to test the software also only after that, they will do the simulation and then submit the reports to CERC.

Moderator: The next question comes from Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Good Afternoon Sir. And congratulations on a good set of numbers. Sir, my first question is basically, if we see the volume growth in the quarter, and I'm talking about sequential growth, we see that the DAM segment has seen a 17% growth on a Q -o-Q basis, while RTM has seen a 13% decline. Now is there any particular reason why we have seen a decline in the RTM because that has been structurally growing quarter after quarter. And this quarter, we are seeing this anomaly.

Rohit Bajaj: See what happens is in case of RTM, energy mix also plays a very important role. So when we compare , or when we are comparing Q3 vis -a-vis Q2, Q2 is the time when we have lots of wind generation in the country, lots of hydro generation in the country and overall renewable proportion is very high. More the renewable proportion, more is the intermittency.

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So these months, normally, you will find Q2 particularly starting from May going up to September, October, these are the times when generally , there is a historical data also available where you can see that real -time market numbers are much, much better during these months . They are very high.

And particularly in the Q3 quarter when the overall renewable proportion is so low, we see there is some drop in the renewable side, on the RTM side. But if we look at collectively , both RTM as well as DAM market, then you will see that collective segment overall has grown.

Devesh Agarwal: Right, Sir. Right. And secondly, Sir, if we talk about the DAM segment per se because you have seen an overall decline in the clearing prices, and I think these are at a 2.5 -year low. Is there a way to quantify what would be the replacement demand that you have seen in this quarter?

SN Goel : Replacement demand is difficult to quantify. But we have seen active participation of distribution companies. And what happens, when the prices are low, distribution companies don't get into bilateral contract, and that demand comes to the market. So , we have not quantified that, and it's also difficult to do that.

If we compare what was the bilateral transactions last year and what is the bilateral transactions this year, what

is the difference in that, maybe something we can work out from that way. But otherwise, what we find is definitely that purchase by distribution companies has increased. It is, it has increased because of the demand growth and also because the prices were low.

Devesh Agarwal: Right, Sir. And Sir, one final one. All the new opportunities that you mentioned, be it your energy storage solution or firm dispatch RE, or even the virtual PPA, have any of this started to contribute on the exchange volumes? Or is there any expectation as to how much can come through these different opportunities in FY '26?

SN Goel : Virtual PPAs , what we understand that there are 2 MNCs with whom there are virtual PPAs. So maybe that capacity, what is the capacity, Rohit? Maybe you can respond to this question.

Rohit Bajaj: So as per our estimate, we are getting close to 300, 400 -megawatt already on our platform, which is actually coming from VPPA. There are certain VPPAs which are there in place. And they have this generation during the solar hours and they are selling it.

As we have done some more assessment internally, where we are seeing that, let's say, by end of this fiscal, we are expecting up to 2 gigawatts of total renewable sell potential, which will be there and which has potential to participate in our spot markets. And this would be not only VPPA, it would be some merchant capacity also.

Devesh Agarwal: This 2 gigawatt is just the virtual PPAs or it's including your energy storage?

Rohit Bajaj: I'm talking about total renewable capacity. This would include virtual PPA also, and this will also be , there would also be certain merchant plants, certain disputed PPA plant. Everywhere , where they are not supplying under long -term PPA, this would be the total thing that we are expecting by year -end.

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SN Goel : In addition to what we did this year.

Moderator: Next question comes from Shaleen Kumar from UBS.

Shaleen Kumar: Congrats on a good set of numbers, Sir. I know you have kind of answered this question, but just again, to pick your thought process here. Sir, on the long -duration side, there is some update as well. So two parts to it. One, should we consider that on the Green side, if there is a kind of -
- we have received a positive signal from CERC, it's an indication that things should move swiftly on the long duration as well? And if that happens, what's your best guess, I think for a guess, for an estimate, that this could happen in what time frame, both the things?

Rohit Bajaj: So there are, 2 things. One is Green real -time market, second is a long duration contracts up to 11 months. Green real -time market, as Mr. Goel has just explained, all the first hearing has happened, petition has been admitted, consultation process has started. So our expectation is, let's say, next 2 to 3 months' time we should get something positive from the CERC then we would be in a position to launch this.

As far as longer duration contract is concerned, this hearing got completed about 8, 9 months back. So we are awaiting this. If you ask me to guess, again, I would say, 3, 4 months, we should be able to launch that as well.

Shaleen Kumar: All right. So most likely in 3 to 4 months, we'll be able to launch this. And this will roughly, if my understanding is right, roughly open up almost a 40 billion unit market for us?

Rohit Bajaj: Absolutely. So if we go by last year numbers, it's total potential that exists is about 40 billion units. And in a phased manner, exchanges should be able to capture that.

Shaleen Kumar: Right. Sir, I'd also like to touch base on one more question over here, right, which everybody has been discussing about. But again, I want to go a little deeper on the coupling side, right? And I'd like to have a little debate

here. So, coupling, I think, came or was introduced along with MBED, right? Now while we are talking about coupling why we are not talking about MBED, that's one front. Is it coming up in any of your discussions?

Second, again, logically, again here, I'm looking for your views. Does coupling have any merit, in your view? And if in any of your discussions with the regulators, this kind of discussion is arising and what are you thinking about it?

SN Goel : Yes, say, number one, MBED, discussions happened on this right from 2018. It was in the discussion for almost about 4 years. But under the MBED, say, today, we have, if you look at the scheduling mechanism, we have a decentralized scheduling mechanism.

Each of the State, they have their power purchase agreements. They have their allocations from the Central generating stations, and they do scheduling of that. And there are the renewable s also. They do scheduling of all these renewables and thermal power plants. So it is their responsibility to manage the demand and supply within the State.

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Under MBED, the scheduling is done at the Centralized level. So States are reluctant in giving their rights of scheduling. This issue was discussed with many of the States and there was a lot of reluctance on the part of the States. That is why what we understand is that MBED has been dropped. It is not being considered now.

As far as coupling is concerned, I mean we have said very clearly that there are no merits in coupling. In the past, we have mentioned about it. We have also made our submissions to CERC on the staff paper that why it is not desired and why coupling should not happen because this will kill the institutional framework of this market, power exchanges.

This will kill innovation, this will kill competition in the market. And that is why the regulator has issued the staff paper for simulation of the data, and they want to take a decision based on the simulation results that if there is actually a merit in the case that has benefit to the consumers, maybe they will consider this. Otherwise, they may not consider this.

Shaleen Kumar: But do you think that there can be, because I don't understand it is not a market coupling, it's exchange coupling, right? Earlier, the thesis was a market coupling. There are no markets to couple here. So the whole thesis...

SN Goel : I Agree with you, it's a misnomer. But whatever it is, whatever it is. So regulator will probably take a view based on the simulation results.

Shaleen Kumar: Understood. But simulation results and again, going back to the same point, given your market share at least in the key product of almost 100%, how can the simulation result be any different?

SN Goel : Again, I agree with you. If you look at the order of CERC dated sixth of February in that order itself, CERC has mentioned that if one of the exchange has a 99% market share. And as common sense, will say, coupling 99% with 1% will not lead to any benefit. So it is already there. I mean, they have also mentioned that. But anyhow, since they have issued an order for doing the

simulations for the different market segments. It is RTM -RTM , DAM -DAM and also RTM with SCED . So let's wait for that report to come.

Shaleen Kumar: Right, hypothetically, even if we say coupling happens, how easy is it to implement it? Because while we say coupling, but let's think about the challenges. Any thoughts on that?

SN Goel : There are many challenges as far as DAM -DAM, RTM -RTM coupling is concerned . Then even if it is done by the system operator, they need a software . Present software, which they are developing for the simulation is basically just for the simulation of big data. But if you have to run the market, then

you have , you need a market grade software. And that kind of a software will have to be developed, the front end of this, the back office of that, all those things will have to be done. So that will need a lot of time. And thereafter, you will have to also work out the process of physical settlement of power between the exchanges and the financial settlement between the exchanges and also have to ensure that how exchanges , the financial settlement between the exchange is ensured . Because each of the exchange will have to ensure payment to their sellers. So I think all these things will have to be worked out. So it will definitely take a good amount of time.

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And in case of RTM and SCED, if that is the option which is decided by the regulator. Then in that case, the time required will be much, much more because SCED, the algorithm is entirely different. RTM, the algorithm is different. I think we will have to first define the logic for that. That itself is a big task . And thereafter developing a software for that. And again, the physical settlement -- because there , the number of participants are going to be large because all these generating companies under the PPA, they will be also the participants and also their distribution companies. So I think that process involved in physical and financial settlement is quite complicated there. So I think time required will be much larger there. It could be even 2 to 3 years.

Shaleen Kumar: Got it, sir. So basically, in nutshell, we are saying there's a lot of investment, manpower, right technology, etcetera, is required to do this. And so this should only happen when there is a very, very strong merit for this?

SN Goel : Yes. Sure. Definitely. Regulators also will take all these points into considerations while taking a decision.

Moderator: Next question comes from Karan P. Gupta from CAVI Capital.

Karan P. Gupta: Thank you for the opportunity. Just a quick question, Sir. Can you just talk about the difference between volume growth and revenue growth in the last quarter . I noticed volume growth is about 16% and revenue growth was about 2.5% lower than that. So if you could just talk about that briefly, why that difference?

SN Goel : Yes. In some of the products, we are also giving incentive to our partners. So it is , the difference is because of that.

Karan P. Gupta: Is this incentive something that started recently? Because I haven't noticed a similar difference in past quarters. So ,and how do you see this going ahead? Is this because of competition that's happening in the market or to grow the market as a whole? If you could just start about that, please?

SN Goel : Yes, in the Term -Ahead -Market and REC market segments because of the competition between the exchanges, if they are giving incentives, we have to also match that. Otherwise, we will lose market share.

Moderator: The next question comes from Manthan D Patel from Patel Investments.

Manthan D Patel: So there are two questions. First thing I want to know, is there any learning curve involved in, while basically running front -end operations on your platform?

SN Goel : I'm not able to hear you clearly.

Moderator: Manthan sir, may we request to use the handset mode if you are using the speaker mode, please.

Manthan D Patel: Hello? Are you able to hear me?

SN Goel : Please go ahead. Let me try.

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Manthan D Patel: Yes, yes. So I want ed to know, is there any learning curve involved while using your platform like, I mean if a novice or any new participants want to trade energy?

SN Goel : Okay. I got it now. I mean, whenever

any new participant, he becomes a member or client, we definitely do the handholding. And our market operation s team person explains to him how we can do the , submit the bids and what kind of data is available for his decision -making. And also, you know there is an IEX Academy where you can get all kind of details about the electricity market, power market, and you can understand the different rules, regulations under which the power market is operating.

Manthan D Patel: Okay. And sir, relating to first question, like I mean other exchange, will have other kind of system. Is my understanding correct? Like both systems won't be same. So , if a particular user is comfortable with IEX, I mean is there any incentive to shift and learn the new platform?

SN Goel : We are not able to hear you properly.

Manthan D Patel: Can you hear now?

SN Goel : Your voice is loud, but your line is not clear, Sir. Please send me an e-mail, send an e-mail to Aparna Garg we will respond to your questions.

Moderator: The next question comes from the line of Gopinadha from PNR Investments.

Gopinadha: Sir, my question is already answered , thank you .

Moderator: The next question comes from the line of Ankit Kanodiya from Smartsync Services .

Ankit Kanodiya: Congratulations on good set of numbers. Just one quick clarification on the market coupling things which you answered to a couple of participants. That shadow coupling is already done, and we are waiting for the report or it has not yet been done. The government has not yet completed the shadow coupling?

SN Goel : We do not know whether the shadow coupling simulation has been done or not. Yes, we are giving the data and we are not getting any feedback about the simulation details.

Ankit Kanodiya: Okay. That was very helpful, Sir. And Sir, second point is , second question is related to the transaction income which we make, that is the bulk of our basically revenue in IEX. So how has been the transaction price mechanism in the past? And how do we see that going forward? And how much of government's influence is there in that?

SN Goel : Government influence on transaction fees?

Ankit Kanodiya: Yes.

SN Goel : See, from 2008 to 2021, there was no regulation for regulation of transaction fees. Exchanges were free to charge a transaction fees which they feel right. And we have been charging this INR0.02 on either sides from 2011 onwards, and we have kept it constant thereafter. Then in 2021, the new regulation s came , and there also CERC specified a transaction fees of INR0.02

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on either side. And subsequently, product -wise, we have filed petition and those petition s also have been approved with INR0.02 on either side.

Ankit Kanodiya: So is it fair to assume that you don't foresee any risk on this angle going forward?

SN Goel : Yes, yes. I mean, these kind of approvals don't happen every day. So once CERC has approved that, and I feel that this approval should hold good for at least 5 years.

Moderator: Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to the management for closing comments.

Rohit Bajaj: Thank you, Friends. I would like to thank each one of you for being part of today's call. We have had a good first 9 months for this fiscal on the business front. We have witnessed several efforts announced by the government and regulators to further develop our markets in the country. We remain committed to contribute to the development of a sustainable and efficient energy future for India. Have a wonderful evening. Thank you.

Moderator: Thank you. On behalf of Indian Energy Exchange, that concludes this conference. Thank you

for joining us. You may now disconnect your lines.

Call: Apr 2025

Indian Energy Exchange Limited

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Dated: April 30, 2025

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on

April 25, 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on April 25, 2025, to discuss the financial results of the Company for the quarter ended March 31, 2025.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited

Q4 FY '25 Results Conference Call"

April 25, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR – INDIAN ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY – INDIAN ENERGY
EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD OF MARKET OPERATIONS ,
NEW PRODUCT INITIATIVES AND EXCHANGE
TECHNOLOGY – INDIAN ENERGY EXCHANGE LIMITED

MS. APARNA GARG – HEAD, INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS – INDIAN
ENERGY EXCHANGE LIMITED

MR. ADITYA WALI – INDIAN ENERGY EXCHANGE
LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Limited Q4 FY '25 Earnings Conference Call, hosted by Axis Capital. As a reminder, all participant lines will be in

the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital. Thank you, and over to you, sir.

Rohan Gheewala: Thank you, Manav. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q4 FY '25 earnings conference call . We have with us the management team of IEX, which is represented by Mr. S.N. Goel, Chairman and Managing Director; Mr. Rohit Bajaj, Joint Managing Director; Mr. Vineet Harlalka , Chief Financial Officer; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you, and over to you, sir.

Rohit Bajaj: Thank you. Good evening, friends. I welcome you all to the IEX earnings call for Q4 FY '25. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka: , CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations and Exchange Technology ; Ms. Aparna Garg, Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali.

Friends, the Indian economy continues to be the world's fastest -growing major economy with a robust Q3 -GDP growth of 6.2%. According to the second advance estimates released by the National Statistics Office, India is expected to end FY '25 with a growth rate of 6.5%. As per the RBI, various high -frequency indicators of economic activity point towards sustained growth momentum in Q4. For the new fiscal, the Metrological Department has forecasted an above normal monsoon of 105% of the long -term average, potentially boosting the agriculture sector and pushing economic momentum. Even with current uncertainty in global trade, the IMF expects the Indian economy to grow at 6.2% in FY '26 and continue to remain the fastest growing among the world major economies.

On the power sector front, electricity consumption during Q4 FY '24 recorded 415 billion units, which is an increase of 3.7% on a year -on-year basis. States such as UP, Maharashtra, Gujarat, MP, Rajasthan, Karnataka and Tamil Nadu remain ed drivers of demand during this quarter. According to data released by CEA for FY '25, India 's electricity consumption increased 4.4% year-on-year to 1,694 billion units. In preparation of yet another summer of peak power demand, the MoP has initiated policy measures to ensure adequate supply. The directive of imported coal -based generators under S ection 11 has been extended until April 30, 2025.

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It is likely that MoP may further extend the directive under Section 11 for the remaining crunch period and gas -based power plants have been made available to run during this period. To address the trend in rising peak demand, the government has been working to facilitate thermal capacity addition of nearly 80 gigawatts by 2032.

The capacity addition of 29 gigawatt is under construction , with 11 gigawatt expected to be commissioned in less than a year. The government has also awarded 19 gigawatt of new coal -based thermal capacity and a further 36 gigawatt of capacity is in various stages of planning, clearances and bidding.

In FY '25, India added a record 34 gigawatt of power capac

ity, led by 29.5 gigawatt of renewable

energy. India's total installed renewable capacity now stands at nearly 220 gigawatt. The government's target is to achieve 500 gigawatt of renewable capacity by 2030. This energy transition would also require efficient integration with the grid.

A key enabler in achieving this is the availability of energy storage technologies. With the potential of about 181 gigawatt of pumped storage projects, the government has set a target of adding 35 gigawatt PSP capacity by 2032, of which 6 gigawatt is under construction.

To develop Battery Energy Storage System, BESS, the government has implemented the viability gap funding mechanism, which provides up to 30% of the capital cost for various BESS projects. Under this proposed model, BESS -based storage of 9 gigawatt is to be made available by 2027 and eventually scaled to 47 gigawatt by FY '32.

The decreasing cost of BESS globally and in India has been driving its financial viability and adoption. Earlier this month, Karnataka Power Transmission Corporation, KPTCL, discovered a low price of INR2.49 lakhs per megawatt per month for a 500 -megawatt 2 -hour, 2 -cycle tender under the VGF model.

Further, a few days back, in the without VGF category, GUVNL discovered a price of INR2.8 lakhs per megawatt per month for a 500 -megawatt 2 -hour, 2 -cycle tender. This is much lower

than last year's discovered price of INR3.72 lakhs per megawatt per month for GUVNL 250 - megawatt tender.

BESS would be able to deliver electricity during peak hour demand and help efficient integration with the grid. As discussed in our earlier interaction, one of the avenues for charging and discharging of BESS is through power exchanges, and this would increase liquidity on the exchanges.

On the fuel side, we remain in a comfortable position. For FY '25, coal production grew 5% year-on-year basis to 1,048 million tonnes while coal dispatch to the power sector rose to 843 million tonnes, which is higher by 5.9% year-on-year basis.

For FY '25, imported coal price closed the year at less than \$50 per ton, lower by nearly 11% over FY '24. Imported gas prices for FY '25 remained near \$14 per MMBtu, similar to the price discovered in the previous financial year. Coal price premium under SHAKTI B 8

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scheme has also come down between 10% to 20% and coal inventory on 31st March 2025 stood at nearly 23 days. This is the highest over a few years. Overall, the fuel situation has remained stable throughout FY '25.

On the exchange front, sell-side liquidity increased by 23.5% on a year-on-year basis in Q4 FY '25 and by nearly 36% throughout FY '25 compared with FY '24. The average market clearing price in the DAM segment during Q4 FY '25 period was INR4.43 per unit as compared to INR4.88 per unit in Q4 FY '24. This is a decline of 9% on a year-on-year basis.

During the year, DAM prices declined from INR5.25 per unit in FY '24 to INR4.47 per unit in FY '25. That is a fall of nearly 15% over the year.

The overall short-term market in India remains stable. According to data from CERC up till December 2024, the short-term market accounted for 15% of the country's generation in FY '25, similar to the number in FY '24. However, within the short-term market, the share of power exchanges has grown to 9% of overall generation from 7% in FY '24. This is an encouraging trend and points towards the crucial role exchanges are playing in the power market.

Let us now talk about the noteworthy regulatory updates and policy initiatives for Q4 and FY '25 that continued to be conducive for power market development.

Under the amendments to the late payment surcharge, LPSC rules, generating stations which have long-term PPA can now offer un-requisitioned power in day ahead market, real-time market and other exchange segments.

Recent amendments in the LP

SC procedure have also brought State government-owned generating stations under its ambit, mandating them to offer URS power on the exchange platform. As a result of these rules, about 100 million to 120 million units of URS power from Central generating stations has been available on the exchange platform, out of which on an average, 15 to 20 MUs are getting cleared.

Once these rules are extended to private generators as well, there would be further increase in the liquidity on exchanges.

In a draft order earlier this fiscal, the CERC proposed various changes in the design of Term Ahead Market, which will align TAM products across exchanges and help improve liquidity in this segment. The final order on this matter is awaited.

In reference to the carbon market, CERC issued draft procedure for trading of carbon credit certificates for both obligated as well as non-obligated entities through power exchanges.

Recently, Greenhouse Emission Intensity, GEI targets have been notified for 282 obligated entities across sectors.

The notification regarding this has been published by MoE FCC, the Ministry of Environment, Forest and Climate Change for stakeholder comments. This development is expected to pave the way for introduction of trading of carbon credit certificates on IEX in the near future.

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These regulatory measures improved sell-side liquidity on the exchange, helped soften power prices and supported deepening of power markets. As prices continue to remain competitive, it is expected to present an opportunity for DISCOMs, commercial and industrial consumers to optimize their power procurement costs.

In terms of business performance, IEX traded 31.7 billion units of electricity volume during Q4 FY '25, the highest ever electricity volume traded on a quarterly basis, recording a growth of 18% on year-on-year basis.

For FY '25, IEX traded electricity volume of 121 billion units, a growth of 18.7% over FY '24. In Q4, a total of 68 lakh renewable energy certificates were traded, the highest ever in a quarter, recording a growth of 108% over the same quarter last fiscal. The highest recorded REC of nearly 178 lakhs were traded for FY '25, up by 136% over FY '24.

The RTM segment continued to demonstrate strong growth. For Q4 FY '25 RTM volumes at nearly 9.7 billion units were higher by 29% on a year -on-year basis, highlighting the segment's critical role in helping DISCOMs and open access consumers efficiently manage short-term needs.

For FY '25, nearly 39 billion units were traded in this segment, a growth of 29% year -over-year. RTM's ability to offer flexibility and immediate responsiveness underlines the opportunity to efficiently integrate renewables with the grid.

Green market volume in Q4 FY '25 rose 100% to 1.9 billion units compared with Q4 FY '24.

For FY '25, the segment achieved volume of 8.7 billion units, an increase of 171% on a year -on-year basis. The segment advances integration of clean sources such as solar and wind into the grid and helps obligated entities, including DISCOMs, meet their renewable purchase obligations.

With regard other business developments, we continue to await approval from CERC on our petition to extend the Term Ahead Market contract from 90 days to 11 months. The trader market, which is presently around 40 BU s is the total addressable market for these contracts going forward.

As mentioned previously, hearing for our petition on the green RTM segment with the CERC has already been completed, and public comments on the petition hosted on CERC website have been closed.

Green RTM would provide an opportunity for RE sellers to avail price premium over conventional power and allow buyers to avail green attributes of electricity for fulfillment of their renewable purchase obligations. This segment shall also help reduce deviation exposure due to

weather events by providing an avenue to trade green energy power in one hour in advance.

In September 2024, our wholly -owned subsidiary, International Carbon Exchange, ICX, became accredited as India's first International Renewable Energy Certificate issuer. Over the last 7 months, a total of 59 lakh I -RECs were issued by ICX. I -REC is globally recognized digital Indian Energy Exchange Limited

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certificate that serves as a transferable proof of generation of 1 megawatt hour of energy from renewable sources.

This fiscal also witnessed positive movement on setting up India's first coal exchange under the supervision of the Coal Controller Organization. IEX has been working with stakeholders to explore this diversification option. The discussion paper on the proposed coal trade exchange was floated earlier in March this year. Public comments on the proposed draft are still open. The draft proposes amendments in The Mines and Minerals (Development and Regulation) Act, MMDRA, to facilitate sale of surplus coal through coal exchange. It also proposes that the exchange would facilitate sale of coal from commercial and captive mines.

Earlier in August 2024, draft guidelines for authorization and functioning of Extended Producer Responsibility , EPR, Trading & Settlement Platform for Plastic Packaging were issued by Central Pollution Control Board, CPCB.

This will help in the transparent and competitive price discovery for EPR certificates through an online platform. EPR certification ensures proper recycling, reuse, end of life disposal of waste generated from electronic and plastic products. We have filed an expression of interest with CPCB for developing the EPR trading platform.

Moving on to IGX. IGX traded highest -ever gas volume of 60 million MMBtu in FY '25, a growth of 47% over FY '24. For Q4 FY '25, IGX recorded a profit after tax of INR8.9 crores, which was higher by nearly 103% compared with INR4.4 crores in Q4 FY '24.

The profit after tax for IGX in FY '25 increased 34.3% to INR30.9 crores from INR23 crores in FY '24. As gas prices continue their downtrend, volume at IGX would pick up going forward.

Financial and business update. Let me summarize the financial performance of the company in this quarter and financial year. On a consolidated basis, revenue for Q4 FY '25 was higher by 17% at INR174.6 crores. For FY '25, consolidated revenue stood at INR657.4 crores, an increase of 19.3% on year -on-year basis.

Consolidated PAT during the quarter came in at INR117.1 crores, higher by 21.1% on a year -on-year basis from INR96.7 crores in Q4 FY '24. For FY '25, consolidated PAT was recorded at INR429.2 crores, higher by 22.3% over the previous financial year. Also, the Board of Directors of the company announced a final dividend of INR1.5 equivalent to 150% of the face value of

equity share.

Friends, according to the IMD, India is expected to experience hotter -than-usual temperature from April to June this year. Estimates are that peak demand, may cross the 270 gigawatt mark this summer compared with the last summer peak demand of 250 gigawatt.

With the CEA forecast of peak power demand of 458 gigawatt by 2032, power consumption growth will continue to drive exchange volume growth. Of the 15 gigawatt of thermal capacity expected this fiscal, there has been a shortfall of nearly 11 gigawatt due to delays in project commissioning. This shortfall is expected to be available in the new fiscal along with renewable capacity.

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In addition, policy measures undertaken by the government and regulators to ease supply side liquidity is expected to further rationalize power prices on the exchanges. We concluded FY '25 with almost 19% growth in electricity volume and remain optimistic about what lies ahead to be able to grow further in the coming year.

Power sector is undergoing changes with the development of new market models in the form of battery storage arbitrage, Firm and Dispatchable Renewable Energy, FDRE, the virtual power purchase agreements, VPPAs. These market models are slated to be future drivers to deepen India's power market and eventually ensure a successful energy transition. As India marches towards achieving its net zero targets, there is bound to be a much larger role of our exchanges in the country's energy landscape.

Thank you, and now we can have question -answers.

Moderator: We have our first question from the line of Rushabh Shah from Buglerock PMS.

Rushabh Shah : I had three questions. In the previous call, you mentioned that there are many steel plants and cement industry and aluminum industries who have large captive generation capacities with them. So they are also required to purchase the RECs ? How big could this market be in the next 4 to 5 years? What is your vision related to this market?

Satyanarayan Goel: Yes. REC compliance by the industries who have captive generation is a requirement. But unfortunately, enforcement of that is not happening at the moment. And these industries also have taken up with the government that there should be some relaxation for them because otherwise, it will increase the cost of production.

So this issue has not been resolved. As of now, as per the prevailing notifications, they have to comply with the RPO compliance requirement. And if that is implemented, the opportunity is very large. I mean we have not calculated that, but we have estimated that the existing RECs will not be able to meet that requirement. Today, we have an inventory of about INR4 crore s RECs, so even the requirement is much more than that.

Rushabh Shah: But there's no update on the notification, right?

Satyanarayan Goel: There's a notification, but then there is no penalty under the notification. So as of now, enforcement of that notification, particularly for the industries, that is not being ensured.

Rushabh Shah: Okay. Sir, as a technology platform where buyers and sellers meet, what challenges do you face in a business like IEX?

Satyanarayan Goel: On IEX platform, we don't face any challenges as far as the technology is concerned, as far as the platform is concerned. The challenges are basically the availability of power during the peak hours or the demand of the States.

Rushabh Shah: I was asking more on a business perspective, not as a technology IEX platform.

Satyanarayan Goel: Your question is not clear.

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Rohit Bajaj: Asking about the business perspective, not on the technology side of the platform.

Satyanarayan Goel: Challenges on the IEX business?

Rushabh Shah: Yes.

Satyanarayan Goel: Yes, yes, one of the challenge for the business is basically availability of power, surplus power in the market because only when the ample supply of power is there, then only the rates on the exchange platform will be reasonable.

And then also, there should be demand growth in the country. So as far as demand growth is concerned, we are continuously seeing that, yes, the demand is growing. India is a developing economy, so demand growth rates is going to be there for the next couple of decades.

But as far as supply of power is concerned, yes, in between, we face a few challenges, particularly the peak summer months, month of April and May. Otherwise, there is adequate

supply of power also and government has made necessary arrangements to ensure to meet the peak demand also. So I don't see much challenges in that.

(One challenge on the business side is) Participation of distribution companies on the exchange platform because their reliance is mostly on the power purchase agreements. So, in fact, 85% of the demand they meet through the power purchase agreement, so that is definitely one big

challenge and how to bring them on the exchange platform. And in future also, how to ensure that distribution companies don't get into the PPA, they buy more power from the market. I think this is something on which we are regularly working and doing the policy advocacy with the government.

Rushabh Shah: Okay. So my last question is, sorry to harp on this topic of coupling. So even if coupling were to happen, so why would there be customer loyalty towards IEX like customers trading on our exchange?

Satyanarayan Goel: It is because of the kind of services which we provide and the robust technology platform which we have, on which there has been no problem in the last 17 years and the financial reconciliation settlement, everything we do on time. And in addition to that, we also provide a lot of data analytics to them. So I think because of all that only the customers are staying with us. Even today also, the customers are staying because of that only. And in future also, I'm sure we will be able to retain a large part of the customer base.

Moderator: We have our next question from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good set of numbers. So my first question is how much is the volume in long-duration contract for FY '25 versus FY '24? It seems that the TAM volume overall hasn't picked up in this fiscal year. Is it the loss of market share or decline in the market overall?

Satyanarayan Goel: TAM volume, yes, there is an increase in the TAM volume. TAM volume on IEX platform were about 10 billion units. Year before that, also, it was about 10 billion unit. So almost the same number.

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Rohit Bajaj : So what has happened this year is, earlier, when we were talking about TAM volume, it was a combination of conventional as well as green. So this time, what has happened, the liquidity in the Green Day Ahead Market has increased considerably. So all the transaction in the Green TAM which was happening last year has actually moved to the Day Ahead Market.

So now the volume that we are seeing in TAM is only conventional. So in absolute terms, we are not seeing growth. But if you see since the green part has moved to the Day Ahead Market, in real terms, there is some growth there.

And another reason here is after 2, 3 years, we have seen such a good growth in our Day Ahead numbers. Now the availability was much better this year. And whenever you have good availability and the prices were also lower by 15%. So our Day Ahead Market and RTM market has increased from 86 billion unit last year to 109 billion unit this year. So since there was tremendous growth in this segment, so TAM, you can say, was a little compromised. And again, it is because of the macro factors, which is availability and less prices.

Mohit Kumar: Secondly, sir, on the uniformity of contracts in TAM. I think you mentioned that some order is reserved, right? I think the CERC direction was given in the October month, right, on the uniformity of contracts. Where are we right now? And when do you think this is likely to be implemented?

Satyanarayan Goel: No, they had issued a draft order to ensure some standardization in the contracts and they have invited comments on that. Comments were given to CERC. I think we are expecting final order on that any day.

Mohit Kumar: Understood. My last question, is it possible to help us with the status of market coupling. Has there been any update from CERC or the regulator?

Satyanarayan Goel: No update on that.

Mohit Kumar: Understood. Sir, one more last question, if I may squeeze in? What is the revenues, EBITDA and PAT of IGX for FY '25, sorry?

Satyanarayan Goel: IGX?

Mohit Kumar: Yes.

Satyanarayan Goel: Gas exchange?

Mohit Kumar: Yes, sir, gas exchange.

Satyanarayan Goel: Gas exchange PAT is INR31 crore

s.

Mohit Kumar: And the revenues and...

Satyanarayan Goel: Pardon?

Mohit Kumar: Revenues for the year, fiscal year?

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Satyanarayan Goel: INR55 crores.

Moderator: We have our next question from the line of Sahil Choudhary from Yashwi Securities.

Sahil Choudhary: So I was seeing our 9-month number, so there's a discrepancy in our investor presentation and in our press release. So in our investor presentation, it says that in 9 months, we traded 100 billion units of volume and in our press release, it says that we traded around 88 billion units.

So sir, what is the discrepancy there?

Satyanarayan Goel: I think 9 months was electricity plus certificate and subsequently, we have started reporting electricity separately and certificate separately.

Sahil Choudhary: But like 12 billion units of certificate were discrepancy.

Satyanarayan Goel: Pardon?

Sahil Choudhary: Sir, the discrepancy was of 12 billion units.

Satyanarayan Goel: Yes, yes. We have sold this year in the full year, almost 18 billion certificates. So in 9 months, almost 12 billion units of certificates were sold.

Moderator: We have our next question from the line of Subhadip Mitra from Nuvama Wealth.

Subhadip Mitra: My first question is with regard to what you earlier mentioned that I think this year has been particularly productive because of better supply and hence lower prices, and hence, we're seeing higher DAM and spot market-related volumes vis-à-vis TAM, which is, let's say, more or less stagnant.

Now going ahead, if the general view is over the next 2 to 3 years, the demand-supply gap will widen, and possibly, we will see higher shift of volumes from DAM towards the longer-term TAM market. Two questions over there. Firstly, in TAM, what I understand is our market share is somewhere around 36% -odd vis-a-vis almost 100% market share that you have in DAM. So could that be a longer-term risk?

Secondly, in terms of moving towards, let's say, longer-term contracts, let's say, towards the 6-month contract, et cetera, in TAM as and when you get the approval, can that have any working capital related risks for you?

Satyanarayan Goel: The first question is that the large gap between the demand and supply and volume shifting to the Term Ahead Market instead of the DAM. I think as far as demand-supply is concerned, Government of India is working on ensuring adequate supply of power. And this year, particularly almost about 10 gigawatt of coal-based capacity is going to be commissioned. See, because last year, they had planned almost about 14 gigawatt. Out of that 5 gigawatt was commissioned. So 9 gigawatt is basically spillover of last year, which is in a very, very advanced stage of commissioning and that is going to be commissioned. In addition to this 40 gigawatt of renewable and 5 gigawatt of battery storage is going to be commissioned.

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So I'm sure with this new additional capacity, there is not going to be any shortage of power.

And that basic assumption that there's going to be a shortage and demand is going to shift from DAM to TAM, I don't think that is going to happen.

And in any case, the shortages also which you see, invariably this happens only for 2 months, which is the month of April and May. But from June, the monsoon starts and the wind generation starts, so thereafter, the spread is not that critical. So I don't think that there's going to be any impact on the business as far as the demand and supply is concerned.

Subhadip Mitra: Understood. Okay. And sir, on the second one that -- yes, go ahead.

Satyanarayan Goel: And on the second one, CERC is yet to approve our 11-month contract. And when the contract is approved, I'm sure the margins should take care of all that kind of risk, which you are expecting. We have

a proper margining system and we have thereafter daily payment system. It is working very effectively in the 3 months contract. And I'm sure even with 6-month contract also, that should be effective.

Subhadip Mitra: So in these longer-term contracts, the margins will not be limited to the 4 paise that we have in DAM, you might see better margins?

Satyanarayan Goel: No, margins will be only INR0.04 per unit only, INR0.02 from buyer, INR0.02 from seller.

Subhadip Mitra: Okay. Even in the longer-term contracts, that's what we're anticipating?

Satyanarayan Goel: Yes, yes, yes.

Subhadip Mitra: Okay. Understood. Sir, secondly, I just wanted to get your view on this that what we hear is that the Security Constrained Economic Dispatch, SCED, which is currently active for central government-owned plants might be extended towards state government plants, etcetera, through the GRID-INDIA platform. Does that have any ramifications for IEX in terms of volumes?

Satyanarayan Goel: No, let me first explain this . SCED is applicable only for the power plants which are scheduled by GRID -INDIA, okay? And GRID -INDIA is scheduling only Central government generating stations and inter-State IPP stations.

Intra - State SCED is applicable for the State generating stations and IPPs who are supplying power to the State where they are located. And that will be done by the SLDC of that particular State. So intra -State SCED will be done by the SLDC of that State. I mean, SCED by NLDC and intra -State SCED will not have any conflict.

Subhadip Mitra: So it doesn't impact -- yes, go ahead.

Rohit Bajaj: Just one more point here. SCED is done when all the available markets are closed. So today, when at national level, when GRID -INDIA is running SCED, it is after the schedules of real - time markets are available, which means the entire thing has been done.

So after you have participated in the market, your schedules are there, you have taken full advantage of the market in terms of meeting your demand or in terms of optimization, then this

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window operates. So , if it is going to be there at a State level, this is going to be a win -win. It is going to be positive for the sector, and it will not have any negative impact on the markets.

Subhadip Mitra: Understood, understood. Thank you on that one. And lastly, the financial derivatives also, which are now planned to be introduced on the MCX platform. How does this impact, if at all, IEX volumes?

Satyanarayan Goel: The direct impact of the financial derivatives will be that there will be some stability in the price. It will provide some visibility in the price to the generator so that they can make arrangements for the fuel and also some visibility of price for the long -duration contracts.

Subhadip Mitra: Understood. So again, would that in any manner actually help your volumes because at some point in time, even though financial derivatives need to have delivered volume, right? So does it help IEX volumes in any manner?

Satyanarayan Goel: I think let the derivative start and then we will see how to leverage that for increasing our volumes.

Moderator: We have our next question from the line of Lokesh Manik from Vallum Capital Advisors.

Lokesh Manik: My question was on the green market. A part of the volume is being driven by new installations. New installations this year were about 80 gigawatts, next year is expected to be 30, 40. So do you see an impact of that on the growth of green market going forward from 8 BU to, let's say, even if we were to take 20% growth, would this have an impact on growth, the installations coming down?

Satyanarayan Goel: No, no, this year, the renewable sector, the capacity addition was about 29 gigawatt, and next year, we are expecting about 40 gigawatt of renewable capacity addition. So it is going to increase. So liquidity

in the green market is further going to increase.

Lokesh Manik: And sir, what percentage of this is coming to the market? I mean, 80% is long -term PPA or 90% is long -term PPA?

Satyanarayan Goel: That depends from case to case. But in any case, what we have seen is that even the States who are buying green power and whenever they have surplus beyond the RPO obligation, they also sell that green power in the market. So even if they have the PPA, there are many States who sell green power. So what is more important is the capacity addition in the country. So if capacity addition happens, then we will directly or indirectly get benefit of that.

Lokesh Manik: Understood. And sir, do you see now that green power is traded on exchange and RPO obligations can be done from there, when do you see a slowdown in REC certificates as such? Because there's a limited capacity that has come up with that route of capacity addition.

Satyanarayan Goel: See, if you look at the RPO compliance number, they are in fact much higher than the renewable power available in the country. So I don't see any less requirement -- I mean any adverse impact on the REC market. The RPO compliance numbers are much higher, so there will be enough scope for the REC market also and also increase in the green market.

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Moderator: We have our next question from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: First question, sir, on power derivatives itself. We have a tie -up with MCX in terms of revenue sharing, what we also read in news there are other exchanges who are looking at this product.

So is this an exclusive contract that we have with MCX, so we can also enter into with other exchanges? That is one. And are we ourselves looking at the power derivatives market?

Satyanarayan Goel: We don't have any exclusive contract with MCX, number one. Number two, as IEX, we are

regulated by CERC, and derivatives are going to be regulated by SEBI. So if we want to get into derivative business, then we'll have to incorporate another company under the jurisdiction of SEBI. And single product derivative doesn't make any sense. So that is why we do not want to get into this. As of now, we don't want to get it to this.

Devesh Agarwal: So that means we can also get...

Satyanarayan Goel: In the future, if we see a large opportunity, maybe we can explore that also.

Devesh Agarwal: Understood. So does that mean we can also get into a contract with NSE if they are looking to get into the power derivatives market for price referencing?

Satyanarayan Goel: Yes. As I told you that we don't have any exclusive contract, so that means we can get into any number of parties.

Devesh Agarwal: Understood. Secondly, sir, can you share segment-wise what would be our market share in FY '25?

Satyanarayan Goel: Our market share in the collective transaction is 99.8%. And in the other segment, which is the bilateral, D AC plus TAM plus GTAM, percentage is about 35%.

Devesh Agarwal: And sir, REC?

Satyanarayan Goel: REC market share is 60% -- 58.8%.

Devesh Agarwal: So you did mention that the REC inventory is around INR4 crores. So do you think that the scope for growth in REC volume is limited from here on? Or you see there is a risk of...

Satyanarayan Goel: No, no, no. Every year, the RECs are getting issued.

Devesh Agarwal: Even on this 1.8 crore s number, are we expecting, say, 10% growth in FY '26?

Satyanarayan Goel: Yes, yes, definitely. Definitely, we are expecting at least this year to trade about 20 billion units of RECs.

Devesh Agarwal: Okay. And sir, in terms of these new opportunities that you did mention, FDRE, virtual PPAs, BESS, by when will we see actual volumes coming on to the exchange platform from these new opportunities?

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Satyanarayan

Goel: Things have started. If you see our green market volumes, that is slightly increasing now. Now that increase is mostly coming from these things because virtual PPAs also, we find that in one or two cases, they have started operating, and we are getting volume from them. Maybe Rohit can give you more details about that.

Rohit Bajaj: Yes, close to 1,500 megawatt of capacity under VPPA is already registered with us, and they are selling this power in the conventional market because when you bring VPPA power in exchange, then it is not seen as a green power, it is a conventional power.

And you can see these trends because when we compare our supply available during the solar hours this year versus previous year, you will find there is increase of 10 -15,000 megawatt of supply during the solar hours. So VPPA has contributed that. And this power is available to us and this power is bidded at a very cheap prices, and this is one reason why the solar prices have come down in this particular year.

Similarly, when FDRE power will come, which has not yet started, but it is again in the various stages of execution, when that power will come, it will be coming under the green market itself. So VPPA already started. Other segments, we are waiting to start, and this is not very far. We are expecting it to come in next 1 to 2 years.

Moderator: We have our next question from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, in the opening remarks, you mentioned about the URS power, the potential and the actual volume traded. I missed that, if you can please repeat.

Satyanarayan Goel: Yes. Every day, we get almost about 100 million units of sale, but the volume cleared out of that is on an average about 15 million, 16 million units.

Dhruv Muchhal: Sir, this comes in the RTM market or the DAM market?

Satyanarayan Goel: This comes both in DAM market and RTM market.

Dhruv Muchhal: Okay. So as the demand increases, the potential to clear this URS volumes also increases, right? I mean I'm just wondering why does the volume not clear? It is because of the lack of demand.

Satyanarayan Goel: Yes, yes, yes. Correct.

Moderator: We have our next question from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my first question was on long-duration contracts. In FY '24, we did a total TAM volume of around 15 billion units. And you had mentioned that around 10 billion units was coming from long-duration contracts up to 3 months. Can you give the same number for FY '25? Out of 11.1 billion units which we traded in TAM, how much was the long duration contracts?

Rohit Bajaj: The number is same. We did this year also about 10.5 billion units under the TAM contract, which is long duration contracts. So last year and this year numbers are same, TAM.

Ketan Jain: But this year, total TAM was only around 11.7 billion, right, sir?

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Rohit Bajaj: Yes. So what has happened here is the DAC segment, which was doing very well till last time, which did about 5 billion unit trade, has reduced to 2 billion unit. So not much is happening on the DAC side. And you must have seen the report where we have mentioned these two bilateral segments in one category. So last time, it was 10.7 plus 5; this time, it is 10.2 plus 2. So there is reduction in DAC contract, TAM number is more or less same, and the reason I just explained. The green TAM has moved to green DAM. So there is some increase in the TAM contracts, but overall number remains the same.

Ketan Jain: Understood, understood. And sir, what would be the forecast for FY '26 and for TAM long duration?

Rohit Bajaj: Yes. So, again, it is dependent on the fact, –that we are expecting approval for 11 months contract. If we get that in the next 2, 3 months, then there is additional 40 billion unit addressable market which is there because that sort of

transactions are happening through DEEP platform, which is being done by traders.

So we hope that some part of that, decent part of that, we should be able to convert in the first year itself. And next 2, 3, 4 years' time, we should be able to convert a major part of that. So we are expecting good growth. But again, there are factors like availability of power, power prices and other things which also decides how much distribution company rely on TAM contract and how much on DAM.

Ketan Jain: Understood. Sir, just one question on the working capital for long -duration contracts, which is for up to 3 months. How much of margin do we have? And do we have any receivable risk in these type of contracts?

Rohit Bajaj : So what we do here is in case of whether it is DAM, RTM or TAM, our settlement is done on a daily basis. So every day, whatever we are supplying, we are collecting from the seller and making this payment to the buyer. Opposite, sorry. We are collecting from the buyer and making this to the seller.

Now to ensure that there is enough margin availability in the system, we also rely on bank guarantees and other PMS. So till now for 3 months contract, there was not even a single case where we have faced any challenge in terms of getting those margins. And hopefully, when this contract would be launched up to 11 months, the same problem would not be there as well. And why that problem is not there? Because buyers are finding this market very, very competitive. If they compare our prices vis -a-vis prices discovered in the DEEP platform, these are 15%, 20%, 30% lower. To take advantage of such a low price, they don't mind giving those additional margins, which we are willing to take in the form of PMS also. So we are really not seeing any challenge on that front.

Ketan Jain: So even in a 3 -month contract, we get the payment daily for the power that was traded?

Rohit Bajaj : Absolutely. For all the contracts, the system is same, daily payment.

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Ketan Jain: Okay. Understood. Sir, my last question is on the GRID -INDIA's report where the GRID -INDIA had published a short -term adequacy report where they forecast major shortages in May and June. Given good capacity addition forecast for FY '26 in the near term, how do you see this impacting our volumes if there are major shortages in May and June? How do you see it impacting our volumes? And what's your outlook on FY '26 volume growth?

Satyanarayan Goel: I think the outlook for April was also similar, April, May, June. But fortunately, in the month of April, so far, the volume growth is about 28% on the exchange platform. So we don't expect a big challenge in the month of May and June also because...

Ketan Jain: So that is because of demand being weak or supply being good, sir?

Satyanarayan Goel: Because of supply being good. And we also expect that in the month of May, June also with the kind of arrangements which have been made by the government, there will be adequate supply.

Ketan Jain: Understood. Okay. So the demand is going to be good, but because of excess supply, the prices will be low?

Satyanarayan Goel: Yes. I mean there could be some impact on the price, but...

Ketan Jain: But relatively, the supply would be better.

Satyanarayan Goel: Yes.

Moderator: We have our next question from the line of Raghav Bhutoria from Lindsay Securities.

Raghav Bhutoria : Sir, we have seen a lot of growth in volumes in IGX if we compare fourth quarter of last year to this year. So what is the reason for that?

Satyanarayan Goel: Yes, IGX volume increase is mainly because we have Reliance and ONGC have started

production of their domestic gas and they are selling a good part of that to the market also.

Raghav Bhutoria: So we should expect this volume to keep on improving from here?

Satyanarayan Goel: Yes. In case of ONGC, we expect

the volumes to increase further. ONGC is, as of date, producing almost about 2 mmscmd per day whereas the target for this year is about 5.5 mmscmd. So it's more than double. So we expect good volume from them this year, further increase this year.

Moderator: We have our next question from the line of Chirag from Keynote Capital.

Chirag: Most of my questions are answered, but I have a couple of book-keeping questions. Sir, I wanted to understand, what is the part of trading margin deposits as a part of financial liabilities? And out of INR900 crores, what is payables and what is trading margin deposit?

Satyanarayan Goel: Yes, I will request Mr. Vineet Harlalka, our CFO, to respond to this.

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Vineet Harlalka: If you look at the overall, the settlement financial assets and liability, so as on the 31st of March, the total financial which are receivable obligation, the paying amount receivable is around INR220 crores. And the total amount, which is payable is around INR967 crores.

Chirag: Sir, just wanted to understand from the perspective of business, why do we have such high payables because overall, our sales are almost INR535 crores?

Vineet Harlalka: Basically this time what happened, because there was a trading holidays in the 31st March and 2, 3 days so that's why the settlement become outstanding, that's why this amount increased significantly during this year.

Chirag: Okay. So this is a one-time effect and now our books will again come back to normalized levels and...

Vineet Harlalka: and banks were not working, that's why.

Chirag: Okay. And if I just remove the settlement trading margin deposits and the payables, we would have around approximate INR1,000 crores worth of cash and mutual funds, is it correct?

Vineet Harlalka: Yes.

Chirag: Sir, I just wanted to understand are you looking at some kind of an acquisition at this moment?

I just wanted to understand what is the reason for us, being the largest player in the industry, having such high cash available on the books?

Satyanarayan Goel: We are looking for some diversification opportunity. And as and when something materializes, we'll come back to you.

Chirag: Okay. And sir, secondly, I wanted to understand, even in the last conference call, I had a question related to dividend payout. Did the Board get a chance to talk about the slab-based dividend policy? Or are we going to keep continuing 65 percentage dividend policy going forward, too?

Satyanarayan Goel: We distribute more than 50% of the profit in the form of dividend and we have been distributing about 60%, 65%, 70% kind of profit. So this year also we have distributed 65% of the profit in the form of dividend. And dividend this year has been INR3 per share. Last year, it was INR2.5 per share.

Chirag: No, sir, I agree to the point. So I just wanted to understand, did the management get a chance to talk about the change in dividend policy from the 60, 65 percentage to a slab based policy?

Because I just wanted to understand even if you are looking for acquisition, INR1,000 crores worth of acquisition, are we looking at that kind of size of acquisition to diversify?

Vineet Harlalka: Look, the last 5 years, our payout has been consistently increasing. And definitely, Board, if they see there is no good opportunity coming, definitely, the Board will consider, look out for the staggering payment or the higher payment of dividend.

Chirag: Perfect. Sir, my last question is on the new exchange that we're talking about, the coal exchange.

In electricity, I understand the product is same. But in case of coal, the product will be different.

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So I just wanted to understand, are there initial thoughts about how we are going to make sure that the quality of product which is traded is going to be of the quality

which the receiver is

going to receive. So I just wanted to understand your thoughts on that.

Satyanarayan Goel: Number one, on the coal exchange, it is work in progress. First of all, Government of India itself will have to do amendment in the act and thereafter, they will have to issue the regulations, and then we will apply for it.

Second is, as far as these kind of problems are concerned because coal is not a homogenous

commodity so there are many challenges, not only the quality, quantity, transportation, these are challenges there in that. And we will do the product designing in such a manner that there is no risk on the exchange.

Because exchange is a technology platform, we cannot take this kind of risk. So maybe the buyers will have to take the delivery from the seller which is going to be the hub and based on the third -party sampling.

Chirag: Fair enough. Sir, one of the earlier participant asked about the market share for FY '25. Will it be possible for you to give the market share detail segment -wise based on FY '24?

Satyanarayan Goel: Yes, our market share in electricity is about 84.2%. In the in the collective transaction, which is I-DAM and RTM, it is 99.8%. And in case of the bilateral transactions, it is about 35%.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments.

Rohit Bajaj: Thank you, friends. I would like to thank each one of you for being part of today's call.

Throughout this fiscal, we witnessed efforts from the government and regulators to establish a favorable policy and regulatory climate to develop the energy sector. We at IEX remain committed to contribute to the development of a sustainable and energy -efficient future of India. Have a wonderful evening. Thank you once again.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Indian Energy Exchange Limited

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Dated: August 01, 2025

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on July 25, 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on July 25, 2025, to discuss the financial results of the Company for the quarter ended June 30, 2025.

The above information will also be made available on the website of the Company: www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q1 FY'26 Earning Conference Call"
July 25, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER -
-INDIAN ENERGY EXCHANGE LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD OF OPERATIONS NEW
PRODUCT INITIATIVES AND EXCHANGE TECHNOLOGY
–INDIAN ENERGY EXCHANGE LIMITED

MS. APARNA GARG – HEAD OF INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS –INDIAN ENERGY
EXCHANGE LIMITED

MR. ADITYA WALI–INDIAN ENERGY EXCHANGE
LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Q1 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Rohan Gheewala.

Rohan Gheewala : Thank you, Pari. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all for the IEX Q1 FY '26 Earnings Conference Call.

We have with us the management team of IEX, which is represented by ; Mr. Rohit Bajaj, Joint Managing Director; Mr. S.N. Goel, the Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Amit Kumar, Head of Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications.

We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you, and over to you, sir.

Rohit Bajaj: Good evening, friends. I welcome you all to the IEX earnings call for Q1 FY '26. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations and Exchange Technology; Ms. Aparna Garg, Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali.

Friends, the Indian economy continues to stand out as the world's fastest -growing major economy, registering a robust growth rate of 6.5% in FY '25. Notably, India recently became the fourth largest global economy surpassing Japan. This remarkable trajectory has been underpinned by resilient domestic demand, strong investment activity and a steady expansion of both industrial , as well as service sectors.

Despite global uncertainties from ongoing policy changes and geopolitical tensions, India remains a source of stability and opportunity in the international landscape. High frequency indicators as reported by Reserve Bank of India, revealed sustained momentum in both manufacturing and service sectors.

Looking ahead, the Indian metrological department has maintained its forecast of an above - normal monsoon for the June to September 2025 period with rainfall expected at 106% of the long period average. This bodes well for the agriculture sector, potentially boosting rural income and supporting broader consumption trends.

In addition, the RBI has maintained its real GDP forecast at 6.5% for FY '26. Overall, India's macroeconomic outlook remains bright, supported by a balanced approach to growth, financial stability and inclusive development.

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On the power sector front, India's peak summer power demand in 2025 reached 242 gigawatts in June 2025. This peak demand was met without any power shortages, thanks to the proactive government measures. These included extending Section 11 of the Electricity Act mandating imported coal -based plants to run at full capacity till June end, activating gas -based power plants and ensuring sufficient domestic coal supply.

Weather played a key role this quarter . Despite forecast of an intense summer leading to a peak demand expectation of 277 gigawatt, early monsoon and widespread unseasonal rain kept temperatures low, resulting in lower -than-expected power demand. India's power consumption of 446 billion units in Q1 FY '26 was lower by 1.3% as compared with Q1 FY '25.

On the fuel side, ample fuel has been available at competitive prices. India's coal production reached 247 million tonnes in the first quarter of FY

'26, similar to production during the same period last fiscal. Coal inventory as of mid -July 2025 stood at a high of 25 days.

For the quarter, imported coal price for 4,200 GAR coal remained steady at around USD 50 per tonne, lower by 9% as compared with the same period last quarter. Prices of imported gas have also remained stable at nearly \$11 per MMBtu in the first quarter of this fiscal. Overall, the fuel situation for the sector has remained comfortable in Q1 FY '26.

Friends, while there was lower -than-expected power demand in Q1 FY '26, CEA expects power demand in the country to grow at a rate of 6% per annum till 2032. Based on this, MOP has been regularly monitoring the road map of thermal capacity addition of 80 gigawatts by 2032. The MOP has also been lending policy support to energy storage solutions such as pump storage and battery storage to meet peak demand and also enable renewable power integration with the grid. To support battery energy storage solution, BESS, the Ministry of Power has finalized 2 tranches of viability gap funding mechanism. Under the first tranche, 13,200 megawatt hour of BESS projects are currently being implemented across the country and about 9,750 megawatt hour of BESS projects have been awarded and another 5,000 MWH are in the pipeline.

More recently, under the second tranche of VGF, approval has been granted for further 30,000 megawatt hour of BESS projects to be implemented. As per the CEA, BESS -based storage of

47 gigawatt shall be required by FY '32. The increased activity in BESS tenders has been driven by a reduction in battery capex cost and declining storage cost. As recently as June 2025, NVVN and NHPC both discovered INR 2.16 lakh per megawatt per month and INR 2.08 lakh per megawatt per month for 500 -megawatt 2 -hour cycle tenders under the VGF mechanism, respectively.

As we have mentioned earlier as well, BESS would be able to store surplus power during daytime to deliver electricity during hours of peak demand while leveraging power exchanges. This would increase liquidity and potentially increase volume on exchanges during daytime as well as during evening hours.

Let us now talk about a few important regulatory updates and policy initiatives that continue to be conducive for power market development. The Cabinet Committee on Economic Affairs revised the Shakti Policy for coal allocation to thermal power plants. The existing policy
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replaced the earlier policy and has attempted to make it more flexible and transparent for the power sector.

In the new policy, fresh coal allocation is now available under 2 windows, one for Central and State GENCOs at notified price and another for all GENCOs at a premium above notified price. The policy paves the way for coal linkages to generators even without PPAs, generating unrequited surplus (URS) power, which can then be sold in power markets. The revised policy would ensure continued availability of adequate fuel supply for thermal generators and help maintain liquidity on exchanges for competitive price discovery.

In FY '25, in a draft order, CERC proposed various changes in the design of the Term Ahead Market across exchanges to help improve liquidity and transparency in this segment. In its order in April 2025, the CERC streamlined time -lines for completion of various stages of any day single side (ADSS) contracts across exchanges. Other proposals include notifying predefined time slots for trade under TAM contracts. Public consultation for these predefined slots have been conducted and a petition has been filed before the CERC for approval of the same. In its order, the regulator also proposed modification in the price discovery mechanism of the day ahead contingency segment from the current continuous matching to uniform price step auction through draft amendments in the Power Market

Regulation 2021. These amendments are open to stakeholder comments till July 2025.

In May 2025, CERC issued draft guidelines for Virtual Power Purchase Agreements, VPPAs. These guidelines recognize power exchanges as authorized platform for sale of electricity by RE generators under VPP arrangements. Renewable generators entering VPPA s may sell the electricity component in the collective segment on power exchanges. This would help increase volume on exchange.

Recently, the CERC issued draft amendments to Deviation Settlement Mechanism regulations with regards to in firm power charges for thermal stations. Earlier thermal generators could not recover payment before the trial run, but with the draft amendments, they are assured of payment of a ceiling price. With these amendments, RE in firm power can also come to market before its commercial operation date. These amendments by CERC are designed to refine DSM, ensuring a clear framework for managing in firm power injections and promoting stable grid operations under varying frequency conditions.

Further to the approval in February 2025 of SEBI and CERC to introduce electricity derivatives in India, the much -awaited electricity future contracts began trading on MCX and NSE respectively, earlier in July 2025. The launch of electricity derivatives is expected to benefit spot market participants allowing them to hedge against any volatility in the market. With the availability of hedging instruments, the spot market will also benefit through higher participation and volume spillover.

CERC recently issued an order on implementing market coupling. Order was issued on 23rd July, in which the regulator has decided to initiate process of implementation of market coupling in Day Ahead Market. This is to be done by January 2026 as per the order. In the same order, it is mentioned that coupling of the real -time market will be considered at a later stage.
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The order also talks about running a shadow pilot for coupling of the Term Ahead Market and stakeholder consultation for RTM and SCED coupling. Further in the order, CERC directed its staff to initiate consultation with Grid India and all exchanges on operational and procedural

aspect of the Day Ahead Market coupling, including identifying and proposing amendments required in the various regulations.

During Q1 FY '26, IEX recorded electricity trading volume of 32.4 billion units, a growth of 15% on Y -o-Y basis. Revenue for the company grew by 19.2% Y -o-Y, increasing from INR 154.5 crores in Q1 FY '25 to INR 184.2 crores in Q1 FY '26. PAT increased by 25.2%, rising from INR 96.4 crores in Q1 FY '25 to INR 120.7 crores in Q1 FY '26. The robust performance in Q1 FY '26 was led by a substantial sell availability due to weather conditions and also measures undertaken by the government and the regulators.

In Q1, nearly 53 lakh Renewable Energy Certificates were traded, recording a growth of nearly 150% over the same quarter last fiscal. Due to efforts of the Bureau of Energy Efficiency, compliance by designated consumer s to meet their RPO targets has increased.

The RTM segment continued to demonstrate strong growth. For Q1 FY '26, RTM volumes at nearly 13 billion units were higher by 41% on a year -on-year basis, highlighting the segment's critical role in helping DISCOM and open access consumers efficiently manage their short -term requirements. RTM 's ability to offer flexibility and immediate responsiveness underlines the opportunity to efficiently integrate renewables with the grid.

Green market volume in Q1 FY '26 rose 51% Y -o-Y to 2.7 billion units compared with Q1 FY '25. This segment advances integration of clean sources such as solar and wind into the grid and helps obligated entities, including DISCOMs, meet their renewable purchase obligations.

With an increase in hydro, wind and sustained su

pply from coal -based generation, supply

liquidity on power exchanges improved and drove prices down. In Q1 FY '26, supply liquidity in the Day Ahead Market of IEX increased 45.2% on Y -o-Y basis. As a result, the average Day Ahead Market price was INR 4.41 per unit, down 16% Y -o-Y, while price in the Real Time market averaged at INR 3.91 per unit, a 20% drop. On May 25, heavy rains pushed RTM prices down to INR 1.53 per unit on average basis with near zero price s during several time blocks.

In terms of new products, we continue to await approval from the C ERC on our petition to extend the Term Ahead Market contract from 3 months to 11 months.

As mentioned previously, hearing for our petition on the Green RTM segment with the C ERC has already been completed and public comments on the petition have also been closed. We await the final order on the matter. Green RTM would provide an opportunity to reduce deviation exposures due to weather events by providing an avenue to trade green power 1 hour in advance.

Our associate company, IGX traded record gas volumes of 24.6 million MMBtu in Q1 FY '26, a growth of 109% over Q1 FY '25, led by demand push from the oil marketing companies, refineries and city gas distribution companies. The quarter also witnessed the first trade in the 3 to 6-month long duration contract, underscoring market confidence in long -term gas trading on IGX.

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In Q1 FY '26, IGX recorded a profit after tax of INR 14.1 crores, which was higher by nearly 86.7% compared with INR 7.6 crores in Q1 FY '25. As gas prices continue their downtrend and policy initiatives continue to remain positive in the sector, volume at IGX would continue to be robust.

Friends, as per CEA estimates, India was to experience hotter than usual temperature from April to June this year. However, the advent of early monsoons meant lower peak demand than forecasted. Nonetheless, with CEA forecast of peak demand at 366 gigawatt s by 2032, and power consumption to reach nearly 2,500 BUs, demand growth will continue to drive exchange volume growth. In addition, policy measures undertaken by the government and the regulators to ease supply side liquidity is expected to further rationalize power pr ices on exchange.

Our diversification initiatives are also gradually gathering momentum. For the first quarter of FY '26, the International Carbon Exchange ICX, issued over 44 lakh I -RECs compared with 59 lakh I -RECs issued in the previous financial year.

Revenue for ICX in Q1 FY '26 stood at INR 178.8 lakhs. The I -REC is a globally recognized digital certificate that serves as a transferable proof of generation of 1 megawatt hour of energy from renewable sources. Through ICX, we have also filed an Expression of Interest with the Central Pollution Control Board (CPCB) for developing the Extended Producer Responsibility (EPR) trading platform and are awaiting final results of the EOI.

On formation of Coal Exchange, stakeholder comments have been closed, and we await further directives with regards to the legislative changes to the Mine and Mineral Development Regulation Act. The MMDRA Amendment Bill 2025 is scheduled to be tabled for discussion in the monsoon session of the Parliament .

The power sector is undergoing changes with the development of new market models in the form of battery storage arbitrage, firm and dispatchable renewable energy, virtual power purchase

agreements and the introduction of electricity derivatives. These market models and instruments are slated to be the future drivers to deepen India's power market and eventually ensure a successful energy transition. As India marches towards achieving its net zero targets, there is bound to be a much larger role of power exchanges in the country's energy landscape. Thank you. And now we can have questions and answers.

Moderator: The first question is from

from the line of Bharani Vijay from Avendus Spark.

Bharani Vijay: Congratulations on a good set of numbers. My first question is on market coupling. Could you refresh us regarding the advantages that IEX has over its competitors, which helped it to have a near 100% market share in the DAM and RTM segments? And also, why the competitors were not able to replicate this? And if they would be able to gain market share now after market coupling implementation? This is my first question.

SN Goel : Yes. IEX has maintained a leadership position in the Day Ahead and RTM market over the years. In the DAM market, in fact, from the last 17 years, we have the leadership position. If you see initially, the other exchange also had some reasonable market share of 20%, 25%. But over the years, they even lost that.

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And we today have more than 95% of market share. And this has happened because of many factors. There is not one reason, there are many factors. One is we have a very, very robust technology platform. We have introduced new products ahead of our competitors. We have done a lot of activities with the customers. We regularly interact with the customers, understand their problems, tell them how they can use the exchange to purchase cheaper power and optimize their power procurement cost.

We interact with the State regulatory commission. In fact, we are in the advisory board of more than 12 State regulatory commissions. We advise them how exchange and power market can be used for the benefit of distribution companies. We provide a lot of data analytics to our customers. And we have a web-based technology platform. Our IT infrastructure is very robust. In spite of so many cybersecurity attacks, so far on IEX platform, there has not been a single penetration. And it's a sum together of all these activities because of which we have been able to have a significantly large market share in the exchange -- in the Day Ahead Market and the RTM market.

Going forward, even after coupling, I'm sure we will continue to do all these activities and maybe even more to ensure that the customers stick to us and the customer loyalty is maintained. So, I'm very sure that we will be able to maintain definitely a larger market share even after coupling.

Bharani Vijay: Okay, sir. My second question is on the trader members who trade on behalf of their clients and submit bids to IEX. Like one significant trader member is PTC India. So, I wanted to know what percentage of volumes overall for IEX and specifically in DAM market that PTC India as a trader member contribute because being investor in one of our competitors, post market coupling, I just wanted to see if they can shift this to that competitor. So, I just wanted to know how much of it will be impacted.

SN Goel : As per the power market regulations, if a trader member is holding more than 5% equity, then he cannot trade in that exchange. Since PTC is holding 25% equity in the competing exchange and also on the Board of that exchange, they cannot trade on that exchange. However, their percentage share is almost about 10-12% on IEX platform.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore : Thanks for the opportunity. Your clarifications on the technology edge that IEX has and your other advantages versus competing exchanges are well received. But do you see competition using transaction fee as a tool to take market share in Day Ahead Market post market coupling?

SN Goel : We will deal with that when we reach there. Why to worry about that right now. I don't think customers really will value that part of it because transaction fees is a very, very small component of the total power procurement cost. But if that is the case, then we will deal with that also.

Sumit Kishore : Okay. Because if they are not able to overcome

your barrier of having a tech advantage and they cut price by 5% or 10%, you would have to follow suit in order to retain market share. Is that the right understanding?

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SN Goel : I told you . I mean we will deal with the situation when we reach there. So if we have to do that, we will do that.

Sumit Kishore : Sir, would Day Ahead Market also include GDAM?

SN Goel : Well, today, it is DAM only, Day Ahead Market only.

Sumit Kishore : Okay. So Green Day Ahead Market would not be part of the overall Day Ahead Market that would be impacted.

SN Goel : That is ambiguity in the order.

Sumit Kishore : Yes, it's not mentioned there.

SN Goel : Yes, it's not mentioned.

Sumit Kishore : And based on the current status of technological progress that Grid India might have made, do you foresee Jan '26 timeline as being implementable? And where or when do you see RTM also forming part or progress on RTM to come under ambit of market coupling, if at all?

SN Goel : First of all , as far as the implementation of market coupling in the DAM segment is concerned, there are a lot of things to be done. And one of the things is basically you need a common software for all 3 exchanges, the IT infrastructure for all 3 exchanges to be compatible. You need clearing and settlement mechanism. We have to work out that part of it. And in fact, also at the commission 's end, they have to formulate regulations for the implementation of market coupling. So all these things will need time. So , let's see. I will not like to comment on this whether January '26 is feasible or not. But , based on the activities involved, I feel that it may take longer time. That is about the Day Ahead Market.

As far as RTM market is concerned, I'm reading out from the order. "Given the shorter time for bid submission and running the market clearing engine, the decision to implement the coupling of RTM of power exchanges shall be considered at a later stage. "

So, there is no decision. The decision will be considered at a later stage after gaining operational experience from the coupling of DAM. So , in this order, they have not taken any decision about the RTM.

Sumit Kishore : Sure. And finally, any comment from your side? Are we any closer to MBED now that market coupling has been put in place for Day Ahead Market?

SN Goel : Well, I think that is something which the regulator will have to decide about . That is a much bigger issue. So , let's hope that happens.

Moderator: The next question is from the line of Vikas Jain from FQ.

Vikas Jain : Good Afternoon Sir. Thank you for the opportunity. So my question is regarding the recent order by CERC for the market coupling. Is there any mention of MBED in the order that has been recently received? Any comments or any insights on that part of the market coupling?

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SN Goel : There is no mention about MBED in the order.

Vikas Jain : So is it likely that, that would follow up from CERC or there is no hope that MBED will be implemented. So , what is the management view from IEX on this one?

SN Goel : I can't say about that. That is for the regulatory commission to take up that issue. I wish that happened.

Moderator: The next question is from the line of Kunal Tanvi from Banyan Tree Advisors.

Kunal Tanvi : My questions were related to market coupling. I had a few questions around that. One, if you can explain us how the regulation that has come up is going to play out. Our understanding was that all the bids would be given to one exchange in a particular time and the prices would be discovered there. So , the price discovery that used to happen on IEX will now happen across the 3 exchanges, right? Because of that, is there any possibility of change in the pricing regulations by the regulator itself? If you can throw some light.

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N Goel : All this will be a part of the various operational and procedural aspect, which needs to be decided by the Commission . There are a lot of things like this, which needs to be decided.

Kunal Tanvi : Sure. So at this point in time , the only clarity is that market coupling is being implemented and all for the DAM market. That is the only clarity we have, right?

SN Goel : Yes. You're right.

Kunal Tanvi : Sure. The second question was when market coupling was first talked about like 4, 5 years back when the first draft had come, the idea was that market coupling would be a good tool for expanding the market and long term and PPAs would also come through. Any thoughts that you would want to share like if in the form and shape that the current regulation talks about was to get implemented, what are the benefits to the customers' ecosystem that would come through?

SN Goel : What you're asking is basically MBED and as far as MBED is concerned, there is no mention of that bit in this order, and we are not sure when this will be taken up by the Commission .

Kunal Tanvi : And like if this form, the current form gets implemented, what are the benefits to the ecosystem?

SN Goel : Well, we don't see any benefit, but then it is a regulatory decision.

Kunal Tanvi : So, is there a possibility that because there could be a confusion among the ecosystem because of 3 exchanges?

SN Goel : Confusion in what respect?

Kunal Tanvi : For example, we have 95% market share, right? So, if our customers were to trade on the exchange, they will continue to come on IEX and then the orders get pulled to some other exchange. Your customers will continue to be yours ?

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SN Goel : I wish that. And I'm sure the kind of efforts we are making, we would like to maintain that. We'd like to ensure that. The customers remain with us.

Kunal Tanvi : Okay. From a client perspective, you talked about there are numerous things that play a role in terms of value addition that you provide to the customer, including, technology and the support and the long-term relationship. How do you think the price plays a role? Like price discovery, how important is the role price discovery plays when customers come to buy a power on the exchange?

The reason I ask this question is if you see historically, the demand on the exchange, the volumes on the exchange have been a function of change in the price. So, times when price is lower, you see higher volume. So definitely, the price discount that the exchange plays some role in terms of more and more people coming on the exchange. So, if you want to share some insights on that, it would be very helpful.

SN Goel : See, price discovery is the key function of exchange. And one of the USP of IEX has been that in the last 17 years, there has been no questions raised on the price discovery of IEX. We display all market data on our website. We display the price discovery curves, and no issue has been raised by anybody till so far because that shows the robustness of technology platform and our price discovery process. Let's see what happens after the coupling. I would not like to comment anything on that at this stage.

Kunal Tanvi : Sure. And one last question, apart from IEX since we have a very long history of operation, one competitor has a reasonable history of competition of operations. The last one is very new. Will the other exchanges be able to handle this kind of volumes if it could get divided among 3 exchanges? Any comment you would like to?

SN Goel : I'm sure about one thing that before implementing the coupling, regulatory is definitely going to do the mock drill to check about the capability of the different exchanges, the IT infrastructure available and the capability of the exchange and then also do the mock trial with the big data post-trade basis. And that it will be seen And what other

efficiencies in the system and how to take care of that.

Moderator: The next question is from the line of Prateek Jain from ICICI Prudential AMC Limited.

Prateek Jain: Yes. So Sir, my question is regarding other income. So, it was INR120 crores in FY '25. And this quarter, it's INR42 crores, up 37% Y-on-Y. So why is this large increase? And can you broadly explain the source of this income? What part of it comes from the interest on margin money and what part comes from the investments that belong to IEX ?

Vineet Harlalka : The increase is mainly because of one target maturity fund investments we had in our books, where by because of the rate cut by the RBI during the first week of June, we got a decent mark-to-market gain, so we capitalized on that gain. We redeemed the funds and recognized that gain. That was the one reason.

And second, we had some investment in the NIFTY 50 index fund. So, a good amount of mark-to-market gain was during this quarter because of the market made a good recovery from 22,000

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to almost 25,000. So these 2 factors were the main reason where we had a decent treasury performance during this quarter.

Prateek Jain: Okay. And sir, regarding that, let's say, about FY '25, so if we have to look at the breakup regarding our own investments versus the interest income and from margin money, so what sort of proportion would that be?

Vineet Harlalka : It will be 2/3 will be from the own fund and around 2/3 to 3/4, about 75% will be from the own fund, around 25% from the float and other income.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal : Good Afternoon Sir, and thank you for the opportunity. Firstly, sir, to start with, I just wanted to know your thoughts. Can this order be overturned by CERC? Is there any recourse that we have?

SN Goel : If CERC decides to do that, they can do it definitely.

Devesh Agarwal : No, no. In terms of any legal opinions that you would have sought over the last 2 days, which gives some comfort that there is a case to challenge this?

SN Goel : We are evaluating this order. We haven't made any view on this at the moment.

Devesh Agarwal : Right, sir. So sir, in case assuming this goes through, one of the moats that we talked about was the technology. So, when we talk about technology, is it the price discovery part is what we highlight? Or is it the integration that we would have done over the years with the buyers and the sellers that is like a moat for us?

SN Goel : It is, I think, a combination of everything.

Devesh Agarwal : The reason I asked because you mentioned that there is a common software that will be developed to do this market coupling. So, in terms of price discovery will be taken care by this common software?

SN Goel : Yes, yes. You are right.

Devesh Agarwal : So then what we are left with is the integration part.

SN Goel : We have done so many things. Out of that, one thing has been taken out. So, rest of the USP still remains. Rest of the activities, which we have done, they still remain with us, and I'm sure we will be able to get benefit of that.

Devesh Agarwal : And sir, is this something that will be very difficult for the competition to replicate in terms of - or they can do that over time, say, probably 2, 3 quarters or 4 quarters, they'll be able to invest and replicate this or whatever technological advantage.

SN Goel : They had 17 years to replicate this.

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Devesh Agarwal : Although it's much difficult than that. Right. And sir, finally, one last one. If we were to assume that with market coupling, if we have to sustain a market share of, say, more than 40%, 50% then what would be those key advantages that we would have to sustain that higher market share compared to the competition?

SN Goel : Devesh, we are working on all these strategies, and we'll let you know in due course of time. I can assure you one thing that we are not working on retaining 40%, 50% market share. We are working to retain the present market share.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik : Sir, first question is in the order the savings mentioned is 52 million units. Is it possible that the savings could have been derived by coupling only the number 2 and number 3 exchange because savings is nothing but inefficiency that is present in the system, which seem to have been efficient by combining all the three exchanges?

SN Goel : Increase of 52 million units is not a saving. It is an overall volume cleared increase of 52 million units in a trade of 24 billion units 24,000 million units, there is an increase of 52 million units, which is insignificant. I don't think those numbers can be a reason for doing the market coupling.

Lokesh Manik : Absolutely correct. Sir, my second question is the order talks about amendments and operational procedures to be implemented. In any scenario in any of these amendments, will there be a State involvement where involvement from states will be required from the 28 States?

SN Goel : Question is not clear. Can you repeat, please?

Lokesh Manik : Will they have some form of approval from their end also will be required for these amendments to take place? The order talks about some amendments in the Act.

SN Goel : All these approvals will have to be done by the Commission only. There is going to be a new regulation for the market coupling.

Lokesh Manik : Right. So will the State commissions be involved in this?

SN Goel : No, State commissions have no role to play in this.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Good Afternoon Sir. My first question, Sir, have you heard anything on the Coal Exchange (s) and EPR trading?

SN Goel : Coal exchange, we haven't heard anything about it, but I was reading in the newspaper that MMDR Act is going to the Parliament for some amendment. And I don't know whether that Coal Controller of India will act as the coal regulator for the purpose of coal exchange, whether it is there in that (MMDR Act amendment) or not. We have not been able to find out that. But if that is there, then that is definitely one positive step in the right direction for Coal exchange.

Mohit Kumar: And anything on the EPR side, sir?

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SN Goel : Yes. On EPR side, I think CPCB is yet to take a decision on that. We are awaiting the response.
Mohit Kumar: Understood, sir. My second question is, what explains the sharp increase in the gas volume in the quarter and the sustainability of this number in the coming quarters?

SN Goel : Yes, Gas Exchange increase with respect to last year , Yes, there is a significant increase. But then the numbers are still small in comparison to our expectations. So , I'm sure in the coming quarters, you will see a much better number.

Mohit Kumar: And how do you see this ...

SN Goel : The domestic selling price gas by Reliance was sold for 3 -month period in 1 lot, and that also led to significant increase in the volume.

Mohit Kumar: And how significant is the recent PNGRB regulation, which allows only 2 tariff zone compared to, I think, earlier the higher 3 or 4 tariff zone, if I'm right? What 's your take on that?

SN Goel : Definitely, these regulations are conducive for gas market development. Initially, there used to be 4 zones, then it became 3, now it is 2. And in fact, like in the power sector, we have injection and draw charges , so in the gas sector also invariably, it is only entry and exit tariff. So , we are going towards that slowly. That's a good thing.

Moderator: The next question is from the line of Rishabh

Shah from Bu IgeRock PMS.

Rishabh Shah : Sir, I have one question. The other kind of system of the other competitors. So both systems.

SN Goel : Slightly louder, please.

Rishabh Shah : Sir the competitor's systems and our system won't be the same. So , if a user is comfortable with the platform, what incentive would he have to shift to a new platform?

SN Goel : Your question is not clear. I think what you are talking about is that if the competitor's platform is not similar to our s, what benefit we have in shifting there?

Rishabh Shah : Yes, yes, yes.

SN Goel : See, regulator will have to decide about the common platform, the common software and also the IT infrastructure across all 3 exchanges compatible to the requirement of the system. So , these kind of things can be done only after that.

Rishabh Shah : Okay. So , can we assume that if these things are not compatible, then this coupling might get removed again, if the systems of the competitor s are not compatible?

SN Goel : I mean these are some of the requirements for implementing market coupling. And I'm sure regulator will implement market coupling after fulfilling all these requirements.

Moderator: The next question is from the line of Ketan Jain from Avendus Spark.

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Ketan Jain : Sir, my first question is just on the competition. What steps apart from reduction in transaction fee can the competition do to attract customers? Is it something like reducing subscription fee or margin requirement? And what stops them to invest in better technology and people. So , some flavour on this ?

Management: Number one, the present order is for coupling of DAM market. DAM market constitutes only about 35%, 40% of our total volume. So , we still have almost about 60%, 65% volume coming from the other products. So , we will continue to maintain that technology platform and continue to do upgradation of that.

And even in case of DAM market also, except for the price discovery, there are other part of the technology platform, technology services, customer services, market development activities, which we will continue to do . And I'm sure that all will basically ensure that we retain the leadership position.

Ketan Jain : Understood, sir. And sir, so I just wanted to understand one more thing. As a customer, if I'm a customer and if I want to move my accounts from IEX to some other competition, so will I have to shut down my account? Will the company have to pay the margin money back to them?

SN Goel : Margin money is the customers' money. They can take it back any time . When they are doing trade here, they will have to ensure that margin money is available.

Ketan Jain : Understood. –So, just an understanding question. Say, if I'm a customer and only if the DAM is coupled and RTM is not coupled. So , for me, it will become an inconvenience for me to go to some other exchange just for the DAM . But for RTM, the liquidity will be with IEX will continue to be with . Is that a fair assumption?

SN Goel : I think you can yourself analyse the situation and take a call on that. RTM, you are participating on the IEX platform on round -the-clock basis, keeping margin for that. And then we are separately participating in other exchange trying to bring additional margin there, you have to take a call on that.

Ketan Jain : Understood, sir. Yes, this is a fair point. Who will be doing the settlement and clearing process?

SN Goel: Respective exchanges.

Ketan Jain : Respective exchanges, whenever is their turn of round -robin?

SN Goel : No., for the bids received by them, whatever bids are settled, clear for those bids, respective

exchanges will do the financial settlement.

Ketan Jain : Even in the coupling , even for the DAM segment?

SN Goel : Yes, yes.

Ketan Jain : Understood. Okay. And as you said, so there should be a new common platform, which needs to

be developed, right, and installed across all the exchanges for coupling?

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SN Goel : Yes, that is my understanding.

Ketan Jain: And who will be developing this? Regulator will nominate someone?

SN Goel: These are all details to be worked out.

Moderator: The next question is from the line of Subhadip Mitra from Nuvama.

Subhadip Mitra : Just one point of clarity. I think this is a point that you've already talked about before. So , when we are looking at market coupling in each of the exchanges getting the opportunity to be the market coupler for price determination on a round -robin basis. So , on a particular day, if, let's say, exchange A is doing the price determination, it doesn't mean that the volumes have to also automatically flow through that exchange, right? It can flow through any of the other exchanges depending on where the bids are coming. Is that the right understanding?

SN Goel : Yes. Volumes will be flowing through the exchanges from which the bid has come.

Subhadip Mitra : Secondly, a broader question on MBED versus SCED. My understanding was that with SCED already in a pilot phase and some thoughts of extending these beyond Central government plans to even State-owned GENCOs , do you see MBED really having an impact since you already have an alternate mechanism to SCED? Or do you think there is space for both?

SN Goel : Yes. SCED is basically a subset of MB ED. If MB ED is not being implemented, maybe to some extent, SCED is serving the purpose. That is an optimization between the Central generating stations. MBED was for Central generating stations, State generating stations, IPPs, everybody taken together.

Subhadip Mitra : Correct. So , if SCED , I mean, hypothetically, if we assume that SCED gets extended to Central plus State generating stations and that is anyway running on the Grid India platform, then MBED, even if it comes, may not have much of an impact.

SN Goel : No. See, SCED is basically operated between the Central generating stations only. In the same SCED, if you bring the State generating stations also and IPPs, then it will be as good as MBED.

Subhadip Mitra : Correct. But then would exchanges still have a role to play there since that is already running on a pilot through a separate platform?

SN Goel : That is a different exercise . That basically is just before the actual scheduling actual dispatch they are doing this optimization study. But then bringing State generation to the Central SCED is a difficult process. That is why an initiative is being taken to do intrastate SCED Within the State, (within) each of the State SCED is being done to achieve some efficiency there. During your next visit, we can discuss in detail.

Moderator: The next question is from the line of Abhishek Nigam from Motilal Oswal.

Abhishek Nigam : Sir, just a theoretical question. I'm not asking you for your response to this. But theoretically, what are the options available post the CERC order? Can someone go to an appellate tribunal ,

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can you appeal in a court of law? Again, just to reiterate, not asking you for your legal options right now.

SN Goel : There are many options available. One is we go ahead with this. Second is we go to CERC for review. Third , is we go to APTEL . So, there are many options available. I told you at the beginning of this conference that we are evaluating this order and yet to take a view on this.

Abhishek Nigam : Fair enough. I totally understand. It's very, very early. And the second question is that the order says that the exchanges have to basically cooperate with the market coupling operator. Now it's still very early days , I know this is still being sort of worked out and you are going to look for clarification. But is there any proprietary stuff, any software which they might

expect or they

might need to be able to implement this? Do you think you have that clarity on that?

SN Goel : I'm not clear about your question.

Abhishek Nigam : So, my question is when the order says that the exchange has to cooperate with the market coupling operator, is it just data? Or does it include some algorithm, something that is proprietary to you?

SN Goel : I don't find such mention in the order. Can you tell me where it is.

Abhishek Nigam : Okay. Maybe I'll just connect with Aparna later on.

SN Goel : Last Paragraph , Paragraph 9 is, "the commission hereby directs all power exchanges to share the necessary data and other information as required by the staff of the commission and Grid India to analyse various operational and procedural aspects for implementation of coupling in DAM."

Abhishek Nigam : Yes. Actually, that's what I was referring to.

SN Goel : No. This does not talk about technology or any such thing.

Abhishek Nigam : Yes, actually. So that was my question. So , it only talks about data investing, right?

SN Goel: That we are already providing.

Abhishek Nigam: Okay. Perfect. That clears it. And just last question, post this disruption in one major segment, is there a sort of a rethink or a pause in terms of Strategy with respect to new product development, new segments which you are trying to enter and because something similar happens in one of those segments as well, then what are the thoughts over there?

SN Goel : Product development is a continuous process. Five years back, we had only one product Day Ahead Market and Term Ahead Market . Now today, we have so many products available. So , in future also, this is a continuous process. We have already filed petition for the Green RTM market and also a petition for peak power , 11 months contract is already with CERC. So , it is a continuous process. In due course of time, as and when we find that there is a need of a new product in the market, we will take that up.

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SN Goel: I think it is already about 3:30. So can we have one last question or 2 last questions?

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.

Nikhil Abhyankar : Sir, just one question from my side. So , can you just share the revenue share agreement that we have with NSE and BSE for the power derivatives?

Management: I don't think there is a need to share that. We have an agreement with MCX so that they can use our price.

Nikhil Abhyankar : But what portion of the power derivatives revenue should flow through us.

SN Goel: I don't think these things are necessary to be discussed here. We are not paying anything to them.

That is for sure. I think if there are no more questions, can we close the conference?

Moderator: Thank you. I now hand over the conference to management for closing remarks.

Rohit Bajaj: Thank you, friends. I would like to thank each one of you for being part of today's call.

Throughout this quarter, we witnessed efforts from the government and regulators to establish a favourable policy and regulatory climate to develop the energy sector. We at IEX remain committed to contribute to the development of sustainable and energy -efficient future for India.

Have a wonderful evening. Thank you once again.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Indian Energy Exchange L td

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The Manager The Manager

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Sub: Transcript of the Earnings Conference call with analysts and investors held on October 31, 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on October 31, 2025, to discuss the financial results of the Company for the quarter ended September 30, 2025.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited Q2 FY '26 Investor
Conference Call "

October 31, 2025

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER

MR. AMIT KUMAR – HEAD (OPERATIONS , NEW
PRODUCT INITIATIVES & EXCHANGE TECHNOLOGY)

MS. APARNA GARG – HEAD (INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS)

MR. ADITYA WALI – INVESTOR RELATIONS

MODERATOR : MR. ROHAN GHEEWALA –AXIS CAPITAL LIMITED

Indian Energy Exchange Limited

October 31, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q2 FY '26 Investors Conference Call, hosted by Axis Capital Limited.

As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital Limited. Thank you, and over to you, sir.

Rohan Gheewala: Thank you, Bhoomika. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I am pleased to welcome you all for the IEX Q2 FY '26 Earnings Conference Call.

We have with us the management team of IEX, which is represented by Mr. Rohit Bajaj – Joint Managing Director , Mr. S. N. Goel – Chairman and Managing Director , Mr. Vineet Harlalka – Chief Financial Officer , Mr. Amit Kumar – Head of Operations, New Product Initiatives and Exchange Technology , and Ms. Aparna Garg – Head (Investor Relations and Corporate Communications).

We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you, and over to you, sir.

Rohit Bajaj: Good evening, friends. I welcome you all to the IEX Earning s Call for Q2 FY '26. With me today on this call are Mr. Satyanarayan Goel – CMD, IEX ; Mr. Vineet Harlalka – CFO and Company Secretary; Mr. Amit Kumar – Head of Market Operations and Exchange Technology; Ms. Aparna Garg – Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali .

At the macroeconomic level, India remains the fastest -growing major economy in the world, posting a strong GDP growth of 7.8% in the 1st Quarter of fiscal 2026. This trajectory has been powered by strong domestic demand, investment activity and a steady expansion of all major sectors, including industrial , services, agriculture and construction. The Q1 number offers optimism amidst global political uncertainty as India remains a source of stability and opportunity in the international landscape.

The Indian Metrological Department has reported 8% higher rainfall during this year's monsoon, the highest rainfall in five years. This good monsoon is likely to strengthen the agriculture sector, potentially lifting rural incomes and supporting broader consumption trends. In addition, fiscal policy measures to reduce the GST and simplify compliances are expected to further support economic activity going forward. Consequently, the RBI has revised India 's FY '26 GDP growth forecast to 6.8%, up from its ear lier forecast of 6.5%.

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On the power sector front, weather continued to play a key role in this quarter as well. Electricity demand growth during the second quarter remained moderate with a power demand of 449 BUs, higher by 3.4% on year -on-year basis. In the first six months of FY '26, however, power demand has remained largely flat at 894 billion units compared with 886 billion units in H1 FY '25.

On the fuel side, ample fuel has been available at competitive prices. India's coal production reached 203 million tons in the second quarter of FY '26. At nearly 450 million tons, production in the first six months of FY '26 has also remained similar as compared with Q2 FY '25. The coal inventory as of October 2025 stood at nearly 20 days.

For the quarter, imported coal price for 4,200 GAR coal declined to \$42 per ton, a decline of nearly 19% compared with the same quarter last fiscal. For Q2 FY '26, prices of imported gas remained favorable at nearly \$12 per MMBtu compared to \$13.6 per MMBtu in Q2 FY '25.

Overall, the fuel situation for the sector has r

emained comfortable.

Let us now talk about a few important regulatory updates and policy initiatives :

Recently, key amendments were proposed to the Draft Electricity Act Amendment 2025, wherein ;

1. State Electricity Regulatory Commissions have been specifically empowered to determine tariff, suo moto , to ensure timely cost recovery and avoid delays.

2. Cross subsidies are to be progressively eliminated within five years for sectors such as manufacturing, railways , and metro operations.

3. In a push for C&I and open access consumer, DISCOM may be exempted from their obligation of supplying commercial and industrial user with 1 megawatt and above load. One of the DISCOM s in the area shall be assigned as a supplier of last resort. The proposal should open up DISCOM resources for supply, avoid tying up stranded power and enhance competitiveness of

the C&I segment.

4. Draft provides for specific penalty of Rs. 0.35 to Rs. 0.45 per unit for RCO nonfulfillment.

5. Further, the draft also allows for contract for difference, CFD -based products for the development of the market.

6. In an earlier order, CERC streamlined predefined time slots for trade under TAM contract across exchanges. Public consultation for these predefined slots have been conducted and the final order has been reserved by the CERC. The regulator also proposed modification in the price discovery mechanism of the day ahead contingency segment from the current continuous matching to uniform price step auction through draft amendments in the Power Market Regulation 2021.

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Stakeholder comments on these amendments have also been completed. This order will help improve liquidity in TAM and DAC segments.

7. CERC had issued draft guidelines for virtual power purchase agreement, VPPAs earlier this summer. Consultation and due proceedings with regard to this have been completed. The draft recognizes power exchanges as authorized platforms for sale of electricity by RE generators under VPPA arrangements. Renewable generators entering VPPAs may sell the electricity component in the collective segment on the power exchanges. This would help increase volume on exchanges.

8. In another development in reference to the carbon market, the CERC issued draft regulations for trading of carbon credit certificates for both obligated, as well as non-obligated entities through power exchanges. The stakeholder consultation have been completed and final regulations are likely to be issued in due course. Further Greenhouse Emission Intensity targets have been notified for 271 obligated entities across sectors such as aluminum, chlor-alkali, cement and pulp and paper. The final notification regarding this has been published by Ministry of Environment, Forest and Climate Change after conducting stakeholder consultations. This development marks an important milestone for commencement of carbon credit certificates trading on power exchanges in the near future.

9. In August, the CERC issued amendments to General Network Access (GNA) regulation, introducing network access for solar and non-solar hours for all RE-based projects. The amendment aims to tackle the inefficiencies by introducing time block-based restrictive access to ISTS system, thus aligning capacity allocation with resource generation. These provisions would improve network utilization and optimize costs going ahead.

10. During the second quarter, the MOP issued the final notification on renewable consumption obligation (RCO). The notification defined RCO fulfillment method to also include RECs acquired under VPPAs, among others, and also provided for fungibility of obligation under wind, hydro and other components. We have sought CERC's approval to align our green contracts with the revised RCO components. The order in the matter is reserved. Once aligned

the contract will provide due clarity through the market participants for RE sale or procurement, which may increase RE participation going forward.

11. CERC issued an order on implementing market coupling on 23rd July, in which regulator decided to initiate process of implementation of market coupling of the Day Ahead Market. This is to be

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done by January 2026. In the same order, it is mentioned that coupling of Real-Time Market RTM will be considered at a later stage.

The order also talks about running a shadow pilot for coupling of Term Ahead Market and stakeholder consultation for RTM and SCED coupling. Further in this order, CERC has directed staff to initiate consultation with GRID India and all exchanges on the operational and procedural aspects of Day Ahead Market coupling, including identifying and proposing amendments required in various regulations. IEX has filed an appeal against this order in Appellate Tribunal for Electricity, APTEL. The next date of hearing is scheduled on 28th of November.

Now moving to the performance :

During Q2 FY '26, IEX recorded electricity trading volume of 35.2 billion units, a Y -o-Y growth of 16.1%. Revenue for the company grew by 9.2% year -on-year, increasing from Rs. 167.8 crores in Q2 FY '25 to Rs. 183.3 crores in Q2 FY '26.

Profit after tax increased by 13.9%, rising from Rs. 108.3 crores in Q2 FY '25 to Rs. 123.4 crores in Q2 FY '26. In Q2 FY '26, nearly 44 lakh renewable energy certificates were traded, lower than nearly 63 lakh certificate s traded over the same quarter in FY '25. The RTM segment continues to demonstrate strong growth with 36% share in volume at IEX, surpassing the share of DAM segment for the first time ever.

For Q2 FY '26, RTM volumes at nearly 15 billion units were higher by 39% on Y -o-Y basis, highlighting the segment's critical role in helping DISCOMs and open access consumers efficiently manage short -term needs. RTM's ability to offer flexibility and immediate responsiveness underlines the opportunity to efficiently integrate renewables with the grid. Green market volume in Q2 FY '26 rose 17.7% on Y -o-Y basis to 3 billion units compared with Q2 FY '25. This segment advances integration of clean sources such as solar and wind into the grid and helps obligated entities, including DISCOMs, meet their renew able purchase obligations. With an increase in hydro, wind and sustained supply from coal -based generation, supply liquidity on power exchanges improved and led to substantial drop in prices. In Q2 FY '26, sell bids in Day-Ahead Market of IEX increased by 39.3% on a Y -o-Y basis. As a result, average Day-Ahead Market price was Rs. 3.93 per unit, down 12.5% on Y -o-Y basis, while price in the Real-Time Market averaged at Rs. 3.51 per unit, a 16% drop .

With regards to our product in pipeline , we continue to await approval from CERC on our petition to extend term ahead market contracts from 3 months to 11 months. As regards to green RTM, CERC has reserved order on IEX Green RTM petition. Green RTM would provide an Indian Energy Exchange Limited

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opportunity to reduce deviation exposure due to weather events by providing an avenue to trade green power 1 hour in advance .

Further, to facilitate merchant storage capacity in the country, we have filed a petition with CERC for introduction of peak DAM and peak RTM segments. These segment s would facilitate trading of power during high demand hours such as late evenings and early mornings.

Stakeholder consultations on the same have been completed and the matter awaits further proceedings.

Moving on to IGX :

IGX traded gas volume of 16.1 million MMBtu in Q2 FY '26, a growth of nearly 37% over Q2 FY '25, led by volumes from domestic gas producers and heightened power demand during the months of August and September. For

Q2 FY '26, IGX recorded a profit after ta x of Rs. 9.6 crores, which was higher by 57% compared toRs. 6.1 crores in Q2 FY '25.

As gas prices continue to remain stable and policy initiatives continue to remain positive in the sector, volumes at IGX would continue to be robust. The arrival of early and prolonged monsoon this fiscal moderated power demand. Nonetheless, with CEA's forecast of power demand at 366 gigawatt by 2032 and power consumption to reach nearly 2,500 BUs, demand growth will continue to drive exchange volume.

In response to this expected demand growth, the MoP has been regularly monitoring the road map of thermal capacity addition of 80 gigawatt by 2032. Recently, the country's leading power producers also outlined investment plan s to increase their thermal capacity by over 50 gigawatt by 2032.

In addition, policy measures undertaken by government and regulators to ease supply side liquidity is expected to further rationalize power prices on the exchange. Power sector is undergoing rapid transformation with the emergence of innovative market mech anisms such as battery storage arbitrage, firm and dispatchable renewable energy (FDRE), virtual power purchase agreements (VPPAs) and electricity derivatives.

To support battery energy storage solutions, the Ministry of Power has finalized 2 tranche s of the viability gap funding mechanism. Nearly 13,200 megawatt hour of B ESS project have been awarded under the first tranche, while tenders for over half of the 30,000 megawatt hour project s in the second tranche under VGF have already been issued. As per the CEA , BESS based storage of 47 gigawatt is to be made available by FY '32. The reduction in battery storage cost has also accelerated the government push for B ESS. As recently as October 2025, RUVNL discovered Rs. 1.78 lakhs per megawatt per month for a 1,000 -megawatt two-hour two cycle tender under the VGF mechanism. This is the lowest price ever discovered for BESS under the VGF mechanism. As mentioned on an earlier occasion, BESS would be able to store surplus solar power during daytime to deliver electricity during hours of peak demand by leveraging power

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exchanges. This would increase liquidity and potentially increase volume on exchanges during daytime as well as during evening hours . .

These developments are poised to become key enablers in expanding and deepening the country's power market to support the successful energy transition.

Our diversification initiatives are also gradually gathering momentum. For Q2 FY '26, the International Carbon Exchange, ICX, issued 38 lakhs I-RECs, adding to a cumulative of 82 lakh I-REC issuances in the first half of FY '26, surpassing 59 lakh I-RECs issued in FY '25. Revenue for ICX in Q2 FY '26 stood at Rs. 193 lakhs. The I-REC is a globally recognized digital certificate that serves as a transferable proof of generation of 1 megawatt of energy from renewable sources.

With regards the Coal Exchange, Ministry of Coal has been exploring options for market development in the coal sector and has created enabling provisions under the Mines and Mineral Development and Regulation Act to set up a minerals exchange. Recently, draft rules have been issued for appointing Coal Controller as a regulator for the coal exchange. IEX has been working with the stakeholders to explore setting up the first coal exchange in India.

As India advances towards its net zero goals, energy exchanges are expected to play increasingly significant role in shaping the nation's energy ecosystem.

Thank you. And now we can have questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Good Afternoon . Sir, my first question is on the status of implemen

tation of market coupling.

What is the progress on the ground in terms of operational details . Were you guys asked to make a software or what has been the progress? And is it on time to get implemented by Jan 2026?

Satyanarayan Goel: Good Afternoon. With regard to status of market coupling, we are not aware about any developments which have taken place so far . Because what we understand is that for working out details for implementing market coupling, there will be discussions which will be required with the exchanges, with Grid India and procedures will be worked out and regulations amendment will be done. Maybe those drafts will be issued for public consultation. So, to the best of our knowledge, so far, nothing like that has happened.

Ketan Jain: So, we were not contacted by the regulator or Grid India for developing any software. It's still no contact from them.

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Satyanarayan Goel: See, we are not aware of any such, program about how they want to implement it and when they want to implement it.

Ketan Jain: Understood. Sir, also if you could provide us with how IEX will play a role in the coal exchange and in the carbon exchange, if there is any development in that?

Satyanarayan Goel: See, as far as carbon trading is concerned, as per the regulations, CERC is the regulator for the carbon credits. And the trading of carbon credits will happen on all the 3 exchanges, which are regulated by CERC . So that means the existing exchanges, IEX, PXIL and HPX will be able to do the trading of carbon credits. Coal exchange, yes, Ministry of Coal is in the process of issuing the rules for this, and they will make Coal Controller of India as the regulator for this thing. Then they will have to draft regulations and do public consultations and finalize the regulations.

Thereafter, interested parties can apply for the license of coal exchange. So, as we told in the past also, we are definitely interested in this area. And we are doing necessary preparatory work.

As and when regulations are notified, we will apply for this also.

Ketan Jain: Understood. Sir, my last question is on the volume growth, sir. We have been doing 16% electricity volumes growth until now. What is your guidance on FY '26? How will we end and next year, what's your volume guidance for electricity volumes?

Satyanarayan Goel: So far in the first half of the year, the demand in the country has been practically flat. In spite of that, we have done a volume growth of almost about 16%. So, for the remaining period also, we expect reasonably good growth. We should be able to maintain a growth of 15% to 20%.

Ketan Jain: And for FY '27, sir, any view on that?

Satyanarayan Goel: It will be difficult to say at this stage. It all depends on the sector, how will the demand work out, weather conditions, what those will be. But, we are saying that we have been achieving a growth of, on an average, almost about 20% in the last five years. So, we should be able to achieve that. India is a growing economy, developing economy. So, if we have to grow at a rate of 6% to 7% in the GDP, definitely, the electricity demand is also going to grow. And as far as electricity is concerned, the whole electrification of economy is happening. A lot of things are

happening in the electricity sector - EVs and data centers. Now the batteries are also becoming commercially viable. So, a lot of storage is happening. If that happens, then the daytime surplus power can be stored and evening hours, the power can be used from the batteries. And Exchange will definitely play a very critical role in all these activities. So, I am sure growth potential what we have achieved in the past, we should be able to sustain in the future also . .

Ketan Jain: Understood. Thank you and all the best, Sir.

Moderator: Thank you. The next question comes from the line of Sumit Kishore

re from Axis Capital. Please

go ahead.

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Sumit Kishore: Good Afternoon , Sir. This is Sumit here from Axis Capital. My first question is on the power , so last fiscal power demand growth was 4.2%, 4.3%. This year, first half has been flattish. So , how much of this is really attributable to weather? And in your opinion, is there a slowdown versus what was expected for the C&I power segment also? What is your impression?

Satyanarayan Goel: It was mainly because of the weather because right from April till October, we are seeing very good rains this time in the country, and there is a surplus rainfall in the country. As a result of that, the agricultural demand has crashed. And also, the summer domestic demand also was much lower than what was expected. So, Grid India's estimate was a peak demand of 277 gigawatt against that only about 250 gigawatt was the peak demand. So I think looking at all these things, it was mainly because of the weather conditions. C&I side, we do not see any reduction in demand, rather there is an increase in demand. But I do not have the data about what is the actual increase in industrial consumption.

Sumit Kishore: Right. The second question is that basically, over this period where power demand growth has been muted over the last one year, installed capacity has grown by almost 9%, 10%. And during solar hour, say, in the DAM segment also the sell bids are far, far exceeding the purchase bid volume and what is finally cleared and the exchange prices are lower. So I mean, to what extent can this continue? Because would there be curtailment of or what kind of curtailment of power is happening, what can exchanges do to reduce this? You also spoke about capacities coming up for virtual power purchase agreements. There would be even more sell bids on the exchanges. Why aren't customers taking benefit of the lower tariffs during the solar hours and why isn't more power getting cleared on the exchanges ?

Satyanarayan Goel: I agree with your view. I mean capacity addition is happening and daytime prices are coming down. But this stability in the system will need some time. Today, need of the hour is capacity addition that is happening. Solar power is cheaper. It is cheaper than even variable cost of the coal-based power plants. So we need to do solar capacity addition. And when the exchange clearing prices are lower during the daytime, we are seeing lot of demand shifting during the daytime. So, if you see the demand curve of the country as a whole, earlier, the peak hour used to be in the evening hours, now the peak hour is during the daytime. So the demand shifting is also happening now, not that demand shifting is not happening. People are making use of this daytime cheaper power.

And to make use of this now in the last one year, lot many battery tenders were also awarded so that batteries can use this cheaper power during the daytime and sell in the evening hours. So all these kind of things are happening now. I mean , these things will need some time to balance out and make use of the daytime cheaper power. In the short run, yes, lower power during the daytime may continue. And that's good for the market. That's good for the market and exchange.

Our volumes are more during the daytime than in the evening hours.

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Sumit Kishore: And Sir, you mentioned that for the first time, RTM volumes have surpassed DAM in the first half of the fiscal. So is this going to be a sustainable trend? And in case of RTM, the implementation of MC (Market Coupling) will happen later depending on the experience from DAM. That's what the market coupling order said. So what % can in the Collective market transactions can RTM share can go up even from here?

Satyanarayan Goel: See, RTM volumes this year are higher than

than the DAM market, mainly because the availability

of power on the sell side was much higher. The liquidity was much higher, the price clearing prices were lower. And RTM prices are practically 10% to 12% lower than the Day-Ahead Market price. So many of the distribution companies are taking advantage of this lower RTM prices and purchasing power in the RTM market. So as long as the RTM prices are lower, yes,

definitely, RTM volumes will be higher .

And with regard to your question on coupling of RTM, if you look at the order, commission has not taken any view regarding implementation of RTM. So they have said that looking at the time constraints and based on the experience, it will be considered. So they will take a view separately on that if required.

Sumit Kishore: Got it. Just one last clarification. On the IGX equity stake that you have, 47.5%, what is the time line over which this has to be reduced to 26%? And what are your thoughts and what are your plans there?

Satyanarayan Goel: Can you repeat the question, please?

Sumit Kishore: I believe IEX stake in IGX equity stake, which is around 47.5% needs to come down over a certain time frame, I believe, to below 26%. Can you please refresh our understanding on how we are going to go about it?

Satyanarayan Goel: Yes. As per the PNGRB regulations, we have to bring down the equity to 25% by December 2025. That is the provision. We have applied to PNGRB for extension of this time because in the past, there were huge challenges in the gas market and gas exchange. The business ramp -up has not happened at the rate at which we were expecting it. So we have applied to PNGRB and the regulator was quite supportive, and they have assured that they will give time extension. And we are also working out options, we are considering different options for divestment and complying with the regulatory provisions.

Sumit Kishore: Okay. So it's only two months away, so they will give extension for one year?

Satyanarayan Goel: Yes, yes. I mean we have requested for one and a half years. Let's see.

Sumit Kishore: Thank you, Sir.

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Moderator: Thank you. The next question comes from the line of Anand B from Seema Wealth Private Limited.

Anand B: Hey, good afternoon. So just a couple of questions. First is the transition of the segment from DAM to RTMs. So, in this quarter, and especially in this half, you have seen, compared to the first half of the previous year, the percentage volumes of DAM has reduced from 41% to 35% in this half of the current financial year. RTMs (volume) went up from 30% to 36% as well. But TAM market has remained the same. Can you just give a light on why TAM market volumes share has remained the same and where do you see that going forward?

Satyanarayan Goel: First thing, the main product for the exchanges are the collective transactions, which is the DAM and RTM. So, significantly higher volumes happen only in these segments. And as you can see this year also, the share of collective transactions, which is DAM, RTM and (Green-DAM) G-DAM, the total share is more than 85% for these three products. And it will continue to remain like this. Term Ahead Market transactions, these are bilateral transactions. And these transactions happen mainly when there is a shortage of power and some of the distribution companies want to tie up power to ensure availability of power under the deficit conditions. Fortunately, this year, we had good rains. So that is why there is no growth in the TAM transactions.

Anand B: Okay. So even in the RTM segment also, would you say going forward now considering the market coupling you said that, okay, the CERC is considered coupling for RTM. Let's say if RTM coupling is not going to happen, would you say that the RTM channel will only increase more and more where the DAM segment would decrease in

growth?

Satyanarayan Goel: Looking at the market energy transition, which is taking place, a lot of renewable capacity is getting added, and there is a large variation in the renewable power generation. So, distribution companies also have to, make good of these variations on a real-time basis. And even generators, renewable generators, they also many a times sell the surplus power because of the good weather conditions if there is excess generation. So, real-time market volumes under these conditions will continue to increase. Government of India also has mandated that all thermal generators will have to sell their un-requisitioned power in the DAM and RTM market. And these generators are able to assess the surplus URS power more accurately in the RTM market. So, a lot of bids are coming in the RTM market for sale of power from these generators also. Considering all that, I personally believe that, yes, RTM volume will continue to increase in the future .

Anand B: Okay. That was one part. Second, I want to touch upon the Virtual PPAs front. I just want to know the current scenario of how much of that is going forward? And what would be the share of the exchanges or what potential the exchanges can have a share of the Virtual PPAs?

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Satyanarayan Goel: See, Virtual PPAs are normally done by the industries or multinationals when they want to comply with the RPO obligations or their sustainability targets. And under that, what they do is they get into a contract with the generator and they commit them a fixed price. The generator sells power in the market. And difference between this market clearing price and his contracted price is to the account of the multinational who has contracted this. In turn, the green attribute goes to the multinational.

Now under this kind of a contract, what we understand is that, yes, a couple of VPPAs have been signed. And I think almost about 2,000 megawatts of VPPAs are under operation or under execution. And that power is coming to the market for sales.

Anand B: 2,000 megawatts of virtual PPAs?

Satyanarayan Goel: Yes. And in any case, most of these VPPAs are for the solar power. And during solar time, in any case, we have a lot of sell available. We have sell available to the extent of more than 50,000 megawatts. So if there are more Virtual PPAs, there will be more sell during this hour.

Anand B: Okay. And you are saying in the 2,000 megawatts Virtual PPAs, how much of the entire share is coming to the Exchange or only a certain portion of it?

Satyanarayan Goel: Entire is coming to the market.

Anand B: Okay. Any estimates of how much can come to IEX specifically?

Satyanarayan Goel: Can you repeat, please?

Anand B: Any idea how much of that can come to IEX specifically?

Satyanarayan Goel: In fact, entire is coming to the IEX because they are mostly selling in the day ahead market.

Anand B: Thank you, sir.

Moderator: Thank you. The next question comes from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: Good afternoon, sir. I had a couple of questions. So, the first one is, when I see the gas exchange prices, I think these are US numbers, we are somewhere close to about \$4 per MMBtu, whereas our GIXI prices are somewhere closer to about \$11. So why is there so much of a difference between the prices? That is one. And the second question was on the carbon exchange. Are there any business development initiatives that we are doing to scale it up, sir? Could you just speak about that?

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Satyanarayan Goel: Yes. In case of the gas market, US prices are based on the Henry Hub. And Henry Hub is an index, which is basically determining the gas price in USA. It is not international gas trading exchange. It is basically for the transactions happening

in USA. And since USA has surplus gas available, their trading price is around \$4, \$3.5 to \$4. If that gas has to come to India, then that gas will have to be liquefied, transported and re-gasified.

The rate for that gas also will work out to be something around \$10 to \$12, which is the rate of the GIXI. But mostly in India, the gas is coming from the Middle East side and because that is nearer to India, transportation cost is lower. And the rate of that gas today is almost about \$10 to about \$11, and it was about \$12, \$13 a couple of months back. Is this clear?

Moderator: Mr. Vikas, you are not audible. Mr. Vikas, please unmute your line.

Satyanarayan Goel: Let me answer his second question. And second question was regarding market development activities about carbon trading. Regarding carbon trading, CERC has issued draft regulations, public hearing was held, order is reserved on the carbon trading regulations. And Ministry of Environment has recently issued guidelines for greenhouse gas emissions for 4 industries. And after that, these industries will have to comply with this. There will be an audit for that. And thereafter the industries who are overachieving the targets, they will be issued carbon credits and industries which are not achieving it, they will have to buy the carbon credits. So, I think all this process will need another one and a half, maybe one to one and a half year. And thereafter, the carbon trading will happen. And we are regularly in touch with the different authorities. And we are also in touch with the different industries for the trading of carbon credits. So, we are doing all necessary preparative work for this. Thank you.

Vikas Kasturi: Thank you.

Moderator: Thank you. The next question comes from the line of Yashodhan Nerurkar from Ionic Wealth. Please go ahead.

Yash Nerurkar: Thanks for the opportunity. So I just had two questions. The first is, I mean, I just wanted a clarification. In the event of market coupling, say, the entire volumes are split in the ratio of, say, 70% and the balance to Exchange is like 15-15. So, will IEX be responsible for clearing the 70% of the volumes as in even if the price is discovered by, say, third entity like the market company operator, would IEX be responsible for clearing the 70%? So, would they be getting paid for all the buys and sells that they have got in the exchange? So that's first question.

And second question is, you always, in every call, talk about the different developments and draft amendments that the regulator has been looking to sort of implement. I mean, what is the progress of all these developments? And how soon can we expect some of the key developments

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to actually materialize? And what sort of benefits would IEX actually accrue from these developments is the second question.

Satyanarayan Goel: Your first question was, yes, clearing of the volumes. See, whatever buy bids and sell bids will come on the IEX platform and whatever is cleared after the market coupling, we will settle those bids. I suppose I got sell bid of 500 million units, buy bids of 200 million units. Out of that, after the price discovery happened at the centralized location, out of that, my 200 million units of sell bids are cleared and 150 million units of buy bids are cleared. So that means I will get from the 200 million units buyers money, I will get from them. I will get from 150 million unit buyers. And this money, I will pay to the sellers who have sold 200 million units. In addition, I will also get money from the other exchanges whose buyers are cleared against the sell from my sellers. So, there will be interexchange settlement also. So whatever volumes are cleared on IEX platform, we will do a settlement for that.

Yash Nerurkar: Okay. Perfect. Perfect. That answers my question. And secondly, abo

ut the developments and

how material would they be? And how soon can we expect the progress to happen in those?

Satyanarayan Goel: See, if you look at the government and regulators, everybody is basically interested in development of the market. And there are many such initiatives which are being taken by the government. In the past also, if you see the Late Payment Surcharge, which came streamlining the payments for the generating companies, that brought in financial discipline in the sector. And as a result of that, the capacity addition is happening in the country now.

Then there was an amendment in that, that all generators will have to sell their URS power on the exchange platform. As a result of that, we are getting lot of sell bids on the exchange platform. I mean in a few days, what we see is in the Day Ahead Market, we can sell volumes of almost about 150 million units to 200 million units. Similar in the RTM market, also 200 million to 250 million units kind of sell bids are coming.

And now Government of India has proposed amendment in the Electricity Act. And as per this, again, this is basically for bringing viability in the power sector, improving performance of the distribution companies. So, if that happens, definitely, the demand for power is going to increase, and this will definitely help exchanges to grow business. Same thing from the regulator also. I mean, VPPA provisions were approved. And I think two years back when the GNA was implemented, that has also streamlined all this network connectivity and charges for short-term transactions. So I think all this streamlining is happening. This is keeping in view how to develop the market in the country.

Now we are talking about the capacity market that if a distribution company does not have adequate capacity, which is required for meeting the demand, how can they buy that capacity, how to develop the capacity market. So these things are happening. So, these things do not

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happen every day, but it's a continuous process and the government and regulator both are working in the direction of developing the market in the country.

Yash Nerurkar: Okay, fair. That answers my questions. Thank you.

Moderator: Thank you. The next question comes from the line of Faisal Zubair Hawa from H.G. Hawa & Company. Please go ahead.

Faisal Hawa: Sir, as far as the legal cases are concerned, what kind of forum are now we have been represented on this coupling matter? And when is the next hearing?

Satyanarayan Goel: I am not clear about your first question. The next hearing is on 28th of November.

Faisal Hawa: And this is with CERC?

Satyanarayan Goel: Next hearing is in APTEL, Appellate Tribunal for Electricity.

Faisal Hawa: Okay. And sir, what is the kind of, I mean, technology changes that we can bring in so that we do not lose much volume even if coupling does happen?

Satyanarayan Goel: See we are working in the company, and, what kind of changes in the system we have to do, what kind of technology support we need to provide to our customers to create customer loyalty, so all those things are being worked out. I do not think on this call, it will be possible to elaborate on those things. So, we are definitely going to take technology intervention to ensure our customers share.

Faisal Hawa: Okay, sir. Thank you very much.

Moderator: Thank you. The next question comes from the line of Archit Agarwal from Steptrade Capital. Please go ahead.

Archit Agarwal: Yes. Sir, my question is what steps is IEX taking to diversify the revenue stream after like market coupling will happen, so the revenue will decrease.

Satyanarayan Goel: No, why are you saying the after market coupling the revenue will decrease? We are making all efforts to ensure that we retain our market share and volumes are increasing every year. So, I am

sure --

Archit Agarwal: Sir, if you look at the result, right, so volume has not significantly increased, right? So after this market decoupling, actually, it seems monopoly is not there, right? So what I am asking --

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Satyanarayan Goel: Gentlemen, please hold the line, coupling has not happened, okay? So, for coupling only order has been issued, coupling has not happened. So, there is no change in that. And volumes have increased by 16%.

Moderator: Thank you. The next question comes from the line of Aditya Raval from Exencial Research Partners. Please go ahead.

Aditya Raval: Good afternoon. My question is regarding in the quarter two result, electricity traded volume grew by 16.1 % year-on-year, but the revenue from operations grew at a slower rate of 10.42 % year-on-year, indicating the divergence. Could you please explain the reason behind this gap? Is it mainly due to the lower realization or unfavorable product mix? And what steps is the company taking to address this issue going forward?

Satyanarayan Goel: See, electricity volume grew by 16%, and then there is a certificate also. So my colleague, Mr. Vineet Harlalka, who is CFO of the company, he will explain you in detail about this.

Vineet Harlalka : So, when we look at the total volume, the electricity volume increased by 16% during the quarter on year -on-year basis, but the REC certificates volume was a bit lower. And secondly, if you can recall, last year in the month of August, we reduced our transaction fee on the certificate from Rs. 40 to Rs. 20. So, during the previous year quarter, the full Rs. 40 fees was being charged. And this quarter, it was Rs. 20. So, it's a mix of both, slightly lower certificate volume and the lower the transaction fee, which has resulted in the overall operating revenue lower than the increase in the electricity volume. I hope this clarifies?

Aditya Raval: Yes, sir.

Satyanarayan Goel: On the electricity side, the increase in the revenue is 16%. On the certificate side, the increase in revenue is minus 53%. So, as a result of that, total revenue increase was only 10%.

Aditya Raval: Yes, sir.

Moderator: Thank you. The next question comes from the line of from Neeth from Alembic. Please go ahead.

Neeth: Hello. My all the question s have been answered.

Moderator: Thank you. The next question comes from the line of Chirag from Keynote Capitals. Please go ahead.

Chirag Maroo: Thank you for the opportunity. My first question is, what is the settlement obligation payable as of H1 FY '26?

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Vineet Harlalka : The settlement payable keeps on changing depending upon the volume and price. If you look at the balance, the closing balance as on 30th of September, the total payable amount was near about Rs. 500 crores.

Chirag Maroo: Okay. My second question is related to product -wise market share. Is it possible for you to share that?

Satyanarayan Goel: Yes. Mr. Rohit will respond to this question, JMD of the company.

Rohit Bajaj: If I talk about Q2, so our electricity market share is 84% and certificate market share is a little above 50%. So overall is about 75%. But what we have seen in the past couple of years, product - wise, IDM and RTM is 100%, 99% precisely. And in the other TAM segments, it is 35%.

Overall, as I said, electricity is 84%.

Chirag Maroo: Got it. Sir, just one thing I wanted to understand, if market coupling goes forward, apart from the tech, are we willing to go into price wars also if that takes place?

Satyanarayan Goel: Let the coupling happen. We will look at the market conditions and take a call based on that. I do not think we need to decide that thing today itself. I can tell you one thing, in the Term Ahead Market, all three exchanges are active. And there also, the price war is not th

ere. So, I do not see

any such situation that after coupling, there will be a price war in the DAM market. Why should we talk about war? Let us talk about peace.

Chirag Maroo: Fair enough. And as to you, sir, you have been focusing a lot on retention of customers, as you rightly mentioned earlier. So apart from technology, what is the USP that IEX has?

Satyanarayan Goel: It is hard work of last 17 years because of which we have been able to build this market and the kind of connectivity we have, the understanding we have with our customers - the kind of understanding which we have developed about the requirements of our customers and the value which we provide to them, the market development activities which we have done. I think all these things are our USP, and we will continue to do all these things. And I am sure this will definitely give us good market share in future.

Chirag Maroo: Perfect. Sir, just last question from my side. As there is a new thing that is happening in the market, the electricity derivative market, right, just wanted to understand what will be the revenue model for IEX from here?

Satyanarayan Goel: We have an agreement with MCX that they will share a part of their revenue with us because they are doing the settlement based on our clearing price. But if you look at the volumes which are happening in the derivative market for the month of August, September, October, these are negligible. So, I do not think at the moment there is any point in talking about the revenue model out of that.

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Chirag Maroo: Fair enough, sir. And sir, if you have this clarity, are nodal-based electricity derivatives taking place? Or is there any clarification to that?

Satyanarayan Goel: I could not get your question.

Chirag Maroo: So, in US electricity derivative market stakes has flourished because of the nodal-based electricity derivative. So, if there is a node in Los Angeles per se, derivatives are traded based on that node. So just wanted to understand, is such kind of development in --

Satyanarayan Goel: US electricity market is different, and that is why derivatives are also based on the nodes. In India, we have sort of uniform transmission price within a state. And the derivatives are also based on that. These are basically zonal. US and India markets are quite different. So, in India, the derivatives are based on the market clearing price of the Day Ahead Market. And that is one price, you can say.

Chirag Maroo: Fair enough, sir. Thank you for the answers.

Moderator: Thank you. The next question comes from the line of Krishna Sateja from Smart Sync Services.

Krishna Sateja: Good Afternoon, sir. So, all my major questions have been answered, but a small query, like once the carbon trading certificate gets yes nod from all regulations, like you expect one and a half years from now. So how significant volume can we expect from that? How significant ly can they affect the financials?

Satyanarayan Goel: It's difficult to say that because it depends on to what an extent industries are able to comply with the GHG gas emissions norms. If everybody is complying, then there's no trading. If few are complying, over complying and if few are under or not complying, then yes, the trading will happen. So, it all depends on that. But looking at the trend in the past for the ESCerts and RECs, we believe that the market could be as big as the REC market.

Krishna Sateja: Okay. That's all from my side. Thank you.

Moderator: Thank you. We will take that as the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Rohit Bajaj : Thank you, friends. I would like to thank each one of you for being part of today's call.

Throughout the second quarter, we witnessed efforts from the government and regulators to establish a fa

avorable policy and regulatory climate to develop the energy sector. We at IEX remain committed to contribute to the development of a sustainable and energy-efficient future for India. Thank you so much. Have a great evening. Thank you.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2026

Indian Energy Exchange Limited

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Dated: February 05, 2026

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the Earnings Conference call with analysts and investors held on January 30, 2026.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on January 30, 2026, to discuss the financial results of the Company for the quarter ended December 31, 2025.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q3 FY '26 Results Conference Call"
January 30, 2026

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR –INDIAN ENERGY EXCHANGE
LIMITED

MR. ROHIT BAJAJ – JOINT MANAGING DIRECTOR –
INDIAN ENERGY EXCHANGE LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER -
-INDIAN ENERGY EXCHANGE LIMITED

MR. AMIT KUMAR – HEAD MARKET OPERATIONS
NEW PRODUCT INITIATIVES AND EXCHANGE
TECHNOLOGY –INDIAN ENERGY EXCHANGE LIMITED

MS. APARNA GARG – HEAD INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS –INDIAN ENERGY
EXCHANGE LIMITED

MR. ADITYA WALI -- INVESTOR RELATIONS –INDIAN
ENERGY EXCHANGE LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Indian Energy Exchange Q3 FY '26 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Rohan Gheewala from Axis Capital Limited. Thank you. And over to you, sir.

Rohan Gheewala : Thank you. Good evening, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all to the IEX Q3 FY '26 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. Rohit Bajaj, Joint Managing Director; Mr. S.N. Goel, Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Mr. Amit Kumar, Head of Market Operations, New Product Initiatives and Exchange Technology; and Ms. Aparna Garg, Head, Investor Relations and Corporate Communications. We will begin with the opening remarks from Mr. Rohit Bajaj, followed by an interactive Q&A session. Thank you. And over to you, sir.

Rohit Bajaj : Good evening, friends. A very happy New Year to all of you, and a warm welcome to the IEX earnings call for Q3 FY '26. With me today on this call are Shri. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, CFO and Company Secretary; Mr. Amit Kumar, Head of Market Operations and Exchange Technology; Ms. Aparna Garg, Head of Investor Relations and Corporate Communications; and Mr. Aditya Wali.

India continues to be the fastest-growing major economy in the world, posting a strong GDP growth of 8.2% in the second quarter of FY 2026. In the backdrop of continued global uncertainty, the International Monetary Fund, IMF, has recently revised India's GDP growth estimate for FY '26 to 7.3% from its earlier forecast of 6.6%.

This growth path has been driven by a robust domestic demand, heightened investment activity and steady performance across industry, services, agriculture and construction. Policy reforms such as rationalization of GST rates, new labour laws and the recently concluded India EU free trade agreement have also finally firmly positioned India on a long-term trajectory towards becoming the world's third largest economy by 2030.

On the power sector front, electricity demand picked up during December, with an increase of 6.6% on a year-on-year basis. However, prolonged monsoon in 2025 led to a lower electricity requirement across the country. Consequently, electricity demand during Q3 FY '26 remained flat at 392 billion units.

For nine months FY '26, demand also remained subdued at 1,286 billion units, similar to the corresponding period of FY '25. Going into January, demand has increased to 6% compared with a year ago. During the first nine months of FY '26, an additional 44.7 gigawatts of installed capacity across thermal and renewable sources was added, taking total installed capacity to over 500 gigawatts.

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Renewable energy accounted for more than 50% of the total installed capacity. Notably, India achieved the milestone of sourcing 50% of its cumulative installed electric power capacity from renewable sources, five years ahead of the 2030 target.

On the fuel side, ample fuel has been available at competitive prices. India's coal production reached 272 million tons in Q3 FY '26, similar to 273 million tons produced in Q3 FY '25. At nearly 722 million tons, production in the first nine months of FY '26 has also remained similar compared with the same period in FY '25.

Coal inventory as of January 17, stood at 25 days, but the quarter imported

coal price for 4,200

GAR coal declined to nearly \$47 per ton, a decline of 10% compared with the same quarter last fiscal. Overall, the fuel situation for the sector has remained comfortable.

Let us now talk about a few important regulatory updates and policy initiatives.

The government has released Draft National Electricity Policy 2026, aimed at aligning the power sector with Viksit Bharat goals over the next two decades. Draft prioritizes cost-reflective tariff reforms, a phased reduction in cross subsidies and time-of-day peak hour pricing to improve efficiency and strengthen DISCOM finances.

It sets ambitious consumption targets for per capita electricity used rising from 2,000 units by 2030 and over 4,000 units by 2047 and calls for stronger generation, transmission and distribution planning. Key strategies span resource adequacy planning, cost-reflective tariffs with AT C loss reduction to single digits, RE expansion with storage, thermal hydro nuclear enhancements, etcetera.

For deepening power markets, suitable policy and regulatory framework shall be established for generation capacity addition through market mechanisms such as bilateral contract settlements. Standardized contracts for collective transaction will be executed on power exchanges.

Electricity from long-term PPAs may be encouraged to be routed through power exchanges or

any other platform recognized by the Central Commission.

Recently, key amendments were proposed to the Draft Electricity Amendment Bill 2025, wherein state electricity regulatory commissions have been specifically empowered to determine tariffs, suo-moto to ensure timely cost recovery and avoid delays. Cross subsidies are to be progressively eliminated within 5 years for sectors such as manufacturing, railways and metro operations.

In a push for C&I and open access consumers, DISCOM may be exempted from their obligation of supplying to C&I users with more than 1 megawatt load. Also, DISCOMS would provide non-discriminatory open access to multiple distribution licenses on payment of wheeling charges. These proposals should open up DISCOM resources for supply, avoid tying up standard power and enhance competitiveness of the C&I segment.

Draft provides renewable purchase obligation, RPO, not be less than central RPO trajectory and proposes a specific penalty of INR0.35 to INR0.45 per unit for RPO non-fulfilment.

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CERC issued final guidelines for virtual power purchase agreements, VPPAs in December. These guidelines recognize power exchanges as authorized platforms for sale of electricity by RE generators under VPP arrangements. Renewable generators entering VPPAs would be selling the electricity component in the collective segment on power exchanges. This should help increase volume on exchanges.

In reference to the carbon market, final notification regarding greenhouse emission intensity (GEI) targets have been published by the Ministry of Environment, Forest and Climate Change for obligated entities across 7 sectors such as aluminium, chlor-alkali, cement, pulp and paper, petrochemicals, petroleum and textiles. Final notifications are awaited for the iron and steel sector.

The baseline emission of these 7 sectors with base year FY '24 is 480 million tons equivalent, with targeted reduction to 465.32 million tons equivalent by FY '27. These sectors cover around 16% of India's GHG emissions. This development has laid the foundation of trading of carbon credit certificates on power exchanges.

The MoP had earlier issued the final notification on renewable consumption obligation, RCOs.

The notification defined RCO fulfilment method to also include RECs acquired under VPPAs, among others and also provided for fungibility of obligation under wind, hydro and other components.

We have sought CERC approval to align our green con

tracts with the revised RCO components.

The order in the matter is reserved. Once aligned, these contracts will provide due clarity to market participants for RE sale procurement, which has the potential to increase RE participation going forward.

CERC issued an order on implementing market coupling on 23rd July, in which the regulator decided to initiate the process of implementation of market coupling of Day Ahead Market.

According to the order, this was to be done by January 2026. IEX has filed an appeal in Appellate Tribunal for Electricity, APTEL, and today, the hearing has concluded. We expect the final order to be released shortly.

Moving on to performance. In Q3 FY '26, IEX recorded electricity trading volume of 34.1 billion units, a year-on-year growth of nearly 12%. For the first nine months of FY '26, electricity volume touched nearly 102 billion units, higher by 14.3% on a year-on-year basis.

Revenue for the company grew by 14% year-on-year, increasing from Rs. 160.5 crores in Q3 to Rs. 183.1 crores in Q3 FY '26. Profit after tax increased by 11%, rising from Rs. 107.3 crores in Q3 FY '25 to Rs. 119.1 crores in Q3 FY '26. For the first nine months of FY '26, profit after tax was higher by 16.4% from Rs. 312.1 crores in nine months FY '25 to Rs. 363.1 crores.

The Board of Directors have announced an interim dividend of Rs. 1.5 equivalent to 150% of face value of the equity share.

In Q3 FY '26, nearly 18.6 lakh renewable energy certificates were traded, lower than nearly 27 lakh certificates traded over the same quarter in FY '25. During the nine months till December,

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over 115 lakh RECs were traded, higher by 4% over the same period last fiscal. The RTM segment continues its strong growth, maintaining 40% share in the electricity volume at IEX. For Q3 FY '26, RTM volume at nearly 13 billion units were higher by 36% on a year-on-year basis. In the first nine months, RTM volumes have grown 38.6% on a year-on-year basis to reach

40.5 billion units. This segment has been playing a critical role by offering flexibility in power procurement, providing immediate responsiveness to efficiently integrate renewable with the grid.

Green market volume in Q3 FY '26 rose 7.2% on a year -on-year basis to nearly 3 billion units compared with Q3 FY '25. In the first nine months of FY '26, the segment traded over 8 billion units to be higher by 23% over the same period in FY '25. The green market helps obligated entities, including distribution companies, meet their renewable purchase obligations.

With capacity addition, increase in solar, hydro, wind and sustained supply from coal -based generation, supply liquidity on power exchanges improved and led to substantial drop in prices. In Q3 FY '26, sell bids in Day -Ahead Market of IEX increased 44% on a year -on-year basis. As a result, the average Day -Ahead Market price was Rs. 3.22 per unit, down 13.2% YoY, while price in the Real-Time Market averaged Rs. 3.56 per unit, a 16% YoY drop. Even on a 9 -month basis, sell liquidity in the Day -Ahead Market in FY '26 has been higher by 43% compared with FY '25. The average DAM price, during this period at Rs. 3.85 per unit has been lower by 14% compared with the same period in FY '25. Similarly, the average price at Rs. 3.56 per unit in RTM segment over nine months since April has been lower by 16% on a year -on-year basis. These prices presented an opportunity for Discoms and Commercial & Industrial consumers to meet their demand at competitive prices and to replace their costlier power by procuring through exchanges.

On the product front, we continue to await approval from the C ERC on our petition to extend the Term Ahead Market contracts to 11 months. With regards to our Green RTM petition, C ERC has reserved its order. As mentioned previously, to facilitate merchant storage capacity in th

e

country, we have filed a petition with the C ERC for introduction of peak Day -Ahead Market and peak Real -Time Market segments.

This segment would facilitate trading of power during high -demand hours such as late evening and early mornings. Stakeholder consultation on the same has been completed and the matter awaits further proceedings.

Moving on to IGX performance. December 2025 marked five years of operations for the Indian Gas Exchange, IGX. IGX currently represent close to 3% of India's overall gas consumption and 20% of the spot market. Over the years, IGX has steadily expanded its market footprint, increasing the delivery points available from 4 in FY '22 to 23 today, covering both domestic as well as R -LNG. The product portfolio at IGX has also grown over the last 5 years, up from 6 contract types available initially to 10 contract types currently available.

For Q3 FY '26, IGX traded gas volumes of 17.5 million MMBtu, an increase of 8% over Q3 FY '25, led by volumes from domestic gas producers, heightened power demand and demand from Indian Energy Exchange Limited

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city gas distribution. For the nine months period April to December in FY '26, IGX traded gas volume of 58.2 million MMBtu, a growth of 46% on a year -on-year basis.

IGX recorded a profit after tax of Rs. 8.8 crores in Q3 FY '26, which was higher by 6% compared with Rs. 8.3 crores in Q3 FY '25. For the nine months till December, IGX recorded a profit after tax of Rs. 32.5 crores, higher by 47.9% compared with Rs. 22 crores in the same period in FY '25. As gas price continue their downtrend and the policy initiative remain s positive in the sector , volumes at IGX would continue to be robust.

Even as weather -related events soften ed power demand this year, C EA projection of consumption nearing 2,500 BU by 2032 would continue to drive exchange volume in the coming years. To meet this surging demand, nearly 4 to 5 gigawatts of capacity is being added in the country on a monthly basis.

The power sector also continues to evolve with the emergence of market mechanisms such as battery storage arbitrage, firm and dispatchable renewable energy (FDRE); virtual power purchase agreement (VPPA); and electricity derivatives and Battery Energy Storage Solutions, (BESS). Already 13,200 MWH of BESS projects have been awarded under the first tranche and tenders for nearly a third of 30,000 -megawatt projects in the second tranche under VGF have also been awarded. The reduction in this battery storage cost s has further accelerated BESS adoption. As recently as November 2025, AP Transco discovered Rs. 1.48 lakh per megawatt per month for 2,000 megawatt 2 -hour, 2 cycle tender under the VGF mechanism. This is the lowest price discovered for BESS under the VGF mechanism . In a big positive start for BESS in the country earlier this month , we witnessed the first merchant BESS trades at IEX from Juniper Green Energy Limited, the largest operating BESS asset till date in the country. These developments are set to play a pivotal role in deepening BESS and power markets and facilitate a successful energy transition.

Our diversification initiatives are also gradually gathering momentum.

For Q3 FY '26, the International Carbon Exchange, ICX, issued 51 lakh I -RECs, higher by 219% compared with Q3 FY '25. For the first nine months of FY '26, cumulative 133 lakh I -RECs were issued, surpassing 59 lakh I -RECs issued in FY '25. Revenue for ICX in Q3 FY '26 stood at Rs. 1.8 crores and Rs. 5.5 crores for the first nine-month period, respectively. With regards to the Coal Exchange, Ministry of Coal has appointed Coal Controller Organization as the regulator for the coal exchange. MoC has also come out with the revised draft rule s for the exchange and invited public comments, which were open until January 19. IEX has been working with stakeholders to explore setti

ng up the first coal exchange in India.

As India advances towards its net zero goal, energy exchanges are expected to play an increasingly significant role in shaping the nation's energy ecosystem.

Thank you. And now we can have question and answers.

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Moderator: Than k you very much! We will now begin the question -and-answer session. The first question is from the line of Ketan Jain from Avendus.

Ketan: This is Ketan from Avendus. Sir, I had a question on the hearing. When would be the expected announcement date of the verdict? I understand we have to submit our written submissions by 4th Feb. When can we expect a verdict date?

Satyanarayan Goel : Can't say, but it should happen within a month's time.

Ketan: Okay. Within a month. Okay. So, just a follow -up on this. So, in a scenario where things don't go in favour of us, what is the next possible situation or next possible thing we are planning to do?

Satyanarayan Goel : First of all, why are you saying that if things don't go in our favour ? Things will definitely go in our favour . In any case, even if they have to go with the coupling, lot of things have to be done yet. I mean, if you are following up on the hearings, they have to issue the draft regulations, invite comments on that and give statement of reason for that, why they want to do coupling. Everybody will have opportunity to comment on that.

Then they will have to issue final regulations, procedure to be finalized. I think a lot of work is to be done. So, we will have an opportunity to express our views at each and every stage. And let's see.

Ketan: I just want to understand how long it can get drawn down for. I will get back in the queue, sir.

Moderator: Thank you. T he next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : My first question is in relation to the volume growth that we saw for electricity volumes on IEX in the month of December when power demand growth improved, your volume growth was about slightly under 3%. And so, I understand the merchant price sort of firm up as the demand increases on the grid.

But even in Jan uary, the demand is not as good as December in terms of growth. But so how is the -- is the slowdown likely to remain? Let us say, if India's power demand grow s 5%, 6% instead of 0% to 1% like it has been last few months, how would your power demand grow? How would your volumes be impacted in the electricity segment?

Satyanarayan Goel : See, in Calendar Year '25, the demand in the country was subdued mainly because of the weather reason. We had more than above monsoon. So , because of the good monsoon, the agricultural load crashed and also because of the good weather, the air conditioning load was also low. So overall, the demand did not increase because of that. But otherwise, if you looked at the industrial production, th ere is definitely -- there is an increase in that.

And since the demand growth was not there, but the availability of power was there, we have enough capacity. We had enough coal to generate power. The rate in the Day Ahead Market was lower than what it used to be. And because of the low rate, it provided opportunity to the Indian Energy Exchang e Limited

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distribution companies for optimizing their power procurement cost. So , as a result of that, even though there was no demand increase in the country, we saw reasonably good volume growth. I think it was almost about 14%, 15% kind of volume growth in the first nine months. And January month is also going strong with a volume growth of almost about 18%, 19%.

Sumit Kishore : So, January is 18%, 19%. Okay.

Satyanarayan Goel : Yes.

Sumit Kishore : So, I mean, is there any correlation that if power demand actually firms up, like December

volume growth was 3%. So, I was just wondering whether -- is there anything to read there?

Satyanarayan Goel : You cannot make any correlation on month -to-month basis. Yes, we have seen that on a yearly basis, if the demand increases, definitely, it leads to increase in the volume. But this year, when the demand did not increase, then also there was a volume increase because of optimization opportunity (which presented itself) because of the low prices. So, I think exchange provides both ways. One can purchase power to meet the demand and also when the demand is less, they can optimize the power under the PPA.

Sumit Kishore : Yes, Sir. very clear. The second question is on the REC volume. In the nine -month period, you've seen that REC volume growth has been in low single digits. So , what is -- and we are hearing so much on RPO obligations and everything. So how -- I mean, why is the slowdown and what is the outlook?

Satyanarayan Goel : See, REC volume in the first 6 months are reasonably good. But subsequently, what happened was -- one is that the compliance, which was to be done by 30th September, that time - line has been extended up to 31st of March. So, some of the buyers now they have shifted their buying to the month of February, March.

Second is CERC also came out with a discussion paper on REC and wherein they have specified that in case somebody is not able to meet the RPO obligation, he can deposit amount with the Government , which is equivalent to 1.05% of the average price of REC in the preceding year. So, with this kind of provision, many are thinking that maybe let 's see, maybe can even meet the RPO obligation by just depositing the money with the Government . So, because of this, the REC purchase is slightly low. But in any case, I think by the end of the year, we will be able to still do better than what we did last year.

Sumit Kishore : This sounds like a very regressive step, right? And if you are able to deposit money and not...

Satyanarayan Goel : Yes. We have made our submissions with the honourable commission that in case of REC, REC is based on the generation of green power. But in case of depositing money, it is not promoting renewable energy. So, we should continue with the existing process. We have made our suggestions and let's see what is the outcome of that.

Sumit Kishore : Sir, just last one question. Typically, if I divide the stand -alone revenue of the company by the total gross volume, the ratio comes to less than four paisa . But this time, it is coming at less than Indian Energy Exchange Limited

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4 paisa . So typically, there is some discount that is there, which shows up in numbers because REC, I remember the pricing is lower and also you have some discount in TAM. But this time, it is not showing up. I mean, is there anything I'm missing?

Satyanarayan Goel : No, in case of REC, the transaction fee is reduced to Rs. 20, in fact, for part of the year. This year for the full year, it is Rs. 20. And even out of that, also looking at the market conditions, we have to give incentives to the buyers and sellers , some amount of incentive. But otherwise, in case of electricity, I think it is around four paisa .

Sumit Kishore : Yes. But if you divide the revenue for December quarter standalone, Rs. 1,439 million by the volume, the ratio is coming to 4 paisa . It is typically less than that.

Satyanarayan Goel : Revenue also includes annual fees by the members.

Sumit Kishore : In the past few quarters, it was always been less than four paisa . So, I was wondering if there is something else this time.

Satyanarayan Goel : Maybe there is a variation in the yearly fees.

Vineet Harlalka : Even in the TAM trade volume, sometimes the delivery is related to the revenue recognition, it happens. So that also impacts slightly with many times realization of the trade volume.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal : Thank you for the opportunity Sir. First question again on the market coupling case. If you could help us understand, does the case now boils down to whether the process was followed while the implementation of market coupling rather than the market coupling regulation itself? What are we kind of doing in the APTEL? Is it the process that we are challenging or just the whole regulation?

Satyanarayan Goel : What we had challenged in the APTEL was that this order should be set aside because the order has not followed the due process of order making. The transparency was not ensured, and there was no merit in implementing market coupling. But during the discussions, it also emerged that CERC has mentioned that they will be doing this market coupling only after making the regulations.

And during the regulation -making process, everybody will have the opportunity of making the submissions. So, the complete transparency will be maintained during that process. So, this order

is basically to initiate the process of regulation making. So, let us see what is the final outcome of this.

Devesh Agarwal : There was one round of public comments that were invited on market coupling. So, you're saying for the regulation, again, C ERC is required to do that .

Satyanarayan Goel : No that was the staff paper. That was on the staff paper that what are views on the staff paper. But when you make regulations, you issue draft regulations, which indicates the intent of the Commission and why that intent is and on that, they invite the comments.

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Devesh Agarwal : Right. And there was some news article mentioning...

Satyanarayan Goel : Out of the Commission, staff paper is invariably, is something like a discussion paper initiated by the Staff of the Commission . But draft regulations are by the Commission .

Devesh Agarwal : Understood. And so most likely post the APTEL, there is a possibility that C ERC will start the process of the market coupling regulation.

Satyanarayan Goel : Let us see. I mean, I can't say anything on that.

Moderator: Thank you. The next question is from the line of Abhir Pandit from Old Bridge Mutual Fund.

Please go ahead. Please unmute your line and go ahead. Due to no response, we will move to

the next participant Pranav Jain from Ageless Capital and Finance. Please go ahead.

Pranav Jain : I just had a couple of questions. So , the first one being, in your opening remarks, you said that electricity from long -term PPAs might be routed through the exchanges, if I heard correctly. Can you explain me more on that? How will that work? How will the tariffs work on that? Will it be the same process? Just a little idea on that.

Rohit Bajaj : Okay. Yes. So, this was point related to deepening of power market where , as per the National Electricity Policy Draft, suitable policy and regulatory framework shall be established for generation capacity addition through mechanisms such as bilateral contract settlements. So, they are relating it to Contract for Difference model where the exchanges are used to dispatch that power and whatever realization is there from exchange, that will be kept by developer and whatever is the missing money as compared to the strike price, which is discussed, that is settled outside the market through bilateral contract settlement. So, that's the intent of this thing.

And this is similar to what is being done globally across Europe and other places and India also, this has been discussed for a long time. And in fact, the VPPA guidelines, which has come in the month of December, very recently, this is also very similar to it. It is also on the basis of bilateral contract settlement.

Pranav Jain: Got it, sir. Understood. And sir, just another question on -- just to understand, sir, even if coupling comes in

DAM, I just want to understand how -- because now also it will take time for it to get implemented in the Day -Ahead Market at first. How much longer will it take if that happens -- for that to happen in the RTM market as well? Because my understanding is it is very complicated but just wanted to get your idea on it.

Satyanarayan Goel : So first of all, for implementing in the DAM market itself, a lot of work is to be done. As I told you that there are going to be draft regulations, public hearing, final regulation. process to be finalized and a lot of things will be done. And after that, Commission has already in the order mentioned that they will look at the experience of this and thereafter decide whether they want to go for the RTM or not. Because in case of RTM, the complications are more. You have to do it 48 times in a day and the timelines available for execution of market is very short. And in case of coupling even whether the time lines is available, within that, whether the coupling will be possible or not . I think they will study all these things and then decide about that.

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Pranav Jain: Got it, sir. And sir, just lastly, sir, there was this news article that mentioned that the tariffs like the exchange fees might be cut from four paise to whatever half of it on each side. What is your idea on that? Do you see that happening?

Satyanarayan Goel : I haven't heard any such thing. I mean, there are many news items, so I don't really pay any much attention to that. But as far as the Commission is concerned, we haven't heard anything like that from the Commission .

Moderator: The next question is from the line of Abhir Pandit from Old Bridge Mutual Fund.

Abhir Pandit : Sir, my query is first related to market coupling. Sir, assuming if market coupling happens and if the round robin fashion is adapted, is it necessary that the volumes will flow to a particular exchange for a particular period of time? Or will it be open for all the exchanges at that period? How will it be?

Satyanarayan Goel : It will be open to all the three exchanges on everyday basis. Buyers and sellers can submit their bid in any of the exchange. Only thing is that the bid of all three exchanges will be aggregated at one place for the purpose of price discovery.

Abhir Pandit: Okay. So basically, price discovery moves to GRID India from the exchange currently.

Satyanarayan Goel : No, no. Price discovery will be done on the round robin basis. Maybe for one month, one exchange will do. For next month, another exchange will do. For next third month, another exchange will do. And we'll keep on rotating between the exchanges on round robin method.

Abhir Pandit: Okay. Fine. Sir, my second question is in terms of new products that was shared at the start of the call, right, I mean, which has come based on the recent government paper. Sir, how do you see IEX ability to introduce those products and the acceptance or reception of those products by customers and the time line for the launch of these products?

Satyanarayan Goel : See, when we file petition with the Honourable Commission, before that, we do the market survey. We interact with the customers and based on the requirement of the market, we file petition for introduction of the contracts. And in fact, when we do public consultation also, in that also, we have received good response from the market for introduction of these products, which we have filed with the Honourable Commission. The Commission has done the hearing. So, let us see this order is reserved in one or two cases.

Abhir Pandit: Okay. Sir, just one final. For these products, Sir, what would be the total market size or TAM as such in a sense? How big will it be possibly?

Satyanarayan Goel : See, for long -duration contract, the market size can be another 15 billion, 20 billion units. Abhir Pandit

t: 15 billion, 20 billion units. Okay.

Satyanarayan Goel : And Green RTM is something , because there's a lot of renewable capacity addition that is happening in the country now and renewable capacity has large variations. So , on Real-Time basis, they will be able to make good those variations to the Real -Time Green Market. Today, Indian Energy Exchange Limited
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they don't have any such product. So , as the renewable capacity addition increases, the transactions to the Green RTM volume will keep on increasing.

And third product is basically Peaking Power . If today, we have a shortage of power for maybe 2 hours, 3 hours in a day during the peak hour time and generation capacities like battery storage or the pump storage or the gas -based plants where the cost of generation is slightly higher, maybe they can participate in this market and if in this market, the cap price is made slightly more, it will incentivize this kind of capacity additions in the market and help in meeting demand during peak time. So, that is the intent of the peaking power tariff.

Moderator: The next question is from the line of S. Ramesh, an individual investor .

S. Ramesh : So, in terms of your gas exchange and the carbon exchange, how would the growth in these two markets pan out, say, in the next 1 or 2 years compared to the growth in the power exchange? And how would that impact your growth in revenue and profitability?

Satyanarayan Goel : See, in case of power exchange IEX, it is operating from the last 17 and a half years. So , it has attained that kind of a maturity. So, growth is going to be in the range of 15% to 20%, which we have been achieving over the years. But in case of gas exchange, it's at the nascent stage. And this year, in the first nine months, the volume increase is almost about 47%, 48%. And the trend in the market is that the gas prices are going to be reduced in the next 1 or 2 years. If that happens, there will be a good traction in the market and we expect that the gas volumes will definitely continue to grow at a rate of maybe 25%, 30% over the next 4, 5 years.

S. Ramesh: And what about the carbon exchange?

Satyanarayan Goel : Carbon exchange, in fact you know , earlier, we had the idea of starting a voluntary carbon market. But Government of India under the CCTS scheme, they have decided to launch this Mandatory and Voluntary carbon market under the regulatory framework. So, they are making their regulations for that. And hopefully, that market will start sometime in FY '27 or '28. And as and when that market starts, C ERC will be the regulator for that market. So, it's very difficult to say at this stage what is going to be the opportunity in that . When the transaction starts and looking at the market participation, we will work out that.

S. Ramesh: Yes. And request for your final couple of thoughts. Also on the gas exchange, as we see growth, would you also see higher margins in the gas products compared to the power products? And secondly, what is the time line? How are you progressing on the proposed IPO for the gas exchange?

Satyanarayan Goel : See, in case of power or gas exchange, the margins are fixed. So, our revenue is based on the volume we do. As I told you that in case of gas exchange, we expect a significantly higher volume growth of 25%, 30% in the coming years. So, I'm sure there , the numbers will be much better. As far as IPO is concerned, basically, as per the regulations, our holding in the gas exchange is 47.5% and we have to bring it out to 25% as per regulations. So , we have requested

IGX to proceed with the IPO for this. So, they have initiated action. Let's see. Maybe by , we plan to do it in this year. So, it all depends on the different activities to be done and the clearances when we get from SEBI. It all depends on that.
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Moderator: The next question is from the line of Vijay from Spark Capital. Please go ahead.

Vijay: Yes. So, there was this concept of whether coupling RTM and SCED markets would be feasible and if it's economically good, where is that right now, Sir? Or is it like only now regulations on market coupling is the priority after that DAM coupling will happen and only after that, all these things on RTM and SCED, all these things will happen?

Satyanarayan Goel : As far as RTM and SCED is concerned, I think CERC in their order has already mentioned that this will involve redesigning of a lot of regulations and processes and other things. So, they will look at this at a later stage. They have not made any mind on that. So , at the moment, they are talking about the Day -Ahead Market. And based on the experience of Day -Ahead Market, they will think about RTM. They will take a view about RTM.

Vijay: Okay. And from what I understand this, after regulation, public hearing, final regulations on market coupling ... Correct, sir?

Satyanarayan Goel : Yes, yes. Your voice is breaking.

Vijay: Sorry. I was just taking how long according to you...

Satyanarayan Goel : Can't say. It's a regulatory process, and we really cannot say how much time it will take. Your voice is cracking, Sir. There is some disturbance in the line. I'm not able to hear you.

Vijay: Is it better?

Satyanarayan Goel : Yes, it is better now.

Vijay: No, so I was just...

Satyanarayan Goel : No, no, no. I think...

Moderator: Vijay, can you please work on your audio. Vijay , please come back in the question queue. The next question is from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni : Just one book -keeping question. What is the Cash and Cash equivalent as of 31st of December?

Vineet Harlalka : We have a total cash of around INR1,500 crores as on 31st of December. And out of that, the shareholder fund is around INR1,200 crores.

Vinay Nadkarni : Okay. And secondly, just wanted some idea of how this Virtual Power Purchase Agreements are expected to increase demand for IEX?

Satyanarayan Goel : See, under the Virtual Power Purchase Agreement , a buyer will do the agreement with the generating company for generation of green electricity. That electricity will be sold on the exchanges. And green attribute will be taken by the company, which is getting into this Virtual PPA. So , definitely it will increase sell volume on the exchanges. And it will definitely have a positive impact on the volume cleared also. But it all depends on the quantum of virtual PPAs, which happen in the market and the interest of the market in getting into these transactions.

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Vinay Nadkarni : Okay. And secondly, the total un-requisitioned power that is available for transaction on the exchanges, that is currently at 7%, isn't it?

Satyanarayan Goel : Currently at?

Vinay Nadkarni : 7%. How much is it?

Satyanarayan Goel : Yes, it is almost about 9% to 10% now. Earlier NTPC was participating. Now, we find that many other generators are also participating in this market.

Vinay Nadkarni : Okay. And lastly, from your vantage point, when I see the GDP growth at 7.4%, 7.5% and you have the IIP growth also coming up, but the power demand is not catching up. Is there some dichotomy there? What do you see? Why is it happening?

Satyanarayan Goel : As I told at the beginning of this conference also that this year (2025) we had a very good monsoon, more than above monsoon. And because of good monsoon, the agricultural demand had crashed. In fact, even air conditioning load was also very low. As a result of that, the demand increase was not there. But this year (2026) , if the weather is normal, definitely, the demand increase is going to be not less than 5%, 6%.

Vinay Nadkarni : Okay. So out of this, the indu

ustrial demand continues to increase, but you're saying the agriculture and the household demand has gone down.

Satyanarayan Goel : Yes, yes, yes.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore : One question is, will the depth and the liquidity of electricity exchanges -- we are constrained on the extent of VPPAs that can be introduced as they are structured as Contracts for Differences .

So, at the current moment, how much VPPA can you actually introduce given the volumes exchanges handled?

Satyanarayan Goel : I think as of now -- Rohit, maybe you can give some figure on that.

Rohit Bajaj : See, your point is related to how much buy is there. Let's say, if we start to execute more and more VPPAs, then all the surplus generation will come to market as a sell. So, what I understand is you want to ask how much buy is there and how much this sell can be absorbed in the market, right? So , let's take the worst case, which is solar , during the daytime and VPPA doesn't mean only solar. It could be hybrid. It could be wind. It could be BESS. It could be anything. So even if we take example of solar, on an average, during the daytime, there is 6,000, 7,000, 8,000 megawatt of demand is always there. I'm talking about average. There are extreme days where it is high. There are days where it is low. So , if we go by that logic , and VPPAs since they already have an agreement, that already a PPA is there, so they would be price takers, which means they would be putting the lowest price in their bids. That is the price point that they are placing for their sell. So , by that logic, if I collate both RTM as well as DAM, there is liquidity available to the extent of 10,000 megawatt. To that extent, there should not be any problem. And today, this number stands much, much less than 1,000 Megawatts . If I talk about how many VPPAs are Indian Energy Exchange Limited
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there today and who are coming to exchange, this number is much less than 1,000 Megawatt , which means there is a large window available for them to come to this market and that will get absorbed.

Sumit Kishore : Rohit, what we also see is that during the daytime, the sell availability is a lot higher than the buy. So , the prices are depressed. So , if you are just going to increase more liquidity on the exchange in terms of sellers, it will just crash the price, right?

Rohit Bajaj : No. See, what is happening here is during the daytime, because many of these thermal power plants are also backed down, they are also participating on exchange. And there is very good quantum of URS power also coming in the market. Now, all this power is coming at a price point. None of these thermal generators are quoting less than Rupees 2.5 or Rupees 3 .0, right? They're not going below that because that is their variable cost, the coal cost. Now if, let's say, 1,000, 2,000, 3,000 megawatts o f additional VPPA power will come, it will bring down the price, no doubt about it. But how much that would be, that is to be seen. So , it's not that it will crash it left, right, center and price would come down to 0 or less than one rupee level. That will not happen. But yes, if there is more supply, then it will bring down the prices.

Satyanarayan Goel : In fact, in the Day -Ahead Market, it is more of conventional power, which is coming. But if you look at our G -DAM market . In the G -DAM market, we have large buy volumes. There is an interest from the buyers, but the quantum available in the G -DAM market is comparatively much lower. So , when VPPAs come, of course, they will come in the conventional market , but if green power comes to the market, yes, that will help us.

Sumit Kishore : Just one last data question. In the nine -month period, what was IEX market share in REC and the TAM segments?

Rohit Bajaj : So, electricity overall, we are around

83% in first nine months. And REC is about 50%. I do not have exact number for REC available right away, but electricity is 83% for sure. REC about close to 50%.

Sumit Kishore : So, TAM is what, 50%?

Rohit Bajaj : TAM , it varies between 45%, 50%. You have that? So, TAM is generally below 50%, but overall electricity is 83%.

Sumit Kishore : Got it. We can reverse calculate also. Assume 99% for RTM and DAM and rest we can.

Rohit Bajaj : 83% number will help you arriving at the final.

Moderator: We take that as the last question. And now I hand the conference over to the management for the closing comments.

Rohit Bajaj : Thank you, friends. I would like to thank each one of you for being part of today's call. Throughout the third quarter, we witnessed efforts from the Government and regulators to establish a favorable policy and regulatory climate to develop the energy sector. We at IEX
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remain committed to contribute to the development of a sustainable and energy -efficient future

for India. Have a wonderful evening. Thank you once again.

Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

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Dated: April 30, 2026

The Manager The Manager

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Corporate Relationship Department Listing Department

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Sub: Transcript of the Earnings Conference call with analysts and investors held on

April 24, 2026.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the earnings conference call held with analysts and investors on April 24, 2026, to discuss the financial results of the Company for the quarter ended March 31, 2026.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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"Indian Energy Exchange Limited
Q4 FY26 Results Conference Call"
April 24, 2026

MANAGEMENT : MR. SATYANARAYAN GOEL – CHAIRMAN AND
MANAGING DIRECTOR – INDIAN ENERGY EXCHANGE
LIMITED

MR. VINEET HARLALKA – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY – INDIAN ENERGY
EXCHANGE LIMITED

MS. APARNA GARG – HEAD, INVESTOR RELATIONS
AND CORPORATE COMMUNICATIONS – INDIAN
ENERGY EXCHANGE LIMITED

MR. ADITYA WALI – INVESTOR RELATIONS – INDIAN
ENERGY EXCHANGE LIMITED

MANAGEMENT : MR. ROHAN GHEEWALA – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Indian Energy Exchange Q4 FY26 Results Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an

operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital Limited. Thank you, and over to you, sir.

Rohan Gheewala: Thank you. Good afternoon, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all to the IEX Q4 FY26 Earnings Conference Call. We have with us the management team of IEX, which is represented by Mr. S.N. Goel, Chairman and Managing Director; Mr. Vineet Harlalka, Chief Financial Officer; Ms. Aparna Garg, Head, Investor Relations and Corporate Communications; and Mr. Aditya Wali, Investor Relations. We will begin with the opening remarks from Ms. Aparna, followed by an interactive Q&A session. Thank you, and over to you.

Aparna Garg: Hi. Good afternoon, everyone, and welcome to the IEX earnings call for the fourth quarter and full fiscal year 2026. I, Aparna Garg, will be making the opening remarks today. With me today on this call are Mr. Satyanarayan Goel, CMD, IEX; Mr. Vineet Harlalka, CFO and Company Secretary; and Mr. Aditya Wali from the Investor Relations team. Mr. Rohit Bajaj, JMD and Mr. Amit Kumar, Head of Market Operations and Exchange Technology are not available to join us today due to other official meetings.

Amid geopolitical challenges in the Middle East and heightened global uncertainty, India continues to remain the fastest-growing major economy in the world, delivering a strong GDP growth of 7.8% in the third quarter of fiscal 2026. Based on second advance estimates released by the National Statistics Office, India is expected to end financial year '26 with a growth rate of 7.6%.

The recent Middle East conflict has heightened risks to the growth outlook through elevated crude prices, supply disruptions, slower global growth, tighter liquidity and spillovers into domestic credit markets. However, India's growth performance going forward will be driven by strong domestic consumption, increased capital investment and steady momentum across industry and services.

Further reforms such as rationalization of GST rates, new labor laws and free trade agreements with the UK and EU position it on track to become the world's third largest economy.

On the power sector front, India's electricity demand at 423 billion units in quarter four FY26 increased moderately by 2.2% compared with Q4 FY25, though at 1,709 billion units, electricity consumption for FY26 remained almost flat.

Financial year 2026 witnessed an incremental 58 gigawatts of installed capacity across thermal and renewable sources, taking total installed capacity to 533 gigawatts. Renewable energy

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accounted for more than 50% of the total installed capacity at 275 gigawatts, making India the third largest in terms of renewable capacity globally. Notably, in FY26, India achieved this milestone of sourcing 50% of its cumulative installed electricity power capacity from renewable sources, five years ahead of the 2030 target.

On the fuel side, ample fuel was available at competitive prices. India's coal production reached 322 million tons in Q4 FY26. And in FY26, India's coal production recorded 1,041 million tons. Coal inventory as of 31st March 2026 stood at 25 days. According to the Ministry of Coal, to address any potential energy shortages in the current evolving situation, the national coal stockpile of over

210 million tons represents a buffer of nearly 3 months of energy consumption.

While imported coal price during quarter four averaged nearly \$53 per ton, higher by 6.6% compared with the same quarter last fiscal. However, at \$47 per ton, prices were lower by nearly 10% in FY26 compared with FY25. Overall, the fuel situation for the sector remained comfortable throughout the last year.

Let us now talk about a few important regulatory updates and policy initiatives during the year. In January, Ministry of Power released a draft National Electricity Policy 2026 aimed at aligning the power sector with Viksit Bharat goals over the next two decades. The draft prioritizes cost reflective tariff reforms, a phased reduction in cross subsidies and time of the day peak hour pricing to improve efficiency and strengthen DISCOM finances. It has also set ambitious consumption targets of per capita electricity use rising to 2,000 units by 2030 and over 4,000 units by 2047.

For deepening power markets, the draft proposes building frameworks to establish generation capacity addition through market mechanism such as bilateral contract settlements. It further outlines use of standardized contracts to be executed on power exchanges and possibility of electricity from long-term PPAs to be routed through power exchanges or any other platform recognized by the CERC.

These are positive initiatives for the development of the sector and that of the power market.

Amendments have been proposed to the draft Electricity Amendment Bill 2025, wherein State Electricity Regulatory Commissions have been empowered to determine tariff suo moto to ensure timely cost recovery and avoid delays.

Cross subsidies are to be progressively eliminated within five years for manufacturing , railways , and metro operations.

In a push for C&I and open access consumers, DISCOMs will be exempted from universal supply obligation to C&I users with more than 1 megawatt load. Also, DISCOMs would provide non-discriminatory open access to multiple distribution licenses on payment of billing charges.

These proposals would enhance competitiveness of the C&I segment.

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CERC issued final guidelines for VPPAs in December 2025. These guidelines recognize power exchanges as authorized platforms for sale of electricity by RE generators entering VPP arrangements. This should help increase volumes on exchanges.

The CERC issued first amendments to REC regulations 2026, clarifying REC applicability for designated consumer, renewable consumption obligation and VPPAs. Under these amendments, RE-based captive plants may be issued REC, but cannot trade REC to the extent of self -consumption of electricity. Amendments also specify source -based REC multipliers that would remain valid for 15 years. These multipliers should help increase REC inventory going forward.

The MoP has already issued the final notification on renewable consumption obligations, allowing fulfillment through multiple avenues, including REC from VPPAs and enabling fungibility across wind, hydro and other components. We have sought CERC approval to align our green contracts with the revised RCO framework, and the matter is currently reserved. Once approved, this alignment is expected to bring greater clarity on RE sale and procurement and support higher renewable participation.

Ministry of New and Renewable Energy of India, that is MNRE, has approved a 500 -megawatt pilot CfD for RE on a 3 -hour basis to be implemented by SECI (Solar Energy Corporation of India) . This pilot shall enable RE generators to sell electricity on power exchanges, while SECI settles the difference between the discovered strike price and the reference market price. The pilot would supply 1,500 megawatt hour of RE power daily for 3 non -solar hours with settlements based on DAM prices and backed by a CfD stability

zation fund of INR76 crores provided by the government.

With regards to the carbon market, the Ministry of Environment, Forest and Climate Change has issued final notifications on greenhouse gas emission intensity targets for 7 sectors: aluminium , chlor -alkali, cement, pulp and paper, petrochemicals, petroleum and textiles, while notifications for iron and steel are awaited. These sectors account for about 16% of India's GHG emissions with a combined baseline of 480 million tons carbon dioxide equivalent in FY24 targeted to decline to 465.3 million tons by FY27. The carbon credit certificate trading procedures are currently being drafted by the BEE in consultation with Grid India. These developments have laid the foundation for trading of carbon credit certificates on power exchanges.

CERC issued an order on implementing market coupling on 23rd July 2025, in which the regulator decided to initiate the process of implementation of market coupling of day ahead market by January 2026. Subsequently, IEX had filed an appeal in the APTEL. In its order issued on February 13, 2026, APTEL mentioned that as market coupling cannot be implemented without regulations, IEX is not an aggrieved party at this stage.

As per the order, as and when final regulations are issued and if IEX is aggrieved by them, they have the liberty to challenge the regulations before an appropriate forum, including all grounds raised in the appeal filed before APTEL.

Further, on April 17, 2026, CERC issued draft regulations for market coupling, according to which Grid India would act as the market coupling operator, that is the MCO. Also, Grid India

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would be responsible to frame detailed procedures for implementation of market coupling.

CERC has invited stakeholder comments on the draft till 16th May 2026.

On IEX performance, in quarter four of financial year '26, IEX recorded the highest ever quarterly traded electricity volume of 39.4 billion units, higher by 24.3% on a year -on-year basis. In the full year FY26, electricity volumes touched 141 billion units, higher by 17% on a year -on-year basis.

In terms of REC s, during the quarter, a total of 71.7 lakh RECs were traded, an increase of 6%

over the same quarter in FY25. And during the full year, a total of 187 lakh RECs were traded, recording a 5% increase over the last year.

For the quarter, consolidated revenue for the company grew by 12.5% year -on-year, increasing from INR 174.6 crores in Q4 FY25 to INR 196.4 crores in quarter four of FY26. Profit after tax increased by 10.8%, rising from INR 117.1 crores in Q4 FY25 to INR 129.8 crores in quarter four of FY26. For the full year, profit after tax was higher by 14.9% from INR 429.2 crores to INR 492.9 crores in the present year.

The Board of Directors have announced a final dividend of INR 2 per share, equivalent to 200% of face value of the equity share.

Within the electricity segment, RTM volumes at nearly 14.3 billion units in quarter four were higher by 48.2% on a year -on-year basis. In FY26, RTM volume grew nearly 41% year -on-year to 55 billion units compared with FY25. The RTM segment has continued to grow strongly with 39% share in electricity volumes at IEX. This segment has played a critical role by offering flexibility in power procurement and providing immediate responsiveness to efficiently integrate renewables with the grid.

Green market volumes in quarter four FY26 rose 26.5% to 2.4 billion units compared with quarter four of FY25. For the full year, the segment traded 10.8 billion units, an increase of 23% over FY25. This segment helps obligated entities, including DISCOMs meet their renewable purchase obligations.

With capacity addition, increase in solar, hydro, wind and sustained supply from coal -based generation, supply liquidity at power exchanges improved and led to a substantial drop in prices.

In quarter four of financial year '26, sell-bids in the Day Ahead Market of IEX increased nearly 49% on a year -on-year basis , as a result of which the prices in the Day Ahead Market at INR 3.89 per unit were down 12.2% year -on-year, while prices in the Real-Time Market averaged INR 3.68 per unit, a 15% drop. For the full year, sell liquidity in the day ahead market was higher by 44%. At INR 3.86 per unit, the average DAM price during the year was lower by nearly 14% compared with the last year. Similarly, at INR 3.59 per unit, the average price in the RTM segment in this fiscal year was lower by 16% compared with FY25. These prices presented an opportunity for DISCOMs and C&I consumers to meet their demand at a competitive price and to replace their costlier power by procuring power through exchanges.

On the product front, we continue to await approval from the CERC on a petition to extend the Term Ahead Market contract to 11 months. Similarly, with regards to our green RTM petition, Indian Energy Exchange Limited

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CERC has reserved its order. To support the development of merchant storage capacity, we have filed a petition with CERC seeking introduction of peak DAM and peak RTM segments. These segments are intended to enable power trading during high demand periods such as late evening and early morning. The CERC's order on this petition is currently reserved.

On the IGX front, the Indian Gas Exchange completed five years of operations in financial year '26. The exchange currently represents close to 3% of India's overall gas consumption and 20% of the spot market.

For quarter four of financial year '26, IGX traded gas volumes of 18.6 million MMBtu, lower by 8% over Q4 FY25, largely on account of supply disruptions in the Middle East beginning March. For the full year, IGX traded gas volumes of 76.8 million MMBTU, a growth of 28% on a year -on-year basis, led by demand from domestic gas producers, heightened power demand and demand from city gas distribution.

IGX recorded a profit after tax of INR 9.4 crores in quarter four FY26, which was higher by 5.4% compared with INR 8.9 crores in Q4 FY 25. And for the full year, IGX recorded a profit after tax of INR 41.9 crores, which is higher by 35% compared with INR 30.9 crores in the same period last year. Going forward, till geopolitical challenges in the Middle East ease, volumes could remain impacted, though some of it may be offset domestically.

On the way forward, while power demand remained largely subdued in FY '26 owing to weather conditions, CEA's projection of demand approaching 2,500 BUs by 2032 continues to support exchange volume growth.

For this summer, the CEA has projected peak demand to reach 270 gigawatts accompanied by the El Nino effect, which is expected to strengthen post June 2026. While in the short term, this raises some concerns on sell -side liquidity. However, the government has already invoked measures under Section 11 for some imported coal -based plants to operate at full capacity, which will be effective till June 30, 2026. This is expected to increase supply in the system.

During FY26, India's power sector witnessed the emergence of new market mechanisms such as VPPAs, electricity derivatives, contract for difference and battery storage arbitrage. While implementation of 13 gigawatt of BESS projects under the first VGF tranche is underway,

tenders for nearly three-fourth of the 30 gigawatt under the second tranche have also been awarded.

Falling battery storage costs keep accelerating BESS adoption with AP TRANSSCO having discovered the lowest price ever under the VGF mechanism in November 2025 – INR 145 per unit for 1,000 -megawatt 2 -hour 2 -cycle tender. Earlier this year in February, NVVN discovered INR 1.77 per unit for a 250 -megawatt 2 -hour 2 -cycle tender.

This year also marked the first merchant BESS trades

at IEX from Juniper Green Energy

Limited, the largest operating BESS asset in the country. Subsequently, ACME Solar and Adani Green have also leveraged storage arbitrage opportunities on the exchange platform. These developments deepen India's power market and strengthen India's path towards energy transition.

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IEX's other diversification initiatives are also gaining traction. For quarter four of financial year '26, ICX issued 46 lakh I-RECs, higher by 29% compared with quarter four of financial year '25. And for the full year, ICX issued 179 lakh I-RECs, recording a growth of over 200% compared with FY 25. Revenue for ICX during the quarter stood at INR 2.2 crores and INR 7.7 crores for the full year, respectively.

With regards Coal Exchange, the Ministry of Coal has come out with draft regulations for the exchange and final regulations are expected later this calendar year. In pursuance of this opportunity, the IEX Board has accorded in principle approval to explore establishing a coal exchange in line with the proposed Coal Regulations 2025 issued by the Ministry of Coal.

As India advances towards its net zero goals, energy markets are expected to play an increasingly significant role in shaping the nation's energy ecosystem. Thank you. We can now have the question and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : Good afternoon, madam. Thank you so much for the opportunity. Madam, I am trying to understand coal exchange, ICX and mineral exchange as part of diversification. So, what is the estimated TAM and revenue potential of the coal exchange in India, given that coal is largely allocated via long-term linkages. So, I'm trying to understand what are the monetization models in terms of transaction fees, membership data, because it's not like gas, power, these things are standardized, while coal and all is heterogeneous, logistics heavy commodities. So I'm trying to understand how we are going to take it forward?

Satyanarayan Goel: Yes. Good afternoon, everyone. I am S. N. Goel. So let me respond to this question. As far as coal is concerned, today coal is allocated for thermal power generating stations. And the allocation of coal is not to meet the full requirement of the power plants. So many of these power plants who have PPAs still they purchase coal from the market. Then there are merchant power plants. There are other industries also who use coal. So there is large opportunity on the buy side. On the sell side, we used to have, shortage of coal that is why there were a lot of problems and the premium in the e-auction market was also very high. But subsequently, Ministry of Coal had taken many initiatives. They allocated many mines for the captive production and also some of the mines were auctioned for the merchant production of coal. And subsequently, the industries having captive mines, they were also allowed to sell up to 50% of the coal in the market. I think all these provisions have now increased production of coal in the market. So coal is now available in surplus quantity.

Today we have multiple sellers in the market. It is not Coal India alone. We have multiple sellers, captive mines are there, merchant mines are there. And also, there are many buyers in the market. We have a multi-buyer, multi-seller model in the market available.

And if you look at the draft regulations, it says that even the e-auction coal will have to be transacted through the exchange. So last year, the e-auction coal transaction was about 80 million tonnes. So, this provides a significant opportunity for the coal exchange. In addition to this, there

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are

other industries also which buy coal. I think the opportunity size based on that is going to be quite large. But we will have to wait for the final regulations to come and only -- when the final regulations come, then we will be able to estimate the market size. But I feel that it is an initiative

of the Government of India and because they feel that exchanges provide a lot of value in this, which leads to transparent price discovery and both physical and financial settlement in time. So, I'm sure the Government also is going to take a lot of policy initiatives to ensure development of the coal market. With this, we feel that it's going to be a good opportunity to get into the coal exchange.

Balasubramanian : Okay, sir. Sir, my next question on that Energy X platform and fitting API side . What percentage of total volumes now flow through API compared to manual bidding ? Is there any large DISCOMs and C&I customers that have integrated their ERP directly with IEX API?

Satyanarayan Goel: In fact, more than 70% of our cleared volume is through the API system. So many of the distribution companies have already connected with us through the API. Generators are also connected with this. So , I think there is a significant improvement on a quarter -to-quarter basis and I'm sure in the time to come, almost everybody will do the bidding through the API system.

Balasubramanian : Okay, sir. Sir, my last question , in that presentation, you mentioned about AI -based application development and security monitoring, whether if you could share some examples in terms of AI model deployed, whether it is improved match efficiency, reduced emission penalties or optimized bids sessions . If you get some clarity on that AI-based application development and security monitoring side?

Satyanarayan Goel: See, we are not using AI for the price discovery. Price discovery is by our MIP -based algorithm, which is a linear programming -based model. At the moment, we are using AI for basically , we have a software team, which is doing all activities for creating new products and I mean, managing the things. There we are using the AI system now. So , it is reducing our coding time. And, in fact, there is a significant improvement in the efficiency also. Another area is basically security. So that is providing a robust platform. And in spite of so many instances of hacking, there has not been a single instance where they have been able to penetrate our system. So , these are the advantages of this , and we are also working on many other areas where we can use AI application to benefit our customers.

Balasubramanian : So it's basically operational improvement, right sir?

Satyanarayan Goel: Yes, you're right.

Balasubramanian : Yes. Thank you, sir.

Moderator: Thank you. We will take the next question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good afternoon , Goel Sir and Aparna. My first question is on the fourth quarter results. The other income seems to have slowed down versus the quarterly run rate over the last four-odd quarters, down about 29%. Anything to call out here?

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Satyanarayan Goel: I'll request my colleague, Mr. Vineet Harlalka , who is CFO and Company Secretary of the company to respond to this question.

Vineet Harlalka: Yes. Sumit. Sumit the major reason was that if you look at the December quarter number, it was a significant increase over the treasury income because there was a one -time gain we got because the interest rates were there and the market was improving. And as you all know, because of the Iran conflict and rupee situation, there was a significant correction in the market during this month of March . So a bit of mark -to-market impacts were there. And that was reflecting in the numbers. And the previous quarter, there was onetime gains. Those were t

here. And as the

market is recovering, we will see that the numbers going back to the earlier numbers.

Sumit Kishore: Okay. So , this is not, obviously there are some non -recurring factors which have depressed number related?

Vineet Harlalka: Yes. Right.

Sumit Kishore: Okay. Thank you. Second question is regarding the timelines now . The public comments closed on the 16th of May on the draft PMR. But if you can maybe elaborate on what would be your legal or commercial strategy, if you can or what will be the time lines that you have for the final notification of PMR to come out? Subsequently, when does the power market coupling procedure come out? So what sort of time lines do you think are in store?

Satyanarayan Goel: Sumit, it's very difficult to say on that. I mean if you recall, this PMR 2021 was issued in February '21. But the draft of that came to best of my knowledge in 2019. So , I can't really say how much time they will take because these are issues of bigger issues of market redesigning. So I'm sure CERC is going to take into cognizance the comments they receive and also look into the aspect of market redesign. So we really cannot say how much time they will take to issue the final notification.

Sumit Kishore: And this will be public comments. So there will be like the stakeholder consultation, which had happened, there will be detailed comments from all third parties. I think finally, just one question on the gas exchange. I know the Strait of Hormuz is still not functional. So , in terms of the gas

exchange, Q1 can be quite depressed . What are the levers to shore up volumes on the gas exchange?

Satyanarayan Goel: See as of now, since the gas is not coming from the Middle East and India was getting significant quantity of gas on that side. So that is one issue. And second issue is that gas prices are also very high. The Indian market is quite sensitive to gas price. So therefore, the volume in the month of March and also in April , so far are not as good as what we had planned for .

But I'm sure the situation is going to improve. And as and when this improves, we should be able to catch up with the volume growth that has been happening on the gas exchange. And my estimate is that maybe in the first quarter, we may not get any growth with respect to the last year's first quarter. But from second quarter onwards, we should be able to achieve growth .

Sumit Kishore: So the volume that you do in Q1 this time, that would be gas coming from where? I mean, or would it be domestic gas getting traded?

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Satyanarayan Goel: Gas is ... , LNG is coming from different other sources. So part of that LNG is also getting traded. Then there is domestic gas , which is also being traded on the exchange platform. In the domestic gas, like ONGC and Reliance, they have high -pressure, high -temperature gas from the East - Coast side, Krishna -Godavari, KG D6 fields, and they sell a part of that gas on the exchange platform. Similarly, domestic gas available with other suppliers also , part of that is also being sold in the market.

Sumit Kishore: Okay. And basically, that stake reduction in IGX now you have got time up to which month?

Satyanarayan Goel: PNGRB has given us time up to 31st of December 2026.

Moderator: We will take the next question from the line of Kunal Thanvi from Banyan Tree Advisors.

Kunal Thanvi: I had two questions. One was on the recent draft from CERC on market coupling. So , what we understand is like in the last when the draft had come in July 2025, it was about that round robin , which we kind of had a case against like we fought it. And then finally, this new thing has come where they're saying that Grid India will become the MCO.

So when we were reading the first draft that was in July 2025, operationally, it looked like very cumbersome to implement. When you read t

his one, what is IEX 's sense on implementation of

this kind of structure that now CERC is talking about? That is point number one.

And point number two, like while multiple times, we have done the study and there has been an outcome that market coupling in the current structure without MBED will not kind of fulfill any objective from a n efficient price discovery perspective. Then what is the intent of the regulator in terms of pushing for market coupling?

Is it that they want price discovery to happen on Grid India itself, so like one particular exchange does not have advantage or any other insights if you can share? The second was on a possible buyback, if you can throw some light on how the management team and the Board is thinking about buyback at these prices ?

Satyanarayan Goel: Yes. So let me first respond to your coupling question. As you are aware, CERC in their order in the month of July, they had mentioned that market coupling in the Day Ahead Market on round -robin basis will be done. And now they have changed their decision and in the draft regulations, they are talking about Grid India. So I think situation is still fluid. And I personally feel that situation is fluid even on the market coupling.

So maybe in due course of time, they may review their own decision about the market coupling also and may not go ahead with this. So I cannot really say anything on this, what is finally going to happen. Even round -robin was not a complicated mechanism. All 3 exchanges have their software, and they will have to only collect the bids . The designated exchange was required to aggregate the bids and do the price discovery.

Now Grid India will have to create the infrastructure and software for this, which will be additional costs. So , I don't think it is going to really provide any value in the process, but then it all depends on what regulator decides to do. We'll have to wait and watch for that.

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And your second question was about the benefit s of coupling. I fully agree with you that based on the studies done so far, there is no benefit of coupling. And I'm sure regulator also will take note of this. The third is buyback. I think on the buyback, the mechanism for doing buyback, there is still no final decision has been taken by SEBI so far. And I will request my colleague, Mr. Vineet, to say more on this.

Vineet Harlalka: So according to SEBI , still the tender route is available. There was a taxation issues in the

previous year. Now with the budget, the Government had come up with a revised tax structure. So again, buyback has become one of the good options for distributing money to the shareholders. We are definitely considering it. And we are also waiting for the draft note with SEBI had come out with regards the open market route, which they had disallowed earlier. So the management is observing all the development and will take a due call considering the benefit of the stakeholders.

Kunal Thanvi: Just had a couple of follow-ups. One was where we are in the IGX IPO process? And secondly, on coming back to the market coupling, like whatever form and shape the current draft talks about, this essentially means that if that goes through, then all the 3 exchanges, the key functionality of them would be collecting bids and submitting it to who will kind of discover the price and then - the trades get executed. Is that right understanding?

Satyanarayan Goel: Yes, yes. And exchanges will be again doing the physical and financial settlement. All that will be done still by the exchanges. Only the price discovery will be done by Grid India.

Kunal Thanvi: Okay. And on IGX?

Satyanarayan Goel: I think IGX IPO process is we have initiated the process. So I'm not really fully aware about the exact status of that, but I think it is progressing well.

Moderator: We will take the next question from

the line of Prawin Visesh from PPFAS Mutual Fund.

Prawin Visesh: My first question was on the coal exchange opportunity we are studying. So here, logistics in coal is usually a bottleneck, right? Because in many cases, the landed cost of coal for the user increases significantly because of the logistics cost. So from an exchange point of view, more than just price discovery, what are we adding in terms of building efficient logistics network?

Satyanarayan Goel: Yes. In case of coal, there are many challenges - quantity, quality and the transportation - all these are issues. So we'll have to work on all these things. I think logistics is definitely a very, very important part of it. Initially, what we intend to start is that maybe the buyer will have to make their own arrangement for lifting the coal. We will discover the price, finalize the price and then make arrangement, ensure that the coal is available to him at the loading point of the right quality and then he will have to make their own arrangement for lifting the coal. And subsequently, when we are able to finalize arrangements with the Railways for supply of coal to the exchanges also, then maybe we can provide that service also.

Prawin Visesh: Got it, sir. And sir, my other question was regarding the clarity that we received regarding coupling. So at least there is some clarity compared to before. So how are the trading participants reacting to what is happening? So I understand from an exchange perspective, there can be some

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changes, but what are the trading participants reacting? And given that we have been maintaining long-term relationships with a lot of these traders and trading participants, how are they reacting to this?

Satyanarayan Goel: I don't think there is going to be any change in their working. They will continue to submit their bids to the exchanges. And it is only that from the exchange operation, just the price discovery function is being taken. Otherwise, rest of the job will continue to be done by the exchanges only.

Prawin Visesh: And what initiatives are being taken to ensure that these relationships with our exchange continues?

Satyanarayan Goel: Point is, it is for the last 18 years, we are doing only one thing - relationship building with our customers. We'll continue to do that. And that is why we have a strong customer base with the company and customer loyalty. That's our USP.

Prawin Visesh: Got it. And my last question was on the VPPA thing. So has there any more momentum or interest picked up on this post the draft regulations? Or is the interest still coming from the tech companies?

Satyanarayan Goel: Not significant so far, but let's see. Maybe with the data centers coming into the market or the multinationals taking some interest in this, something should happen.

Moderator: We will take the next question from the line of Ketan Jain from Avendus Spark.

Ketan Jain: So if you can help us explain the new SECI tender on contracts for difference s? How does it help exchanges? And what's the basic framework?

Satyanarayan Goel: Yes. As per that contract, SECI will contract certain battery capacity at a fixed price, and that gentleman (seller) will sell that power in the Day Ahead Market. The important part is this. That battery capacity will be selling power in the Day Ahead Market. So exchanges will get that liquidity, that 500 -megawatt power for 3 hours will be available for sale in the exchanges. That's the benefit which the exchanges will get. And if the sale price is more than their contracted price, maybe there will be some sharing of that profit gain between SECI and that party who is setting up this capacity.

Ketan Jain: Understood. So this is a pilot tender. Do we expect more tenders coming in from this?

Satyanarayan Goel: Yes, yes, definitely. I mean if you look at the European countries,

there are almost about 50%,

60% of the renewable capacity addition is happening through the CfD contracts. Because under the CfD contracts, you don't need any PPA, you don't have any scheduling issue, you don't have any payment issues. So they do all this capacity addition in the CfD route.

Now this is for the first time Government of India is trying on a pilot basis. I'm sure with the success of this project, many more projects should come. And even this this will also pave the way for the private investors. If the result of this pilot is positive, maybe they will also set up capacity on merchant basis.

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Ketan Jain: Understood. And this is only for battery or is technology agnostic, it can be wind as well?

Satyanarayan Goel: This is set for battery, what I believe.

Ketan Jain: Okay. Sir, and my next question is on what's your expectations for volume growth in FY27?

Satyanarayan Goel: I think we have been achieving a volume growth of 15% to 20% every year. And this year, in fact, the demand is also going to be high. So, with the new capacity additions and demand increasing, we should be able to maintain this volume growth of 15% to 20%. But again, everything depends on the demand-supply. These are all factors which are outside the exchange control.

Ketan Jain: Certainly. Sir, what is the reason for fall in REC volumes in this year compared to last year? Any specific reason?

Satyanarayan Goel: There is no fall. There is, in fact, 5% increase in REC volume.

Moderator: We will take the next question from the line of Nitin Shaktiher from Green Capital Single Family Office.

Nitin Shaktiher: This is Nitin Shaktiher from Green Capital Single Family Office. My question is more as an investor rather than an analyst. Let's assume the worst-case scenario that the market coupling regulation goes against the company and you lose the legal case. Now obviously, as a risk management strategy, you would have decided to have strategies in place in case that were to happen.

But is the understanding correct that the traders will have no functional reason to prefer IEX and maybe the smaller new exchanges like HPX and PXIL will be able to attract slightly more volumes and erode market share and might be some margin pressure. How do you anticipate in case the regulations were to go towards the market decoupling? Just clarity from the management once and for all, so at least we can anticipate both sides of the equation? Thank you.

Satyanarayan Goel: Yes. First of all, as far as market coupling itself is concerned, it won't be fair to assume that market coupling is going to happen. There are still things under discussions. But when taking your question that, yes, in the worst-case scenario, if it happens. One is that customer loyalty is very important. And in the last 18 years, as I told earlier, that is what we have been doing. We have been interacting with the customer, understanding their problem, creating products to address that problem, telling them how to use the exchange platform, providing them data analytics, having API system for faster bidding and also financial settlement of the transactions. So all these things, the value additions which we are doing, I'm sure we will be able to retain our customers. And this is something we will continue to do in future also. So with that, I'm sure that we should, even after coupling also, we should be able to retain a significant part of the market share in this DAM segment.

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Nitin Shaktiher: Okay. So any potential offset for margin that you have done that it might have a minor impact on margins, (they) might go down because you've always been dealing with this situation over the last one-and-a-half years. So do you expect ... a margin ... because the business valuation is already re

flecting that the liquidity moat is not there at this point in time in terms of the dominance? So do you think that there might be slight changes in margin in case the worst-case scenario was to come around? Or it's just business as usual and you think that we have to accept it and carry on (with) what it is?

Satyanarayan Goel: I can only give you one example that in case of the Term Ahead Market, where the liquidity is practically uniform across all 3 exchanges, the share of all 3 exchanges is in that same range of, 40%, 50%, 30%, 20% kind of numbers. That market is operating for the last four years. And in

that market also, the margins are intact. Against INR 0.04 (four paise) , I think the margin is around (3.6 or 3.7 paise) INR 0.036, INR 0.037. That's the kind of number. So we don't expect significant impact on the margin part of it, the transaction fees part.

Nitin Shakhder: Okay , thank you sir and all the best for the future and hope you can retain the dominant position for IEX. Thank you

Moderator: Thank you. We will take the next question is from the line of Nikunj Bajaj an Individual Investor.

Nikunj Bajaj : Okay. So , the question here is assuming that the guidelines come into place, IEX will have to forward the bids to GRID -INDIA. Now this would require a lot of software re -engineering at your end. That is at IEX, the software re -engineering has to be done. What would be the rough estimate cost and, like for this kind of an uncalled activity?

Satyanarayan Goel: We have our own software team. And I'm sure our team will be able to do all these things.

Nikunj Bajaj : So it will not have an additional cost, is it?

Satyanarayan Goel: No additional costs.

Nikunj Bajaj : Okay. Thank you.

Moderator: Thank you, we will take the next question from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.

Ravi Purohit: Yes, Hi. Thanks for taking my question. Sir, on market coupling, so can you just share about, let's say, RTM, I think this time's notification said that they would also like to include RTM. But is there anywhere either in Europe or anywhere else where RTM actually has market coupling? And secondly, India probably has like some 48 sessions in a day, right, whereas Europe, I think at best could do some 3 sessions in a day or 4 sessions in a day. So, if you could kind of just share the operational side, how the RTM actually kind of functions . And with more and more intermittent power capacities coming in from solar and wind, which mostly would be working with RTM ? So if you could just kind of help us understand the entire ecosystem on which RTM operates and where are the, you know, where does this, and also that once like the gate closure happens to finalizing the bid, price discovery, schedule, everything, like what kind of time Indian Energy Exchange Limited April 24, 2026

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latency do you have and how much all of these things will kind of work out? So if you could just kind of highlight some of the issues about RTM, it will be helpful?

Satyanarayan Goel: Yes, first question is that what is the, practice world over. In the RTM market, we haven't come across a case where there is a market coupling because RTM market, the time lines are very tight. And in fact, if you look at the CERC order, which was issued on 23rd of July 2025, that also says that looking at the tight time lines of the RTM market, they will like to look at the performance of the DAM market and then see whether it is feasible for the RTM market or not. As far as the draft guidelines are concerned, there is just an enabling provision that in the RTM to be done from a date to be notified in the future. If they decide to do something in future, then they can do that part of it. But there is no such decision as of now because in case of RTM the number of times it (trade) is to be done is 48. And today, it

is 15 minutes time block.

We are talking about because of the renewable, 5 minutes time block. Then in that case, instead of the 48, it will be 48 back to 3. And the timeline, time available for doing all these activities also is very small. There is no slack time in the process. It is going to be very, very difficult. So I have my own doubts about coupling in the RTM market.

Ravi Purohit: Okay. And sir, so right now, if suppose there is some issue, so in, let's say, in stock market parlance, when there is a trade which goes wrong, there is some auction or there is some settlement happens, right? What happens in the power market when an RTM trade kind of does not get through or something happens during that period in current situation and suppose if some were to kind of add this additional latency period of doing it between 3 exchanges, giving it to MCO, MCO coming back, it just sounds too complicated, right? I don't know if it is like, puts load on the system?

Satyanarayan Goel: In case of coupling in the RTM market, if out of the 3 exchanges, if one exchange data does not get aggregated at the place, then you'll lose significant buy and sell volume. And that may lead to, sudden jerk in the price and the volume discovery. So , it will definitely have a very, very adverse impact on the market. In case of Day Ahead Market , you still have time available because you do only one auctions in a day. In case of RTM, we do 48 auctions in a day. So I'm sure all these things will be considered by the regulator also before taking a final decision on this.

Ravi Purohit: Right. And Sir, since the July '25 directions that notice was issued first on market coupling and now this again in April. So between then and now, like what has been the count of registered participants on our exchange? Have they gone up? Or have we kind of lost any customers to, competing exchange industry?

Satyanarayan Goel: No, no. We are only gaining customers. Its increasing. Number has increased.

Ravi Purohit: So in the past, you used to have customers in the form of DISCOMs or some generators, right? Now going forward over the next 3 to 5 years, what kind of customers would we actually get as more and more people take OGL licenses and also what kind of customers do you kind of envisage over a period of time now? I mean, historically, it used to be only two sets of guys, DISCOMs and let's say, maybe some traders and some power generators ?
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Satyanarayan Goel: In fact, right from day 1, it has been distribution companies, trading companies, generating companies and also industrial consumers because open access consumers also do significant transactions through the exchange platform. And industrial consumers, it is not only that they buy power to optimize their cost, but there are also many industrial consumers who have the captive generation and if their captive generation is not working, then they purchase power from the market to take care of the outage of the unit. There are cases when the industry production is not up to 100% and they have surplus power available ; they sell that power. So we have more than 5,000 industrial consumers who are using with us. And now the renewable generators are also coming to the market, the battery suppliers. So the number is increasing every day, in fact.
Ravi Purohit: Okay. Great , all the best sir.

Satyanarayan Goel: Thank you.

Moderator: Thank you. We will take the next question from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Sir, my first question was on the coal exchange. So , if you can just give us a sense of what would be the current spot market in India in the coal industry, just to get an idea of the opportunity size?

Satyanarayan Goel: At present, almost about 80 million to 90 million tonnes of coal is being sold through the e - auction route

e, which is, you can say, the so -called market and in addition to that, we are also importing almost about 150 million tonnes of coal for the power generation. So increase in the domestic production, that market also should get replaced by the domestic coal market. The opportunity as of now is big. Let's see what is the final notification.

Lokesh Manik: So this should be higher than the gas because gas is 12% today at spot. And what you just mentioned, this turns out to be about 20%, 25% spot in coal, import plus e -auction. Is that a fair assessment?

Satyanarayan Goel: No..No. What I said is at present, it is almost about 15% is in the spot in the case of coal also.

Lokesh Manik: Okay, 15% Okay. Great. Sir, my second question was more a clarification. So , as we understand in '22 when the new Renewable Energy Act came in, it gave a lot of leeway to C&I customers, especially for open access, where earlier thermal buyers were facing a problem where different States had different charges for open access . For green energy, this was sort of relaxed. It was conditioned upon Intra -State exchange of power. Do you expect that power also to come on to the exchange now as green energy comes in, installation increases, Intra -State without open access hurdles?

Satyanarayan Goel: Yes, we have already started seeing that happening now. And as a result of that, our volume in the G-DAM market is, in fact, increasing every year. So last year, the number, I think, was about 10 billion units in the case of the G-DAM market. Have we given the number to you? And this number is increasing. I mean there is an increase of almost about 23% with respect to last year. So the green energy participation in the exchanges are increasing.

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Lokesh Manik: Okay. And you also have a tailwind coming on that when the renewable energy installation happens if it gets commercialized prior to the timeline then they can come on the exchange and sell it?

Satyanarayan Goel: Yes.

Lokesh Manik: So that benefit is also still continuing or you are seeing some slowdown there?

Satyanarayan Goel: Yes it is continuing.

Lokesh Manik: Okay so that will continue so long as we have new installations coming in Solar?

Satyanarayan Goel: Yes. Because they get the benefit , if they are selling power in the conventional market they can get the RECs and if they are coming in the green market they get the premium of the green market.

Lokesh Manik: Understood. Sir, my last question was for the coal exchange, even MCX has filed an application for coal exchange. So they, I understand they will be in the financial space, that is the derivatives. We will be in the spot. Do we have any agreement with them similar to the electricity futures?

Satyanarayan Goel: We don't have any such agreement. But let's see. I mean, we are waiting for the final regulation to come because only after the final regulation, you can really estimate what is going to be the market size. And then maybe we'll see.

Lokesh Manik: Correct. Sir, lastly, how is the electricity futures developing? Have we started to receive some revenue from there in electricity futures?

Satyanarayan Goel: Quantum in that is not significant. So the revenue share is not meaningful.

Lokesh Manik: Got it. That's it from my side. Thank you so much.

Satyanarayan Goel: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question for today.

And that concludes the question -and-answer session. I will now hand the conference over to Ms.

Aparna Garg for closing comments. Over to you Ma'am.

Aparna Garg: Thank you, everyone. I would like to thank each one of you for being a part of today's call. We at IEX remain committed to contribute to the development of a sustainable and energy -efficient future for India. Have a wonderful evening. Thank you.

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oderator: Thank you members of the management. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2026

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Dated: July 31, 2026

The Manager The Manager

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Scrip Code: 540750 Symbol: IEX

Sub: Transcript of the IEX Analyst Meet 2026 held on July 24, 2026.

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find the attached transcript of the IEX Analyst Meet held on

July 24, 2026.

The above information will also be made available on the website of the Company:

www.iexindia.com

You are requested to take the above information on record.

Thanking You.

Yours faithfully,

For Indian Energy Exchange Limited

Vineet Harlalka

CFO, Company Secretary & Compliance Officer

Membership No. ACS-16264

Encl: as above

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IEX Analyst Meet 2026 - Full Transcript

Aparna Garg:

Hi, Good Evening Everyone and Welcome to the Analyst Meet of Indian Energy Exchange.

Most of you already know me, but for others, I am Aparna Garg. I am heading Corporate Communications and Investor Relations at IEX. We will soon be starting the event with opening remarks from our Chairman and Managing Director, Mr. Satyanarayan Goel, followed by detailed presentations by the Management Team, represented by Rohit Bajaj, JMD, Vineet Harlalka, Company Secretary and CFO and Amit Kumar, Executive Director. The presentation and the audio recording will be available on our website as well as the stock exchanges. I now request Mr. Goel to please come and make the opening remarks. Thank you.

Satyanarayan Goel:

Good Evening Friends ! I welcome you all to the IEX Analyst Meet 2026. Today, I along with the Management Team of IEX will brief you about our business performance, our strategy and future outlook and we will also try to address your queries.

Friends, India continues to remain one of the world's fastest growing major economies delivering a GDP of 7.7% in FY '26. This was supported by domestic consumption, expanding capital investment and steady industrial and services momentum. RBI has projected GDP growth rate of 6.6% for FY '27, a resilient trajectory even as global headwinds persist. Sustained investment and capex cycles are laying the foundation for a 5 trillion (dollar) economy before 2030.

On the power sector front, India's overall electricity consumption during FY '26 was 1708 billion units. This was largely flat on a year-on-year basis because of good monsoons last year and a mild summer. But this year, right from the month of April, the summer has been very harsh and we have had less rain. So peak demand was almost about 271 gigawatt in the month of May and even in the month of July it almost touched about 271 gigawatt with about 12% increase in peak demand and 8% to 9% increase in energy consumption.

To meet India's growing power demand, last year capacity addition of 58 gigawatt across thermal and renewable capacity was done taking India's total installed capacity to 533 gigawatt, out of which 275 gigawatt was the renewable capacity. We have achieved more than 50% of installed capacity as renewable capacity, the target which was to be achieved by 2030 as per the Paris Agreement. In fact, we have achieved that (target) four years in advance. And the CEA projects installed capacity of almost about 950 gigawatt by 2030 and out of that almost 66% is going to be renewable.

Over the past year, the major development

has been in the energy storage space. As you are aware, the cost of battery has come down significantly in the last 3-4 years. Battery cost has come down by almost 70%. The arbitrage available in the market last year, which was a year where prices were not very high, in spite of that, we found that arbitrage of 4.5 rupees for almost about 550 cycles of 2 hours being available in the market. This provides a compelling case for battery energy storage systems addition on merchant basis. And we have seen Juniper Green Energy followed by Acme and Adani Green, (they) have set up battery on a merchant basis and selling power in the market on the exchange platform. So a new class of

market participants has come on the exchange platform. We find that storage and FDRE contracts are together going to provide a lot of liquidity on the exchange platform in future. On the fuel side, last year (coal) fuel production was more than 1 billion tonne, which was a record production. And there was ample supply of coal. Power stations had almost about 25 days of inventory which was an all-time high and, in this year, also in the first four months of this year there was enough coal available for meeting the demand of thermal power stations in the summer months. So, I am sure coal is not going to be a problem in the future also. Let us now talk about the important regulatory updates and the policy initiatives of the Government.

- The Ministry of Power has released a draft National Electricity Policy (NEP) and what we hear is that this policy is going to be taken up for approval by the Cabinet maybe in the month of August-September. This policy is charting India's power sector roadmap aligned with Viksit Bharat goals targeting per capita electricity consumption of almost about 2,000 units by 2030 and 4,000 units by 2047.

- The draft policy prioritizes cost-reflective tariff norms, a phased reduction in cross-subsidies, and TOD pricing to improve efficiency and strengthen discoms finances. As per the draft, in order to promote competition, State Commissions may allow multiple licenses in the same area. This is something which is being debated extensively these days.

- The draft policy emphasizes the role of resource adequacy at the Center and State level to better manage Distributed Energy Resources (DERs) and ensure grid stability. In fact, many of the States have already started doing resource adequacy. CEA has come out with a software and many of the States have started entering (into) long-term contracts and ensuring resources at their disposal.

- For deepening of power markets, suitable policy and regulatory framework shall be established for generation capacity addition through market mechanisms such as bilateral contract for difference. Further, the draft proposes:

- o Electricity from long-term PPA may be increased through the Exchanges. This is something which was discussed in 2018 also and this policy also envisions that long term contracts in future should be routed through the Exchanges.
- o Central Commission will also explore introduction of capacity market in a phased manner to ensure required capacity addition.
- o Market based system for consumer participation via demand response individually or through aggregators shall be promoted.
- o Regulatory framework to enable aggregation of Distributed Renewable Energy, small storage systems, and demand response mechanisms to increase market participation needs to be developed. This is something which I think is the need of the hour. And the India Energy Stack which is now being worked out, I think this will go a long way in providing demand response in the market and developing the local energy market. I think one of the immediate beneficiary of this will be the P2P market.

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- o Appropriate Commissions shall facilitate long-term open access for consumers by ensuring stable and predictable open access charge

s, along with

unidirectional and progressively reducing trajectory of cross-subsidy and additional surcharge.

- o In addition to market-based procurement, SCED and SUC needs to be expanded and this needs to be implemented at the State level also. Today it is being done at the Central Generating stations. This needs to be extended to the State generating stations also.

- o CERC has already issued a Staff Paper for the Capacity Market in India and power exchanges are well positioned to facilitate transparent and competitive capacity auctions.

- o CERC has also issued a discussion paper on Strengthening and Scheduling

Timelines for Real-Time Market. The paper proposes reduction of RTM auction window from 15 minutes to 5 minutes. Today, for submission of bids in the RTM segment, a 15-minute window is provided. They are proposing to reduce it to 5 minutes and thereby reducing the gate closure time from 75 minutes to 50 minutes because they (CERC) will cut down the time in other activities also after the RTM market. And I am sure this is going to enable forecasting and managing renewables more efficiently and will also enhance liquidity on the exchange platform.

- On the market coupling front, CERC has issued draft regulations in the month of April and they have proposed Grid India as the Market Coupling Operator (MCO). Following the submissions and comments, public hearing was held on 10th of June. While details on market coupling will be shared in the detailed presentation by my colleague Mr. Rohit Bajaj. I would like to mention that we continue to engage actively with the policy makers and regulators and are also exploring the legal recourse available to us. The CERC in the order of July 2025, had mentioned that they want to implement market coupling in the Day Ahead Market. And they had also mentioned that in case of Real-Time Market, since the timelines are very tight for the bidding and the auction process, this will be considered subsequently. So as of now, the intent is to do coupling in the Day Ahead Market. And in fact, in the Real-Time Market, (in light of the) discussion paper for Shortening the Scheduling, i.e. reducing the gate closure time from 75 to 50 minutes where RTM bidding time will be reduced from 15 to 5 minutes. I think coupling will become further difficult.

In case of Day-Ahead Market, in the last three years we have done lot many customer-centric activities. We have done lot of technological interventions and as a result of that we believe that our customer engagement has significantly increased. We have done API integration with our customers for the purpose of bidding and also for the purpose of back office, which will provide a "tight coupling" (in fact) with customers. We have also done a lot of work in providing data analytics to our customers. We keep interacting with the customers, understand their problem and try to provide solutions to them. And I am sure with the kind of trust which we have built over the years in these last 18 years, we should be able to retain significant market share even in the

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Day-Ahead Market. So I am sure that even if coupling is implemented, it may not have significant impact as far as the market share is concerned. In fact, you know, there was a time 6 to 7 years back, that the Day-Ahead Market used to be almost about 95% of our total volume. In the last 5-6 years, after the introduction of Real-Time Market, and the G-DAM Market, the Day-Ahead Market share has been reduced to almost about 40%. In this market, (even) after coupling with the customer-centric activities done by us, even if there is an impact, it may be about 20, 30, 40% (in DAM). So, as far as business is concerned, I do not think it is going to be significant.

While IEX business and financial performance will be detailed by Mr. Rohit Bajaj and Mr. Vineet Harlalka, I would say that our performance continues to be very robust

t. FY'26 saw

annual electricity trade of 141 billion units, a growth of 17% over the previous year, and with consolidated revenue growth of 13.6% at Rs.747 crore. And our PAT was Rs. 492 crore with an increase of almost about 15%.

The Real-Time Market was the standout growth story, where the volume increase was almost about 41%. And today, RTM market is as big as the Day-Ahead Market. For the first quarter of this year, we achieved electricity volume of 37.5 billion units, registering a growth of 16%. And our consolidated revenue was 202.8 crore rupees, while PAT was 134.8 crore rupees with a growth of 12%.

On the product front, we continue to engage with CERC for approval of new products. We have already filed an application with the CERC for approval of Green RTM Market, Peak Power Contracts for DAM and RTM, and also for enhancing the Term Ahead Market contracts from 3 months to 11 months. I am sure as and when these contracts are approved, it will lead to further deepening of the electricity market on the exchange platform.

Friends, as you are aware, our gas exchange has completed 5 years of operations and its business performance has also improved significantly. In this last year, they did a volume of almost about 76.8 million MMBtu of gas with a profit of 42 crore rupees and with a growth of 28% on a year-on-year basis. In this quarter also, they have achieved a trade of 27.5 million MMBtu of gas with profit of 16 crore rupees. As you may be aware that we have already filed a DRHP (Draft Red Herring Prospectus) for IPO of IGX as we today hold 47.3% in IGX. As per PNGRB (Petroleum and Natural Gas Board) regulations, we have to bring this down to 25% within 5 years. In fact, this 5-year period was over in the month of December 2025. So, we took an extension of one year from the PNGRB. And therefore, to sell this 22.3% equity, we have offered that in the IPO.

As envisaged by the Honorable Prime Minister, India aims to achieve energy independence by the year 2047. As India marches towards its net zero target of 2070, power exchanges will have a significant role to play in the country's energy landscape. With India's GDP projected to grow at a rate of 6-7% per annum in the near term, power demand is expected to approach almost about 2,700 billion units with a peak demand of 388 gigawatt by FY '32 and power exchanges remain poised for growth and innovation.

India's power sector continues to experience a fast-paced transition. The government's focus on green hydrogen, data centers, AI economy, electric vehicles, pump storage, battery energy storage – all these will lead to innovation of new products and market segments on the exchange platform. Battery Energy Storage Systems and FDRE Round the Clock tenders are

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gaining traction. To further deepen the Green Market, we have continued to advocate market-based options like CfDs, Virtual PPAs and Merchant models for RE capacity additions. And going forward with large-scale Rooftop Solar, we see the emergence of local energy markets, local energy market ecosystems where exchanges will play a central role. I think P2P is one such activity which is going to happen in the near future.

Friends, with the Ministry of Environment, Forest and Climate Change having issued final notification on the greenhouse gas emissions intensity targets for obligated entities across seven sectors - aluminium, chloralkali, cement, pulp and paper, petrochemicals, petroleum and textile, along with draft targets for iron and steel - these developments have laid the foundation for trading of Carbon Credits and we are expecting carbon trading to start within this calendar year. In fact, BEE has said that they want to start it by 1st of October 2026. We are also now taking forward India's first coal exchange. Ministry of Coal has already notified the rules for the coal exchange and we with the approval of the (IEX) Board have

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ready incorporated Indian Coal Exchange Ltd – a separate company for this purpose. As per the rules, within six months of operation of coal exchanges, coal cannot be traded on any of the e-auction platforms or cannot be sold through the marketplace. That means all coal transactions will have to happen through the exchange platform only and today we find that almost about 120 million tonnes of coal is being traded through the e-auction platforms and other marketplaces. In fact, captive and merchant coal production itself has increased to almost about 200 million tonnes and this is going to increase further. So this will provide a big opportunity for the coal exchange. Ministry of Mines, has also come out with draft regulations for a mineral exchange because this government is trying to bring in transparency in trade of all commodities and I am sure this also will be notified very shortly. This will provide another diversification option for us. With this I will now request Mr. Rohit Bajaj to share his presentation. Thank you.

Rohit Bajaj:

Good Evening Everyone ! Thanks for joining us today. It is my pleasure to once again welcome you all to the IEX Analyst Meet.

We sincerely appreciate your continued interest in the company and today we want to share our perspective with you. I am going to talk about the business in the next 30-40 minutes and the presentation is structured into three different parts.

First, I would be talking about IEX as a Group Entity. In the last couple of years we have evolved from just being an electricity trading platform or electricity exchange to a marketplace which is quite diversified, which deals in various energy commodities and also in various environmental products like issuance of I-RECs, RECs, carbon credits and now also in another energy commodity like coal which we are going to start very soon. All of these have strategic importance and they play a critical role. Then we also will be touching upon an overview of how the opportunity space lies for them.

The second part is related to our perspective on the energy sector - What's happening, where it is going and where lie the opportunities for us? And you will agree with me, globally as well as in India, things are changing at a very fast pace. Supply demand dynamics have changed completely. In fact, as we all know, in India majority of the power is traded under long term.

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This has been true for conventional (generation), and this has been true for all the renewable technologies that we have seen. But suddenly this model has also changed. Today majority, almost 80% of battery (BESS), that has got commissioned in the country, majority of them, are traded on a merchant basis. They are using the exchange platform for the purpose of selling and these are all big names. They have huge plans.

Further, the market is moving towards becoming more and more granular. Earlier it used to be one hour trading. We (IEX) started with 15 minutes. In fact, in Europe very recently they moved to 15-minute trading. And in India we are now talking about 5-minute (trading). We are moving closer to the real time. One hour before we are trading in the Real Time Market and Real Time Market has been growing leaps and bounds. But suddenly now the CERC has

released a paper where they want to bring it even closer to real time dispatches. The 70 - minute period which is there, has been proposed to be reduced to 50 minutes. So, these are some of the global trends and we are not far behind. And one thing I must say and you will appreciate, in all these trends one thing is common - market is definitely going to play a very important role. Gone are the days when we will have 100% flexible (markets) long-term PPAs. It is no more, it is not going to be there. In fact, in the current long term PPAs, Government has come out with new policy initiatives where all the un-requisitioned surplus is

coming to

the market. So these are some of the noteworthy changes. We will be talking about it.

And then finally, we would be spending some time on a detailed discussion on what are the growth drivers for our electricity business - which is our bread and butter, 90% of revenue or 80% plus revenue comes from there and we would be dealing with this in detail. There are certain products which are there in the pipeline, we will also evaluate how has been the performance of various product segments. What new is happening on the policy side? There is the NEP which is there - the draft is going to be finalized very soon. There is the Act Amendment Bill which is being talked about. And in all these places there are certain elements which we can discuss, which are going to benefit the market as a whole.

This is where we are today (Pointing to Presentation Slide 1). IEX as you know got established in 2008, publicly listed in 2017. Leading energy exchange for all these years, we have always been maintaining 80-85% market share. Huge participant base, 9,000 plus participants, all distribution utilities are with us, all renewable merchant generators are trading with us, all conventional IPPs are also registered with us. Last year we did 141 billion units (electricity) trade which is a little over 8% of the (country's) total consumption. Earlier we used to talk about 4%, 5%, 6% but we have reached a decent level - at 8% through platform is not a small number. We are growing very fast and you know what sort of growth we have seen in the last couple of years.

Then we have IGX which is our associate company established in 2020. This is the only natural gas exchange which we have in the country today. Here also one unique thing is, everybody who deals with natural gas is registered with us. There are 50 plus - all PSUs, private sector companies - all of them are there. There are 200 registered clients with us and they participate on a daily basis. Nearly 77 million MMBtu (natural gas volumes) we have traded last year. Growth was around 30% and year before growth was about 50%. The PAT number today stands at about 42 crore rupees.

ICX, though the numbers are modest as of now, but this has very strategic importance in our overall portfolio. This is our play on the environmental product side. We are the sole issuer of I-RECs (International RECs) in the country. Numbers have grown. You can see 200% growth

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that we have registered last year. Couple of things which are happening here which we would be dealing with in the subsequent slide which makes it quite a promising segment going forward.

Indian Coal Exchange, as Mr. Goel talked about, we have a detailed slide on it. We will be dealing with that. But the current rule provides for good liquidity right from day one. So if (coal) e-auction platforms are not going to be there, somebody like M-Junction and MSTC Ltd, those who are trading almost 70-80 million tonnes of coal in a year, if those are not going to be there, then exchange is going to be the direct beneficiary. Then there is so much happening on the commercial coal side, so much happening on the captive side. Today, captive coal producers are also allowed to sell up to 50% of their total production in the market. These are some of the developments. We are hopeful that with these rules in place the time has come when we should be creating a multiple buyer-seller model that moves away from e-auction platforms and comes to the exchange model where real price discovery can happen and participants can take advantage of the liquidity which will be created.

IEX, one thing is for sure and you will agree with me, 6-7% is what the (GDP) growth has been projected for coming years. The electrification of economy is happening in a big way. Renewable capacity is getting added, data centres are very promising where we are seeing lot of demand and we have

seen in many other countries. In India also it has started. Per capita we are at quite a low level, nearly 1,300 per unit, and this is set to increase by 2030 to 2,000 per unit. Going beyond up to 2047 it should be 4,000 per unit and these numbers are indicating that there would be growth. And if there is growth, then a platform like ours which is the leading player, which is the leading electricity trader will get benefited by that.

IGX, as I mentioned, the Government's vision is to increase the (gas consumption) basket which is currently at 6% to 15% by 2030. Again, there are multiple factors which will decide whether we will reach there or not. The geopolitical situation which is there, we suffered (because of it) this year. But going forward, the vision is very clear. To accommodate more and more renewable, we need flexibility in the system. Now this is one technology (source)

which can provide flexibility. Gas can ramp up easily, it can ramp down quite easily. Pricing definitely is a challenge. But yes, there is a vision. Let's see where we reach. Infrastructure is expanding. More and more lines are getting commissioned. We are creating multiple hubs for this trading. And domestic gas production has also started participating on the exchange platform.

There is some opportunity available for ICX. I would again say this is a very small modest number but the granularity will increase. So today when we say I-REC or carbon market or let's say RECs, these certificates are not time stamped. These certificates are traded on the basis of time (globally). Total renewable that has been injected irrespective of the fact whether it was injected during the day-time, evening-time or night-time and when the counterparty, the obligated entity is buying these certificates, they are also not accounting for these certificates on the basis of time or hour. So, time stamping is the new thing whether it is GHG protocol, Scope 2 which is about electricity or RE 300 or SB TI claims, granularity is something which is going to be there and this paves way for deepening of this market also. So, there would be more issuance, probably evening peak pricing would be very high and when the pricing would be high, there would be more investment which will come, there would be more participants who would be participating for the purpose of issuance.

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Coal exchange as I said 1.2 billion (tonnes) is what we have today. It is expected that coal production in the country (is expected) would go up to 2 billion tonnes by FY '35 and this provides for a marketplace - a need for a multi-buyer, multi-seller, transparent ecosystem where robust price discovery could be there. It would not be so robust right from day one. Slowly, slowly liquidity will be built and subsequently supply would be there, quality improvement would be there, exchanges would also be dealing with margins, ensuring that timely payments are made. There are so many issues in the coal sector. Some of those issues would be solved when exchanges will (start to) play their part.

Moving on to the exchange business (IEX) and let us see what the ecosystem looks like now. And this is one thing which we share every time. And one thing definitely is there, there is a focus on cleaner generation, numbers are ever increasing. But still predominantly we are coal-based generating, overall mix is coal based - 70% is coming from coal based now. Though in capacity terms we are a little over 50%, but in energy terms we are still at about 24-25%. But challenges are there to be seen. It is difficult. Quite often we have heard about solar power not getting evacuated from the solar parks - that's a very common thing that we deal with though we have a very good transmission network in the country. It's an integrated market - all 13 bid areas that we have in the country, all are integrated. There is one price discovery 99.9% of

the time but still there are pockets, intrastate pockets which are there where evacuation of solar power is a concern and lot of solar power gets curtailed. Now curtailing solar power is a national loss. We have created those solar parks, generation is there but if we are not able to use it, it is going down the drain, which means it is not getting generated. And sometimes when you are not able to control this, it is being generated and then generators or IPPs are paying penalty on it because they are not able to evacuate it. This is a serious concern for which green corridors are being created and once we have these corridors in place, operationally, it will bring more power on the Centralized platform like ours and there would be more supply during the daytime. Even today, there is decent supply available but as far as the transmission system is concerned, we have the world largest network trouble free. Last 10 years - 12 years we have tripled the regional transmission capacity. Today it is at 120 gigawatt. It is set to grow to 168 gigawatt by FY32 and these numbers are remarkable, very good numbers. Distribution and the consumption sides, the last mile, here we have seen there were issues but here also some improvement is there. Reforms are underway. I would say last couple of decades there have been so many reforms which were introduced by the Central Government. Some of these things have worked and precisely for that reason we have seen the AT&C losses have come down to 15% now which was the target sometime back. In fact, if you see some of these private distribution companies, I was discussing with BRPL, BYPL they are at the level of 6% and it is no more AT&C, it is only technical. So, if they can achieve, others can also achieve. The rating has been improving, financial parameters are getting better day by day. If I compare FY'24 versus FY'25, in FY'24 there were 16 discoms, those who were rated A+, and A, but last year this number has increased to 31. This is definitely one very big achievement that we have seen. So this was struggling some time back but things are improving now. Some more measures like LPSC (Late Payment Surcharge Rule) has helped distribution company and also IPPs. Now they (IPPs) are getting payment in time. When they are getting payment in time, they are able to buy coal and then supply to distribution company. And when they are getting cheap supplies coming from the PPAs, the overall cost burden is going down. So it is good for the system as a whole. We are also playing our part by ensuring that discipline is there and LPSC rule is working in a very big way. Another development which is happening here is distribution companies in a limited way are starting

to deploy more and more technology based tools. Now these tools are helping them optimize more. These tools are also helping them to forecast their demand as well as their generation pattern in a more accurate way and by doing that they are able to bring down the cost of balancing which was very high earlier, which is slowly coming down.

(Capacity-wise) This is where we are currently - FY'26 total 533 gigawatt of capacity - expected to go to 958 gigawatt (by FY'32) and 66% of this capacity would be green capacity, which means that major traction is going to be on the green side. But we need base load requirement also. We are little different from other countries, other big countries where demand is not increasing so much. Our demand is increasing. So we have to invest in coal and thermal capacity also. But RE generation mix is expected to increase too. So overall in energy terms also capacity is going to be huge - 66% in terms of installed capacity and then bigger smaller number 40% in terms of energy mix.

Now this is one important slide. I would be dealing with some component in detail but overall landscape is like this. When we talk about energy transition, w

hen we talk about evolution of

marketplace, one of the major element here is technology progress. We have seen what has happened in case of solar, what has happened in case of wind. The prices have come down drastically in last so many years. Localization is happening now. And distribution companies are no more buying solar alone. They are coming out with FDREs, they are coming out with hybrid models, they want hybridization with the best and other things. But one thing is sure, technology is ever evolving, things are changing fast. And the second thing that we have seen in last couple of years, there has been major drop in the battery storage cost. Rs.10.83 - probably each one of us will remember the JSW tender where the price discovered was 10.83 rupees lakh per megawatt per month. That number has come down to less than 2 lakhs. I have one slide which I will be sharing with you. But because of that and for a country like us, where our hydro resources are limited, where we don't have much of gas to generate because of the cost, the balancing thing and the flexible thing is completely missing. Now it is very important for us to have BES S in place so that the system operator can manage the grid in a better way and grid security can be ensured.

Indian Energy Stack (IES), a lot has been talked about this aspect also - similar to what we have achieved in case of UPI in the financial markets. This is something which we are trying to do in electricity. The seamless transition of data, the creation of local markets, peer-to-peer trade, all these things will happen once we have that system in place. So, we are also part of this initiative as a sector expert and participating in development of this new technology which is there. AI enabled demand price forecasting, advanced analytics, we are also extending that. Amit will cover that (in his presentation). We have created certain chatbots which are AI enabled. Similarly, distribution companies also to the extent possible, they have started doing it and taking advantage of the technology which is there.

Draft National Electricity policy talks about introducing competition, open access. Draft Electricity Amendment Bill also talks about certain sectors where all the charges we should remove and bring open access in place. So open access is very good for sector as a whole. It brings competition and then it provides opportunity for us to serve these consumers, whether C&I or consumers like railways, metros and data centers and what not.

Renewable Consumption Obligation targets are very stiff. These trajectories are available till 2030 and because of the stiff targets, this makes a compelling case for all obligated entities to come and participate in the exchange to buy and meet their obligation. Green Energy Open 10

Access is not moving as fast as expected but things are starting and this will also bring down the threshold limit. Today, threshold limit for open access is 1 megawatt. Green Energy Open Access provides for 100 kilowatt customer also to come on exchange and trade even smaller quantum and take advantage of open access. CCT S is carbon trading, something which we have discussed. Electricity derivative has started, not taken off in a big way. But today if you want to hedge, there is a tool available. You can go there. The progress is little slow but I am sure as more and more participants, C&I consumer will participate in open access, they will also start to move towards derivatives to hedge their position. PM Suryaghar Yojana has changed the complete landscape of how solar power is getting added in the country. Earlier it used to be only grid scale solar which was added. Today, in fact, in last couple of years or little more than one year there are more than 5 lakh households which got converted into this particular scheme - 30 gigawatt is what we have added. Majority, almost 80% is what we ha

ve added in last two years. So this has also taken off in a big way. And then there is shift towards RE storage, electrification of economy which is EVs. We cannot leave aside, leave behind EV. That has also started to happen now. Many States are coming with the policies to promote EV. More so after this Iran war where we have seen, we are dependent on energy

from outside world. We must create our own capacity and EV is answer to that. Railways and data centers are what we are also trying to do. Distributed generation (DERs) is also coming in a big way. Small areas where you have generating stations, there are producers, there are DERs and if you have those things in place then it provides for or it paves the way for creation of local energy markets. So today we have a Central market but we might have to move in the direction of creating intra-State local markets where smaller participants can also play their role. Energy is evolving as a service. We are talking about price arbitrage. I have few slides which I will be sharing. FDRE, derivatives (of it) in the form of Contract for Differences, VPPAs, these have got a stamp (of approval) from CERC. Now this has been acknowledged as one tool where C&I consumers can enter these contracts and take advantage of green power penetration which is happening. And then we have also already discussed P2P trade. Nationwide automated transparent trading platform, physical delivery, this is what we have been dealing with. For derivatives we have a tie-in with MCX. NSE is also doing derivatives, but we are dealing purely, pure play with the delivery-based contracts, renewable energy certificates, energy saving certificates, carbon credits which are expected to come. We work very closely with State regulators. In fact, we are on the board of 13 State Advisory Boards. And here we tell them how States can take advantage of the market which is there. You must have heard about zero price in the real time market. When power is available at zero price or less than one rupee or fifty paise sort of a price level, then why should a generating station be, or why should a distribution company be generating their own power? They should replace that power with the market where it is so cheaply available. Such things we educate them about, we tell them. In many cases, we tell them they should open up their market to C&I, and of C&I consumers and allow open access. Thereby they can save a lot on the subsidy burden for the state and also on the cross subsidy burden for the regulator for the tariff. So these are some of the things which we do. We are also on the board of association of power exchanges where 40 global power exchange participate and there we do a lot of cross learning. We learn a lot from US market, European market, Korean market and other places and try to implement whatever is possible in our case. As I mentioned, we have all the participants which are there. I will just quickly touch upon this.

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We work very closely with State regulators. In fact, we are on the board of 13 State Advisory Boards. And here we tell them how States can take advantage of the market which is there. You must have heard about zero price in the real time market. When power is available at zero price or less than one rupee or fifty paise sort of a price level, then why should a generating station be, or why should a distribution company be generating their own power? They should replace that power with the market where it is so cheaply available. Such things we educate them about, we tell them. In many cases, we tell them they should open up their market to C&I, and of C&I consumers and allow open access. Thereby they can save a lot of the subsidy burden for the State and also on the cross-subsidy burden for the regulator for the tariff. So these are some of the things which we do. We are also on the Board of Association

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I will just quickly touch upon this (Slide on Product Timeline). Most of us are aware Day-Ahead Market is what we started with in 2008, 2009 Term-Ahead Market came, and REC market started in 2011. Energy Saving Certificates, not a very liquid market, again not a very big segment, but this was done in 2017. 2020 was one significant, remarkable year for us because we introduced two new products which were very promising. In fact, we are seeing very good traction even now - Real-Time Market was introduced in 2020, similarly, Green Market also started in 2020. In 2021, the Cross Border Trade (segment) was introduced. Today, Nepal Bhutan, they are participating both on the buy as well as sell side. Volumes are small because their size is small. But again, it is not so small. Three, four, five percent sort of monthly average transactions are happening. Term Ahead contracts got extended up to 3 months in 2022 after the Supreme Court case got settled and in 2023 we introduced the High Price Day Ahead Market (HP-DAM), (High Price) Term Ahead Market and Ancillary Market. Unfortunately, all these three markets are not doing very well because liquidity is not there and then few things are in pipeline which I would be dealing in detail.

Now if we have to see the product mix then a few years back, in fact 10 years back, in FY'16, the Day Ahead Market's contribution in overall mix was 95%. Today, that number has reduced to 39%. Why? Because we have seen there has been so many new products that have brought down this number to less than 40%. And RTM, which is the most promising segment that we have today, has grown to as high as 34% by last year. We have seen 40% growth (in RTM) last year and before that also the run rate was about 30-35% growth that we have been seeing

every year. Similar is the situation in this Q1. We are up in RTM segment by about 25%. So this is one segment which has been doing very well and then TAM contracts, Green market that has again become substantial. This traction started just two years back and today it is about 7-8% (of the product mix) .

Now moving to the growth drivers. There are 5-6 growth drivers which are there and some of them we will deal in detail. First thing is about growth - 6-7% GDP growth is doable and we know that there is a strong correlation between GDP growth and electricity consumption. There are outlier years. (For example) Last year was an outlier. It was flat in terms of electricity growth but GDP growth was there. Q1 is surprising. The growth (economic) is same, in fact less as compared to Q4, but electricity demand grew by 11%, more than 10% in the month of June . Similarly 10% (growth) in the month of May. And for this sudden increase , weather

played a very important role. There was a heat wave, there was delayed monsoon s and that helped this (demand) . If not 11%, but 5 to 5.5% is what we are forecasting similar to what CEA has forecasted for next 7-8 years , which means that per capita consumption is going to grow and overall demand is going to grow. Now this is good for us because when demand is growing we are able to capture a large part of incremental demand on our platform. If you see power exchange s, all (power exchange s) put together grew by 18% last year. Demand growth was just 1%. So whatever incremental growth was there, majority of that came to exchange s because long term PPAs are not happening at the same pace. Even if PPAs are happening, then commissioning of those plants will take 5 to 6 years. So that time is available for us where the distribution companies ar

e selling, they are buying, the diversity is playing its role and we are able to get that volume. This is one area where we are expecting huge growth. Add to that EV participation would be there , AC consumption is expected to grow to 9x level by 2050 (IEA estimates are there) .

The second thing which we always talk about and I always give this example, when COVID happened, suddenly demand dropped by 25%. In that particular year, our volumes increased by 20%. How is this possible? Because when demand dropped, there were no buyers, prices also dropped. Majority of the time, prices were less than 3 rupees. In fact, for a complete year, average price was 2.8 that particular year. At that price point, there was huge potential available for distribution companies to replace their costlier power and buy cheaper power from exchange. You can see this illustration on the right-hand side (Presentation Slide) . Any distribution company, they will have multiple generating stations where they have PPAs. They will have their own generating station, they will have NTPC allocation, they will have IPPs who are supplying to them. And on the basis of variable cost, they always stack them. So they try to do merit order dispatch. So what they do is that , to the cheaper generation station they give full schedule and to the costlier generating station they give less schedule. So here we have taken an example (on the presentation slide) where there is a generation plant with variable cost 5, another plant with 4.5, 4, 3.5 and so on . Now fixed cost is something which you have to pay on an annual basis , irrespective of whether you are drawing power from that particular generation or not. Fixed cost is sunk cost, you have to pay. Now what you have to do is, you have to compare constantly. First you have to do it on a Day Ahead basis, then you have to do it on real time (RTM) basis. You have to constantly compare variable cost of these plants with the market. Now we have taken one example when the DAM average price is 4 rupee s. So what can a distribution company do? They can place their bid at let us say 5 rupee s trying to replace Genco 1 and if their bid is cleared, they will shut d own this plant. They will put this plant under reserve shutdown. Now they can buy, they can take power from the market because their bid was at 4 rupees . Since the price is 4, entire thing (bid) is cleared. Now they have an option to replace that.

Now every time this may not be possible . What we have seen in the last couple of months when the prices were very high is that there is another opportunity available. During the day - time even in the high est demand period, crunch period, average price during the day time was 2 rupees. When you have day time price at 2 rupee and your generating station is at 5 rupee and generating station variable cost is same round the clock basis , so what you can do is at least during the daytime, back down your generation and to that extent buy from the market. And this is precisely what we tell them. We do a lot of advocacy with the distribution utility and you can see these numbers. AP (Andhra Pradesh) saved 2,350 crore rupees. This

was in the COVID times. But very recently in FY '26, Telangana saved almost about 700 crore rupees by doing just this. This is such a great opportunity for all distribution companies and there are so many case studies. We publish them, we tell them how they can take advantage of it and more and more State utilities are taking help of consultants, they are deploying tools and we are also helping them by creating or helping them in the way of implementing some IT solutions . By doing that the overall potential is huge , up to 10% of the power can be

replaced by participating in the market – this is 10% of the power which is tied up under long term PPA (and that number is 85%). So currently we (exchanges) are 8%. Similar sort of potential

exists where the replacement can be done. Leave aside months like Summer months when the peak pricing are very high but even in those months there is great opportunity to replace the solar power.

The second opportunity which comes for exchanges is in the form of regional diversity. We know that there are certain States where the solar presence is there, places like Gujarat, Rajasthan ; wind presence is there in Tamil Nadu. Some other s have very high hydro potential States like Uttarakhand, HPE. And demand is never the same. Demand is always fluctuating. It may be high during the daytime, peak time, again it will increase. For all these hilly States, it will go down drastically in the night -time. But your generation is not matching your demand curve. So many a times you will have surpluses, many a times you will have shortages. So there would be a scenario when South is in surplus and North is in shortage. Similarly, vice versa also. Diversity is where the central platform like IEX can take advantage of it. And today, if you minutely see the numbers , who are the big participants, you will find that more than 50 percent of sell actually comes from State utilities – DISCOMs - they are the biggest sellers. 80 percent of buy or 85 percent of the buy is by distribution util ities. So DISCOM is buying, DISCOM is selling. They have lot of power available under PPA but there is a diversity, somebody is surplus they are selling, somebody is deficit they are buying and because of that we are able to gain a lot on account of diversity . And second thing is Demand Shifting is happening. Regulators today are pushing for demand shifting. We have seen in case of Maharashtra , TOD (Time of Day) tariff more than 20% rebate has been given if you are buying during the daytime. Evening the 20% tariff is more. Similarly , it is being done everywhere. Why is it so? Because during the daytime , so much sell is available and you can see in this graph (Presentation Slide) yellow portion, lot of sell is available during the day -time at exchange. Similarly, and why it is available on exchange because all States are surplus. When they are surplus, they are trying to sell. But in the evening, there is lot of dem and which is there and we are not able to meet the full demand. So they are trying to shift their demand from evening to day hours. Now if they are doing that, we have so much surplus available , If you are shifting the demand, that demand will get cleared , those bids will get cleared because the prices are so low. So that's another opportunity which is available for us and you can see in the bottom blue (Presentation Slide) is demand met for 24 hours on 30th May 2019. It was almost a flat straight line and you can see in the evening peak demand was there but if you see now which is 2026 peak demand is somewhere near 3 pm when the solar generation is there . Evening is not so high. Evening is still high but lot of shifting has happened wherever possible State distribution utilities are shifting at least their agriculture demand to the daytime. By certain estimate there is 50 gigawatt of additional potential there where shifting can happen and this can be done not in a year , it will take some time by FY '35, we e xpect this shifting can be done.

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As I said (earlier) capacity addition is going to be there. We have seen a lot on the renewable side but on the thermal side also 80 gigawatt of capacity addition is in the pipeline and 41 gigawatt is already under construction where PPAs have been signed. There is another 20 gigawatt where the contract has been awarded to the suppliers and 16 gigawatt is under various stage of planning. So 80 gigawatt capacity will come , which will help us in meeting our base load requirement as we are set to grow and this is again by some way or other will come to exchange - If not directly, through the demand diversity that I have explained, State

distribution utility will be bringing this capacity on the exchange platform. Similarly, as the thermal capacity addition will be there, coal production i s also going to increase and captive coal mines and the current e -auction is going to help that.

Now another very important new market model which has evolved, which I touched upon where majority of the developers who are operating is in the BESS space . They are trying to create merchant capacity. Why are they doing this? Because the market is providing a lot of arbitrage (opportunities) to them and you can see I have brought these two (Presentation slide) graphs. One is representing the summer month of May and the second is representing a Winter month. You can see this, just a minute let me use the pointer. You can see here (summer chart) there is so much surplus solar power available during the day -time and because of that prices are going below 2 rupee s. This is 2 (pointing to the chart) and you can see the price is below 2 rupee s during the day -time. Every day almost 90 -95% of the days in a year , evening prices are 10 rupee s. Our cap is 10 and this price is being achieved almost on

daily basis. So when you buy, let's say I have a B ESS available, I buy during the daytime and sell during the evening time. This delta is available. I can sell at 10, buy at 2. Sort of 8 rupee is what I can make out of it. No w if you see in the winter months, instead of 1 you get 2 cycles. Winter months, night -time there is virtually no demand. India is not so cold so you don't need heating. Even fans are not there, air conditioning is out of question. So you get very low prices during the night -time. Early morning there are 2 -3 hours when the prices are very high because there is a heating (geyser) and other loads which are there. But more so in Northern India. And then during the day -time when there is lot of solar, again the re is a dip. And evening peak is always there because this is the time when commercial, domestic, everything overlaps. There is a lightning load additionally coming and there is a peak which is there. And this is also a time when solar has gone down and thermal generation is being ramped up. And during this ramp up process, it takes time and during this time, it touches 10 rupees. So there are two peaks which are available in the Winter months. There is one peak which is available in the Summer months. And we have done analysis for FY '24, FY'25, FY'26. And we have to be mindful of the fact that FY'26 was an outlier year - very low prices, no demand increase, very good weather, very good monsoon, everything was an outlier , superb well placed you probably we will not get similar year in some times to come . Even after that you can see there are 545 cycles which were possible in the last year . So one cycle 365 days and second cycle also quite a quite a few days so about one and a half times . We can operate one and a half cycle on an average and what sort of arbitrage was available? For every cycle, arbitrage available in F Y'26 was 4.81 rupees . Similarly, it was 5.03 rupees in FY'25 and 3.80 rupees in FY'24. Now this arbitrage, if you compare it with cost of battery for two cycle operation, this is beautiful. This is very, very good arbitrage. Now considering this, and another thing is, How will thi s arbitrage be going forward? Solar any which way is going to come, whether in the 15

form of Kusum or in the form of rooftop or some other solar edition is going to be there . Evening peak problem will remain because 80 gigawatt that we are talking today which is under pipeline it is going to take time . The majority of that capacity will come in FY' 31, FY'32, FY'33 sort of timeline. So there is a window available where this arbitrage would be there and there are players who are seeing this and taking advantage of it. So , cost for a 2-cycle operation is much below 3.5 rupees and if

you are able to get 4.81 rupees , 4.5 rupees sort of arbitrage available from the market , it makes a beautiful case. Similarly, if you see 4 -hour cycle, one cycle in a day there also there is a great opportunity which is there and it's a no -brainer. As per the current prices you have to take call on the basis of your assumption which are there for the future . But yes , there is hu ge potential which exists and precisely for this reason, whatever capacity has come, it has come on the merchant route. This is what I was referring to. ACME has started commission ing 3,200 M wH which is standalone merchant basis , Juniper has done 500 Mwh again on a standalone merchant bases and A dani has done 3,400 Mwh which are again on a merchant basis. Gujarat has done some capacity which is under PPA. Similarly, there are certain pilots which are done by Delhi DISCOMs - Tata as well as BYPL - where they have created small capacity which are tied up under PPA or their own capacity , but this is the major chunk which is there and the entire thing is under long term PPA. Government is supporting this in a big way. There is financial support to the tune of more than 9 ,000 crore rupees where BESS VGF scheme has been launched and all tenders we have seen recently are under that particular scheme . There's a lot of action there in terms of new tenders, many of these States are coming forward and trying to secure this capacity . On the basis of what we have seen in numbers, it is quite promising. There is a lot of opportunity which is available and developers are looking at it.

Another thing which we know is FDRE - Firm and Dispatchable Renewable Energy . This is what distribution companies are considering today . They no more want solar profiles they already have. E verybody has that . So sometimes you can see this curve (on Presentation Slide) in April they want more power during night and evening peak and less during the day -time . So, when you have such requirement, you can come out with a tender of FDRE. There would be participation. Prices would be high. It would not be (the usual) 2.70 rupees (per unit) , 2.60 rupees (per unit) sort of tender . It would be more than 4, 5, 6 rupees depending on your profile, depending on the conditions of the tender. But this again is one segment which is happening in a big way. And there are a few things which are good for the exchange under this particular segment. When a developer is participating in FDRE, to meet this particular profile he has to create lot of over capacity . In the month of May, June, July, August, when wind is there, he can easily do that with the help of wind. But some other months when wind is not there at all , he has to be dependent on BES S or hydro or something else or probably buying from the market. So this provides market opportunity both on the buy side as well as the sell side. On the buy side, to meet your commitment of providing that profile you have to come to the market . On the sell side whatever surplus capacity you have created and this surplus is huge , sometimes as high as 40 -50% , that surplus capacity you can bring in the

market to sell at whatever price you can get . And since this is variable, this is uncertain, this is intermittent. You cannot enter into any bilateral contract . Whatever the surplus , you have to bring that particular surplus to the market .

Some of you will agree with me , CfDs (Contract for Difference) , we have been discussing for a long time . Very recently one development has happened where SECI has come out with a pilot project where 500 megawatt of CfD based contract will be created. Just to refresh your

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memories C fD is where there is only power supply agreement between SECI and the developer . There is no PPA . So no State is entering into any sort of contract . What they (developer) will do is they will create that capacity a

nd start selling it on exchange. The price

certainly would be given by SECI to the developer, again on a reverse auction basis. Let us take an easy example of solar (price) is 2.70 rupees/unit . Then 2 .70 rupees/unit is what has been ascertained to the developer for next 25 years. They will dispatch their power through market, they will not wait for PP As to get signed . They will create that facility and start selling it on the market. Whatever they realize from the market, bal ance will be paid by SECI to them. Let's say market realization is rupees 2/unit , then remaining 70 paisa, will be paid (by SECI) . Market is paying to them on a daily basis , SECI would be doing this adjustment on a monthly basis. Now let's say market realization is 3 rupees, then this 30 paisa surplus will be parked with SECI and whenever it is deficit they will be using it. So there is a pool which is there . Now, the pool will support the contract for difference model where the surplus and deficit is being taken care of. So this has been launched. So all the power which would be generated here will come in the market and the current contract which is there is not solar , (rather) g ood news is it's not solar. Solar, we already have so much supply available. It is a peak power contract. which means there would be peak capacity addition which will happen and this peak capacity will be coming to the market for dispa tch and those who need, those who are willing to pay in the market, they will be taking this capacity.

So this is one good thing which has happened and VPPA s is a similar thing , where you have Contract for Difference with the C&I consumer . In VPPA, what happens is that the C&I consumer enter s into a contract and take s only green attribute - the REC part of it. All the power which is generated is sold in the market. And how does C&I get power? They continue to buy power from the distribution utility. In both the models, whatever power generation is there, it comes on exchange and both the models are very popular . CFD is very popular in Europe where Germany and UK particularly have added entire renewable capacity through this model . VPPA is very popular in US where all big tech Google's and Amazon 's (of the world) , they have multiple C&I contract s. In fact, in India also they have done few contracts and their surplus power or entire generation is coming on exchange.

Local energy market is what we discussed because of DERs, because of pr osumers, because of Intra -State Transactions . This is required and exchanges will have great role to play there as well and India Energy Stack will further enable it.

For c apacity market , again , a staff paper has been recently introduced by C ERC. They have floated this and are number one talking about capacity market for short -term, then for reserve market, (number two) , and then also for long term which can go up to 15 years. So it is being proposed to be done in three different buckets and it's a staff paper as of now . Once comments are invited, soon it will be finalized and then this will also be there and it also has great potential because currently we deal only with energy. Once we have this capacity market in place , utilities can buy capacity. And there is a dire need of this. We have seen multiple cases where one of the utility forecasted some requirement for next three months , but the monsoon was very good or something else happened and that demand never came. They ended up buying power at 8 rupees and then finally came to exchange and there were not many takers on exchange either . They sold the same power at 3 rupee s. So instead of buying energy beforehand for three months, it's a great idea to secure that by way of entering into a capacity contract. Now this would be something like you have entered into a capacity contract for three months of 500 megawatts . Let'

s say whenever you need that power, you

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have first right of refusal. So morning 9 AM you will tell that buyer that I am keeping this 500MW if you want I will schedule it to you , else I will be selling it on the exchange. So whatever quantity is scheduled , the tariff is in two part - for the capacity reserved for three months there is a capacity charge and f or every energy that is being generated and supplied to the beneficiary there would be an energy charge. This is something which is required and we are hopeful that this will also see light of the day in let's say one or two year 's time. Ancillary market, we are already doing Tertiary but Secondary market is also something which is being considered. There is a requirement and B ESS is something which can play a very important role as in when this capacity is there, sizable number is there , the ancillary market

is also going to be a big beneficiary.

Some of the products which are in the pipeline, say Green RTM. Currently there is only one RTM, but Green RTM and HP-RTM, we have identified that. Some of the green power is being traded under RTM segment and when it is traded there, neither buyer nor seller is getting any advantage of the green attribute. Because this particular segment i.e. Conventional RTM is not identifying power as green. So when somebody (green generator) is selling, he is not getting additional premium on selling green power. Similarly, when the buyer is not getting premium because they are not able to meet their obligation. So, we have identified this and filed this (Green RTM petition). Hearings have been done, the order is reserved. We expect this order as and when it will come. We have our preparedness in place. As and when this will come, we should be able to launch this.

Another area where we are seeing some opportunity is peak contracts. Peak pricing is very different from RTC or solar pricing. There is a need for promotion of BESS through markets or PSPs through market. There should be one special segment and again here also we have filed petition (with CERC). There has been very good response from all the developer as well as distribution utilities. The hearings have been done and the order is reserved. We expect this order to come very soon and then we should be able to launch that. A third contract which is in the pipeline is 11 months (Long Duration) DEEP. Currently it is up to 3 months, but we know that in India there is short-term seasonal requirement which is there. Today many people are targeting to buy power for Durga Puja period or Diwali period or coming Winter period. Those transactions are happening. We are not able to do that because we have a limitation of only up to 3-months. Once we have the 11-month contract, there is a DEEP market which is there with about 30 odd billion units which are traded, we should be able to get some chunk from there.

LPSC rule we have discussed - all the un-requisitioned power which is there with Central Generating Stations - they have to essentially bring this power on exchange otherwise they will not get their fixed charges. This is precisely what LPSC rule is. And we are seeing good volume coming on exchange. In fact last (financial) year, we could trade about 8 billion units. This was the cleared volume. Bidding was very high - was 10 times of this. The cleared volume was also quite a decent number - 8 billion versus 141 billion units - what we did in the complete year. Currently it is only Central Generating Stations which are participating, IPPs and State Generating stations will also come. This number is set to grow. In the first quarter (Q1 FY'27) with the same Central Generating Stations we have done 3 billion units. Optimization potential we have dealt with in detail where I have shown the illustration, a lot of potential exists. You can replace RTC power, y

ou can replace day-time power. It is not only for distribution utilities, same thing applies for C&I consumer also, wherever possible they

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can also replace during the daytime. And carbon trading is something which is again in the pipeline and we expect that in FY'27 itself we should start trading in it.

Some (key) policy initiatives and both of them - whether it is the draft National Electricity Policy or draft Electricity Amendment Bill, the core of both these initiatives is to promote competition. You will see there is a lot mentioned about deepening of the market. They are talking about bringing competition at the last mile which means if not retail immediately, but at least C&I should be allowed open access in the country as a whole. Charges related to open access are very high and it should go down. Some of the areas they have identified like metro, railways, data centers where they are saying there should be restrictive charges so that it can be promoted.

I would again talk about this report which came in 2023, and such reports are once in a decade sort of thing, where they gave a roadmap on how market penetration will happen. And in the short-term, they said by short-term their idea was up to one year what could be done. They said in one year time ancillary market could be done, which has already happened. This came in 2023. Then they said market based RE, CfD and earlier today the point that we were discussing the - pilot is nothing but market-based RE, which has been implemented now. Resource Adequacy and Integrated Resource Planning. This was rolled out about a year back. All the States are pursuing it now. Wherever there are gaps, they are identifying how to fill it. So this thing has also already been done. Implementation of TOD and Demand response - TOD, we know that many States have come out with 20-25% discount during the daytime and charging heavily in the peak hour when the power is not available. So these aspects have also already been taken care of. Now for the medium term which is 1-2 years, the idea was to increase share of RE addition through markets. CfD and VPPAs are definitely one step in that direction. Now BESS is also bringing renewable in some form or other because charging of BESS is going to be through solar which is the cheapest power available, so this will also bring renewable. Demand Response Utility, this framework is available today. Some at State regulator level also this is being created and I would say this is in the pipeline, not much action we have seen, but definitely this is something which will happen. Short-term capacity

contracts, we have seen that staff paper has come. It is running little late but should happen in a year's time and then the market for Second ary Reserve. Tertiary Reserves are being done when we have more BESS and more flexible resources available in the country then we can think of having more Secondary Reserves also in the system. The government is concerned about deepening of the market and necessary actions have been taken. There is a roadmap available and we are almost there, running a little late but doing all the ticks slowly . We are achieving everything .

Now coming to the burning topic of market coupling. There was an order in the month of July Last year (2025) , in fact, just about a year back, just exactly a year back, 23rd July. And that order said that CERC staff was directed to initiate the process of implementation of market coupling of the D ay Ahead Market . The order went to the extent of giving a date also – it said this should be implemented by January 2026. Now, there were many flaws in this particular order and we went to APTEL and we challenged this order and some of the important things which we said were :

- There was study (couple of studies done by NLDC - National Load Dispatch Centre) and (

the outcome of) all those studies were never published. As per an earlier order there was clear -cut guideline given to the NLDC /Grid Indi a to publish those studies on their website , which never happened. So this was one thing which was never made public.

Something which is not made public, nobody can see it, nobody can comment on that .

- Second was, i n the order it was mentioned that there is a saving to the tune of or social welfare maximization or increase in social welfare to the tune of 0.3%. Now 0.3% is insignificant - 0.3 percent gain is no (practically) gain. There are numerous studies which are available and in fact there are multiple solvers which are there which operate MILP (Mixed Integer Linear Programming algorithm) - the algorithm that we use for the purpose of price discovery - You use a different algorithm m the result would be different. And every algorithm is operated for a given time. Our algorithm is set for 15 minutes. If it will run for 15 minutes , at the end of 15 minutes whatever best result is there it will publish that result. And that is not necessarily a 100% optimized result. Now by any logic and every logic 0.3% is something which is highly insignificant. So the order was on the basis of that and we challenged it.

- When you (CERC) are talking about social welfare gain of 0.3%, Why in the study it is not mentioned what sort of price increase is going to happen? And this social welfa re gain which is happening , is it for buyer s or is it for seller s? Those things are also not given. And it is not that we were asking from nowhere. All those things were mentioned in the initial order of February 6th that the welfare gain and the price will be published . Now suppose there is a welfare gain increase and there is a price increase also. This means that welfare gain is increasing for the seller and not for the buyer. And we have done our own simulation and precisely this is what is happening today. For the four months period they (Grid India) have run this pilot , social welfare increase (whatever has happened) , has happened for the seller not for the buyer and effectively the price has gone up. And the price increase has been much more than 0.3%. Now with that sort of study, with all these things not being made available to the public there is no case goin g ahead and precisely all these things we challenged .

- There were some technical points also . The order said the decision would be taken through regulation. There was one regulation 39, which was there in the PMR and subsequently what happened was that this order (of July 23rd) came from nowhere . They decided on their own and no justifications. In the earlier one (order) , the discussion paper, staff paper, there were certain questions raised. They never dealt with those questions. There were so many stakeholder comments which came to nearly 70% of the people (stakeholder comments) being opposed it. Those things were also not dealt with. So there were so many lacunas which were there . There was a transparency issue in the whole process and precisely for this reason we went to APTEL .

In APTEL , after hearings happened, the order was released on February 13th 2026 . In the order APTEL felt that IEX was not aggrieved at this point in time. So the APTEL order said the regulatory process will be followed for the purpose of implementing market coupling it will be done through the regulation and during the process of regulation, if you (IEX) are aggrieved, you should come to us. But at that point in time, APTEL's order was very simple, it was just a one line - We are not dealing with all these issues, all the issues of merit , because I EX is not aggrieved at this point in time. They went to th e extent of saying that all those things in the order (the July 23rd order) is arbitrary. It is not serving anything. It was no

was no

t required in first place. But at the end they said I EX at this point in time is not aggrieved .

Then we went to the Supreme Court challenging this particular aspect of it that we are aggrieved then APTEL must go into the merit of it . Our case petition has been admitted, notice has been served and one hearing happened where the notice was served , and now on Monday (27th July) there is the second hearing . So that's the status as far as legal standing is concerned .

As Mr. Goel said, we are dealing with all the policymakers , we are doing our advocacy and at the same time we are also exploring all legal aspects of what can be done . There is one more thing which I would mention here before moving to the next. Grid India recently submitted comments on the draft PMR (regulation) . So there was an order in July (2025) and now recently CERC came out with a draft Power Market Regulation Amendment (Second Amendment) where the order said this is how coupling would be implemented . This is a three -pager order that puts everything on Grid India and says that Grid India would be preparing the procedure and all those things. The earlier questions and everything will be dealt by Grid India only. So now, Grid India themselves have raised certain points and these are very serious points which I thought I will share with you.

- First, they (Grid India) said the scope is not clear. The pilot and everything was done only for them. But there is nothing called DAM market today. Today market is I-DAM (Integrated DAM) . What would be the impact of (the order) on three layers - Green DAM , DAM and HP DAM on the total outcome that is not clear. So they are seeking clarification on whether it should be done for DAM or should it be done for all the three things And this is very complex. There is a lot of order carry forwards which are there. Those who want to buy green power, they shift their bid, they give us option to shift our bid from green to normal . Similarly seller also, they give multiple options to shift from here to here and here. So this is different price formation, three different price formations. So clarity is not there whether it is DAM or I-DAM .

- Second thing they (Grid India) mentioned that industry grade robust clearing and engine software should be adopted , which should be scalable , number one , and which should be robust - robust enough to handle complex order types. Now, why have they (Grid India) written this? Because in their report they said they could not deal with some complex order type while doing the pilot study. The point three percent which came from a software which was not robust was incapable of dealing with certain order types and also it was done post facto basis. It is not an industry grade software. No audit was done. For example, our algorithm is being audited every year. There are agencies which will come and audit it and then say these numbers are fine. What they created was being done on post -facto basis and no audit was done . In fact, it could not deal with all the different complex order type which are there. So this is another point which they raised.

- Earlier in the July order, it said exchanges would be running the algorithm on a round -robin basis. In the draft PMR, the draft changed the stand and are saying Grid India would be Market Coupling Operator (MCO) . Now Grid India has reservations there . They said if we are MCO then there is a Single Point of Failure. It cannot happen. Even in Europe where coupling has been done to take advantage

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of diversity, where coupling has been done to integrate different markets , there also there are lot of standbys which are there. There are 9 NEMOs who are operating this on round -robin basis. And there is so much multilayering which is there. So they (Grid India) said in India also there should be multiple exchanges that should also be all

lowed to do that . And if so many of them are doing this then we must also consider the cost part of it . For entities running software day in day out. there is a cost element to it. We must compare whether 0.3% is justified depending on the cost that we are going to incur .

- They (Grid India) also said it's a big change. The procedure is to be created and if that is to be done, there should be a steering committee who should overlook all the changes or all the future developments and who should be part of this steering committee - CERC, Grid India, All Power Exchanges , market monitors , external experts - should also be part of that . So it's a complex thing and it is not something which Grid India can do on its own. It requires lot of efforts and lot of capacity creation before doing that.

- Finally , they (Grid India) also said it involves a lot of inter -exchange settlement. Today business rules of all the exchanges are approved by CERC but they are dealing with their own clients, their own members. Now if you are going to be running coupling, then exchanges have to deal with themselves. There should be inter exchange settlement which will happen , and those things cannot happen

through procedures. There should be a regulation because tomorrow if there is a dispute Grid India procedure cannot deal with that dispute. It will go to some higher court and it can only go to a higher court when there is some regulation which is there which is trying to deal with that. It is only if (the regulation or Grid India) are not able to deal then people will go to the next level.

So that's on the coupling side. And moving to the last slide from my side, which is sort of summarizing what I have said. The objective for our business initiative is to serve the customer, create customer value and this we are doing for distribution companies and C&I. We are interacting with them, doing optimization, capacity building. A lot of workshops are being conducted by us. Similarly, C&I, we are still working on promoting open access, dealing with regulators, ensuring that C&I consumers can take advantage of the cost saving from cheaper power which is available. Suddenly merchant has become a buzzword. Conventional generation is also in the form of URS, in the form of whatever little merchant capacity there is, they are coming to the market and taking advantage. REC is another segment where obligated entities are taking part and trying to monetize whatever capacity they have created and whatever certificates are issued. With this I now invite my colleague Amit to take us through all the initiatives related to technology and customer centricity. Over to Amit. Thank you.

Amit Kumar :

Thanks, thanks Rohit. So as Rohit talked about in his presentation about how the dynamics of the market are making things quite complex with lot of new developments happening, which means that from a technology and products and solutions perspective also, the traditional forms of our members interacting with exchange doing the bidding, taking the bidding

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decisions, there we need to implement solutions so that customers are able to efficiently utilize the platform and take the most advantage of it.

So this is something that we identified a few years ago, and we started working on it. With that objective, there are multiple areas of technology-focused, customer-centric solutions that we started working upon. The first was providing API based automated bidding solutions to customers. With real-time market getting launched, there was need to provide customers the solutions so that they can directly integrate their system with our exchange platform so that on a real-time basis they can do their bidding and take full benefit of the real-time market. And seeing the successful adoption of this bidding solution in the real-time ma

rket

we extended this automated bidding solutions to other market segments also. We are seeing very very good adoption of this among our customer base.

With regards I-DAM, if you see right now more than 70% of the cleared volume in I-DAM is contributed by members who use our bidding API solution.

Now similar to bidding API, because any kind of trade that gets done eventually leads to lot of trade reports both on the scheduling and on the financial side for the customers, eventually they need to have these report data into their back office and financial applications for their subsequent processing and reporting activities. There also we identified that if we can provide our customers with API based automated solution which is going to enable them to do a seamless integration of their back-end efficient financial systems with our platform, then it is really going to make the whole trading and post trading activities very seamless and easy for our customers. With that objective, we also launched the post-trade reports and back-office APIs. And even though this is something we have launched very recently, we have already seen very good adoption. And right now, if we see, in I-DAM, more than 50% of the cleared volume in I-DAM is by members who have already done this integration.

Rohit in his presentation talked about the LPSC rules and the amendment around URS which resulted in good volume growth on our platform which is close to 8 billion units last year. This again, we looked at as an opportunity to provide auto-bidding solutions so that it is easy for customers to utilize. We continuously look at how can we provide solutions to our customers so that they can see the value that they get from the platform. And one example is, like from a payout perspective. Our SLA for payout is on the next day or bank clearing day post their delivery day. Which means that if today is the delivery that has happened, and the next bank clearing day we can have the payout process by maybe 5 pm. Instead, we have built close integration with our clearing banks to ensure that we are doing the payout into the seller's account by 11am in the morning itself so that then sellers have these funds available for their business operations activities including trading and also if people want to do some investment to overnight funds they can do that as well. Last year, we processed more than 40,000 crores into seller accounts and all within this SLA of having the payment credited into seller's account by 11am on the next clearing day of delivery.

Given that there is a lot of data that we have about customers, about their bids, we can utilize this data to provide insights to customers so that they can do effective bidding decision

making. If you see there are two kinds of data that we have - one is the market level data, which is public data . As per regulatory guidelines this data has to be public so you will find such data on our website as well about what is the cumulative bid volume, sell volume, cleared volume. clearing price across time blocks and across all other contracts. And then

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there is another set of data which is the customer specific bid data. We looked at it as an opportunity that if we can provide deep insights to customers on market level data as well as individual customers bid data then that is something that will be really very useful for customers for effective bid decision making and get more value from the platform. So with that objective, we are currently providing multiple areas of big data analytics and insights to the customers and we continuously engage with our customers to identify other new areas in which we can provide analytic solutions and we keep on enhancing this. Some of these areas that are mentioned over here (pointing to presentation slide) , like if you see the clear price insight, this is something

which is market level data. But things like uncleared buy bids and sell bids is something which is a very specific customer bid level data. Similarly, DSM and RTM insights about how DSM is there for the customers and how effectively they could have reduced by using RTM is again a very customer specific insight. Effectively, we look at providing the market level (data) as customer level insights to really help the customers take effective bidding decision .

Financial reconciliation is an important operational activity for customers and we have built solutions to provide very easy self -service based financial reconciliation to our customers . For this we have provided them multiple options through which they can do financial reconciliation in a very easy manner. Our entire client onboarding process is also digital . So our clients get a complete digital experience in terms of client onboarding so that our members who want to onboard clients have a very easy and seamless process for them. These are some of the key technology focused customer centric solution that we have built which really helps achieve two things - one, very close integration or tight integrations of our system with the customer 's systems and providing customers solutions that help them get more value from our platform. This is something which helps deepen our customer engagement. In addition to providing technology -centric customer solutions, it is very important also to continuously enhance the platform capabilities to ensure that the platform is highly secure, it's reliable and it's resilient . Today, all of us will agree that we are living in an era where artificial intelligence is transforming all industries and all functions and we at IEX are very, very positive about the kind of impact that AI solutions can have in providing value added offerings to our customers as well as using AI solutions internally within our organization to become much more effective. There are a lot of AI related areas that we are also working upon and I will talk about that in my next slide.

If we look at Security and Confidentiality of data , it is very very critical because that is what helps build trust for our members . If the individual members bid details are not secure, not confidential, then it breaks the trust for the platform and that is something which is very paramount. We have end -to-end encryption of the bid data for our customers, both at the communication level and the database level so that nobody within the organization has access to any of the customers bid data. So it's completely secure, completely confidential. Till the time results are not computed and published every data at every place is in encrypted format. In terms of ensuring that our platforms are well secured because today we are living in an era where cybersecurity is a very important aspect to focus upon. At IEX, we have implemented Defense in Depth Solutions - multiple layers of firewall solutions right from the web application firewall which is at the external world level to our network internal firewalls . We don't use generic antivirus solutions. Essentially , we use XDR solutions which provide much more enhanced threat detection and response solutions. We have multi -factor

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authentication. Within the database, we have the Database Activity Monitoring tool implemented so that any kind of database updates gets recorded and we have also set up a 24*7 Security Operations Center to do real -time monitoring of all security -related alerts that come in and take required actions on the alerts. We continuously do load testing of our platform to ensure that our platform is scalable enough to manage much higher loads than the current traffic that comes and without any kind of performance degradation . For that we continuously do optimization at the software database and at the infrastructure

level.

Now as I was saying that artificial intelligence is an important area, focus area for us because we feel we can use that to provide much more valued offerings to our customers and also for our internal operations excellence. There are couple of AI -based solutions that we are currently working upon. One is – we are in the process of building AI Bidding Assistance for distribution companies which can help distribution companies take much more efficient and

effective bidding decisions while bidding on our platform. We are also in the process of building Auto-Bidder solutions for our C & I consumers, which can really help them utilize the exchange to optimize their cost. There is an AI-powered chatbot for market data that we have already developed and in this quarter itself will do the launch of this AI Power chatbot for the entire sector. These are some of the key AI-based solutions from a customer and external facing side.

Within the company also we use AI for enhancing operation excellence within all the different areas. On the Cyber Security side, we have an AI-enabled Security Operation Center for much more predictive threat detection in a much more effective and efficient manner. Within the software development team, we use AI-based solutions to enhance the effectiveness and productivity of our software development team and we also use AI-based solution as well as RPA-based solutions to automate some of the key workflows and processes for us to enhance the productivity of the operation processes.

If you see we are a very active adopter of AI solutions both for our internal working as well as for identifying solutions for our customer and we feel that this will help us further enhance the kind of value offerings that we provide to our customers. Now, given that we are a 24 by 7 exchange and electricity is a very critical commodity that our customers trade in, the availability and reliability of the platform is of paramount importance. On that, we can do continuous enhancements as well as we work on building redundancy at all levels. So we have redundancy built in at application, database, server, and connectivity to ensure that we are able to achieve very high reliability. Given that we are noticing Real-Time market as one of the fastest growing segment for us, contributing almost close to the Day Ahead volumes and given that real-time bidding timelines are so tight, just 15 minutes in every 30 minutes interval, and the new paper that has come talks about squeezing the bidding time from 15 minutes to now 5 minutes, we have also built a hot standby solution for the Real-Time market which is something that would ensure that we are able to have a much higher availability and reliable solutions that even in a five minute bidding scenario, even if there is a technical outage in one of the channels, the other channel will be able to provide availability to our customers on a Real-Time basis.

We also have implemented a very, very seamless and fast switch from our DC side to DR side, so just in case if there is any physical outage or any kind of outage which makes our DC unavailable for access by our customers for running exchange operations, we can in a very

seamless and fast manner do the switch from DC to DR. This is something which helps provide very robust business continuity. All the efforts that we take around cybersecurity, around building ability and resilience and for working on artificial intelligence solutions, they are again something which helps customers get the trust of our platform. And they know that this is a platform where their data is going to remain confidential, this is a platform which is a very, very secured platform and this is a platform which is a reliable platform. These initiatives coupled with the customer-centric solutions that I talked at the beginning of the presentation

really help build the trust that customers have on our platform and it helps us deepen the engagement. With that I will invite our CFO and Company Secretary Vineet Harlalka to come and talk about IGX, upcoming coal exchange and the financial numbers of our company. Thank you.

Vineet Harlalka:

I think Rohit and Amit commented on the business side and the technical side, now we look at how the value proposition of what the IEX team is doing for the stakeholders. So as Mr. Goel and Rohit in their presentations and inaugural note had stated that we incorporate IGX in 2019 and started giving value and then ICX is there and now Coal Exchange has been incorporated in the month of June and hopefully soon we will be launching the company for the Mineral Exchange also.

If you look at how IGX has grown over the period in the last 5-6 years, it was a very new concept when it was started in 2019 and it reached with CAGR growth of over 40% a volume of 76.8 million MM Btu and reported profit of 42 crores. All entities which are dealing in gas in India or abroad are mainly all around the platform. And the good part is that they filed the DRHP in this month and hopefully (would be) getting listed soon.

Then the Coal Exchange. We had already discussed, the Government came out with the notifications of the Rules on the 4th of June. And as initially Mr. Goel had stated, the good part is that now no e-auction platform will be allowed beyond six months from the launch of the coal exchanges, including the e-based platform of Coal India. So all trading in coal will be coming to the coal exchange which gives the initial target of at least 100 million ton we are expecting at the exchange platform in the initial year. And soon on the 15th of July they (Ministry) have come out with the application process where the Coal exchanges can apply for the registration and licensing. This is the value proposition, when we look at the coal exchange - we are expecting the demand for coal to increase significantly from 1,200 (MT)

presently to around 2,000 million tonnes by 2035 and we are expecting an increase in the capacity of commercial coal production to around 500 million tonnes by 2035. Considering the overall, this triggers the spot market volume to go to almost 250 million tonnes by 2035. So the main drivers will be the increase in demand - overall captive mine coal production that will be there. And secondly, the few to many (model) because right now not too many people (players) are there, so when captive mines come and production comes to many-to-many, trades will be there, which will bring liquidity and a lot of flexibility for the buyers to trade in coal. And IEX with its rich experience of spot exchanges and with our reach with the Power, Cement and heavy industries which use coal, we are hopeful that we will be pioneers in developing the exchange and its regulated products which can give the desired result for market needs.

Overall when we look at that, we are mindful of our social responsibilities also. And just to update our stakeholders and investors that we take care of our business also and we fulfil our

social responsibilities also. Last year we had taken a lot of initiatives, new initiatives also, to see how we can give back to society. This (pointing to the presentation slide) is the summary of few of the activities we had taken. One was that we had supported blind kids for education giving them the AI enabled and tech-enabled solutions for their vision impairment which can help them in their education and day-to-day life. We did a lot of support, whatever we can manage with regards floods in the Punjab and Uttarakhand. And we also support the heritage side of the Purana Quila and the Safdarjung Tomb for development and whatever tourist-related activities we can do to promote the heritage in India. Ultimately this is

the value proposition of IEX. When we look at the last four years, despite all the challenges we have been able to perform with all the support of our stakeholders, our customers and the regulators. So we achieved 15 percent CAGR growth on operating revenue and there was 11 percent growth in this quarter in comparison with previous quarter and total revenue was somewhere around Rs. 745 crore during the previous year. This quarter we achieved almost around Rs. 201 crores and the expenses are more or less in line with 13% mainly increasing on the tax side. We are spending heavily on the tax side and we achieved consolidated profit of almost around 135 crore during this quarter, which is almost 12% increase over the previous year. So, the overall value proposition, the net worth of the company is around Rs. 1,400 crores and the EPS for the last year was 5.33 rupees, and ROE we are maintaining around 42% to 44% ROE continuously over the last 4-5 years. As a policy, we are paying almost around more than 50%, 65% as dividend over the last many years. This is the overall summary. We achieved Rs. 493 crore of consolidated profit during the previous year, which is 17.2% CAGR. IEX standalone was around 474 crores, IGX 42 crores and ICX though it's a small beginning, but we hope it will also have the big opportunity in the future. Overall we are looking at the trend and continue to give good rewards. This is overall from the financial side. Now I request Mr. Rohit if you can come and summarize all the presentation. Rohit over to you.

Rohit Bajaj:

Thank you. Before we break for Q&A, let me try and summarize what we have discussed in the last one and a half hours. Growth is broad based. We are banking on the (power) demand boom in the country, electrification is happening, data centers, EV, air conditioners are going to drive the demand. If it is (per capita electricity consumption) going to be 1.5 X by 2032, we will have our play here. There is a massive headroom available for penetration for exchanges. In India, as I mentioned, it is just 8%, 9% as of now. But globally, if you see, our model is very similar to the European model where voluntary exchanges are there, and there they are doing 50-60 percent of their total consumption (routed) through exchanges. So huge headroom is available for us to grow. And all the developments, new market models that we have discussed will play their role. It would not be only the Central marketplace that we are discussing today. There would be multi-layered markets which will be created over time. The work has already started in that direction and that will also give us good headroom to grow. Our business model is strong. We have a deep relationship of 18 years with our customers. Everybody is with us, registered with us. The API-led integration that we have done over the last two years is coming out to be very promising. This has been appreciated by all our clients as well as members. Today, they are integrated with us both from the front-end side and also at the back-end side.

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This (IEX) is an asset light high-margin platform business. We have strong cash-flows which will help us grow, which will help us diversify moving into inorganic territories. On the organic side, expansion is limited towards volume growth and new products. Some of the things we (already) discussed. BESS price arbitrage is a huge opportunity. It stands out apart from other things because other things have been there for quite some time but something like BESS arbitrage, something like capacity market, CFDs, ancillary carbon markets are which stands

out where we are super bullish . Then inorganic (activities) where Government focuses on the platform. What we have seen over the last two years, (for instance), coal exchange has become a reality. Mineral exchange has also become reality. So we will have

our play there

too. Then Gas, Coal, ICX - the existing entities, group entities, performing well there is lot to grow strategically , they are well placed . Finally , the BESS opportunity (asset) , which we are considering also for us to have some play there as well.

With this, we conclude our presentations. And we can make our way for Q&A now. Thank you so much.

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QUESTION AND ANSWERS

APARNA GARG: Thank you, IEX management for the detailed presentations. We are just setting up the stage for the Q&A round. May I please request everyone to keep your questions limited to two per person so that others also get an opportunity to ask questions. Thank you.

SATYA NARAYAN GOEL: Good Evening, Friends ! I think the most important part of the session - Question & Answer s, is now open and w e will try to address your concerns. Thank you.

ANALYST 1:

Hi, Goel ji , this is Paresh Sanghani here. At the foremost , congratulations to you and your team for having built a wonderful company over the last 18 years. And secondly , thank you for the detailed presentation that you guys have made today. I have one question and just two requests, trying to meet Aparna's requirement over here.

The first question is largely in terms of what do you expect RTM to be over the next three years? From the current 35 to 40% ,where do you think this is going to settle? Because the growth has been really spectacular. And which is the other star product that you think could be the next RTM , so to speak within our scheme of overall things, whether it's peak contracts or whether it's green RTM for instance ? The other two requests I have are - one is the need for doing a buyback , given the valuations are at an all-time low. And the second question is , once we come up with the IGX IPO, a request if IEX shareholders can be given a proportionate, what do I call a reservation for applying for IGX shares while the listing happens, if there is such a possibility. Thank you.

SATYA NARAYAN GOEL:

The first question was on RTM. The share of RTM itself over three to five years. When we started RTM in 2020 , we never expected that the volumes will increase so fast and RTM is growing at a rate of almost about 30 -35% on a CAGR basis. In fact, with high renewable capacity addition in the country, the RTM growth is going to continue , and I believe that RTM volume will be higher than the Day Ahead Market volume in time to come because RTM is one market where everybody is participating .

Distribution companies, if they have surplus power on a real-time basis, they are able to say, maybe in the next one hour we don't need so much of power and I can sell the power, so they sell that power. Distribution companies are buying the power also C&I consumers are doing it and even the generators , if there is a unit outage they make good on that commitment by purchasing power from the exchange in the RTM market. So, I think RTM volumes in this energy transition are definitely going to increase . It would be difficult to give you the number but my gut feeling is that it will definitely grow at a rate of 25 to 30 percent in the time to come . And any other product which can be the next RTM . I think BESS can be another product which really can be a new game changer because earlier, renewable people were talking about for the purpose of green energy and clean energy. But now , renewable has become

more competitive than the coal-based thermal energy . So, everybody is now going for renewable because it is very cost -competitive and today with solar, wind, pump storage and battery storage, it will be possible to have round -the-clock renewable energy at a very competitive rate . So, I think this is going to provide another big opportunity for us. Your point regarding IGX, I don't think it is really possible to have that kind

of reservation for

the I EX shareholders in the IGX IPO. The IGX IPO is an independent IPO, but buyback , yes
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definitely , we will consider it in future because now SEBI also has revised its rules for doing the buyback through the market . So, we will consider that part of it.

ANALYST 1: Thank you, sir.

ANALYST 2:

Hi, how do you think about the I EX's role with India Energy Stack and P2P ? In that discussion, where does IEX play a role? And are you part of those discussions of the India E nergy Stack market ?

SATYA NARAYAN GOEL: So, we are definitely part of that. We represent the power market there as a n expert and participate in all the developments which are happening . We see there is a great opportunity. In fact, let's quickly see what the y are trying to do . Today , in the sector , data flow is a problem. In fact, if you see the last 2 -3 years ' developments , we have gone back. Whatever was being published three years back is not available now. Many of the NLDC and other reports which used to be there. So, one of the key elements that Indian Energy Shack is trying to do is to streamline data flow . They want to make it seamlessly available at one platform which is IES and you would agree with me that power exchange related data is already there , every bit of it . So, now that is the first step where we have seen that it is there, it can be easily integrated but now we have to take it beyond that. And all other transactions which are happening , whether it is through DEEP or whether it is long -term, anything and everything should get captured there - that's one part of it . But the end objective here is that the whole idea is to make it a platform where transactions can be enabled. And when in the AI Week, a few months back , there was one pilot which was done for peer -to-peer trading. There was one person sitting at the retail level in one state, they supplied energy to other state , and that transaction happened through peer -to-peer model. So, what we are seeing here is , in this entire thing ther e would be multiple -layered market which will be created . It may not be immediately at peer -to-peer level or presumed level , but definitely there is great scope to create markets at intra -state level , where there are certain states that have concentration of generation as well as demand . Those things will come up first. So, we are closely working with them, monitoring the situation and as and when we feel there are enablers in place , we would be the first mover to create such marketplaces. So, this is currently what we are looking at.

ANALYST 2:

And how much the MSTC and other platform s charge now on their platform and when do you expect to start the exchange ? And the last bit is ,is the shareholding requirement similar to the IEX or the gas exchanges ?

Thank you. That's it. Thank you.

SATYA NARAYAN GOEL:

Can you repeat your question? I feel a little loud er.

ANALYST 2:

My question was, how big do you think the co al trading market can become ? And how much the MST C and another platform are charging currently. And when do we expect to start the exchange ? And the last bit is , is the shareholding requirement similar to the electricity market and the gas market?

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SATYA NARAYAN GOEL:

So, we explained about the market size. As per the rules, all coale e-auction platforms and marketplace s will not exist after the coal exchange start s operation. Within six months of Coal Exchange operation, they will have to do all the transactions through the Coal Exchange only. Today, the v olume transacted through the e -auction and the marketplace is almost about 120 million ton nes. Coal India alone did e-auctions of about 90 million tonnes of coal. So, the market size as on date is 120 million ton nes, and it can increase to almost about 250 -300 million ton nes by 2035. That's the kind of mark

et which we expect it to be.

Now MSTC and M -Junction they are doing e-auctions , and after the coal exchange starts operation, they will not be able to do the e -auctions. That's the rule of the game , which has been notified by Ministry of Coal.

Shareholding pattern, the kind of transaction fee they are charging, they are basically only discovering the price through the e-auction platform. So, they have a fixed fee for each of the

auctions which they charge. As far as exchanges are concerned, exchanges will be doing the price discovery and at the same time will be doing physical and financial settlement. Clearing and settlement also will be done by the exchanges. Exchanges will be the counterparty on both sides. So, I think exchanges will provide much more value. The fees in case of exchanges will be definitely higher than what MSTC and Mjunction are charging.

SATYA NARAYAN GOEL:

Yes. It is similar to what has been notified for the power exchange and the gas exchange.

Nobody can hold more than 25 percent, and no trading member can hold more than 5%. It is similar kind of share holding pattern.

ANALYST 2:

Thank you.

ANALYST 3:

Hi. Thanks for the detailed presentation. First question was on the RTM market. So, when we look at global volumes, most of it lies in the Day Ahead Market. But when we are seeing RTM volumes growing in India, it's like almost as big as the Day Ahead and it might grow bigger.

So can you help us understand what is structurally different in the Indian market due to which RTM has grown so big? That's the first question. Thank you.

SATYA NARAYAN GOEL:

Actually, in India we have 25 years long-term PPAs for meeting the demand of distribution companies. And that was the trend that is still continuing. So a large part, almost about 85 percent of the demand of distribution companies is met through long-term PPAs and in fact, in future also, banks are willing to do their lending only if there are PPAs. We expect long-term PPAs will continue in the future also.

But in case of European countries where the exchange transactions are high, they don't have long-term PPAs of 25 years, they have PPAs maybe for shorter duration, and they do the re-trading also. The DAM market is basically the main market in those countries. But in India, DAM market is basically, for distribution companies to meet their marginal, shortfall in meeting the demand on seasonal basis or on daily basis or hourly basis, that is coming in the Day-Ahead Market. Real Time Market is basically because of the large variability in that

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renewable generation. So, the same state we have seen selling power on a particular day and next day buying power because on day one the wind generation was very high, they were having surplus power and they were selling, and within a day the wind generation was low, they were short of power. So, I think these kinds of transactions happen in the RTM market.

That is why the RTM market will keep growing. Thank you.

ANALYST 2:

Sure, thank you.

ANALYST 3:

The other question, we know there's uncertainty around it currently. But if Grid India was to become the market coupling operator, there would be some cost associated with them running these operations. So, can you help us understand your idea of who is going to bear this cost of MCO.

SATYA NARAYAN GOEL:

There is nothing free. All costs are passed on to the consumer. Directly or indirectly.

ANALYST 4:

Hi Sir, my first question was on RTM versus DAM. You spoke about two things, one the genesis of the exchange was to help them plan ahead like if there is some shortcoming or there is excess demand or there is a shortfall in their electricity, you had a window of one day to plan, whereas when it comes to RTM, you are doing like the last-minute planning, right? So, how does a customer of yours which is a DISCOM, do planning

by relying on RTM? Because how

does, RTM in a way replaces them for him? That was the first question.

SATYA NARAYAN GOEL:

See, when we started the exchange in 2008, we had only DAM because at that time there was no renewable. It was basically thermal generation, you can do forecast about the availability of generation, you can also do a fair estimation of your demand and so you can do all these things through the Day Ahead Market. But as renewables started increasing from 2015, '16, '17, prices came down to almost about two and a half rupees in 2017-18. Solar capacity has started happening, then market started feeling that there is a lot of variation in this generation capacities and distribution companies who have signed PPAs for this. They are also seeing lot of variation and availability of power with them. And that is when the need for the Real Time Market was felt and in 2020, the Real Time Market started. And you can see the participation in the Real Time Market, the kind of volume increase which is happening. It is basically because to meet this variability in the Real Time Market, the renewable generation. So, that is going to continue and I'm pretty sure that Real Time Market volume

will keep on increasing.

ANALYST 4:

Yeah, because what I remember from its launch was it was for DSM, right? The 10 -12 percent volume division settlement mechanism and it became so big. The follow -up question on that is you said, you know, in European markets, DAM is a very large market because long term PPAs are not as big a part of the power market as they are in India. So, the question then is if RTM is going to become big because of this variability, the expansion of the short -term market

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or the exchanges in the overall will always be limited in India. What is your view on that?

Because when we think about the exchange 's growth, there were two levers, one was, you know, gaining share in the short -term market which we have done very well from 37% in 2019 to 60% plus now . Whereas , as you were mentioning the share of the short -term market or the exchanges in overall power generation or consumption is still low. So, because of this nature where PPAs will remain the dominant structure, does it mean that exchange's share in overall consumption will always be 10 -12 percent at max?

SATYA NARAYAN GOEL:

See, since in India we are going to have long -term contracts, definitely in India the exchange volume is not going to be as high as what it is in the European countries where almost about 50-60% of the generation is rooted through the exchange. We did some estimation on this and what we feel is that almost about 25 percent of the total generation that is the market size, opportunity size, maybe in the next five, six years, it can be that kind of opportunity. Because bilateral transactions, transactions through the trading companies, banking transactions, if you see all these things are shrinking and exchange volumes are increasing. So, the short -term market , which is almost about 14 -15 percent, that itself is major part of it , is on the exchange platform, and in future we feel that the 25% is something which is possible.

ANALYST 4: Fair. Sorry if I can squeeze in one last question. So, we have talked about so many new products that are in the pipeline to be launched and all these approvals will be given by CERC , who is our regulator. So, just a common -sense question , because we have taken them to the court because of the regulations on market coupling does it in any way impact the market not giving us approval or delaying our approvals for these products because our position as an exchange becomes more stronger with these products coming through ?

SATYANARAYAN GOEL: One correction, we have not taken CERC to court. there is a legal provision available that if we are aggrieved by any order of the

CERC, we can go against that

order. It does not mean that we are taking CERC to court. So, these are legal provisions which are available. After all, we also have shareholders . We also have to exercise , whatever legal recourse is available . We are basically using that part of it. And I don't think CERC understands this differently. See, companies like NTPC, Power Grid, NHPC which are government companies , they also have gone to the Appellate Tribunal and Supreme Court against the CERC orders whenever they are aggrieved. So, going to the court is nothing against any individual, it is against that particular order . The regulator is mature, I must say that they understand all these things. And I don't think that this will come in the way of approval of new products because regulators themselves are interested in developing the market. So just one point here. These products are of national importance.

Today, the government is dealing with, what we have seen in recent past, there was acute crunch of power . Evening power was not there anywhere on exchanges , there were 30-40 thousand MW requirement , while , power available was less than 5000 MW. So if peak power products are required they are required for the larger cause. It is not that we are doing it for our gain or somebody else 's gain. So, government is aligned , regulator is aligned and some of these things have been discussed with them and after alignment only we file those petitions. Unfortunately, it is taking little more time. There are some procedural hurdles which are there and we are sure that in times to come it will be released.

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ANALYST 5:

Thank you , firstly for giving me an opportunity and for a detailed presentation. One thing that I saw in your presentation is on market coupling, you said that Grid India has a lot of apprehension about this itself. So, firstly what is your real assessment in terms of by when can we see the final regulations on market coupling and secondly , if this comes at all, what would be the timeline for that?

SATYA NARAYAN GOEL:

See, implementing market coupling is a major change in the exchange market design. And I think such matters are dealt very cautiously. You can see even though the market coupling started being discussed in 2023 , it is still going on because the regulator also wants to examine each and every aspect of it. Similarly, while implementing it also , a care has to be taken that nothing wrong happens in the market.

Today they know one thing that from the last 18 years this market is operating reliably. So, they will have to examine each and every aspect of it. How is the software done? What is the logic behind this software? What should be the logic for the new market coupling system? What is the kind of reliability required in the hardware system, software system, security system, interactions and settlements? So, there are a lot of things which have to be done and then after doing all that, I think there will be regulatory approvals and then the mock drill to see that nothing goes wrong. These things are going to take time. So, it will be difficult for me to give any timeline on this, I can only tell you one thing that sometime in 1994-95 when availability-based tariff was first discussed in the country. It was finally implemented in 2003. It took so much of time. This may not take that long, but then definitely it will take a long time. But the concerns raised by Grid India, can that also delay the finalization of regulation itself. I don't think, I'm competent to answer that.

ANALYST 5:

Okay, and secondly sir, I think the API strategy that you have kind of run over the last two years to ensure more stickiness within your client base. Once, hypothetically, we move to a market coupling system where MCO will have their own technology, will these APIs help us to integrate with the MCO technology as well? And secondly if that happens can that lead to a more competitive pricing between the exchanges. Because if that is the only way they can gain market share, can we move towards that? What we saw in the TAM segment. Thank you.

AMIT KUMAR:

So, The MCO arrangement is only for price discovery and not for bidding. So, the market participant will need to continue to do that on respective exchange and as you rightly mentioned through APIs we have done tighter integration with the customers and directly with their systems both for the bidding and the post-trade activities. Definitely that is something that would be useful for customers because the API based solutions is providing automated, seamless and a very easy bidding and post bidding activities to all customers. Now, MCO's role is to combine all the bids from the exchanges and not from the customers. So, individual customers will place bids, exchanges will send the bids to the MCO and the MCO will collate all the bids to do the price discovery. So, there is no bidding-related integration required for the customers with the MCO. Now for sending the bids to MCO, of course Grid India will publish the APIs which all three exchanges will have to integrate to send the

combined bids of their platform. But from the customer side the work that we have done in driving API integration that competitive advantage remains with us.

ANALYST 6:

Sir, so my query is related to the market coupling and the market coupling operator.

SATYA NARAYAN GOEL:

Can you please be a little louder?

ANALYST 6:

So, in case of the market coupling operator, my query is that since you said, the fee will be charged to some participants, who will they be charged to? Will it be the exchange or will it be the end customer and will that in the way force you to reduce your fee because price discovery has moved to the MCO and you are collecting bids. Just wanted your thoughts on that.

SATYA NARAYAN GOEL:

I think these are the issues which are flagged by the Grid India also in their comments to CERC and in addition to the point raised by you, there are many more issues, which need to be answered. I think these things will be answered may be in the final regulations or in the procedure or subsequently by CERC by their various orders. That is why I said that implementation will take longer time because all these issues one by one will have to be addressed. Today, we do not know what are the things to be addressed. So, as we go along this implementation path. There will be many more issues which will need to be addressed off.

ANALYST 6:

So, my second question is, as you said, DAM is possibly the market which they are targeting first to be coupled, right? So, in terms of your planning as to what is the possible market share loss that you're looking in case the DAM is coupled in the next let's say one or two years and how are you planning for it?

SATYA NARAYAN GOEL:

With the kind of service which we have provided in the last 18 years, the kind of customer connect that we have today. I don't see any loss in market share after the coupling. But let's see. This is the market, we will have to decide about it. Today you have NSE and BSE and in spite of that NSE has retained the market share. So, think only time will decide that. With

the kind of values that we continue to provide , we should be able to maintain a reasonably good market share. Thank you.

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ANALYST 7:

Hello sir. Thank you for hosting us today.

My question is related to the clearing and settlement function of the exchange . If I understand it correct ly, according to the payment and settlement, the e xchange function and settlement and clearing function cannot be under the same entity , for which power exchanges probably got an exemption last year . Will there

be a need to separate the clearing and settlement

function of the power exchang e into a separate and entity? Will it continue to be owned 100% by IEX , or will there be a need to div est some holding?

VINEET HARLALKA:

First of all, there is nothing regarding the separation of the clearing and settlement function. The Power Market Regulations say that the clearing and settlement function of the exchange has to be as per the PSS Act and we had been taking up the matter , and even C ERC had taken up the matter . It is more of a process for the registration of the exchange clearing function under the PSS Act . There is no question of any separation because this narrative is coming where SEBI requires the separation of the clearing and settlement function for the stock exchanges . But the Power Market Regulation s just say one thing , that you have to comply with the PSS Act for the clearing function and the PSS Act is totally silent on whether there has to be a separate entity. It talks about registration. The entities which are part of the clearing and settlement process need to be registered . That's all. So, we are exploring this with the regulator , RBI and we are in discussion with a few experts also to see how to ensure that this issue is resolved because the registration is more of a procedural process and if anything, RBI want s on the procedural side, we don't see any financial impact of that . It's more of a positive and compliance part, nothing more than that. Whatever we are doing today is in line with what is required under the PSS Act . The only thing is that we are doing it under our rules which are prescribed by C ERC. Tomorrow , we may have to do it under another mechanism. It won't involve any additional financial implications .

ANALYST 7:

Second question is about Renewable Energy Certificates. I'm just asking about International RACs, I believe these are two separate products. If you can talk about the market si ze, the volume expectations and how big this opportunity can become.

AMIT KUMAR :

I-REC is the market that is operated right now in 60 plus countries by I-Track Foundation. So, REC if you see , is a compliance mechanism which is a domestic certificate compliance mechanism of our country and I-Track is an International Renewal Energy Certificate Mechanism . Our role right now is that I-Track Foundation has appointed our subsidiary company ICX as the sole local issuer of I -RECs in India. So , with regards to that , we do two activities . Any new facilities that get registered under the I -REC s tandards , the whole registration review and approval process , gets done by our company and post registration , based upon the renewable generation that the entity is doing , the issuance of certificates , which can then be traded in the I -REC market , is also done by our subsidiary company ICX.

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With regards to the growth in I -RECs, like as Rohit mentioned in his slide , definitely there are growth drivers that we are seeing , especially with the time -series granularity being one of the important components on which the I-REC standard is already working upon. So , I-REC registry is managed by Evident , which is now an Xpansive company. So, they have already started work on providing hourly -based matching for I -RECs. In the near future , we will have hourly -based time stamping available for I -RECs. Also, in India and in some of the international market s they have already started doing the pilots. Those are going to drive the demands through RE100 claims, GHG Scope 2 claims and S BTi. So, SBTi right now does not recognize I -REC as one of the acceptable standards , but what they are saying is that with hourly stamping coming , they are also going to recognize I -REC as one of the standards for SBT i claims . . Definitely , those are some of the important drivers that will drive the grow

th of the I -REC market.

ANALYST 8:

Sir, Sumit Kishore from Axis Capital.

Thank you for the extremely informative presentations for the last couple of hours .

My question is in relation to the IEX demand profile chart that Rohit had spoken about . So, sell bids during the daytime far exceed the buy bids , and scheduled volumes seem to be almost 30,000 MW below what actually gets cleared, which is on offer in the sell bids . So, what happens to the part that is not cleared? Assuming that the bulk of it is solar, I am assuming during daytime.

And the second part to this question is , there is curtailment of solar due to transmission evacuation . How much of the curtailment is also happening because thermal power projects are running below the technical minimum, between 12 to 1 p.m. and so on. And what is the opportunity there for IEX?

That's my first question. Thank you.

ROHIT BAJAJ: We have not reached a stage where , because of non -clearance during the daytime , solar is being curtailed. Today , as I shared the slide , on an average, 10,000 -12,000 MW gets cleared during the daytime and out of that , the solar component is quite small, only about 2,000 -3,000 MW . So, what is being curtailed is thermal power , which is coming either directly through IPPs who are bidding , or coming indirectly through the bits of distribution companies. So, as of now, there is a long way to go before solar generation itself starts getting curtailed. And when that happens, you will see consistently zero price on the market . So, there is some power which is available which is at zero . Let's say , I am renewable generator , I will quote as low as possible because uniform clearing price whatever is discovered , I'll get that. I don't mind getting 50 Paisa also. It is better than getting curtailed. So, solar generators are quoting close to zero , then every thermal generator is quoting basis its variable cost . So, as I said, we have not reached that stage. It is still quite far away. But for the high variable cost thermal power projects which are likely to be operating below technical minimum would they have a choice to go meaningfully below technical minimum, or would there be curtailment?

I will tell you what is happening today.

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So, let us say there is a state and state has got multiple portfolios. So, what I'll do is, I'll see my demand and then map it with the total supply that is available and on a collective basis . I will figure out that there is 5,000 MW additional power available and put that in the market. Now , at the time of putting that in the market, bidding at the market, I will also see portfolio wise variable cost. Right? Now, there are plants which are little costlier, there are plants which are little cheaper as compared to them , clearance would be dependent on what prices I have quoted. So, whatever we are seeing today, more than 100 percent of that , is completely thermal power and when we see zero price, this is the time when thermal generators try to compete with solar power. Because whenever there is a zero price, that time you will see the clearance is quite high because many states are optimizing it. That time you will find clearances more than 10,000 MW even on the holidays or on May Day . Then what happens, these cheaper thermal plants start to compete . Now , they need technical minimum . So, they are willing to go below their variable cost, coming to zero. So, there are very few instances . Whenever we are touching zero , there is some thermal power plant, that are not able to recover their energy charge, coming below technical minimum. But otherwise, majority of the time they stick to their energy charge which is the variable cost.

ANALYST 8:

So, you also mentioned that regarding the opportunity around BESS, what will be the longevity of the time shift arbitrage , which has

become very attractive right now in the market for BESS.

So, how much BESS is required theoretically to make the arbitrage less attractive.

And when you say two -cycle operation, theoretically is it possible to do two cycles because for the second cycle, how do you manage with solar and would it theoretically be just 1.2, 1.3 cycles?

ROHIT BAJAJ:

Two cycles are very much possible as long as you are getting required arbitrage from the market because when we are saying for 500, 515, 520 days, a two -cycle operation is possible. These are the time when you are getting one dip and one high point . So, suppose at night time there is a low price , then there is the morning where you can discharge .

Again , you can charge during the daytime when the prices are low . And again you can discharge when the nighttime comes . And this possibility is not available throughout the year. There are 100, 150 odd days when it is available, majorly during the winter -time. Your second question is how long this arbitrage will exist? Now this is a million -dollar question.

No readily answer available with anybody because there are many models which people are operating and trying to figure out .

They are trying to forecast the price going forward. What sort of capacity addition would there be?, What sort of supply will come ? And if that supply will come, solar is going to play an important role. What sort of solar addition is going to be there?

ALM M phase 1 has impacted solar, ALMM phase 2 is going to impact solar . All these things are to be factored in to decide what sort of opportunity this time arbitrage presents.. But one thing people are believing and we also believe the same, seeing the trend today . I will quote one more example . See, November normally is the month in India where demand 38

overall is very low. But in the month of November also, during the evening we touch Rs. 10. Why?

Because when solar starts to come down , thermal has to be rammed up . And then there is a window of 1 to 2 hour s where because of the ramp -down and ramp -up, a small window is created when prices go up to Rs. 10. So, the Rs. 10 is not a function of shortage , Rs. 10 is a function of mismatch. It's an issue of integration of renewable rather than anything else. Now , one argument is that as a little more BESS comes in t he evening gap will get squeezed . During the daytime these people will be buying . So, daytime availability will go down and evening availability will go up . And the arbitrage won't exist .

But the other argument is that the kind of solar capacity that we have created in the country and the cell capacity that is coming now , all these things being in place , and the rate at which solar is being available , solar is definitely going to come.

So, solar addition is going to be much more than BESS addition . And this is all our understanding. Nothing right or wrong about it. I am just sharing my perspective because for BESS we are still dependent on imports.

We are not manufacturing it and BESS no way is close to solar , cost wise.

So, solar addition definitely is going to go up , which means there would be more supply which would be there and we have seen in the last three years, daytime tariff fall from Rs. 4. To Rs. 3 last year to Rs. 2 this year and probably it will go to Rs. 1.5 this year. W hich means during daytime there is a huge pressure .

In the e vening , there is a ramping requirement, there is additional demand.

Traditionally , we see evening demand is always there. So, we feel that for another 3-5 years, this opportunity should be there. In addition to this, our demand is also increasing at a rate of almost 6% in the country. So , this additional demand will also keep on providing you arbitrage for some more time . So, you can do a reasonably good forecasting for 4-5 years . About that, yes, we are reaso

nably sure but in future also I am sure it will be there.

ANALYST 9:

Hi, Anuj Sharma from Steadfort . Just wanted to understand your thoughts on evolution of the open access and can it become a reasonable category in the next few years? Thank you.

SATYA NARAYAN GOEL:

Open Access , it all depends on the State Government, State Regulators and distribution companies. Government of India is definitely looking to promote this because they want industries to become more competitive . I In the Draft bill also , it states that Open Access charges should be progressively reduced , particularly for manufacturing industries, metros and railways . Let us see how it is implemented by the State Governments and State Regulators.

ANALYST 9:

Okay, my second question is on the Spot Coal E xchange. How many players would be bidding for this particular exchange and just little bit more beyond our competencies on this spot exchange . What more do we bring on the table for the collection ?

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SATYA NARAYAN GOEL:

So, we have definitely incorporated Indian Coal Exchange . For others , it is too early to say anything, but in due course of time when they apply for the license , market will come to know about that. We're the only one right now . We had no expertise when we started the Power Exchange and G as Exchange. So, don't worry about that. So , we will do it here too . We have at least 18 years of experience of running a spot market.

ANALYST 9:

Okay, and one quick question on the Supreme Court petition, what exact relief are we seeking now? Thanks.

SATYA NARAYAN GOEL:

See, the relief we are seeking is that the CERC order is bad in law. Let's see what we get.

ANALYST 10:

Good evening, sir.

Thank you for the detailed presentation. A couple of questions. It's been quite some time now. , the Long Duration Product under Term Ahead Market has been delayed. The Supreme Court case between SEBI and C ERC got over in 2024. So, what are the roadblocks out there

and when do we see this come online? That's one.

And the second one is on carbon trading , apart from time -of-day being a growth driver for new facilities to register under I -RECare there are any other growth drivers or incentives out there for developers to register under I -REC and not under the domestic S BTi recommendation s.

SATYA NARAYAN GOEL:

Your first question was?

ANALYST 10:

The long -duration contract s up to 11 months.

SATYA NARAYAN GOEL:

For long-duration contract s approval , there are many issues that the Regulatory Commission will have to consider before approving such contract s. They are also looking at the performance of the existing three -month contracts and the market dynamics . In fact if you look at transactions in the contracts which are beyond three months , those are not significant and they will also have to standardize those contracts. they are working on all that and there are many more issues related to that on which regulatory is working . So, it is difficult to say when this approval will come.

ANALYST 10:

It's been 2 years now since we have applied , if I am not mistaken.

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SATYA NARAYAN GOEL:

It's been more than two years since we have applied for that. You are right.

ANALYST 10:

And on the carbon trading. How big is the market in your assessment?

AMIT KUMAR:

One of the questions that you had , what are the advantages that drive the growth of I -REC when REC is already there. So , if you see that I -REC standards are currently acceptable for RE100 claims, GSD2 claims and now very soon it will be for S BTi claims also. That is where buyers, if they have to take those claims advantage, they go for I -RECs . The international players who want to showcase their compliance with their R E100 goals , they prefer I -REC. As Rohit in the presentation talked about VPPAs and large technology companies like Google, are one

of the big players in the VPA market. In India, if you see Google has a VPPA contract with CleanMax and they take the I -REC out of that contract and then utilize it.

So, that is where the I -REC differentiates itself. It's a kind of international standards and that is where the demand for the I -REC keeps coming.

SATYA NARAYAN GOEL:

Dr. Raghuram ji, can I suggest something?

I think , the time is almost 7:50 and can we have last two persons. I am not saying two questions, let's have two persons.

ANALYST 11:

Yeah, this is Ishan from Antique.

One question , just wanted to understand why are REC volumes down 80% Y oY and Q oQ? Is it shifting to I -REC? Thank you.

SATYA NARAYAN GOEL:

REC volumes are down, because it is just a first quarter of the year . So, too early to make any comment s on that. Secondly, there is a draft which is under circulation that if you are not able to meet your RPO obligation s by end of the year then you can make that by doing the buyout , that means , you can make payment to the statutory authority to meet th e RPO obligation s. So, I think there is some confusion in the market and when there is more clarity on this , the REC volumes would pick up.

ANALYST 11:

Okay . Secondly Sir on realization, if we take total volumes and divide it by the revenue on standalone basis the realization comes at around 0.4 Paisa per unit. Whereas , last quarter and year, Q1 F Y26, it was around 3.7 Paisa per unit . So how should we look at it?

Is it the right way to look at it?

SATYA NARAYAN GOEL:

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I think there are fuel markets like in RECs and the Term Ahead Market , we give some incentive . Because Term Ahead contracts are for longer duration , some incentives are given in that .

SATYA NARAYAN GOEL:

I think for the last question , there is a lady here, she has been looking for it. So , I will take the question from her.

ANALYST 12:

Hi, good evening.

This is Buna from Club Millen nia. I wanted to know what is the contribution of the top 5-10 clients in your overall volumes and how has it been trending over the last few years?

SATYA NARAYAN GOEL:

I think the volume contribution is almost about 50 -60 percent and top 10 sellers , I think the concentration is less on the sell side . It could be about 40 percent but we have every day almost about eight to nine hundred participants who participate in this market.

Just one more thing, these buyers and sellers are not same. So, one season there are new set of buyers, another season those are not there at all. And this 50 -60 versus 40 has remained the same over the last few years. I can't say that it has remained the same, but it is in that range . There was a time when on the buy side the concentration was higher but now that concentration is reducing.

Great. Thank you friends and we are available now. The dinner and the bar counter is open .

So, me and my all colleagues are available. We can take more questions during the discussion time. Thank you very much for coming and attending this. Thank you.